

REPLACING THE RESOURCE MANAGEMENT ACT

Risks and solutions

Greg Severinsen



Environmental
Defence
Society



Forest & Bird
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Michael &
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Foundation

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First published September 2025

Published by:

Environmental Defence Society Incorporated

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Auckland 1142

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www.eds.org.nz

www.environmentguide.org.nz

ISBN 978-1-0670797-3-4

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Front cover image: Evening's glow, Mackenzie District (*Bernard Spragg*)

Back cover Image: Mackenzie Basin (*Bernard Spragg*)

All images: Raewyn Peart unless stated otherwise

Design and artwork: Neale Wills, Wilsy Design and Production Ltd.

Printed: Crucial Colour, Auckland, New Zealand

Copies can be downloaded from www.eds.org.nz

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Acknowledgements

Grateful thanks go to the Royal Forest and Bird Protection Society of New Zealand and the Michael and Suzanne Borrin Foundation for supporting this work. Thanks to those who have given up their time to be interviewed for the project, both in New Zealand and internationally, and those who have reviewed this paper. Thanks also to members of the project's advisory group, who provided valuable guidance and feedback, and James Whetu who provided input to the project.

A special thanks also to Ireland's Department of Environment, Climate and Communication, (especially Sinéad O'Reilly and Luke Thompson), the Irish Embassy in New Zealand (especially Deputy Head of Mission Paul O'Hara), the New Zealand Embassy in Ireland (especially Ambassador Trevor Mallard), former German Ambassador to New Zealand Anne-Marie Schleich, and Benedict Jacob-Thambiah at the New Zealand High Commission in Singapore, for arranging international meetings with a wide variety of agencies and individuals.

The views expressed are those of the Environmental Defence Society and not of the Borrin Foundation.

Executive summary

1. Context

The Environmental Defence Society (EDS) is conducting a project looking at what the core of New Zealand's future resource management system should look like. Currently, at the heart of this system is the Resource Management Act 1991 (RMA), which is the country's primary environmental and planning legislation.

The RMA has had some successes, but also many problems. In its 'phase 3' reforms, the current National-led coalition government intends to replace the RMA with two new statutes. In September 2024 it established an Expert Advisory Group (EAG) to develop its ten 'design principles' further. The EAG reported back to Ministers in February 2025. Its report – which is being called a 'blueprint' – was publicly released in March 2025.¹ High-level Cabinet decisions were released at the same time; however, most detailed policy decisions were delegated to Ministers (and have yet to be made, or at least made public, at the time of writing). Legislation is due for introduction to the House towards the end of 2025. Likely key features of the new system include the following.

1. An overarching principle of respect for property rights.
2. Splitting the RMA into a separate Planning Act (for land use planning) and Natural Environment Act (for natural resource management).
3. A regulatory system which is limited to addressing the economic concept of externalities.
4. Demoting the purpose of new legislation to descriptive status only, meaning it has no substantive impact on decisions on the ground. Legislated goals for 'essential' functions will fill this space, but both statutes will still be enabling of development.
5. Compensation for regulatory takings.
6. A higher threshold for the significance of effects that can be managed.

7. No general Treaty of Waitangi principles clause (instead, there will be a descriptive account of how Treaty obligations are to be upheld by other parts of the legislation).
8. The creation of environmental limits for human health and environmental quality.
9. A more succinct, coherent and comprehensive set of national direction under each Act.
10. More standardisation at a national level, including via a set of standard land-use zones and standards for environmental quality. There would be 'stickier' pathways for environmental controls where councils want to be more stringent.
11. A single spatial plan for a region, and a single regulatory plan comprised of planning chapters for each district and an environment chapter for a region.
12. A national e-planning portal for all plans, and consistency in format.
13. More use of permitted activities (where no consent is required if standards are met) and removal of some activity statuses (controlled and non-complying).
14. Greater use of a variety of allocation methods for common pool resources, to be activated by secondary legislation over time.
15. A new Planning Tribunal to take on a number of potential 'screening' functions (eg the interpretation and striking out of consent conditions and appeal of notification decisions).
16. Potentially greater centralisation of decision-making in the coastal marine area.²
17. Potential centralisation of some compliance monitoring and enforcement functions in a new national level entity.

The purpose of the EDS project, and this report, is to explore some of the fundamental issues that are being brought to the surface by phase 3 proposals. It is intended to support both government policy development and public engagement with the select committee process.

The project has produced three reports. In the first and second reports, we looked at the context of reform (and the place of property rights within it) and the scope of the system.³ In this final report, we provide some further thoughts about scope, before exploring six key shifts being pursued in a new system:

1. Regulatory takings.
2. Legislative design (especially how the RMA might be split up).
3. Purpose and principles/goals.
4. A framework for environmental limits.
5. A framework for strategic spatial planning.
6. Mechanisms for standardisation and simplification.

For each of these shifts, there are both risks and opportunities to improve on the RMA. Below is a summary of key points, but we encourage readers to engage with the full report, which contains a number of detailed comparisons with international experiences, notably Ireland, Singapore, the United Kingdom (UK) and Australian states.

2. Scope

The proper scope of the resource management system is the most fundamental design question facing policy makers. What should it, and should it not, be able to control? We look at several elements of this in Chapter 2.

First, Cabinet has said that the new system will be based only on externalities, meaning it could only address a cost or benefit resulting from one person's activities that falls on an uninvolved third party (eg a neighbour). This narrowing of the RMA's scope is risky, because a strict approach to externalities could exclude a wide range of crucial public interest controls in land, such as those addressing the following issues:

1. Contamination of land.
2. Destruction or removal of elite soils.
3. Clearance of indigenous vegetation.

4. Poor urban design (including a prohibition on urban limits).
5. Resilience to climate change.
6. Restoring degraded environments (eg through net biodiversity gain).
7. Optimisation of land use (eg ensuring there is sufficient industrial land).
8. Enhancing access to rivers, lakes and the coastal marine area (eg by requiring provision of esplanade strips and reserves in the event of subdivision).

In Chapter 2 we explore the risks this might have for urban design, urban growth and the protection of productive land. We also look at a cautionary tale from Ireland (where unfettered market-led growth caused significant issues in the 2010s). And we consider a more promising system in Singapore, where planners strongly embrace the benefits of urban design for public and environmental wellbeing. Most countries also explicitly recognise that the natural world is degraded and requires improvement, not just the internalisation of externalities. Interestingly, in practice the EAG's report recommended that a future system control many things that go well beyond externalities, despite adopting this narrow economic concept in principle.

A second element of scope is about the 'materiality' of effects. How material, or significant, do effects need to be to justify regulatory intervention? Cabinet has decided that this will be higher than under the RMA, which currently requires decision makers to ignore only those effects that are *de minimis* (trivial or negligible).⁴

Whole categories of effect might be put on the chopping block if they are seen as insignificant. For example, purely subjective effects (someone not liking the colour of a neighbour's house or the internal design of a dwelling), the financial viability of a project, or effects on a trade competitor's profitability are not generally valid considerations and could justifiably be excluded from scope. However, this needs to be approached with great care, since sometimes there *are* good reasons for controls that may not be immediately apparent. For example, the orientation of a residential development, or apartment sizes, can have broader longer-term effects on society, not just current owners (including implications for the efficient use of energy, privacy and social connection). These are legitimate resource management issues to manage.

In other cases, an effect might be legitimate in principle, but its magnitude might be low enough to make it not worth managing. For example, earthworks can cause sedimentation risks, but this does not mean the RMA has jurisdiction to control someone digging with a trowel in their garden. So, what should this threshold be?

The EAG recommended it be raised from the RMA's *de minimis* so it also excludes 'less than minor' effects (except where necessary to manage 'significant' cumulative impacts).⁵ While some case law exists on the meaning of the term 'less than minor' (which is not defined under the RMA), it is difficult to establish exactly what impact this shift would have on the ground. A more in-depth piece of work should be undertaken to understand how raising the effects threshold in this way would affect outcomes, including a more precise proposed definition of the term 'less than minor'.

However, the proposal gives some cause for concern. Most importantly, *all* cumulative effects (even when less than minor when viewed in isolation) should still be able to be taken into account, not just those that are 'significant' (which is a very high threshold). This is because one of the biggest problems with the RMA has been its failure to account for cumulative effects (from freshwater quality to traffic impacts). The EAG's proposal may make this problem worse if less than 'significant' effects – including those that are 'more than minor' – are not thought about properly.

Even more worrying is that Cabinet has left open the possibility of a shift to a much higher effects threshold than that proposed by the EAG.⁶ Ministers have, for example, talked about a "radically more enabling system".⁷ It is not yet clear what is intended, but this potentially would allow 'minor' or even 'more than minor' effects to be disregarded or remain unmanaged. These terms are extensively used under the RMA and in plans. Excluding them from scope would remove important effects from the jurisdiction of councils and would be incompatible with the idea of a system with firm environmental limits. This is because even the smallest additional pressure (eg a source of nutrients) can tip the environment (eg a freshwater system) over the edge. Some plans recognise this already, by seeking to prevent *any* effect, not just more than minor ones.

Raising the effects threshold could have serious impacts. In 2017, for example, the High Court considered an appeal on a resource consent to establish a 38th mussel farm in Beatrix Bay in the Pelorus Sound.⁸ The Environment Court had previously determined that the adverse effects on King Shag habitat caused by the application would only be 'minor'.

However, it found that cumulative adverse effects would be serious (including the non-remote possibility of extinction). Such effects are, clearly worth managing.

3. Regulatory takings

One of the government's main reasons for wanting to reduce the scope of the RMA is to prevent what is perceived as unjustified interference with people's property rights.⁹ But there are other ways to address such concerns. One is to allow regulation, but to require compensation when it goes too far.¹⁰ This is known as a framework for regulatory takings. We explore it in Chapter 3.

Cabinet has decided that some takings framework will be created. The EAG made more specific recommendations, as follows.

1. Compensation claims would be available for 'overlays' in plans (but not standard zoning rules, like those applying across an entire 'residential' zone). These overlays would include areas identified as significant natural areas (SNAs), outstanding natural features and landscapes (ONFLs), sites of significance to Māori, and 'other' overlays such as those protecting viewshafts.
2. There would be two routes for compensation. The first would be where national standards set a formula for establishing overlays (eg criteria for identifying SNAs) and councils followed them. Here, there would be no *presumption* of compensation, but affected owners could still make a claim to the Environment Court based on the scale of effects and considerations of equity. The second route would be where councils imposed more stringent overlays than those set by national standards. Here, compensation would be presumed.
3. Compensation would be determined based on whether (and presumably the extent to which) there was a 'significant impairment' to the value of land.

Before establishing a takings framework, several things will need to be clarified. First, one must have a clear understanding of what property rights actually include, to determine when they are deemed to be 'taken'. Property rights are not, and never have been, immutable or divorced from their societal context.

Secondly, it needs to be determined whether there actually *is* an unreasonable or inequitable burden being imposed on landowners under current settings and, if so, how widespread this is. Is there a systemic problem to be solved? Overall, for example, the opportunity cost of recognising SNAs has been assessed as being relatively modest, although actual mapping needs to be undertaken before their impact – and therefore evidence of a significant problem and a targeted solution – can be pinned down.

Thirdly, it is not at all clear that existing mechanisms for redress under the RMA, if used properly, are inadequate to protect property rights. These include consideration of property rights under section 32 reports, appeal rights to the Environment Court, case law requirements for proportionality, and the possibility to challenge and be compensated for controls under section 85 of the Act. This section, which provides that regulation is not allowed to render land incapable of reasonable use and impose an unreasonable and unfair burden, does not appear to have been used to its full potential. However, there have been several cases in which it has been successfully argued, and case law suggests it could be used more effectively in the future.

Creating a more extensive takings regime than that already in the RMA would have significant risks for environmental wellbeing and should not proceed. In particular:

1. Councils could not afford to pay landowners for reductions in land values across the kinds of overlay being considered (eg SNAs and ONFLs). Even where they could, there would be strong incentives from ratepayers not to do so, especially in the current fiscal environment, in addition to the potential cost of defending legal action.
2. There would be radically different and arbitrary results across districts and regions, given vastly different ratepayer bases, political incentives, and other funding sources (which bear little resemblance to the scale or importance of pressures or environments). Some could afford more protections than others.
3. Any framework that *was* serious about achieving its environmental goals would likely make the system more, not less, litigious, because councils would have to defend potentially thousands of separate claims (and the courts would have to process them) to achieve a meaningful environmental result. An entire takings industry would be created for lawyers.

The most likely scenario would be mass regulatory retreat by councils for public interest protections. International experience with takings regimes has highlighted this is a real risk. For example, it is the main reason Ireland has constitutional protection for property rights and yet has abandoned a takings regime for almost all environmental and planning regulation.

One thing that should categorically not occur in New Zealand is compensation for any reduction in land value that comes from the use of common pool resources like freshwater (eg in the event that consented rights are not renewed to take, or discharge to, waterways). There is no property right to pollute or to continue to use a public resource in perpetuity.

A regulatory takings regime also poses significant detailed design challenges. For example, the impact of a two-tier model for takings (where compensation is only presumed for *council* controls that are more stringent than national standards) would be highly dependent on the adequacy of the national standards themselves.

The model would also drive a 'one size fits all' approach to regulation, which would be entirely inappropriate where bespoke controls are needed (eg in a place like the Mackenzie Basin). It would also create an unstable and complex planning system, because rights to compensation may change over time based on seesawing national standards as governments change.

Furthermore, there would be no obvious reason for takings to be applied to some things (eg SNA overlays) and not others (eg 'downzoning' an area from future urban to rural), leading to allegations of unfairness. Sometimes regulatory controls might actually *increase* the value of property, such as those that protect the 'leafy green' amenity of a neighbourhood. In such cases, should we also have a system of betterment (where a landowner *pays* a council)?

And what would happen if an overlay in a plan provided a consenting pathway (as many currently do)? Here, it would not be clear at the planning stage whether there *would* be any constraint on land use – because a consent may well be granted – and therefore whether there is a diminution of value. The courts would be extremely busy figuring all this out.

In Chapter 3 we explore some scenarios in which particularly difficult legal questions would need resolution, and we consider the case of SNAs in the Far North and ONFLs in Queenstown Lakes. But there is a bigger picture question here relating to fairness. For a long time, activities like agriculture

and forestry (among others) have created significant externalities like pollution, and used public resources like freshwater, without a need to compensate the public.

So, for example, should regulatory controls attract blanket compensation when, as observed by the Parliamentary Commissioner for the Environment, taxpayers already subsidise agribusiness activities (where many SNAs exist) to the tune of around \$700 million per year?¹¹ Or where the economic benefits of irrigation (the use of a common pool resource, which attracts no return to the public purse) has been estimated as increasing the productive value of land to over \$2 billion per year?¹² Or where failures to exclude stock from waterways has resulted in public health costs of \$138 million per annum?¹³ This side of the ledger needs consideration as well.

We suggest that improvements be made to the existing system without creating a new regulatory takings framework. That could include more guidance as to the meaning of ‘unreasonable use’ and ‘unfair burden’ currently in section 85; establishing a more proactive mechanism for screening plans for compliance with the section; codifying proportionality requirements currently in case law; and ramping up financial support mechanisms for landowners.

4. Legislative design

One of the most important choices about legislative design for resource management is how to ‘split’ content across different statutes, notably various domains like land, water, air and the marine environment. Cabinet has decided that the RMA will be replaced by “two Acts that separate land-use planning and natural resource management – a Planning Act and a Natural Environment Act”.¹⁴ The former will be a framework for “planning and regulating the use, development and enjoyment of land” while the latter will deal with the “use, protection and enhancement of the natural environment”.¹⁵

The EAG agreed with this way forward, but not necessarily because it was the best thing to do. Rather, it proceeded on ‘the basis that there would be a high bar to displace this Cabinet directive’.¹⁶ Its report did not provide an examination of alternatives and appears to have largely adopted Cabinet’s preference for two acts uncritically.

There are several points to make here. First, most justifications offered for splitting the RMA suggest that this is a solution in search of a problem. Most issues with the Act do not obviously arise from its integration of land

use and other domains, but from a range of other reasons (eg procedural issues, resourcing constraints, politicisation and questions about purpose/principles). The RMA certainly needs change, but not because it is integrated.

In Chapter 4 we outline some general risks of splitting the Act, including fragmented management of the natural environment, increased complexity, uncertainty and litigation, and duplication. Overseas (eg in Ireland and Victoria), legislative fragmentation is common, but it has created extremely complex points of interaction. It has also caused some important safeguards to fall between the cracks. That said, there are some potential benefits of splitting the RMA if done well, including a greater focus on the environment and a framework that insulates limits from the RMA’s tendency to balance development against environment.

From the EAG’s report and ministerial statements it is still not completely clear what the specific boundaries between a Planning Act and Natural Environment Act are intended to look like. For example, Cabinet has talked about (with our emphases):¹⁷

One [Act] to manage **environmental effects** arising from activities, and another to **enable urban development** and **infrastructure**.

The EAG, for its part, recommended:¹⁸

Distinguishing between legislative objectives and functions for **land-use planning** and **natural resource management**.

The consistent aspect of the proposed split is, however, that a Planning Act would be focused on enabling development, while all protective impetus would come from a Natural Environment Act. Their purposes would be quite different. This feature has big implications for what should go where.

In Chapter 4 we explore four ways in which a split *could* be achieved. The first three would in our view have irredeemable problems, for a variety of reasons.

1. A ‘spatial’ split (one applying to urban/built spaces, another for non-urban/natural spaces).
2. A ‘purposive’ split (two acts, both applying to the same activities irrespective of location, but for different purposes).

3. A 'domain-based' split (one having jurisdiction over land use and subdivision controls currently in sections 9 and 10 of the RMA, and another imposing controls currently in sections 11-16 of the RMA).

We conclude that the fourth option – a 'functional' split – is the most promising way forward if the government remains committed to a two acts model. This appears to be largely congruent with the recommendations of the EAG.

It would involve a Planning Act being based largely on district council functions under section 31 of the RMA, and a Natural Environment Act being based on regional functions under section 30. Such a split would minimise disruption, because in most places in New Zealand there are already separate district and regional plans (although having two acts may complicate things further for unitary authorities).¹⁹ It would also mean that regional councils in their 'environment' chapters would retain the ability to create land use rules to achieve environmental outcomes (eg for freshwater quality), as they do under the RMA.

The model would still need very careful design. For example, several functions of regional and district councils overlap, and they would need to be distributed to the right statutory homes. These include functions relating to indigenous biodiversity protection, natural hazard management, climate change adaptation and mitigation, provision of development capacity, and identification/management of contaminated land.

In particular, indigenous biodiversity protections on private land (including but not limited to SNAs) should be firmly within the jurisdiction of a Natural Environment Act. This would be quite different to the RMA, where regional functions only include the creation of objectives and policies but not the actual rules for controlling the effects of land use on flora and fauna. Functions relating to land use in the terrestrial parts of the coastal environment (where regulation is currently the preserve of district councils) should also fall at least partly under the protective umbrella of a Natural Environment Act.

Particular attention will need to be paid to the place of regional policy statements (RPSs) in a split model. RPSs are currently the place where many connections between environmental outcomes and land use are made. Replacing RPSs with spatial plans and putting these under the enabling purpose of a Planning Act would have significant risks, because it would undermine the line of sight that the environmentally protective

functions of regional councils (eg policy for the coastal environment and biodiversity) currently have to land use planning (rules and standards) in district plans.

Land use decisions more broadly also have environmental implications (eg the carbon emissions generated by urban sprawl). This means a Planning Act cannot *just* be 'enabling'. Planning statutes overseas (eg in Australia and Ireland) *are* environmental laws, because they contain strongly protective principles for the use of land. They also have a number of mechanisms through which planning and environmental frameworks intersect, meaning that planning decisions about land use are heavily informed by environmental considerations arising from other statutes. For example, planning legislation is generally the place where requirements for environmental impact assessments are triggered, leading to involvement by Environmental Protection Agencies under their own bespoke statutes. No overseas approach is anything like the simple binary 'protect' and 'enable' model being floated by the New Zealand government, because land use is so inextricably intertwined with environmental outcomes.

5. Purpose and principles

Intimately related to questions about legislative design is the issue of what the purposes and principles of the resulting legislation should be. The EAG suggested that a Planning Act would include a series of (1) goals, (2) decision-making principles, and (3) procedural principles. These would be premised on the purpose that the EAG (in line with Cabinet direction) sees for land-use law: 'the need to protect a person's use and enjoyment of their land' and 'prevent unreasonable incursions from the use of land by other landowners'.²⁰

A separate Natural Environment Act would have its own set of goals and decision-making principles, although some of these would be the same as the Planning Act. It would also have the same procedural principles as the Planning Act, meaning there would be extensive overlap.

In Chapter 5 we outline these goals and principles in table form, including key differences from the RMA. Some goals present in the RMA are noticeably absent, including those related to protection of historic heritage,²¹ the habitat of trout and salmon, the efficient use and finite character of resources, kaitiakitanga (as a general principle beyond the management of ancestral land/taonga), and amenity. There is also no reference to protection of areas of significant indigenous vegetation/habitat in the proposed legislation, only net biodiversity gain.

Precise drafting suggestions for new statutes are not possible while legislative design choices (what goes where) are still uncertain. In Chapter 5 we therefore consider more generally how Part 2 of the RMA (its purpose and principles) is, and is not, deficient, and where shifts might be required across future legislation.

One of the biggest issues is the balance between use and protection in Part 2. The government has said that the RMA has been a 'handbrake' on development and has been "interpreted as putting the environment first ... above development and other land use".²² This raises important moral questions (*should* we put the environment first? In what situations?). But it also raises serious evidential questions. *Has* the RMA put the environment first? And to what extent?

When one looks across the system, it is hard to conclude that Part 2 is stopping people doing things. We can look at this from three angles: (1) what the law says, (2) what outcomes have been generated, and (3) what the experience of users has been. All of these suggest that the RMA has *failed* to put the environment first, and that a future system needs a much *stronger* purpose and principles for protecting it. In other words, there needs to be a clear hierarchy between the protective purpose of a Natural Environment Act and the enabling thrust of a Planning Act.

1. Consider first what the law says. The Court of Appeal has confirmed that Part 2 of the RMA does not give primacy to the protection of the natural environment.²³ This is reflected in many other features of the Act that put development first. For example, consenting pathways have been carved out by the courts for developments (eg ports and highways) despite strongly protective national policies seeking to avoid their effects.²⁴ Once granted, consents cannot be cancelled even if they have significant effects. The first element of the Act's purpose is *explicitly* about enabling development to allow people to provide for their wellbeing. And it is standard practice for consent authorities to grapple extensively with all effects, both positive and adverse, including those on property rights, employment, local economic benefits, security of electricity supply, housing and many other matters.
2. Now think about outcomes. If the RMA *was* skewed in favour of protection, we would expect to see improved environmental outcomes. But this is clearly not the case. New Zealand has the highest proportion of threatened or at-risk indigenous species in the world (more than 4,000). This includes 94 percent of

indigenous reptile species, 78 percent of indigenous terrestrial bird species, 93 percent of indigenous frog species, and 80 percent of indigenous bat species. Between 2019 and 2024, 46 percent of 1,007 groundwater monitoring sites failed to meet the New Zealand drinking water standard for *E. coli* at least once, and 12 percent of 1,173 groundwater monitoring sites failed to meet the New Zealand drinking water standard for nitrate-nitrogen. Between 2016 and 2020, 45 percent of the country's total river length was not suitable for activities such as swimming, and 55 percent of New Zealand's river length had modelled macroinvertebrate community index scores that indicate moderate or severe organic pollution.

3. And consider the experience of users. The vast majority of consent applications under the RMA are granted. During the 2022-2023 year, 36,158 consents were granted out of the 37,996 processed. This is over 95 percent.²⁵ In some places this is even higher. Almost all of them are non-notified. There is also a large amount of wind power that has been consented but not yet built, pointing to issues impeding the roll out of renewables other than the RMA, including incentives in the electricity market. With respect to housing, in Auckland there is now 30 years' worth of development capacity provided for (400,000 houses). Between 2016 and 2021, upzoning in the Unitary Plan facilitated the consenting of 21,800 new dwellings, most of which were medium or high density.²⁶

Aside from the balance between use and protection, Part 2 of the RMA has other shortcomings that a future system should address. For example, in contrast to international jurisdictions like Victoria and the UK, it does not have sufficiently strong or explicit principles around precaution, polluter-pays, or environmental justice. This means that the effects of activities can be felt disproportionately by some people or communities. For instance, poorer areas in Auckland have much less (some only 2 percent) urban tree cover, meaning hotter and less liveable communities for people who are also less able to afford mitigating measures like air conditioning.

There are serious questions about the extent to which Part 2 of the RMA upholds Crown obligations with respect to the Treaty of Waitangi. Part of the problem is that Māori interests are often "balanced out" by virtue of their weak recognition in Part 2 (ie they are only something to be "taken into account" and not necessarily given effect to). The proposal to remove section 8 of the RMA and the general application of kaitiakitanga is a retrograde step and, if implemented, will need to be replaced with a

stronger integration of Treaty principles within the purpose and principles of the new system.

Part 2 also does not go far enough in recognising positive environmental outcomes. Internationally, specific goals for restoration and enhancement are more clearly recognised in primary legislation, such as in the European Union's (EU) Nature Restoration Law. This kind of thinking needs to be front and centre in a new system.

6. Environmental limits

The RMA has failed to prevent the degradation of the most basic elements of environmental health that New Zealanders expect. But Part 2 cannot be wholly to blame. For example, the nitrate contamination of Selwyn's drinking water supply (now over the safe level recommended by midwives for pregnant women)²⁷ is clearly not consistent with the direction to "safeguard the life supporting capacity of water" in section 5. There are other factors involved.

Poor monitoring and enforcement is one. There is also a lack of data and information, or a failure to act on it, and issues with 'implementation', including a long history of inactivity by central government,²⁸ the uncritical carrying over of outdated provisions in plans, and the persistent under-resourcing of regulators. Most trade-offs have been left to political decision-making that inevitably tends towards short-term priorities, and there has been a degree of regulatory capture despite judicial oversight by the Environment Court. All this can be bundled into one core problem: the RMA lacks a proper framework for setting and defending clear environmental limits.²⁹

Cabinet has determined that the new system will "strengthen and clarify the role of environmental limits and how they are to be developed".³⁰ More specifically:

1. Where needed to protect human health, limits would be set nationally. Where needed to protect the 'natural environment' they would be set by regional councils using a nationally set methodology.
2. There would be mandatory domains for which limits must be set, potentially including air, water, soil and ecosystems, with criteria for setting the management units across which they apply.

3. Human use of resources would be capped to ensure no limits were breached, and there would be a process for some over allocated resources to achieve limits over time.

The EAG recommended a more detailed model, based to some extent on the National Objectives Framework under the National Policy Statement (NPS) for Freshwater Management. In particular:³¹

1. A Natural Environment Act would itself set 'values' for each domain.
2. The EPA would create regulations that identified attributes for each domain.
3. Limits (defined as a minimum environmental state or maximum amount of pressure) would be recommended by the EPA for national limits, and decided by the Minister for the Environment.
4. The EPA would support regional councils in deciding regional limits.
5. Limits could be met through offsetting across appropriate scales.
6. An allocation method would determine competing claims to resources within limits.

In Chapter 6 we explore 8 key features of a future environmental limits framework. These are summarised below.

1. The system needs to be very clear about what an environmental limit means.

The EAG has said that the concept means both (1) a minimum acceptable state of the natural environment and (2) a maximum amount of acceptable harm or pressure. That is a good starting point. But limits should not just be seen as *numerically measurable* states. Limits for things like biodiversity may resist the kind of quantification that is possible for things like freshwater pollution.

The actual regulation – the thing stopping particular human activities – must also be a 'limit' in legal terms. And it is crucial that buffer spaces be built in between the minimum state of an

environment, the amount of pressure that would infringe it, and the rules or conditions controlling actual activities.

2. Primary legislation needs to be very clear about what outcomes are being sought when limits are set (the purpose of limits).

If these are too vague, limits may be set in the wrong place, vary wildly over time according to political preferences, or be incapable of legal challenge. There are different options for drafting, but the NBEA provided a good starting point in its concept of ecological integrity.

The EAG's suggestion of "protecting the values of human health and the life-supporting capacity of the natural environment"³² may be suitable as a general expression of intent, building on case law under section 5 of the RMA. But it sets the bar too low. A highly degraded environment (eg a nutrient rich river, one overrun with pest species, or one in which indigenous species are on the brink of extinction) is still one capable of supporting life. As one interviewee told us, so too is a septic tank. More generally, limits should not be tied to the maintenance of the current state of the environment, because to do so would lock in the existing, unacceptable degradation that exists across much of the country.

- 3.. Limits need to be set for the right domains.

As a general principle, limits should be required for all things needed to achieve their purpose. The EAG proposed that more specific values for particular domains be established in primary legislation (although it did not specify what they should be).

As a starting point, mandatory limits should reflect the domain-based functions of regional councils articulated in section 30 of the RMA, not just general terms like air, water, soil and ecosystems. These domain-based goals should be as specific as possible, to allow success and failure to be measured or evaluated.³³

Biophysical matters should also be the *sole* factors in setting limits. Otherwise, there will be inevitable trade-offs with other considerations (eg economic development). For example, it is of concern that Cabinet has requested further advice on what the 'weighting' of limits will be in the system.³⁴ This has strong

connotations of 'balancing' which in effect would mean that limits are not limits at all. The protective purpose of limits (and values for each domain) should stand apart from the more general purpose or goals of environmental legislation, to ensure it is not watered down in this way.

Limits for biodiversity are particularly difficult, because they involve constraints on private property. In particular, meaningful biodiversity limits cannot be achieved without protection of *habitat*, which means linking them to SNAs. There should also be two quite distinct forms of environmental limit for biodiversity – one to preserve ecosystem services and biodiversity generally (where offsetting may be appropriate when used with extreme care), and another linked to the threat status of particular species under the New Zealand Threat Classification System (NZTCS) (where critical habitat for threatened species, and species themselves, require stricter protection).³⁵ For example, a future system could build upon the distinction in the NBEA between 'significant biodiversity areas' and 'high value biodiversity areas'.

4. If limits are to protect what matters, they must be set at appropriate geographical scales.

These are often referred to as management units. For freshwater, for example, management units need to be based on catchments (and units within them). For air quality, airsheds are what matters.

Appropriate scales will vary according to the physical and human geography of a place, but if limits are measured (for example) across a whole district, a whole region, or even the whole country, there will be significant room for some places to become heavily degraded while still being able to claim 'compliance' with an overall limit. This is why the idea of biodiversity net gain (in which all benefit might be concentrated in one place while harm builds up in others), while positive in general terms, needs to be distinguished from the true safety net of regulatory limits applying at place.

In Chapter 6 we look at two quite different approaches. The first is in the UK, where a compensation framework linked to a broad geographical scale poses significant risks to biodiversity. The second is in Singapore, where there are stronger requirements for *onsite* mitigation to achieve biodiversity outcomes.

5. There needs to be a pathway to improvement.

Many environments across New Zealand are *already* degraded and in need of restoration. Their existing state is below anyone's reasonable definition of a 'limit'. In such cases, there needs to be a clear pathway to reduce pressures to acceptable levels – a robust system of targets.

The NBEA provided a sensible and relatively simple approach to targets that could be largely lifted and shifted into a new system. The UK provides a more comprehensive model – albeit one that is not perfect – that could be built on in a Natural Environment Act. Its system includes mandatory targets, environmental improvement plans, and requirements for net biodiversity gain.

6. Limits need to have legal consequences.

Most fundamentally, there needs to be a statutory requirement for a minimum environmental state not to be breached. In addition:

- Limits need to prevail in the event of conflict with other provisions.
- A stronger precautionary approach should be required when setting limits (ie where there is uncertainty in information).
- Permitted activity status should be unavailable where this risks allowing activities that would cause environmental limits to be exceeded.
- There should be a legal requirement to have regard to whether prohibited activity status is appropriate to defend an environmental limit.
- Limits need to be more upwardly mobile than other provisions, and they should be established with future risk firmly in mind. This is because the environment itself will not remain static.
- Limits should have direct legal consequences for land use decision-making (under spatial plans and other tools in a Planning Act).

- Effective monitoring and reporting is essential to a limits framework, including to make sure that this is performed in robust and consistent ways.
- Rapid corrective or preventive measures need to be triggered by monitoring data.
- Any exemption to environmental limits (eg for 'essential' human needs) must be limited to a specific range of crucial activities. In such cases, an exemption must also outline how other responses will 'make up' for the infringement of a limit.
- Limit setting, monitoring, review and enforcement should be linked to clear funding sources to ensure they actually happen in practice.

7. Limits need strong institutional independence.

Part of this should be a role for a strengthened and regionally based EPA to support and oversee councils in setting, monitoring and enforcing limits.

8. Accountability is vital.

A limits framework requires strong accountability mechanisms to ensure they are set in appropriate places, and that they are not infringed. The RMA has some accountability tools, but they have not proved effective.

A stronger model could take a number of forms. The UK, in its Office of Environmental Protection (OEP), provides a robust model that could be emulated and built upon. In particular, the OEP can take the government to court for failures to uphold environmental law, which has provided strong incentives for corrective action. Ireland's Office of the Planning Regulator provides another model that could be adopted, although this is focused more on local government accountability than that of Ministers. We look at both in more detail in Chapter 6.

Most of the 8 features described above exist in the EU. In Appendix 1, we look at how the EU's Nitrates Directive has operated in Ireland, and how its mechanisms can work together to create a coherent framework for dealing with an environmental pressure that we are also facing in New Zealand.

Although it is far from perfect, the model appears to be making progress, and offers important lessons.

7. Spatial planning

The concept of 'strategic spatial planning' is one that has been talked about a lot in recent years. In the New Zealand context, it is primarily intended to be a more strategic layer of land use planning, responding to three key problems, or gaps, that have been identified with the RMA.

1. The Act's instruments tend not to be strategic (ie anticipating or driving future change).
2. There is only weak legal influence between strategic instruments (where they do exist) and the regulatory and funding frameworks on which their implementation depends.
3. Strategic spatial planning is not mandatory and can therefore be reactive and focused on particular issues (eg urban growth) in isolation of others (eg biodiversity improvements).

Cabinet has agreed that a Planning Act will require long-term, strategic spatial plans. The idea is that these will enable urban development and infrastructure within environmental constraints (eg high hazard areas and SNAs).³⁶ Plans would broadly identify future urban development areas, major existing and future infrastructure, and where separation of incompatible activities may be required. They would align land use decisions with the infrastructure planning/funding decisions under other legislation. And they would attempt to resolve some conflicts between the enabling purpose of a Planning Act and the more protective purpose of a Natural Environment Act.

The government's main driver for spatial planning appears relatively narrow: "to lower the cost of future infrastructure".³⁷ But spatial planning offers more extensive opportunities than that. A key aspect of spatial planning will be the identification of environmental constraints on maps so they can be avoided. This will smooth the path for appropriate development in other places, reducing costs and uncertainty. For large projects, a questionable location (eg wind farms in SNAs or ONFLs) is often the reason for a lot of conflict in the system, but this need not be the case if clearer 'go' and 'no go' areas are identified in advance. For example, this has improved the speed and certainty of decisions in Waikato for geothermal developments where some systems are off limits.

What should constraints in spatial plans include? At minimum, they should encompass SNAs, ONFLs, significant geothermal features, sites and areas of significance to Māori (as long as publication of such information is appropriate), drinking water sources, elite soils, high hazard areas (with reference to climate adaptation plans), marine protected areas,³⁸ and wetlands. They should also indicate the spatial extent of water conservation orders,³⁹ conservation land and areas having status under international law (eg RAMSAR sites). Many of these constraints, although not all, can be gleaned from existing plans and documents.

Spatial plans should also tackle the issue of strategic land use choices, not just ringfencing specific areas of value to be avoided like SNAs. Some places have biophysical characteristics that make them inherently unsuitable for certain types of land use (eg exotic plantation forestry on erosion prone land, intensive dairying on shallow soils or in water stressed areas, or urban development in floodplains), which may cause environmental limits to be infringed. This may well mean things like 'dairying exclusion zones' need to be signalled in spatial plans. Spatial plans should also foreshadow land use change where *existing* uses are to be reduced over time to lessen pressure on the environment. In recent work the Parliamentary Commissioner for the Environment has shown that around one third of all catchments will require such treatment.⁴⁰

Constraints must be identified and mapped *before* first generation spatial plans are developed and have legal effect. Once development corridors are established, and investments made in reliance on them, it will be near impossible to change them in the future when more information about environmental constraints becomes available. Rushing ahead with development, before the right information exists to identify places to avoid, has been a big issue recently in Auckland when it comes to urban intensification and hazards (for example, 4,000 new homes on floodplains have been approved since the city's devastating 2023 floods).⁴¹ More strategic planning will take time, money and resources which need to be provided up front. Much of the cost appears likely to fall on local authorities, which are already fiscally constrained, so another funding solution is needed.

There is also a clear need to improve the state of the natural environment, not just protect what is left.⁴² Although other mechanisms will be needed to incentivise restoration, spatial planning has the potential to contribute. Its purpose and content should reflect this (and we therefore see risks in including spatial planning under a Planning Act with a strongly enabling purpose). For example, rather than just identifying existing SNAs, a spatial plan should identify where additional protected areas would be desirable

(and could be restored) in order to join up disconnected habitats or migratory pathways for birds and other species. This idea of ecological connectivity is a big focus of spatial planning in Singapore, which we explore in detail in Chapter 7.

Spatial planning is also about *synergies*. For example, offshore wind proposals could be encouraged in places where environmental impacts (eg on migratory seabirds) were minimised *and* where there was potential for safety zones to act as protected areas to enhance both ecosystems and fish stocks.⁴³ In Austria, there is a wind energy map that assigns ‘priority zones’, ‘suitability zones’ and ‘exclusion zones’ for wind energy development to guide them to the right places. The system needs to seek win-win scenarios to reduce tensions.

Spatial plans will need to have significant legal weight on regulatory plans to make them worth doing. This will be especially important to prevent ad hoc dispersed developments that might undermine the policy goals of the plan (eg efficient infrastructure provision and the environmental benefits of compact urban form). It is therefore of some concern that the EAG does not anticipate that spatial plans will prevent development being pursued wherever the market chooses to go. Allowing unanticipated, dispersed development and urban sprawl has caused big problem in Ireland, which now takes a much stronger plan-led approach.

However, spatial plans should be required to give effect to environmental limits set under a Natural Environment Act, *not the other way round*. And they will need to be flexible to respond to changes in the environment itself, including a changing climate.

Spatial plans will need to be accompanied by a clear mechanism through which their ambitions (including their environmental goals) are funded. Project Ireland 2040 provides an example of how that might be done, in that it has a strategic pillar (a National Planning Framework) alongside a closely linked funding pillar (a National Development Plan). The UK (and Thames Water), on the other hand, provides a cautionary tale about how a failure to link infrastructure funding with growth planning can fall foul of a system with environmental limits for freshwater quality (requirements for ‘nitrate neutrality’).

In Chapter 7 we outline various other key features we see as important for spatial plans. Among other things, while development identified in a spatial plan should have reasonable certainty of proceeding and a simpler regulatory pathway, it should not escape from more detailed regulatory assessment through consenting or designation processes. A

consent authority should remain free to impose conditions or even decline a proposal based on a detailed assessment of its effects. Governance arrangements will also be an important consideration for policy makers. Without careful local government reform, regional level spatial planning may be more complex and fraught than it needs to be.

8. Standardisation

The government is proposing a system with greater standardisation at the national level. It is floating 4 key mechanisms for doing this.

1. A single and more comprehensive National Policy Direction under each Act (to reduce variation in policies at regional and district level, and “shifting the focus of policy setting to a national level”).⁴⁴
2. A single suite of nationally determined zones (with common rules) under a Planning Act, from which all territorial authorities would pick and choose when preparing their land use chapters in regulatory plans.
3. A single set of regulatory limits for human health, and regulatory limits (or a common methodology for setting them) for environmental quality.
4. A set of national standards under the Natural Environment Act and Planning Act (presumably for things other than limits), from which councils could only depart if they followed a ‘stickier’ pathway (including regulatory justification reports) for ‘genuinely novel issues’.

However, there are two quite different ways in which the term ‘standardisation’ is being used. The first is about improving consistency – the creation of identical or similar requirements across the country. The idea here is that councils should not, by default, be taking different approaches to the same issues where there is no justification for doing so. That creates a burden not just on councils, but also on tangata whenua, environmental groups and others, who are forced to spread their resources across very similar planning and consenting processes seeking basically the same outcome again and again (eg by litigating very similar consent conditions).⁴⁵

Standardisation in this sense can be procedural (the use of common terminology and formatting requirements) or substantive (the same

default policies and rules). Procedural consistency makes a lot of sense. In fact, it is what the National Planning Standards were created to achieve. These could be developed further, without legislative change, to the extent that common terminology and more detailed structure for plans are needed.

It would also be possible to go further and require the creation of one or more model plans at the national level. Councils could use these as a starting point for their own combined plans under new legislation, but still be able to depart from them where appropriate. Model plans may save councils a significant amount of time and effort.

In principle, *substantive* consistency in rules and policies across the country is not a bad thing either. Variation should not be arbitrary or exist for the sake of it. For example, minimum national level standards are clearly needed to establish environmental limits across the country, to prevent a postcode lottery for environmental wellbeing. Standardised zones (as in Victoria, which we look at in Chapter 8) also make sense, especially in urban areas (rural environments present a more diverse and challenging landscape to achieve widespread standardisation). That said, there need to be enough of them from which councils can choose, and they need to allow for a degree of flexibility (eg ranges of performance standards, suitable overlays, and the ability to depart from standards where appropriate).

A desire for predictability or certainty for development must be set against the importance of contextualisation and discretion when it comes to a changing environment. The challenges facing different parts of the country are diverse, which means that imposing the same rules on activities, even if they are very common ones like road building, could drive very different outcomes depending on where they are applied. The Mackenzie Basin is a place where a menu of standards or standardised zones simply would not work, highlighted by the recent Environment Court decision on Plan Change 18 (which crafted a complex rules framework for over-sowing and topdressing in a particularly sensitive ecosystem).⁴⁶ The EAG envisaged that local variation would still be *possible* in council plans if they produced a 'justification report' as part of a 'stickier' process, but if this is too onerous (and linked to regulatory takings claims), it would incentivise a 'paint by numbers' approach and risk poor environmental outcomes.

There is a second, more specific (and more concerning) way in which the term 'standardisation' is being used in conversations about reform. This revolves around the more widespread use of permitted activity status. Permitted status means that people can undertake an activity without a

consent if they can comply with clear and measurable 'standards' in a plan or national direction. Cabinet has agreed with the EAG that there will be greater use of permitted activities in a new system.

There are considerable risks here. Permitted activities only make sense where compliance can be easily measured and monitored and where effects do not differ greatly according to place-based context. There will be significant environmental and social impacts from taking them too far or legislating for their use in a blanket way.

Even within the same basic zone (eg rural production) the exact same activity can have significantly different effects depending on the biophysical and social conditions in which it is occurring. The effects of an activity might be far more uncertain in a new location even if it has been done many times elsewhere, warranting bespoke assessment and conditions via a consenting process. In Chapter 8 we look at how, for example, the use of permitted status has (among other causes) created significant issues in the context of commercial forestry, both in New Zealand and in Ireland.

The exercise of kaitiakitanga by tangata whenua is also specific to their rohe, and highly context dependant. Extensive national permitted standards will struggle to be sensitive to this. And the absence of a consent process makes the impacts of permitted activities much harder to understand, monitor and enforce (although this issue can be partly addressed through the concept of a permitted activity notice – effectively, a registration system – found in the Natural and Built Environment Act).

Extensive permitted activities have other risks too. For example, they can establish a much broader 'permitted baseline' where effects permitted in a plan can be disregarded when making decisions on resource consents. This will exacerbate cumulative effects. Permitted standards may also inhibit innovation, because they provide inflexible requirements that can incentivise developers to comply with rules (a box ticking exercise) rather than incur the cost of a consenting process through which more suitable and creative solutions may be found. Above all, permitted status should not be allowed where there is a risk of significant environmental effects or there is a risk to limits or associated targets.

That said, there may be some activities that *are* amenable to permitted status. Detailed policy work on this should continue. Many activities are already permitted in regional and district plans, and the most fruitful way forward is likely to be to provide some consistency for these across the country (where their content is largely the same already) rather than

seeking to create permitted status for new things. It is entirely possible to do so under current settings, via national environmental standards.

Furthermore, if the goal is greater certainty for developers, permitted activities are not the only way forward. Policies in national direction and regulatory plans could be made clearer and more directive, making outcomes more predictable. More integrated national direction would assist greatly. Controlled and non-complying activity statuses could also be retained, and potentially harmonised across regions and districts, to provide a degree of predictability about consenting outcomes. Default consent conditions could also be developed for common activities (eg bat management) as a starting point for consent authorities, so they did not have to reinvent the wheel or relitigate similar arguments. And prohibited status should be used more liberally to provide certainty where activities would breach environmental limits.

Standardisation is intimately entwined with a more general desire to make a future system simpler, faster, and cheaper. In principle, that would be a good thing. Indeed, a great many problems with the RMA come down to process and poor implementation. We offer some further thoughts on the need for procedural speed – and some words of caution – in Appendix 2. In particular, simply imposing arbitrary timeframes and cutting people out of processes will not be an effective way forward.

9. Concluding comments

This report explores 7 resource management topics that represent some of the most significant conceptual shifts away from what we have under

the RMA: system scope; regulatory takings; legislative design; purposes and principles; environmental limits; spatial planning and standardisation. There are many risks under what is being proposed by the government, but also extensive opportunities if the system is designed well. Careful thought is needed.

It is also worth zooming out and considering the process of reform itself. There is a need for change to be based on evidence, not just anecdote or ideology. If the evidence is not yet there, time needs to be taken to obtain and analyse it.

The public needs to be engaged. Resource management legislation is inherently intertwined with the public interest, not just those who hold property rights. An exposure draft of new legislation would be appropriate to allow all New Zealanders to digest what is being proposed, and to allow improvements before introduction to Parliament.

There are also important intersections with other areas of reform that require careful alignment, including local government and related institutional settings (eg the future of the EPA). This points to the need to slow down resource management reform and coordinate it with other proposals to make the whole system work as a whole.

Most importantly, there is a need to build multi-party agreement and societal consensus on the core features of our environmental legislation. If this does not happen, we will continue a cycle of enactment and repeal that will be expensive, uncertain and good for no one.

Endnotes

- 1 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment); P Melville *Blueprint for RM reform - Minority Report* (12 March 2025).
- 2 Cabinet decisions authorise the Minister of Oceans and Fisheries (alongside the Minister for Resource Management Reform) to make decisions 'relating to work on the coastal marine area' in a new system. The Ministry of Primary Industries is involved in working up options for 'greater centralised management' of the coastal marine area.
- 3 The reports can be found at <https://eds.org.nz/our-work/policy/projects/durable-resource-management-reform/>
- 4 The detail of this materiality threshold has been delegated to Ministers.
- 5 It appears that this recommendation applies only to controls on land use under a Planning Act (as opposed to, for example, the taking of water from a river under the Natural Environment Act), although that is not made entirely clear. See *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment). at [89]-[92].
- 6 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [41].
- 7 <https://www.beehive.govt.nz/speech/speech-project-auckland-luncheon>
- 8 *Rj Davidson Family Trust v Marlborough District Council* [2017] NZHC 52.
- 9 On compensation in the context of resource management in New Zealand, see B Barton "The legitimacy of regulation" (2003) 20(3) New Zealand Universities Law Review 364-401.
- 10 Another is to require that regulation be more rigorously justified. This is also proposed by the EAG in the form of regulatory justification reports by councils.
- 11 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024) at 23.
- 12 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024) at 45, citing E Corong and others *Value of irrigation in New Zealand: An economy-wide assessment* (NZIER, 2014).
- 13 <https://environment.govt.nz/assets/Publications/Files/action-for-healthy-waterways-information-on-benefits-and-costs.pdf>
- 14 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 26.
- 15 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 27.
- 16 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at 15.
- 17 The EAG provided more specific proposals in the form of 'goals' for each Act.
- 18 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [24]. See also Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [33].
- 19 Which would have to do two types of planning for quite different purposes.
- 20 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [45].
- 21 Which is to be placed in a separate framework outside the RMA, but not immediately – raising concerns about a lack of protection in the interim period.
- 22 <https://www.beehive.govt.nz/speech/speech-replacing-resource-management-act>
- 23 *Muaūpoko Tribal Authority Incorporated v Minister for Environment* (2022) CA250 at [49], [145]. The *King Salmon* jurisprudence does not change the "deliberate openness" of Part 2 itself.
- 24 The adverse effects of ports do not need to be avoided in all situations. See *Port Otago Limited v Environmental Defence Society* [2023] NZSC 112. This was highlighted by Auckland's East-West Link roading proposal, which infringed the 'avoidance' policies in the NZCPS, but was given the green light nevertheless. See *Royal Forest and Bird Protection Society of New Zealand Incorporated v New Zealand Transport Agency* [2024] NZSC 26.
- 25 National Monitoring System data, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 26 <https://ouraukland.aucklandcouncil.govt.nz/news/2024/03/auckland-upzoning-sparks-more-homes-and-improved-affordability/>
- 27 See <https://www.thepress.co.nz/nz-news/350268801/selwyn-council-spend-5m-hunt-nitrate-free-drinking-water>. High nitrate levels were found in drinking water supplies in several towns including Rolleston and Darfield.
- 28 It took 20 years for national direction to be created for freshwater quality, and even longer for biodiversity protection.
- 29 The problem definition articulated by the Randerson Panel remains fundamentally sound: see Resource Management Review Panel *New Directions for Resource Management in New Zealand* (June 2020), ch 2, Appendix 1.
- 30 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025).
- 31 From [204].
- 32 At [207]. Human health and environmental health are being seen as distinct things. It may be difficult to make a distinction between limits for human health and natural environment, given the dependence of humans on the natural environment for their wellbeing.
- 33 Compare <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 34 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [57].
- 35 For example, minimum acceptable limits (including for indigenous biodiversity) under the NBEA had to be set where the relevant aspect of the environment was "unacceptably degraded". In determining whether that was the case, the Minister had to consider whether current state "increases the risk of indigenous species being displaced or made extinct" (see s 112).
- 36 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025).
- 37 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025).
- 38 Regional councils have some jurisdiction to control the impacts of fishing on marine biodiversity under the RMA, through the creation of marine protected areas. See *Attorney-General v The Trustees of the Motiti Rohe Moana Trust & ors* [2019] NZCA 532.
- 39 Note that water conservation orders cannot be achieved through more general environmental limits for freshwater quality and flows, any more than national parks could be managed under general RMA vegetation clearance rules.
- 40 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024). The report notes that 34.8 percent of catchments have high excess contaminants (nitrogen, sediment, phosphorus) and would need land use change to achieve their environmental bottom lines. Of these, change is urgent in parts of the Manawātū and Whangaehu catchments, parts of Waituna and Otapiri catchments, and the Otapiri catchment.
- 41 Especially in Māngere-Ōtāhuhu, Hibiscus and Bays, and Upper Harbour Local Board areas. See <https://www.nzherald.co.nz/nz/auckland-council-approves-4000-new-homes-on-floodplains-since-2023-storms-huapai-residents-oppose-plans-for-more/P3OIBHM4FFAHGP4QANC6PRHEE/>; <https://www.nzherald.co.nz/nz/auckland-council-has-consented-to-1415-new-house-builds-on-flood-plains-one-year-on-from-auckland-floods/P7RHY7JK5CK5GGIVEZEDHDKA/>
- 42 <https://environment.govt.nz/publications/environment-aotearoa-2022/>
- 43 <https://www.eea.europa.eu/en/analysis/publications/harnessing-offshore-wind-while-preserving-the-seas>
- 44 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [22.4], [47].
- 45 The Infrastructure Commission, similarly, has lamented the plethora of definitions in land use policies: Te Waihanga New Zealand Infrastructure Commission *New Zealand Infrastructure Strategy 2022-2052* (2022) at 87.
- 46 A new regulatory framework for 'maintenance vegetation clearance' (including oversowing and topdressing) has been confirmed in the Basin to prevent land-use intensification and the incremental loss of significant indigenous biodiversity values. See <https://eds.org.nz/resources/documents/media-releases/2025/environment-court-confirms-indigenous-biodiversity-values-in-the-mackenzie-basin-are-deserving-of-bespoke-protection/>

1 Introduction



Dunedin waterfront

1.1 Context

The Environmental Defence Society (EDS) is conducting a project looking at what the core of New Zealand's future resource management system should look like. Currently, at the heart of this system is the Resource Management Act 1991 (RMA), which is the country's primary environmental and planning law. The RMA is responsible for controlling how land is used, as well as managing more direct impacts of activities on the environment (including freshwater, soil, air, the coastal marine environment and biodiversity). It does this through a hierarchy of instruments: from national direction, to regional policy statements, to regional and district plans and finally to resource consents. Its overall purpose is the sustainable management of natural and physical resources.

The RMA has had some successes, but also many problems. Unsurprisingly, the Act has been subject to numerous reforms over its lifetime. But this long history of tinkering via amendment has, over the past few years, given way to serious questions about replacing the Act with something entirely new. The previous Labour government did this, repealing the RMA and replacing it with the Natural and Built Environment Act 2023 (NBEA) and Spatial Planning Act 2023 (SPA).

The current National-led coalition government is having another go at reforming the system. This is occurring in three phases. Phase 1 was repealing the NBEA and SPA and reinstating the RMA.¹ Phase 2 (parts of which are still in train at the time of writing) involves amending the RMA

twice, enacting the Fast Track Approvals Act 2024 to essentially carve out consenting of large scale projects from the RMA (and other legislation), and changing and creating a wide range of national direction made under the RMA.²

Most importantly for the purposes of this report, phase 3 is replacing the RMA entirely (again) with two new statutes. They are to be based on the 'enjoyment of property rights'. Phase 3 has been described by Ministers as "one of the most important reforms this Government will undertake".³ In September 2024, the government set ten high level design principles to guide this reform, and established an Expert Advisory Group (EAG) to develop them further.⁴

The EAG reported back to Ministers in February 2025. Its report – which is being called a 'blueprint' – was publicly released in March 2025, alongside a dissenting report by one of its members.⁵ High-level Cabinet decisions on the EAG's recommendations were released at the same time; however, most detailed policy decisions were delegated to Ministers (and have yet to be made, or at least made public, at the time of writing). Legislation is due for introduction to the House towards the end of 2025, and the intention is for select committee (rather than a discussion document or exposure draft) to be the process by which the public engages.

The following is a summary of the likely key features of the new system, based on Cabinet decisions and EAG recommendations. More detail will be provided throughout this paper where relevant.⁶

1. An overarching principle of respect for property rights.
2. Splitting the RMA into a separate Planning Act (for land use planning) and Natural Environment Act (for natural resource management).
3. A regulatory system which is limited to addressing the economic concept of externalities.
4. Demoting the purpose of new legislation to descriptive status only, meaning it has no substantive impact on decisions on the ground. Legislated goals for 'essential' functions will fill this space, but both statutes will still be enabling of development.
5. Compensation for regulatory takings.
6. A higher threshold for the significance of effects that can be managed.
7. No general Treaty of Waitangi principles clause (instead, there will be a descriptive account of how Treaty obligations are to be upheld by other parts of the legislation).
8. The creation of environmental limits for human health and environmental quality.
9. A more succinct, coherent and comprehensive set of national direction under each Act.
10. More standardisation at a national level, including via a set of standard land-use zones that councils can choose to apply and standards for environmental quality. There would be 'stickier' pathways for environmental controls where councils want to be more stringent.
11. A single spatial plan for a region, and a single regulatory plan (potentially prepared in a similar manner to the Auckland Unitary Plan and comprised of planning chapters for each district and an environment chapter for a region).
12. A national e-planning portal for all plans, and consistency in format.
13. More use of permitted activities (where no consent is required if standards are met) and removal of some activity statuses (controlled and non-complying).

14. Greater use of a variety of allocation methods for common pool resources, to be activated by secondary legislation over time.
15. A new Planning Tribunal to take on a number of potential 'screening' functions (eg the interpretation and striking out of consent conditions and appeal of notification decisions).
16. Potentially greater centralisation of decision-making in the coastal marine area.⁷
17. Potential centralisation of some compliance monitoring and enforcement functions in a new national level entity.

Collectively, these proposals represent fundamental reform both structurally and philosophically. They are about much more than just fixing particular problems. For example, a system with a scope based on addressing externalities (which might leave things like the protection of elite soils entirely to the choices of property owners) will look very different to one based on planning for the public good (in which such protections are seen as a legitimate part of planning controls). The full implications of such general principles have not yet been made clear, but they are significant.

1.2 The project

The purpose of EDS's project is to explore some of the fundamental issues that are being brought to the surface by the proposed phase 3 reforms. These can be reduced to three basic questions: *what*, *why* and *how*.

1. *What* is the system – what should its boundaries/scope be?
2. *Why* do we have that system – what should it be trying to achieve when making decisions?
3. *How* should the system do that – what legislation, tools and processes should it deploy to achieve its aims?

Of course, such questions are relevant to any resource management system. But here we are tailoring them primarily to the context of phase 3 reform. The project is undertaking a first principles look at the proper foundations of any future system, but one that engages with and critiques what is being proposed by the government as the starting point.

The project has produced three reports, of which this is the third. In the first report (published in March 2025), we looked at the context of reform and probed philosophical questions about the nature and role of property rights.⁸ In the second report (published at the same time), we focused on the question of the system's scope/boundaries – the 'what' of a new system.⁹ Now, in this third report, we provide some further thoughts about scope, before exploring six other key design features of a future system.

1. Regulatory takings.
2. Legislative design (especially how the RMA might be split up).
3. Purpose and principles/goals.
4. A framework for environmental limits.
5. A framework for strategic spatial planning.
6. Mechanisms for standardisation and simplification..

For each design feature, we consider what is being proposed by the government, the extent to which change is needed (ie if there is a problem that needs to be fixed), and what elements are needed to make it work.

The report is not comprehensive. It does not interrogate every element of the government's reform package, which is wide ranging and with more detail yet to be made public to support drafting of two large bills. Rather, we drill down on the shifts that potentially create the biggest risks (if done poorly) and opportunities (if done well). We have ordered the six key features above in a way that flows most logically rather than according to their degree of importance.

Complementary measures will also be important in supporting the new system. Some matters, like local government structural reform, are on the government's radar but will likely be considered within longer timeframes.¹⁰

1.3 Some preliminary points

Before diving into the substantive material, we highlight three preliminary points. First, it is not our intention to defend the RMA. The Act has many problems that, in our view, justify something new. Nevertheless, it is necessary in places to question whether particular features of the RMA *are* fundamentally broken or whether they have simply been underutilised or poorly implemented.¹¹ Throughout this paper we identify areas where policy makers could usefully adopt or build upon work that has already been done (including ready-made modules under the NBEA and SPA). Ministers have said they are open to such solutions.¹² Given the very tight reform timeframes, they may be the only realistic ones for some matters.

Secondly, we shine spotlights on relevant international experiences in resource management (including recent law reform), notably from Ireland, the UK, Singapore and Australia. We have integrated these into relevant themes, rather than undertaking stand-alone country by country analyses. Some provide alternative approaches and promising innovations (even if success has yet to be measured). But others offer cautionary tales about what should be avoided or approached with great care.

Finally, we note that phase 3 reform is moving at pace. This makes it difficult to pin down a single 'government proposal' to respond to. Ministers have described the EAG report as a 'broadly workable basis' for reform,¹³ but Cabinet has only made relatively high-level decisions that are "broadly based" on some of its recommendations.¹⁴ The EAG report itself is not comprehensive or detailed in all of its recommendations (for example, when it comes to how the RMA is to be split up), leaving many detailed design questions unanswered.¹⁵ Therefore, along with engaging with the EAG report and Cabinet decisions (and related Ministerial statements), this paper explores more general possibilities for reform that have not been ruled in or out.

With all this in mind, let us revisit some key questions about the scope of a future system.

Endnotes

1 Resource Management (Natural and Built Environment and Spatial Planning Repeal and Interim Fast-track Consenting) Act 2023.

2 See generally <https://www.beehive.govt.nz/release/rma-reform-phase-two-priorities-and-plan>

3 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [89].

4 <https://www.beehive.govt.nz/sites/default/files/2025-03/Factsheet%20--%20Resource%20management%20reform.pdf>

5 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment); P Melville *Blueprint for RM reform - Minority Report* (12 March 2025).

6 Note also that EDS has produced a table summarising the EAG’s key recommendations, Cabinet responses, and commentary on each recommendation’s level of environmental risk. See <https://eds.org.nz/resources/documents/reports/assessment-of-expert-advisory-group-key-points-and-related-cabinet-recommendations-phase-3-rma-reforms/>

7 Cabinet decisions authorise the Minister of Oceans and Fisheries (alongside the Minister for Resource Management Reform) to make decisions ‘relating to work on the coastal marine area’ in a new system. The Ministry of Primary Industries is involved in working up options for ‘greater centralised management’ of the coastal marine area.

8 <https://eds.org.nz/resources/documents/reports/exploring-the-fundamental-questions-for-resource-management-law-reform-in-aotearoa-new-zealand-paper-1-context/>

9 <https://eds.org.nz/resources/documents/reports/exploring-the-fundamental-questions-for-resource-management-law-reform-in-aotearoa-new-zealand-paper-2-the-scope-of-the-system/>

10 For example, recently Ministers have speculated on the future of regional councils, and hinted that their role or existence may be uncertain in light of resource management reforms. See <https://thespinoff.co.nz/the-bulletin/27-06-2025/are-regional-councils-on-the-chopping-block>

11 For example, the RMA already makes some provision for regulatory takings (see Chapter 3), significant normative shifts can be achieved through national direction without changing legislative purpose or principles (see Chapter 5), and there are already ways in which greater standardisation can be achieved (see Chapter 8).

12 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [8].

13 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [6].

14 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [1.2], [46], [115]. Most detailed policy decisions have been delegated to Ministers, and a staggered sequence of such decisions will inform the drafting of legislation that will be brought to Cabinet in September 2025.

15 Compare Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [7]. To muddy the waters further, the Ministry for the Environment provided a regulatory impact statement and supplementary analysis report on the EAG’s recommendations, in which it has reached some quite different conclusions to both the EAG and Cabinet (eg on splitting the RMA).

2 System scope



Tuakau

Soon after the project's second report was published, the EAG's recommendations and related Cabinet decisions were released. There is now more detail available about the future system's likely scope.

There appear to be three ways in which the scope of the system is likely to be curtailed: (1) by focusing only on externalities, (2) by raising the significance threshold of effects that can be considered, and (3) by reducing overlap with other legislation. These raise fundamental philosophical questions about what the system is for.

2.1 A system based on externalities

Cabinet has said that the new system will be based only on externalities, meaning a cost or benefit resulting from one party's activities that falls on an uninvolved third party. The basic idea is that council controls going beyond management of externalities could be struck down (potentially by a new Planning Tribunal) and that "effects (relating to land use) borne solely by the party undertaking the activity would not be controlled".¹ According to the EAG, such effects would include:²

matters associated with interior building layout or exterior aspects of buildings that have no impact on neighbouring properties (such as the size and configuration of apartments, the provision of balconies, and the configuration of outdoor open spaces for a private dwelling).

There are two issues at play here that should not be conflated. The first is about activities that have no or very little effect *at all* (see the following section). It is for this reason that the examples given by the EAG above all sound reasonable to exclude. But the second issue is quite different: how should the system deal with activities that have effects, just not *on third parties* like neighbours or on 'common pool' resources like rivers or air?

These might not be *externalities*, but they still justify regulatory intervention if they are *significant enough*. They include effects on privately-owned land itself, in which there is a public and intergenerational interest, not just value to a current landowner or occupier. As explored in the project's second report, examples of legitimate effects that go beyond the concept of externalities include:

1. Contamination of land.
2. Destruction or removal of elite soils.
3. Clearance of indigenous vegetation.
4. Poor urban design.
5. Resilience to climate change.

6. Restoring degraded environments (eg through net biodiversity gain).
7. Optimisation of land use (eg ensuring there is sufficient industrial land).
8. Enhancing access to rivers, lakes and the coastal marine area (eg by requiring provision of esplanade strips and reserves in the event of subdivision).

A spotlight on the protection of elite soils around Auckland

What might an externality-focused system look like in New Zealand? Picture South Auckland, particularly the Pukekohe area, which is a major hub for vegetable production generating \$327 million a year. This comprises 26 percent of the country's total vegetable production.³ Fertile volcanic soils are a major factor in this high production. This land is almost entirely in private ownership.

Population growth in Auckland has resulted in considerable pressure to pave over elite soils. This means that owners of vegetable producing land can readily sell to urban developers, and make large profits, thereby funding their retirement. Arguably this is a significant failure of the market, because the country only has a limited amount of high-class soils suitable for vegetable growing. Intergenerational impacts on food security and supply (and associated environmental footprints like increased food miles) are not factored into present day market prices. Deloitte estimated in 2018 that fruit and vegetable prices could rise by up to 58 percent across the country by 2043 if fertile land at Pukekohe was developed.⁴

The RMA recognises the need to consider the finite characteristics of resources and the importance of maintaining soil health, leading to national direction protecting elite soils under the National Policy Statement (NPS) for Highly Productive Land. However, these controls do not address 'externalities' in the strict sense of the word. This is because the use to which such land is put (vegetable growing or housing) arguably does not have direct impacts on neighbours or others beyond property boundaries.

Here, risks would arise even if property owners were made to internalise the full costs of development within a project's footprint (eg by requiring them to fund infrastructure like pipes and roads). Ireland offers a cautionary tale, while Singapore is a model to emulate. But first, consider Auckland.

A spotlight on urban form in Auckland



Figure 2.1: Auckland's rural-urban boundary⁵

Auckland currently has a rural-urban boundary (RUB) set in its Unitary Plan. It provides for significant future development capacity within it, but creates a barrier to further urban sprawl. The RUB defines the extent of urban development to 2041 and areas to be kept rural. The

A system based only on managing externalities would generate poor outcomes on a whole range of fronts, not just food production. Let us explore another example: where unconstrained urban growth (sprawl) is allowed to occur and the market is left to design development.

government intends the new system to facilitate housing growth, and make it easier for councils to zone land for development, including removing the ability of councils to set 'hard' urban limits like the RUB.⁶ Arguably urban limits are not consistent with the idea of a system based only on externalities.

Part of the purpose of the RUB is to ensure that Council and its infrastructure providers (eg Watercare) are not burdened with the up-front costs of servicing new housing and businesses with things like potable water, waste collection and transportation routes in multiple dispersed locations all at once, or in an inefficient way. To this extent, the RUB *is* about managing externalities (costs) on infrastructure providers. At Warkworth, for example, poorly planned and sequenced development has led to significant issues, including a need for sewage to be trucked away as an interim measure because wastewater infrastructure has not been provided in a timely way.⁷ This has created costs and complexity for Watercare, and delayed development.⁸

But consider the case of a housing developer, operating outside of the RUB, who is willing to provide and pay for all relevant infrastructure within the project's footprint (along with any upgrades required to trunk infrastructure). The government has said that such developments should be able to proceed. Policy makers need to ask: what benefits does the urban boundary have beyond just the fiscal implications for councils? And what outcomes might we expect if the boundary were removed to allow for such developments? Urban sprawl has many costs that are hard to account for on a project by project basis (eg impacts on people's quality of life from long commuting, the inefficient use of land when viewed from a long term perspective, and effects on rural landscapes). For such reasons, one of the three pillars of planned growth in Auckland is quality compact urban form, a concern that is mirrored widely in other countries.

Moreover, is it even possible for private developers to internalise all the externalities of dispersed development? For example, it will still be the Council which will inherit the responsibility of maintaining roads, streetlights, public transport and refuse collection.



Pōkeno

A spotlight on urban development in Ireland

In the late 2010s, Ireland had big problems with market-led urban development. Many developers collapsed in the wake of the global financial crisis, leaving behind inefficient and incomplete dispersed developments, cities that could not accommodate population influx, and an urban form that did not work well for society. The crisis exposed the issue of “ghost estates,” or unfinished housing developments scattered across the countryside which were largely the result of over-ambitious and unfettered private sector development. It highlighted the need for more sustainable and balanced growth patterns, with the government admitting:⁹

We have made mistakes in the past and we have allowed the country to sprawl and develop without a coherent plan, and to the detriment of many of our places and our people.... [which] works against the creation of attractive, liveable, high quality urban places in which people are increasingly wishing to live, work and invest.

The importance of planning was learnt the hard way. The Irish system, through its National Planning Framework, now consciously seeks to shape population distribution across the country. This is both to reduce pressures on urban areas like Dublin and to create compact and efficient development patterns that work for society as a whole – even if they conflict with some longstanding cultural assumptions about the desirability of dispersed, standalone housing.¹⁰ The

Planning Framework is quite explicit in its aims: balanced distribution of population growth across regions, three quarters of growth outside Dublin, and 40 percent via greater density (infill and brownfields regeneration).¹¹ Its rationale is not just about the efficient deployment of infrastructure, but also the need to drive equitable social outcomes across the country and improve the environment. This has proved hard to achieve in practice (partly because infrastructure investment needs to follow demand in places like Dublin, rather than just trying to create demand elsewhere)¹² but the policy intent is clear.

Region	2026 NPF Targeted Population Growth	2031 NPF Targeted Population Growth	2040 NPF Targeted Population Growth
Eastern and Midland	240,000 - 265,000	335,000 - 375,000	490,000 - 540,000
Northern and Western	65,000 - 75,000	100,000 - 110,000	160,000 - 180,000
Southern	155,000 - 170,000	220,000 - 245,000	340,000 - 380,000
State Total Growth	460,000 - 510,000	655,000 - 730,000	990,000 - 1,100,000
State Total Population	5,220,000 - 5,275,000	5,415,000 - 5,490,000	5,750,000 - 5,860,000

Figure 2.2: Ireland’s strategic targets for population distribution in its National Planning Framework¹³



Dublin, Ireland

Houses are not just seen as a market commodity, but also as an intergenerational public good, to be optimised for the wellbeing of communities. As such, plans often require the provision of affordable and social housing, the constitutionality of which has been confirmed in the courts.¹⁴ For example, the Dublin Docklands development has required 20 percent of houses to be affordable and social housing units.¹⁵ Plans also strongly embrace design considerations because “speculative investors don’t care about quality”.¹⁶ A mix of typologies is generally planned for, including requiring house sizes or bedroom numbers that the market might not otherwise provide (eg one bedroom flats as well as the more profitable four bedrooms).¹⁷ Ireland’s legislation also provides for a highly detailed ‘plan led’ approach to ‘urban development zones’ where land has significant public interest (including for social and environmental reasons),¹⁸ rather than leaving this entirely to the private sector. The system seeks to provide places that are healthy, diverse, inclusive, safe and accessible – and not just housing at all costs.¹⁹

A spotlight on urban development in Singapore

A similar ethos exists in Singapore, but in this tiny island nation the focus on the public interest in urban planning is turbo-charged. The government is particularly focused on future housing and the broader urban fabric for an ageing population.²⁰ For example, ground floor units are being optimised for the elderly, and health authorities are collaborating on urban design to incorporate mechanisms for reducing dementia (through provision of communal space and connection to nature), thereby reducing the burden on the public health system.²¹ All this lies well beyond the idea of externalities and market led growth proposed for New Zealand.

Detailed urban design is also a big focus of the planning system in Singapore, for many reasons. One is that developments need to be designed for resilience, including to minimise temperatures in a warming climate (which has potentially severe health effects), and reduce electricity consumption given the country’s inherent energy constraints. The Urban Redevelopment Authority, the country’s primary planning authority, is heavily engaged in matters such as building orientation, materials, colours and variable heights to encourage natural cooling.²²

Most countries also now recognise that the natural world is degraded and requires improvement. Just mitigating future externalities is not

going to be enough. In Singapore, the government carefully manages new residential development to optimise its public benefits, not just reducing its adverse effects. The natural environment is a big part of that equation, and the country has had considerable success in some areas. For example, despite its exceedingly dense urban environment, Singapore has increased its green cover to 47 percent of its land area, including 130 hectares of rooftop gardens.²³ This contrasts to some neighbourhoods in Auckland, where urban canopy cover is declining.²⁴ In interviews we heard that such controls are well accepted by Singaporean developers for the good of society (the public good has been ‘internalised’ in their thinking) even though they can impose additional costs. This shows that ‘overreach’ is in the eye of the beholder, and is certainly not coterminous with ‘externalities’. It is also notable that the UK’s planning system aims to improve environmental outcomes by requiring (as of February 2024) a 10 percent net biodiversity gain for both major and minor projects. We look at this in more detail when we consider environmental limits in Chapter 6.

So what does this mean for reform in New Zealand? It is interesting to note that, despite accepting system boundaries based on externalities in principle, in practice the EAG’s report recommended that a future system control many other matters.²⁵ These include environmental improvement (eg net biodiversity gain), protection of highly productive land, well-functioning urban and rural areas (which was said to potentially encompass many different things), resilience to natural hazards, pressure on publicly funded infrastructure (and council balance sheets), and the protection of significant natural areas (SNAs) and outstanding natural features and landscapes (ONFLs).

This inconsistency was pointed out by the EAG minority report, which supported a much stricter approach to externalities.²⁶ This further illustrates the earlier point – that the constraints on scope recommended by the EAG (eg the internal layout of buildings, balconies etc) are not *really* about whether something is an externality or not. They are more about whether effects are very small, or fall into categories that do not have a legitimate public interest purpose.²⁷

Key point

- Although externalities are one important rationale for a resource management system, they should not be treated as its only rationale.

2.2 Raising the threshold of material effects

Let us turn now to the second issue of system scope. Even if an effect is an externality (ie it impacts a third party without their consent), Cabinet has decided that new legislation will raise the threshold for “the level of adverse effects on people and the environment that can be considered in setting rules and determining who may be affected by a resource consent”.²⁸ In other words, authorities will need to ignore some effects if they are not important enough to matter. Ministers have not yet determined what that specific threshold might be. But there are two quite different kinds of ‘materiality threshold’ that should be distinguished: where controlling an effect has an illegitimate purpose, and where an effect is so small that it can be ignored.

2.2.1 Illegitimate purpose

First, we can consider situations where the purpose of controlling an effect is not legitimate at all. Here, it is the *type* of effect that does not meet a materiality threshold, *irrespective of its magnitude*. Some categories, like purely subjective effects (someone not liking the colour of a neighbour’s house or the internal design of a dwelling), the financial viability of a project, or effects on a trade competitor’s profitability are not generally valid, no matter how significant they might be. On the face of it, they can be legitimately excluded, even if they are externalities.

However, as discussed in the project’s second report, such exclusions should be approached with great care, as sometimes there *are* good reasons for controls that may not be immediately apparent. For example, urban design considerations like the orientation of a large-scale residential development can have broader effects, like implications for energy efficiency, the quality of life of residents, and connections with public space and infrastructure. These are valid considerations and should not as an entire category be rejected as illegitimate.²⁹

Similarly, Ministers have proposed to remove minimum apartment sizes from the scope of the system.³⁰ Yet this has important effects too. Consider a recent report by Auckland Council which showed that, even under the existing RMA, over half of the 110 consented plans analysed had floor areas smaller than best-practice guidelines and were therefore not fit for purpose for many urban dwellers.³¹ This is bound to be exacerbated if developers can make houses even smaller with no planning oversight. Similar deregulation in the 1990s resulted in the provision of some apartments that were just 12 square metres in size.³²

The design of dense urban developments is also crucial, because effects are baked into the urban fabric for a long time. The Council report mentioned above found that market-led medium density housing is

already suffering from privacy, temperature and storage issues.³³ Keep in mind it is often not developers themselves who suffer from such effects. Rather, it is the future residents (purchasers and tenants) to whom the planning system owes a duty of care.

‘Visual amenity’ and ‘landscape’ are particularly broad types of effect the EAG recommends excluding entirely. As explored in the project’s second report, these need to be approached with far more nuance. For example, how might rural Queenstown Lakes District look in the future if controls to protect rural amenity landscapes (covering almost the entire district) from inappropriate development (eg large scale planting of commercial pine trees) were no longer within the scope of the system?³⁴

Key point

- A future system should take great care in excluding categories of effect from consideration or control. Urban design, landscape and visual amenity need to be retained within scope.

2.2.2 Magnitude

A second type of effects threshold is where effects are legitimate in principle, but where their magnitude is low enough to make them not worth managing.³⁵ For example, earthworks can cause sedimentation risks, but this does not mean the RMA has jurisdiction to control someone digging with a trowel in their garden.³⁶ A common sense cutoff point is needed. Some possible candidates, which are already referred to under the RMA in various places,³⁷ are shown in Figure 2.3 below.

Currently, case law states that *de minimis* effects can be ignored (all those to the left of line A below).³⁸ Essentially, these are effects that are ‘negligible’ or ‘trivial’. The EAG recommended that this threshold be raised when it comes to plan making, to also exclude ‘less than minor’ effects (everything to the left of line B), except where necessary to manage ‘significant’ cumulative impacts.³⁹

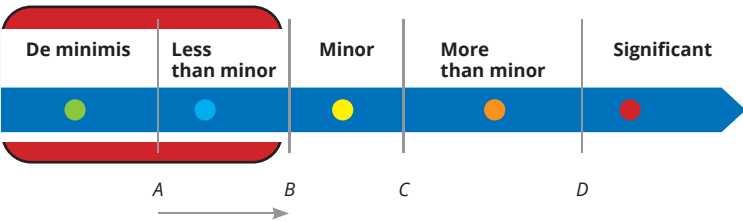


Figure 2.3: Some possible thresholds of significance below which effects could be required to be disregarded/not managed, and the EAG’s proposed shift from *de minimis* to less than minor

What would this shift mean on the ground? The answer is not clear. ‘Less than minor’ is not defined under the RMA. Some councils and professional organisations have sought to define the term (eg impacts that are “discernible day-to-day effects” but too small to affect other persons), but these are guides only.⁴⁰ The EAG did not give specific examples of less than minor effects and how they would differ from those that are regarded as *de minimis*.

Our own investigations have also found little to illuminate what this might mean in practice across the whole system. Most commentary on the term ‘less than minor’ focuses on the very different context of whether affected persons should be notified, not whether such effects are legitimate to manage in plans and consents. The courts have also not had to provide a precise definition of ‘less than minor’, preferring instead to give a range of labels to various effects in the specific statutory and planning contexts in which they arise.⁴¹ And it is uncommon for plans to use the term ‘less than minor’ as something distinct from the terms *de minimis* or minor.⁴² It is much more common for plans to make a substantive distinction between ‘minor’ and ‘more than minor’, because these types of effect are often trigger points for managing activities in different ways (see further below).⁴³

All this is to say that if the EAG model is to be pursued, a more in-depth piece of work should be undertaken to understand how raising the effects threshold in this way would affect outcomes on the ground. This would require a clearer proposed definition of the term ‘less than minor’ than is currently available.

Key points	• The EAG has proposed to exclude ‘less than minor’ effects from substantive consideration/ management under a new system. It is not clear what difference this would make, relative to the current <i>de minimis</i> threshold in the RMA. Most commentary on the term ‘less than minor’ focuses on the very different context of whether affected persons should be notified, not whether such effects are legitimate to manage in plans and consents. • More in-depth analysis is required to understand what would change on the ground as a result of increasing the threshold in this way.
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If the EAG’s proposal is progressed in new legislation, the term ‘less than minor’ will need to be well defined and cumulative effects will need to be robustly accounted for. Only in tightly defined circumstances will a higher effects threshold not raise concerns. For example, the EAG rightly observes that many examples of overreach relate to detailed land-use controls in urban areas, notably impacts on neighbours from things like decks and house extensions.⁴⁴ Excluding less than minor effects from the scope of a Planning Act might prevent councils taking into account these kinds of very small-scale effects in urban environments that are, by definition, dynamic environments involving a degree of give and take. Indeed, they are the kinds of effects that the RMA’s provisions on “marginal or temporary non-compliance” are already intended to address. Here, activities can be deemed to be permitted (ie consent is not required) where effects on neighbours are less than minor.⁴⁵ This suggests that a new Planning Act, depending on its scope, may be an appropriate place for effects thresholds to be raised in this very targeted way.⁴⁶

That said, the system would have to be very careful not to simply shift urban friction arguments into the realm of private litigation. For example, in London, the planning system failed to address the privacy impacts of an extension to the Tate Gallery that overlooked people’s bedrooms in a nearby flat. It led to successful nuisance action that went all the way to the Supreme Court and resulted in significant time and cost.⁴⁷ This is why in Ireland, ‘exempted developments’ (essentially, where effects can be disregarded) cannot include those creating a nuisance. Similar caveats should be included in the definition of a ‘less than minor’ effect in a Planning Act.

Key points	• Many allegations of overreach arise in the urban context, relating to friction between neighbours. • A Planning Act could have a higher threshold (excluding less than minor effects) for such situations, where the public interest is not at stake and there is not the risk of cumulative impacts.
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Beyond the context of urban friction effects, we wish to flag two significant concerns with the EAG’s proposal, especially when it comes to effects on ‘common pool’ resources like water and air managed under a Natural Environment Act. First, if ‘less than minor’ effects give rise to cumulative effects on the natural environment, these should be able to be managed in plans even if cumulative effects are less than ‘significant’. The term ‘significant’ is a very high threshold⁴⁸ and would exclude consideration of cumulative effects that do not meet it (eg those that are ‘more than minor’).⁴⁹ More than minor effects are well worth managing through plans.

Indeed, this will become even more important in a system that is likely to have far fewer consents.

Secondly, the EAG recognises the importance of managing significant cumulative effects when making plans, but makes no mention of any cumulative impacts when it comes to consenting decisions.⁵⁰ It would be crucial for consent authorities to be able to take into account cumulative effects even where the individual impacts of a consent application are, when viewed in isolation, less than minor. A failure to do so is how many issues have arisen under the RMA (see the spotlight below).

A spotlight on cumulative effects under the RMA

The cumulative impacts of individual projects have often been given low weight under the RMA, both when allowing extensive permitted activities in plans (eg for diffuse discharges from agricultural land use) and when deciding consent applications (eg housing developments adding small numbers of additional vehicle movements).

Some effects have also been disregarded entirely where they are permitted in plans (the so-called permitted baseline).⁵¹ This baseline raises the threshold not just for permitted activities themselves, but also when the effects of *other* activities are measured relative to them. For example, providing for one activity as permitted, such as erection of farm buildings, can be used to justify other similar activities such as urban development, because the effects of each would be the same when looked at in isolation. It is hard to say yes to one and no to the other.

In practice, a lack of focus on cumulative effects has led to poor outcomes. This is demonstrated in the gradual nitrification of surface and groundwater in the Canterbury Plains as a result of an intensification of dairying. This issue was spotlighted with respect to the Ashburton Lakes which are particularly vulnerable to land use intensification.⁵² We have seen it in the continuation of piecemeal urban development in Auckland’s flood plains, increasing hazard risks to homes and businesses.⁵³ We have seen it in the weak standards applying to forestry harvesting, leading to (among other issues) cumulative pollution from sedimentation.⁵⁴ And we have seen it in the gradual paving over of productive soils in Pukekohe, reducing capacity for vegetable growing and food security.⁵⁵

So, although the RMA does not *require* that small-scale effects (above *de minimis*) be disregarded, in practice this is what many decisions have actually done. This gives an insight into the state of affairs a new system might perpetuate (or exacerbate) if a higher threshold is enshrined in legislation without adequate recognition of cumulative effects.

Key points

- It will be crucial that all cumulative effects on the environment are able to be considered in plans (not just ‘significant’ impacts), even if the effects of an individual activity are held to be less than minor.
- It will also be vital that cumulative effects on the environment can be considered in consenting decisions.

Cabinet has left open the possibility of a shift to a much higher effects threshold than that proposed by the EAG.⁵⁶ Ministers have, for example, talked about a “radically more enabling system”.⁵⁷ This might, in principle, exclude management of not just ‘less than minor’ effects, but also of minor or more than minor impacts when deciding plans and imposing conditions on consents (see Figure 2.4 below).⁵⁸

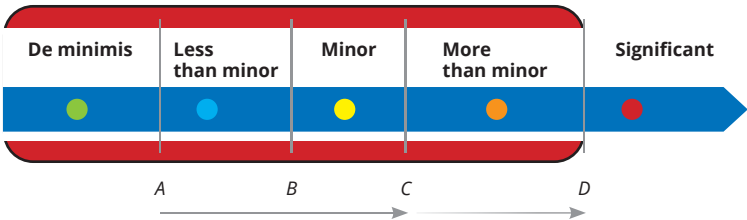


Figure 2.4: Possible shifts of the effects threshold left open by Cabinet decisions (eg to exclude minor or more than minor effects)



Akaroa

Such an approach would raise the same concerns about cumulative effects outlined above. But it would also exclude many more kinds of effects from the jurisdiction of decision-makers and therefore be much riskier for the environment. As one interviewee noted, it would also be “completely at odds” with the idea of precaution, something that was highlighted by the EAG as an important feature of new legislation.⁵⁹

A spotlight on minor and more than minor effects

What would be excluded by a system that disallows consideration of ‘minor’ or ‘more than minor’ effects? The term ‘minor’ is not defined in the RMA itself, but the courts and councils have provided general guidance as to what it means. In *Bethwaite v Christchurch City Council*, the Planning Tribunal defined minor as:⁶⁰

a comparative word meaning lesser or comparatively small in size or importance. Minor is less than major but could be more than simply minute or slight.

In *King v Auckland City Council*, the Court stated that a minor effect will be “at the lower end of a scale including major, moderate and minor effects but must be something more than minimis”.⁶¹ In *Trilane Industries Ltd v Queenstown Lakes District Council*, the Court noted that whether an effect is “minor” or “more than minor” is a matter of fact and degree to be informed by context.⁶² Similar conclusions have been reached in the Aotearoa New Zealand Landscape Assessment Guidelines.⁶³ Various regional councils (eg Taranaki and Otago) provide a description of the level of effects along a continuum to ensure that each has been considered consistently and, in turn, cumulatively.⁶⁴ For example, minor effects are those that are noticeable but will not cause any significant impacts.

These comments are not particularly helpful in painting a tangible picture of how a new system might be different to the current one. Some have even said that arbitrary and flexible labels like ‘minor’ are “often overused”⁶⁵ when dealing in “degrees of smallness”.⁶⁶ However, when we look more closely at RMA plans, distinctions in terminology matter quite a lot. In other words, excluding ‘minor’ effects would have real consequences for what plans and consents do. For example, many regional plans deliberately differentiate between more than minor effects and effects more generally.⁶⁷ This distinction can be made for two different reasons, and both are important.

First, more than minor effects are sometimes managed *more* strictly than minor effects, but it by no means follows that minor effects can be *ignored*. For example, the Canterbury Land and Water Plan requires consideration of:⁶⁸

the extent to which [a] discharge would avoid contamination that will have an adverse effect on the life-supporting capacity of fresh water.

This is distinguished from a similar policy applying to “more than minor” effects on freshwater.⁶⁹ The difference is, essentially, that a stronger evidential foundation is needed where there are more than minor effects.⁷⁰

Similarly, one can look at the NPS for Indigenous Biodiversity, where there are stricter information requirements, and expert assessment, for proposals having more than minor effects.⁷¹ Again, this does not prevent councils from controlling minor effects. In fact, it is extremely common for minor effects to be managed in *some* way in both regional and district plans. These include things like the short-term noise and dust from minor building works or landscaping activities; small-scale shading impacts; and modest increases in traffic.

This does not mean that minor or more than minor effects always need to be *avoided* or even *controlled*. Some might even be permitted activities in plans (where consent is not required), or subject to policies giving them little relative weight. But they should not be artificially excluded from consideration altogether.

A spotlight on the Heretaunga Plains

Distinctions in plans shape outcomes on the ground. In one 2009 case, for example, the High Court found that a subdivision on the Heretaunga plains in Hastings, which had been refused consent by the Environment Court, would have had ‘no more than minor’ adverse effects on productive land. However, it was still found to be against the clear objective of the district plan, which sought to protect a finite soil resource from cumulative effects for the benefit of future generations.⁷² The Court noted that it is important:⁷³

to consider those actual and potential effects, not more than minor as they may be, in the overall context of the Plan, and also under s 104(1)(c) to consider any other matter the consent authority considers relevant and reasonably necessary to determine the application...

An approach which carries a determination that the adverse effects ... are no more than minor, through to an entitlement to a resource consent, is too narrow.

The integrity and purpose of the District Plan was important, not just an arbitrary significance threshold for the individual activity in question. Excluding minor effects from a future system may call into question protections like this.

Key points

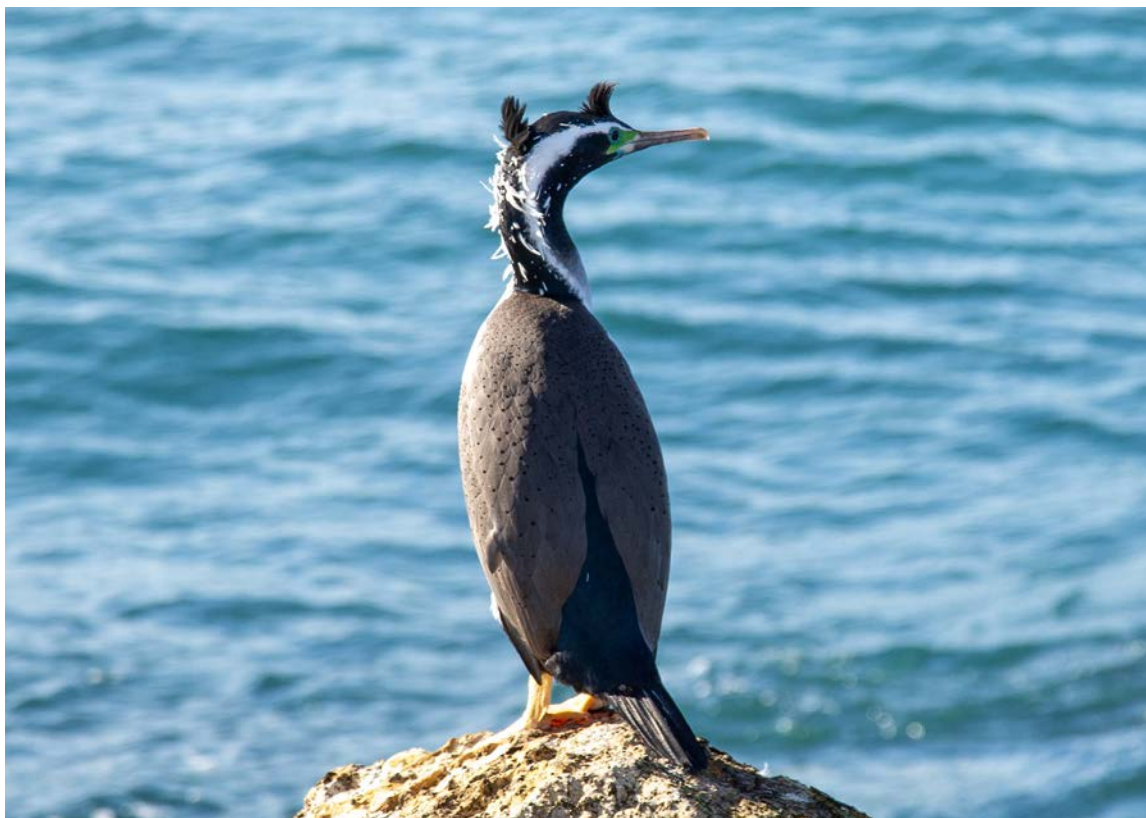
- Planning instruments under the RMA often deliberately distinguish between minor and more than minor effects. Sometimes this is to ensure that more than minor effects are managed more strictly than other effects.
- Excluding minor effects from the system would remove many legitimate controls.

Secondly, some effects are to be strictly prevented even if they *are* minor. For example, under the Northland Regional Plan, there is no reference to a 'more than minor' threshold when the plan requires activities not to "compromise the structural integrity or use of any other authorised structure" or "dam or divert water in a way that causes flooding or ponding on any other property".⁷⁴ This contrasts with policies in the Plan concerned with activities causing "*more than minor* bed or bank erosion, scouring or undercutting". The distinction is deliberate.

This is highly relevant to environmental limits (see Chapter 6). As an environment (eg a lake) gets nearer to a firm limit (eg for nitrogen), there comes a point where even the smallest additional pressure will tip it over the edge.⁷⁵ Some plans try to recognise this, and have talked in relatively absolute terms about things like "prevention of stock access where water quality is degraded",⁷⁶ "no greater risk to human life, infrastructure or property"⁷⁷ or that "the creation of contaminated sites is prevented".⁷⁸ 'No further loss of wetlands' is another example. None of these provisions are linked to thresholds where effects are 'more than minor', for very good reason. If a future system did not allow consideration of minor effects

when making plans (including prohibited activities, which the government intends to be used only 'sparingly'), the concept of a limit could be completely undermined.

Such distinctions flow through to consenting decisions and outcomes on the ground. In 2017, for example, the High Court considered an appeal on a resource consent to establish a 38th mussel farm in Beatrix Bay in the Pelorus Sound.⁷⁹ The Environment Court had previously determined that the adverse effects on King Shag habitat caused by the application would only be 'minor'. However, it found that cumulative adverse effects would be serious (including the non-remote possibility of extinction). The High Court upheld the decision.



Shag, Aramoana

A spotlight on Ireland

Environmental limits are not just about freshwater or pollution. Most 'wicked' environmental problems, including those associated with sustaining indigenous biodiversity, involve managing serious environmental risks that arise from the cumulative impacts of individual small-scale effects.

For example, one might think that trimming a hedge has negligible effects. However, in Ireland, trimming or burning "vegetation growing in any hedge or ditch" between 1 March and 31 August is strictly prohibited and enforced (with some exceptions for small scale domestic gardening).⁸⁰ This is to prevent further decline of bird populations in the nesting season (and other species), and to maintain wildlife corridors in a forest-depleted landscape. There is no ability to strike out controls on the basis that effects on birds would be 'minor' (eg by just destroying one or two nests). Such controls reflect the 'biodiversity emergency' announced by the Irish government in May 2019.⁸¹

New Zealand's context is different; biodiversity is not reliant on hedgerows as it is in Ireland, but it is reliant on remnant habitat on private land. The principle is the same: raising significance thresholds would mean death by a thousand cuts and render the concept of a limit ineffective. That is especially the case where limits have *already* been overshot. We look at a broader framework for limits in Chapter 6, but the fundamental point here is that the controls needed to defend them must be within the scope of the system in the first place.

Key points

- In some cases, RMA instruments seek to ensure that all effects, whether minor or not, are strictly prevented. There are usually very good reasons for this.
- It will be particularly important to be able to consider all effects in a future system (including minor effects) if it contains environmental limits, because even individually minor impacts can tip an environment over biophysical thresholds. This will be important both for consenting decisions and for planning (including when deciding whether to impose prohibited activity status).

2.3 Concluding comments

The scope of a future system is an extremely important design feature, in two senses. Most fundamentally, a system based only on externalities, as suggested by Ministers, will be unworkable and is inconsistent with what the EAG has actually proposed. It is also light years away from what other developed and economically successful jurisdictions are doing to address the environmental and social challenges that modern societies face.

Remember that the law does not always have to reach for an economic rationale to justify controls, because "market ordering is not the be-all and end-all of our social arrangements".⁸²

Secondly, there are considerable risks in raising materiality thresholds and excluding the ability of decision-makers like councils to consider certain kinds or levels of effect. The RMA has, since its inception, been poor at addressing cumulative effects, precisely because small-scale impacts have been given too little weight or ignored entirely. If not targeted at very specific urban friction issues between neighbours, increasing thresholds will make cumulative impacts worse, and be an ill fit with a system seeking strict environmental limits.



Townhouses, Dunedin



Sunrise Slope Hill, Queenstown (Bernard Spragg)

Endnotes

- 1 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [39].
- 2 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment). Also mentioned are the colour and style of a neighbour's house.
- 3 <https://www.rnz.co.nz/news/national/468174/auckland-market-gardeners-say-growers-being-squeezed-by-urban-sprawl>
- 4 <https://environment.govt.nz/news/new-report-highlights-importance-of-natural-assets-and-infrastructure/>
- 5 <https://data-aucklandcouncil.opendata.arcgis.com/datasets/aucklandcouncil::rural-urban-boundary/explore>
- 6 See <https://www.hud.govt.nz/assets/Uploads/Documents/Going-for-Housing-Growth/Discussion-document/GfHG-Phase-3-discussion-document.pdf>
- 7 See generally <https://www.nzherald.co.nz/nz/three-more-auckland-housing-developments-to-have-sewage-trucked-away-and-then-thats-it-says-watercare/7QCR4MPUXNBXRDF4J2SBCAMWQM/>; <https://www.1news.co.nz/2024/07/13/fears-warkworths-wastewater-woes-could-kill-growing-town/>
- 8 In August 2024, Watercare said that “we have no plans to approve any new resource consents that require an interim wastewater solution”: see <https://www.nzherald.co.nz/nz/three-more-auckland-housing-developments-to-have-sewage-trucked-away-and-then-thats-it-says-watercare/7QCR4MPUXNBXRDF4J2SBCAMWQM/>
- 9 <https://assets.gov.ie/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf>, at 5, 28.
- 10 <https://assets.gov.ie/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf> at 14. See also *Southern Regional Spatial and Economic Strategy* at <https://southernassembly.ie/rses/>. This remains a challenge, because Ireland has an unusually high proportion of one-off housing in the countryside – about 25 percent of all homes (more than 400,000 in total). This creates inefficient infrastructure delivery and carbon emissions through long commutes. See www.independent.ie/irish-news/planning-regulator-urges-tough-stance-on-one-off-homes-and-urban-sprawl/a1161839162.html
- 11 <https://assets.gov.ie/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf> at 11.
- 12 Dublin projected population growth between 2016 and 2023 was 97,000, whereas actual growth was 162,000. The spinoff of investment in infrastructure (eg rapid transit) is more economic activity, which breeds more population growth, which requires more investment.
- 13 <https://assets.gov.ie/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf> at 132.
- 14 Mandated by the Planning and Development (Amendment) (20 per cent Provision of Social and Affordable Housing) Act 2021.
- 15 <https://www.docklands.ie/planning/planning-history/about-docklands/dublin-docklands-development-authority>
- 16 Interview with UK legal academic, March 2025.
- 17 For example, in the Waterford Development Plan. For private housing schemes, the plan recommends a mix of at least 30 percent two-bedroom houses and 30 percent three-bedroom houses, with a maximum of 20 percent four-bedroom houses.
- 18 Planning and Development Act 2024 (Ireland), s 601.
- 19 <https://assets.gov.ie/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf>
- 20 Singapore is approaching a “super-aged” society, with a projected 24 percent of the population being 65 or older by 2030. See <https://www.hdb.gov.sg/about-us/news-and-publications/publications/hdbspeaks/housing-benefits-for-our-seniors>
- 21 <https://www.nparks.gov.sg/news/news-detail/nparks-introduces-new-parks-for-health-framework-aimed-at-leveraging-existing-parks-and-therapeutic-landscapes-to-boost-community-well-being>
- 22 https://www.ura.gov.sg/-/media/Corporate/Planning/LTPR21/LTPR_publication.pdf at 145.
- 23 <https://www.ura.gov.sg/Corporate/Media-Room/Media-Releases/pr17-77>
- 24 <https://www.knowledgeauckland.org.nz/media/2066/tr2020-009-2-aucklands-urban-forest-canopy-cover-2013-2016-2018-revised-april-2021.pdf>
- 25 See *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at 23, [87], [263], [499].
- 26 P Melville *Blueprint for RM reform - Minority Report* (12 March 2025).
- 27 For example, see *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [85].
- 28 The detail of this materiality threshold has been delegated to Ministers.
- 29 Financial viability is sometimes important, for example when an activity is allowed to have environmental impacts on the understanding that it will deliver important public benefits (eg see the case of Ireland above). For example, in Waikato, the Ohaaki power station anticipated 116 MW of generation capacity, but technical issues have meant that capacity is now only around 24 MW.
- 30 <https://theconversation.com/size-matters-why-nzs-new-housing-rules-risk-cheap-builds-and-shoebox-apartments-234162>
- 31 62 percent of new dwellings consented in Auckland in 2023 were townhouses, flats and units.
- 32 <https://www.nzherald.co.nz/nz/panel-paves-way-for-shoebox-living/MANGYQ3JSEVQG4TIKVQDJWTEIQ/>
- 33 <https://knowledgeauckland.org.nz/publications/life-in-medium-density-housing-in-tamaki-makaurau-auckland-summary/>
- 34 Rural character landscapes identified in the Queenstown Lakes District Plan aim to protect general rural landscape character and visual amenity. These can be physical things (like mountains or rivers), things that are experienced (like views, or how wild and remote a place looks) and those things that make a landscape meaningful (like mana whenua associations and traditions, historic elements and recreational features).
- 35 The threshold where effects should be excluded from consideration *entirely* needs to be clearly distinguished from the outcome where adverse and positive effects of activities are weighed up. For example, the EAG briefly discussed the protection of highly productive land in its section on system scope, concluding that class 3 land should no longer be safeguarded from urban development. That is not because such effects would fail to meet a materiality threshold in new legislation, but rather because these relevant effects (positive and negative) would need to be weighed *within* the system, according to its purpose/principles.
- 36 Land use is presumed to be allowed unless restricted, so this would require a specific authorisation.
- 37 For example, ‘less than minor’ is referred to as a test to determine when an affected person needs to be notified of a consent application. A ‘significant’ effect appears, for example, in the direction that national direction cannot provide for permitted activities where effects on the environment would be significant.
- 38 *De minimis* refers to the latin phrase *de minimis non cura lex* and encapsulates the principle that law is not concerned with trifling matters or matters of negligible significance. See J Massen “How minor is “minor”?” (Policy Quarterly, December 2003).
- 39 It appears that this recommendation applies only to controls on land use under a Planning Act (as opposed to, for example, the taking of water from a river under the Natural Environment Act), although that is not made entirely clear. See *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment). at [89]–[92].
- 40 <https://www.trc.govt.nz/environment/resource-consents/understanding-consents/assessing-effects>
- 41 The ‘less than minor’ threshold is still *important* under the RMA, and is often addressed in consenting decisions. However, this is usually in a much more specific context: determining whether neighbours should be considered as ‘affected persons’ and therefore notified of a consent application (under section 95E of the RMA). This is quite different from the design question relevant here: whether such effects should have to be disregarded by a planning or consent authority in a substantive decision. For example, allowing for slightly increased traffic on a street because of a new subdivision might have less than minor effects on a neighbour, but it is still very relevant for a consent authority when thinking about how traffic flow around a city might change. The threshold for the one decision cannot necessarily be applied uncritically to the other. Also consider a recent application for a seven-townhouse residential development in a West Auckland flood plain (hit badly by the 2023 floods). This application has suggested that ‘less than minor’ effects would include (1) requiring elderly and young residents to stay at home for up to ten hours due to unsafe access, and (2) having to relocate all vehicles further up the hill when flooding is forecast. Auckland Council has yet to give its view on such an assessment, but clearly those effects are still worthy of consideration: see <https://www.nzherald.co.nz/nz/auckland-council-approves-4000-new-homes-on-floodplains-since-2023-storms-huapai-residents-oppose-plans-for-more/P3OIBIH4FFAHGP4QANC6PRHEE/>

- 42 Some urban friction effects have specifically been identified as being *de minimis*. See, for example, *Bayley v Manukau City Council* [1999] 1 NZLR 658, where proposed ground floor external closets extending approximately 0.8 metres into the minimum side yard were described as *de minimis*.
- 43 And because one of the ‘gateway tests’ for non-complying activities to proceed to consent decision under section 104D of the RMA is whether effects will be ‘minor’ (as opposed to more than minor).
- 44 Some of these no doubt refer to the kinds of effect that are to be excluded from scope altogether (eg purely subjective effects). But it can be inferred that others are about legitimate categories of effects (‘urban friction’) that should be managed, but only if they exceed a threshold of significance. These would “seek to manage the frictions of proximity and amenity”: <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 45 That provision (section 87BB) could be transformed into one articulating the scope of a future Planning Act, ensuring that councils turn their mind to rooting out manifestly unnecessary controls (some of which have endured since the RMA’s enactment). One commentator notes that “I hear councillors from time to time denouncing the RMA for imposing requirements on such trivia as renovations even though they are in fact responsible for choosing to retain them” <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf> at 2.
- 46 There would still need to be an exception for where effects of any scale resulted in cumulative effects (as the EAG proposes). For example, a deck extension might increase impermeable ground cover and therefore pressure on flood control systems, while individually small increases in traffic movements from a new development can have considerable cumulative impacts on congestion and broader planning for public transport. See <https://www.treasury.govt.nz/sites/default/files/2024-05/pc-inq-bup-sub-039-catherine-scheffer.pdf> at 4.
- 47 <https://www.theguardian.com/artanddesign/2023/feb/01/tate-modern-viewing-platform-invades-privacy-of-flats-supreme-court-rules>
- 48 See <https://www.environmentguide.org.nz/issues/natural-character/protection-of-natural-character/what-are-significant-adverse-effects/>
- 49 See also the EAG’s report at [517], where it is said that “key concepts such as the more-than-minor adverse-effects threshold” should commence as soon as practicable. This implies that the threshold referred to might not be excluding less than minor effects, but also “minor” effects.
- 50 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [375].
- 51 <https://www.qualityplanning.org.nz/node/850>; *Smith Chilcott Ltd v Auckland City Council* [2001]; *Ohope Beach Development Society Inc v Whakatane District Council* (NZEnvC A136/02, 26 June 2002); RMA, s 104(2).
- 52 <https://environment.govt.nz/publications/otuharekaishburton-lakes-lessons-learnt-report/>
- 53 <https://www.rnz.co.nz/news/in-depth/540017/hundreds-of-new-builds-in-auckland-flood-zones-as-councils-wait-on-planning-reform>
- 54 Although this is also the result of *significant* effects being authorised. On issues with the cumulative effects of forestry operations generally see SC Ulrich and Mawardah Nur Hanifiyani “A stringent failure: Regulators do not use available tools to protect aquatic ecosystems from clearcut forestry impacts in New Zealand” (370) *Journal of Environmental Management* (November 2024) at <https://www.sciencedirect.com/science/article/pii/S030147972402526X>; <https://www.minterellison.co.nz/insights/ministerial-inquiry-into-land-use-may-have-far-rea>; <https://eds.org.nz/wp-content/uploads/2022/01/Review-of-NES-PF-FINAL.pdf>
- 55 <https://environment.govt.nz/publications/our-land-2024/>
- 56 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [41].
- 57 <https://www.beehive.govt.nz/speech/speech-project-auckland-luncheon>
- 58 The “no more than minor” descriptor is derived from the threshold test for non-complying activities under section 104D of the RMA. This section provides that a consent authority may only grant consent for a non-complying activity if it is satisfied that either the adverse effects on the environment will be minor, or that the activity is one that will be not contrary to the objectives and policies of the relevant plan or plans. Similar terms are used in various plans, such as ‘low’ impacts, or impacts that are ‘minimised’: for example, see Policy C.6.3.6 of the Tairāwhiti Resource Management Plan (Policies for Vehicle and Stock Access).
- 59 At [378]. See also F Lupis and others “A more than Minor Debate: The Correct Use of Effects Terminology” RMLJ, Vol 24, 3.
- 60 *Bethwaite v. Christchurch City Council* (C085/93)19.
- 61 *King v Auckland City Council* [2000] NZRMA 145.
- 62 *Trilane Industries Ltd v Queenstown Lakes District Council* [2020] NZHC 1647 at [57], citing *Elderslie Park Ltd v Timaru District Council* [1995] NZRMA 433 (HC) at [445]. Compare *Kemp v Queenstown-Lakes District Council* [2000] NZRMA 289 at [88].
- 63 https://nzila.co.nz/media/uploads/2022_09/Te_Tangi_a_te_Manu_Version_01_2022_.pdf at 150.
- 64 <https://www.trc.govt.nz/environment/resource-consents/understanding-consents/assessing-effects>
- 65 https://nzila.co.nz/media/uploads/2022_09/Te_Tangi_a_te_Manu_Version_01_2022_.pdf at 150.
- 66 *McMillan* [2017] NZHC 314 at [13]. For some topics like landscape, there are even alternative and overlapping frameworks for thinking about the significance of effects (such as those using different terms like low, moderate and high). See https://nzila.co.nz/media/uploads/2022_09/Te_Tangi_a_te_Manu_Version_01_2022_.pdf at 151.
- 67 For example, the Canterbury Land and Water Plan, Policy 2.A.1. See also the Tairāwhiti Resource Management Plan, Policy C.6.3.6 (Policies for Vehicle and Stock Access), which requires reduced access of stock to waterways where there are more than minor effects.
- 68 Policy 2.A.1(1)(a).
- 69 Policy 2.A.1(1)(b).
- 70 This adds consideration of “the extent to which it is feasible and dependable” that more than minor effects are avoided.
- 71 NPS for Indigenous Biodiversity at 29.
- 72 *McKenna v Hastings District Council* [2009] ELHNZ 6 at [32]-[33], from [59]. The Court stated the subdivision would contribute to ad hoc residential development, removing land from productive use without compensatory benefits.
- 73 *McKenna v Hastings District Council* [2009] ELHNZ 6 at [60], [64].
- 74 Northland Regional Plan (as proposed 2024), C.2.3(6).
- 75 This has been an issue in Ireland, where arbitrary thresholds (afforestation projects exceeding 50 hectares in size) trigger a full EIA. This appears to have incentivised proponents to design proposals just below the threshold. For afforestation projects between 5 and 50 hectares, a screening process is used to determine if a full impact assessment is necessary, which involves assessing whether the project is likely to have significant effects on the environment.
- 76 Policy C.6.3.6 Tairāwhiti Resource Management Plan (Policies for Vehicle and Stock Access).
- 77 Horizons One Plan, HAZ-NH-P10: Development on land prone to flooding, Policy 10(4). That is explicitly differentiated from a policy referring to more than minor effects on existing flood hazard mitigation measures.
- 78 Bay of Plenty Regional Natural Resource Plan DWP13 (Policy 44).
- 79 *RJ Davidson Family Trust v Marlborough District Council* [2017] NZHC 52.
- 80 The prohibition is contained in section 40 of the Wildlife Act 1976 (Ireland), but is something that in New Zealand would be under the jurisdiction of the resource management system. See <https://www.gov.ie/en/departments-of-housing-local-government-and-heritage/press-releases/reminder-on-hedge-cutting-and-the-law/>
- 81 Ireland’s parliament, Dáil Éireann, declared a climate and biodiversity emergency, becoming the second country in the world to do so.
- 82 B Barton “The legitimacy of regulation” (2003) 20(3) *New Zealand Universities Law Review* 364-401.

3 Regulatory takings



Queenstown (Bernard Spragg)

One of the government's main reasons for reducing the scope of the RMA is to prevent what is perceived as unjustified interference with people's property rights.¹ There are other ways to address such concerns. One is to allow regulation, a regulatory 'take', but to require compensation when it goes too far.² This is different to the more targeted framework for the acquisition of formal title to property under the Public Works Act.

3.1 Government proposals

Cabinet has agreed that a new system will include protection against regulatory takings.³ The EAG has provided a more detailed proposal:⁴

1. Compensation claims would be available for 'overlays' in plans (but not standard zoning rules, like those applying across an entire 'residential' zone).⁵ These overlays would include areas identified as SNAs, ONFLs, sites and areas of significance to Māori (SASMs), and 'other' overlays such as those protecting viewshafts.⁶ The implication is that compensation claims would also be available for historic heritage control (eg scheduling in district plans or heritage protection orders) if those things were to remain within the scope of a Planning Act.
2. There would be two routes for compensation:
 - The first would be where national standards set a formula for establishing overlays (eg criteria for identifying SNAs) and

councils followed them. Here, there would be no *presumption* of compensation, but affected owners could still make a claim to the Environment Court based on the scale of effects and considerations of equity.⁷

- The second would be where councils imposed more stringent overlays than those set by national standards. Here, compensation would be presumed.

3. Compensation would be determined based on whether (and presumably the extent to which) there was a 'significant impairment' to the value of land.

3.2 The problem/opportunity

Is there a problem in need of a solution? The EAG contended that the absence of any costs faced by councils in imposing regulation on landowners has led to overreach, and that the RMA's current approach is "too stringent for some matters, including overlays for landscape, biodiversity and heritage protection."⁸ Several things should be noted about the nature of this problem.

First, we need to know what a taking means. It is described as "an act by which a government assumes or assigns control over a property right held by a private party".⁹ The most fundamental question, therefore, is *what a*

property right actually includes, because it cannot be taken unless it already belongs to someone. Care is needed, because:¹⁰

...regulatory settings [can] become grafted onto what people believe they ‘own’ as part of the perceived bundle of rights of property ownership.

We explored this generally in the project’s first report, but it is particularly relevant to the question of regulatory takings. It is an issue left largely unaddressed by the EAG. In short, property rights are important, but they are a construct that is not (and never has been) absolute. By analogy, although a pet dog or a dairy cow is someone’s property, no right is ‘taken’ by animal welfare laws, even though they can impose costs.

In many areas of modern life, landowners already accept that they must bear reasonable costs for the collective good. Professor Barry Barton has provided an excellent historical and comparative analysis of the relationship between property and regulation.¹¹ This relationship is far more complex and nuanced than that sometimes set out by a theoretical libertarian perspective, and evolves as society changes.¹² As Rt Hon Simon Upton points out, for example:¹³

While there is a reasonably longstanding acceptance that landowners are responsible for pests and weeds that can escape and damage the properties of neighbours, some landowners still regard prohibitions on the removal of indigenous vegetation or the drainage of wetlands as an illegitimate truncation of their rights to use land.

Key point	• Before designing a system of compensation for regulatory takings, one must have a clear understanding of what property rights actually include. These are not immutable and can evolve as society changes.
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Secondly, while the fair distribution of the benefits and costs of public interest environmental regulation is an important question, one still needs to ask: to what extent is this actually a problem under the current system? The practical reality is the yardstick against which a need for reform should be measured, not an ideological position.

Is there an unreasonable or inequitable burden on landowners that the current system is imposing? Have councils ‘overconsumed’ unnecessary

regulation? This has by no means been established other than by anecdote; as Barton observes, “planning horror stories are cited as standard practice; there is no attempt at empirical inquiry.”¹⁴ For example, the private cost of SNA protection (in terms of impact on land value or opportunity cost) does not appear to have been calculated across the country, and it should not be assumed or exaggerated. The regulatory impact statement exploring options for the NPS for Indigenous Biodiversity noted that, for example:¹⁵

There may be some opportunity costs to a small portion of landowners and developers and, in some cases, the [NPS’s] policies to “avoid” specific adverse effects may constrain or prevent subdivision, use and development. These costs are likely to be distributed over a relatively minor share of total properties, depending on the status quo at the district and property level.

One can also look to the European Union (EU), where a well-established network of Natura 2000 sites (under the Habitats and Birds Directives) is thought not to have prevented development, but rather to have displaced it to more appropriate locations.¹⁶ Any overall reduction in economic development has been minimal, as have impacts on landowners (eg farmers and foresters).¹⁷ For example, prior to the UK’s departure from the EU, Natural England received around 26,500 land use consultations (triggered by protected area legislation) annually but objected to less than 0.5 percent.¹⁸

Key points	• It has not been established that protected areas like SNAs or ONFLs have, or will have, a significant effect on property values or development opportunities across the country. • A stronger evidence base is needed before designing a compensation scheme.
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Thirdly, the RMA provides “significant constraints on the power of councils to make rules and other provisions in plans” already,¹⁹ where the property-level impacts of regulation are significant. This is through several mechanisms. For example, there are requirements for section 32 reports. These generally require consideration of impacts on people’s property when preparing plans and plan changes. There are appeal rights, with the protection of property rights being one key reason for the Environment Court’s appellate jurisdiction. Local democracy places some constraints on council rule making. There are case law requirements for controls to be proportionate to the issue being addressed (and this is something that

could usefully be codified in legislation).²⁰ And, most importantly, there are remedies (including the possibility of acquisition and compensation) available under section 85 of the RMA.

A spotlight on section 85 of the RMA

Under the RMA, an interest in land “shall be deemed not to be taken or injuriously affected by reason of any provision in a plan unless otherwise provided for” in the Act. This means that RMA regulation does not trigger claims under the Public Works Act.²¹ However, since a 2017 amendment, section 85 of the Act provides its own pathway to compensation. In short, where a plan provision²² renders an interest in land incapable of reasonable use, and imposes an unfair and unreasonable burden, there are processes²³ by which the Environment Court can order the provision to be modified, deleted, or replaced or the interest in land to be acquired by the council (if the rights holder agrees).²⁴ In other words, a council can choose to soften the regulation, or it can opt to buy out a landowner.

The key public policy question is a nuanced one: whether this threshold of ‘unreasonable use’ and ‘unfair and unreasonable burden’ is the right one. Although applications for compensation under section 85 have been relatively uncommon,²⁵ the provision *has* been used successfully in several cases to protect landowners from genuine regulatory overreach. For example:

1. A restrictive Open Space zoning covering an entire site was found to place an unfair burden on the landowner, particularly since protection against indigenous vegetation clearance was already provided for in other plan provisions.²⁶
2. A heritage classification was found to render land incapable of reasonable use in circumstances where a building was in very poor condition, and where renovating the property would require substantial costs that would not be forthcoming from public authorities. This created an unreasonable burden on the applicant.²⁷
3. In *Canterbury Regional Council v Christchurch City Council*, the Environment Court noted that classifying significant tracts of land as an outstanding natural landscape (ONL), without a corresponding easing of provisions to allow reasonable use of the land for farming purposes, may have raised issues under section 85.²⁸

4. Section 85 has also been raised in various planning processes, prompting negotiation or reconsideration by council without the need for judicial decision or commentary.²⁹
5. It has been said that claims may well increase in the future if actions are taken to remove existing residential use rights (eg to adapt to climate change).³⁰

The RMA states clearly (and reasonably) that activities generating ‘significant’ environmental effects are *not* a reasonable use and should not be compensated or struck down.³¹ But case law has evolved to ensure the framework is responsive to concerns about impacts on property owners. For example, the Environment Court has considered a range of matters in deciding whether an activity constitutes a reasonable use, including:³²

1. Whether the owners can provide for their economic wellbeing;³³
2. Whether sustainable management (ie the public interest) is advanced by a restriction;
3. Whether the entirety of the land is affected, or just a small section;³⁴ and
4. Comparison between uses that could be made of the subject land before and after the proposed plan provision.³⁵

The courts have also developed factors that help determine whether the “unfair and unreasonable burden” test is met.³⁶ Context is very important here, with factors including:³⁷

1. The natural and physical resources at issue in the case;
2. Part 3 of the Act, including its implicit protection of property rights under section 9;
3. The provisions of the plan or proposed plan;
4. The rebuttable presumption that the plan is “effective and efficient”; and
5. The personal circumstances of the applicant.

Importantly, the idea of an unfair and unreasonable burden already includes consideration of reduced property values or reduction

in development opportunities. For example, this was a factor in the decision in *Mullins v Auckland City Council*,³⁸ where section 85 arguments were successful. There, the district plan proposed to reduce density in some residential zones, where the appellants had purchased sites with the expectation of constructing several buildings. This was considered to be an unfair and unreasonable burden.

In cases where section 85 claims have failed,³⁹ judicial decisions have been highly sensitive to context. In one case, for example, the Court noted that being unable to use 2 percent (2.4 hectares) of a total site (110 hectares) would not deprive a landowner of reasonable use.⁴⁰ And although policies that require the avoidance of more than minor adverse effects (eg on SNAs) have themselves been held not to render land incapable of reasonable use, the Courts have clearly left open the possibility that rules *implementing* those policies may do so in specific contexts.⁴¹ In other words, it appears that section 85 is sufficient at the point where regulation actually bites. Barton has pointed out that, for example:⁴²

[t]hese safeguards mean that the Fable of the Awakening Landowner does not have a lot to do with reality. ("Then the landowner wakes up one day to find that a proposed plan has been declared that over a third of the farm is a Significant Natural Area because it is kiwi habitat or similar.") The reality is that such a proposal would not last long.

Key points

- The RMA already provides considerable protection to property owners, including requirements for proportionality, evaluation reports covering impacts on private persons, and appeal rights for impacted owners.
- Notably, section 85 of the Act allows for compensation via voluntary acquisition of property. While the section has been underutilised, it provides an avenue for redress where public interest controls affect private land and significantly reduce land value.

reducing a threshold for compensation.⁴³ A more focused piece of work is needed to assess the extent to which the concerns of government (especially the impact of SNAs, SASMs and ONFLs on property values) could *already* be addressed through section 85. Some of these may already render land incapable of 'reasonable use' and be an 'unfair burden'.

This is a question that can only be answered after these constraints and their distribution across different landholdings have been identified and mapped. There seems to be an intention to do this, but not in the short term.

3.3.1 The risk of regulatory retreat

In the absence of such information, adopting a more extensive takings regime would have significant risks for environmental wellbeing. The EAG, for example, warned that the mechanism "must be equitable, affordable, and not unduly discourage councils from appropriately limiting activities when necessary to achieve the goals of the [system]".⁴⁴

Policy makers need to consider things not just from a theoretical perspective. Rather, they need to think about what would happen in practice. *Would* compensation actually be paid, or would there simply be mass regulatory retreat? This would depend on a number of factors, of which cost is a significant one. It would take a much more in-depth piece of work (and more concrete policy proposals) to calculate the total cost of providing compensation for various overlays.

However, we can get a flavour from a more specific study on one type of control. It has been estimated that a single viewshaft overlay in Auckland (out of about 80 across the region) has cost \$1.4 billion in lost development opportunities.⁴⁵ Does this reflect the diminution in value that would need to be compensated for? If so, it is well beyond the financial capacity of Auckland council (with an annual operational spend of around \$1.6 billion) to pay for.

What might the equivalent figure be for other overlays, like Auckland's extensive network of significant ecological areas (essentially, SNAs)?⁴⁶ Is the entirety of the Waitakere Ranges, which is subject to such an overlay as well as a Heritage Area overlay, to be regarded as a lost development opportunity requiring compensation?⁴⁷ Potentially yes, since it may impair property *values*, even though such controls certainly do not prevent *reasonable use* under the RMA's current test. Results would be geographically patchy, because compensation would be much higher where land values were high. This could result in almost total regulatory retreat from biodiversity protections in urban and peri-urban areas, in

3.3 Discussion – the risks of going beyond section 85

The EAG has not said what specifically would be different between section 85 and a new 'significant impairment of land value' test, other than generally

favour of protecting marginal land with lower price tags. That is unlikely to align with biophysical necessities.

More generally, councils could not afford to pay landowners for reductions in land values across the kinds of overlay being considered. This is not to say that public interest outcomes should, in principle, always be borne by private landowners (although that is a worthwhile debate to have). Rather, it is because councils simply do not *have* the funds to purchase the environmental results that are envisaged by the system (eg maintenance of significant biodiversity). It is not the way their funding model has been set up to work. This would need to be radically overhauled if it is the way the outcomes are to be achieved.⁴⁸ By comparison, even bodies that *are* intended to purchase outcomes (such as the QEII National Trust, which financially assists in land management but is not expected to compensate landowners) have signalled extremely limited capacity to undertake new covenanting work.⁴⁹

But assume for the moment that councils could conceivably afford compensation. Would they actually do so? There may still be strong incentives from ratepayers not to engage in protections that would trigger it. Any money that was spent on compensation would then be unavailable for the many other services that councils provide to communities. A cursory glance at any community social media page will reveal that ratepayers often have more pressing concerns, including roads, rubbish and reticulation, with their top priority often being a reduction in rates more generally. Most people's main interaction with councils is when they see a dollar figure on their rates bill.

The likely outcome is that councils would try to pay to protect the most important sites where political will is strong, but be incapable of doing so more broadly.⁵⁰ There would also be radically different and arbitrary results across districts and regions, given vastly different ratepayer bases, political incentives, and other funding sources (which bear little resemblance to the scale or importance of the environments in an area, or the scale of development pressures). For example, the Mackenzie District has high ecological value but an extremely low ratepayer funding base (a population of only 5,000 people).

A presumed claim for compensation would also have a chilling effect even if compensation did *not* end up being payable. This was a point made by many council staff we spoke to. Local government may simply not be up for the huge number of legal fights that would arise. The financial risk and uncertainty would be high, including not only the potential cost of compensation itself but also staff time, legal costs, and the potential for councils to pay costs awards to other parties for unsuccessful litigation. As the New Zealand Planning Institute said when changes to section 85 were being contemplated in 2017, reducing the threshold for compensation would see:⁵¹

a significant increase in the number of cases brought to the Environment Court... The council will have the double cost of the increasing burden of litigation along with the costs of [compensation]...



Mackenzie Basin

Any framework that *was* serious about achieving its environmental goals would likely make the system more, not less, litigious, because councils would have to defend potentially thousands of separate claims (and the courts would have to process them) to achieve a meaningful environmental result. This is because one or two protections would not be enough, especially when it came to biodiversity and landscape. We are therefore left with the disturbing possibility that the intention of a takings regime is not to ensure that councils pay for public interest controls, but rather to discourage such controls from being created at all. The alternative would be the creation of an enormous new takings industry – a playground for lawyers – adding cost, delay and uncertainty to the system.

Key points

- The kind of takings framework being proposed would likely result in mass regulatory retreat, especially if impecunious and politically pressured councils were to be responsible for compensation.
- Protections for things like SNAs and ONFLs would also be inconsistent (based on the value of underlying land where nature happens to be and the ratepayer base of the particular council, rather than biophysical characteristics or the importance of outcomes).



Dublin, Ireland

A spotlight on Ireland

Under Ireland's Constitution there are protections for the direct taking of private property.⁵² However, this hides much nuance. Most fundamentally, the Constitution specifies these rights are not absolute and allows them to be reconciled with the public good.⁵³ That includes proper planning controls.⁵⁴

Previous incarnations of planning legislation in Ireland had a relatively generous takings framework. This provided compensation for permit conditions or refusals that restricted the permitted use of a property significantly. It led to criticisms where councils had to pay out a significant portion of their annual budgets to developers.⁵⁵ The experiment failed, and law changes were made in the early 1990s.

Although constitutional protections for property remain, the “overwhelming majority” of environmental and planning controls are no longer regarded as a taking to be compensated, nor as regulatory overreach (as long as the process for establishing them is lawful).⁵⁶ That includes where land is devalued by the indirect effects of government action in the public interest. Non-compensable kinds of regulation (and conditions) are specifically and extensively outlined in the Planning and Development Act 2024, including:⁵⁷

1. Where there is any material change in the use of any structures or other land;⁵⁸
2. Where refusal of permission is because there is no infrastructure to service development or it is out of sequence;⁵⁹
3. Where development would injuriously affect amenities or values of properties in the area;
4. Where a development causes pollution/safety risks (including flooding);⁶⁰
5. Where there is a material risk to waters, the atmosphere, land, soil, biodiversity or human health;⁶¹
6. Where a development is inconsistent with climate change mitigation and adaptation objectives;⁶²
7. Where a development would impact cultural or linguistic heritage;

8. Where a development would materially contravene objectives in a plan, the National Planning Framework, protected sites (eg under the Habitats Directive) or river basin management plan;
9. Where a permission is denied because it is likely not to comply with conditions;
10. Where there is a change in zoning under a new Development Plan (ie district plan equivalent);
11. Where controls are designed to protect the character of the landscape or natural interest or beauty which is necessary to preserve;⁶³
12. Where some form of residential, commercial or industrial development is still available for a proponent.

Even where conditions are onerous, compensation is excluded. For example, there is no 'taking' where there is the imposition of social and affordable housing conditions (eg that a certain proportion of a development must be comprised of affordable housing at a maximum price point). This issue went to the Supreme Court, which held that requiring a developer to cede part of the land or its value is constitutional if it has a desirable social objective.⁶⁴ More generally, the Irish courts have noted that:⁶⁵

While the right to private property is essential of course, it does not include a right to develop; or in particular to develop in a way that is not in accordance with proper planning and sustainable development. The preclusion of the latter kind of development by zoning or an adverse decision does not infringe any right of a property owner still less a constitutional right. The Constitution is a social contract—not a one-way offer.

The above list would exclude most of the 'takings' envisaged by phase 3 reforms. But there are two other interesting features of the Irish approach that narrow compensation even further. First, no compensation is payable for local government regulations, only where controls are imposed/affirmed on appeal. Secondly, compensation can be recovered from developers later on if the land ends up being significantly developed (eg for a different use) despite controls.⁶⁶

This still leaves compensation available for some things, such as where a development is authorised and subsequently needs to be removed,⁶⁷ where there is refusal to rebuild after (for example) a building burns down,⁶⁸ where there is the creation of a public right of way,⁶⁹ or where (essentially) existing use rights have been extinguished (although that does not apply where needed to avoid or reduce the risk of environmental harm).⁷⁰ Such things attract compensation based on diminution of land value or damage.

Despite a wide range of clear and deliberate exclusions from compensation in Ireland's resource management sphere, and clear judicial commentary that the public interest is a legitimate constraint, some have argued that Ireland's constitutional elevation of property has still contributed to a chilling effect on public interest regulation across the board.⁷¹ Government has certainly trodden very carefully when it comes to controlling culturally important activities like turf cutting (even where there have long been compelling environmental reasons to do so), although it is less clear whether the reasons are because of political or legal risk.

Other takings frameworks around the world have had challenges too. In Canada, case law has required a transfer of rights to an expropriator, not just a prohibition on use.⁷² As pointed out by the EAG, in the USA "land-use controls are generally not compensable, provided they remain within acceptable limits...".⁷³ The American system is not nearly as protective of property rights as is commonly thought, and in the vast majority of cases the landowner loses.⁷⁴ For example, in one case, the country's constitutional protections for property failed to trigger compensation even where regulatory zoning controls diminished the value of land from \$10,000 per acre to \$3,500 per acre.⁷⁵ Instead, case law has developed around concepts like 'unreasonable' that are broadly familiar under the RMA's section 85.⁷⁶

The EAG also notes that "the bounds of these acceptable limits has been and continues to be litigated" in the USA.⁷⁷ That should give pause for thought to those wanting a future system to be less litigious. There has been considerable legal argument and expense in the USA concerning the meaning of vague tests (such as regulation that goes 'too far').⁷⁸

A spotlight on the EU

Ireland is a member of the EU. Here, protected “Natura 2000” areas have been established under the Habitats and Birds Directives. These cover almost one third of Ireland, and include sites like bogs, turloughs, sand dunes, heaths, woodlands, freshwaters, estuaries and sea inlets. Some are also designed to protect species like salmon, otter, bottlenose dolphin and killarney fern.⁷⁹ The designation of Natura 2000 sites does not automatically attract compensation as a matter of law.⁸⁰ Controls are regarded as a legitimate expression of democratically agreed protections at the EU level.⁸¹ The system is much more nuanced, and not analogous to New Zealand.

In particular, European farmers receive extensive payments under the EU’s Common Agricultural Policy (subsidies that do not exist in New Zealand), and as such are required to comply with the Natura 2000 Directives as well as more general environmental standards.⁸² This is known as ‘cross compliance’. While such payments are conditional on environmental safeguards, they are not ‘compensation’ in the normal sense of a ‘takings’ framework.⁸³ Rather, these, and more targeted payments (in ‘areas with natural or other specific constraints’) are designed to provide income support/parity to farmers to ensure viability, including where there are non-regulatory constraints like remoteness or long winters.⁸⁴ They are about social support.

Further financial assistance and incentives are also available where farmers go above and beyond, through various European and Irish funding mechanisms (eg agri-environment schemes or Natura 2000 payments).⁸⁵ These are designed to reward or assist farmers who enhance biodiversity, water quality and climate outcomes, but it is not a compensation framework.⁸⁶ Different approaches to these payments are taken across the EU.⁸⁷ Interestingly, in the post-Brexit UK, a new farming roadmap is phasing out EU-style agricultural subsidies, replacing them with environmental land management schemes that more specifically tie payments to the achievement of environmental improvements.⁸⁸

3.3.2 Which controls would trigger compensation?

Aside from general concerns about regulatory retreat, there are more detailed design questions to tackle when considering a takings framework in New Zealand. Some approaches would create higher environmental risks than others.

First, because “almost any regulation is likely to have at least some adverse impact on property rights”,⁸⁹ any takings regime will need to determine what specifically triggers compensation. Not everything would need to do so, even though section 85 currently applies to all ‘planning provisions’. The EAG indicated that the regime would be narrower than this in scope, applying mainly to ‘overlays’.⁹⁰ Including the following categories would have concerning outcomes *if* the result is regulatory withdrawal by Ministers and councils.⁹¹

1. SNAs or equivalent area protections for indigenous biodiversity (which are vital to maintaining ecosystem health and protecting threatened species, including to achieve any reasonable concept of ‘ecosystem limits’ envisaged by the government);⁹²
2. ONFLs (which have intrinsic/identity-based value as well as significant value for tourism);⁹³
3. SASMs (if councils cannot afford, or do not have ratepayer mandate, to compensate landowners for restrictions, what does that mean for Treaty obligations?);⁹⁴
4. Restrictions on the use of high-class soils (which are important for future food security and affordability);⁹⁵
5. Hazard overlays (which are vital to protect people and adapt to climate change, but which could cause considerable litigation from coastal property owners due to reduction in property values);⁹⁶ and
6. Significant viewshafts, special character areas and heritage properties (which have benefits for residents and economic value for tourism).⁹⁷

Any distinctions between compensable and non-compensable controls risk being arbitrary.⁹⁸ For example, ‘down-zoning’ an area from future urban to rural (ie changing the underlying zone) might have a much more significant impact on the value of the land than the creation of the occasional SNA or ONFL overlay. Similarly, general rules preventing the compaction of soil or the cleanup of contaminated sites may impose large costs,⁹⁹ even though environmental effects would be contained within a privately owned property. Yet the intention seems to be for only overlays to trigger a claim, not zoning changes or general rules. Why should that be the case?

Although it was not recommended by the EAG, we note that some controls should categorically *not* trigger a takings regime, for ethical reasons. This is in situations where property *rights* do not exist, even where controls might have significant impacts on property *value*. For example, geothermal heat does not belong to a landowner above a geothermal system, even though it has considerable value. There should be no compensation for protections. Furthermore, permits to take water have in some places been factored into rural land prices for many years, based on a strong expectation that they will be renewed. Similarly, forests have been planted with the assumption they can simply be clear-felled 30 years later, irrespective of the damage that may cause to downstream receiving environments. Although permits have value (and in some ways have the characteristics of property), the system will need to make it clear there are no permanent property rights conferred by such consents, and no taking for a decision not to grant, renew or modify them.

Similarly, there is no property right to continue to create diffuse nutrient discharges or pollute the environment in any way, irrespective of historical practices or existing uses. This will be especially important to remember in catchments that are overallocated, since councils will not have the capacity to buy out landowners to achieve environmental limits. When a nutrient trading regime was established for Lake Taupō, for example, authorities essentially bought out existing rights for \$80 million to reduce pollution by 20 percent.¹⁰⁰ That will not be replicable across all vulnerable catchments

around the country, nor should it be expected. A report from the Waikato Regional Council noted that:¹⁰¹

Lake Taupo was a special case for water quality. The factors that made it special – including its history and its social, cultural, economic and environmental value – contributed to decisions that are unique to this case. The public funding of the reduction in nitrogen emissions is a decision that may not be repeated elsewhere.

Key points

- A takings regime that is triggered only by particular overlays (eg SNAs or ONFLs) will create an arbitrary distinction that is not based on actual effects on property values. It may lead to perverse incentives for development outcomes and allegations of unfairness.
- A takings framework should categorically not apply to controls that have impacts on property values where they are not linked to property *rights* (eg non-renewal of consents to take freshwater or to create diffuse discharges to waterways).



Lake Taupō

3.3.3 Whose controls would trigger compensation?

Aside from the type of control that would trigger compensation claims, it is also important to consider *whose* controls would do so. The EAG has recommended a two-tier system: compensation would be presumed only where council overlays are more stringent than those contained (or set via methodologies) in national standards. This is an interesting proposal, since it implies that the main problem being addressed is perceived *council* overreach, not the impairment of people's property rights per se. In other words, for some reason it is less concerning if Ministers regulate, even though they are not the ones democratically accountable to communities. This has three key implications.

First, it means the impact a takings regime would have on environmental outcomes will be highly dependent on the adequacy of national standards. The process by which they are set will therefore be crucial. For example, if national assessment criteria for SNAs are sound and implementation is effective, they will likely be well protected.

However, most overlays do not yet *have* national standards or methodologies (and ones that do, like SNAs, are currently subject to change), making it hard to assess the effects of the proposal in the abstract. What we *can* say, though, is that Ministers will have strong incentives to provide weak national standards if these are also subject to takings claims. In the EAG's model, claims for compensation would still be

possible for national regulation (the difference is simply that claims would not be *presumed* as they would be for council regulation).¹⁰²

Note that the EAG does not specify who would be obliged to pay for successful claims relating to the implementation of national standards (eg where councils were applying a national methodology to identify SNAs). It would be unfair for this burden to fall on councils, who would have no power to change national regulation. But if the burden of compensation fell on central government, there would be an incentive for Ministers to avoid making hard (and perhaps politically unpalatable) decisions about nationally significant protections. This is because they could pass blame for environmental degradation to local government if councils failed to apply more stringent controls (and compensate landowners for doing so).

Secondly, the EAG's proposal would create strong incentives for standardisation across the country. This is not necessarily a bad thing in principle (see Chapter 8). However, many overlays (eg ONFLs and viewshafts) are highly tailored to the context and values of communities and the things being protected. This is why many national instruments have tended to set objectives and policies (through NPSs) but allowed the actual regulatory rules and standards to be set by councils in a way that suits the needs of particular places. The proposed takings model would mean bespoke solutions at place (eg those recently confirmed in a change to the Mackenzie District Plan)¹⁰³ would be much less likely, even if they had high value and even if they only departed from national standards in minor ways.

Thirdly, the model could cause significant and ongoing transitional issues for both landowners and the environment. It would be unstable. This is because claims could be opened up or shut down simply by amending national standards (since only rules that were more stringent than those would be assumed to be compensable).

Consider, for example, councils that have already identified SNAs in line with the current NPS for Indigenous Biodiversity. Ministers have indicated that SNA criteria are to be narrowed in a future system, meaning that these existing overlays may be wide open to presumed compensation claims if they are maintained in district plans. However, a subsequent government could then flip back to wider SNA criteria, meaning landowners would have been paid compensation they would not now be entitled to. Would they have to pay it back? In Ireland, there are tortuously complicated provisions dealing with how to claw back compensation where constraints are removed later on.¹⁰⁴ But there is much greater political continuity in Ireland, and a seesawing approach would mean a steady pipeline of litigation and allegations of unfairness in New Zealand.



Rawhiti, Bay of Islands

Key points

- A two-tier model for regulatory takings (where compensation is only presumed for council controls more stringent than national standards) would create significant issues. It would mean environmental outcomes at the local level would be highly dependent on the adequacy of national direction.
- The model would create strong incentives for national standardisation of rules (a paint by numbers approach), meaning that controls may fail to be targeted to the particular context of a place.
- It would create an unstable and complex planning system, because rights to compensation may change over time based on seesawing national standards.
- National level regulation is also likely to be much weaker than at present if Ministers were open to claims for compensation.

most intensive development that would be *possible* in the underlying zone? What if it is not the current, intended or reasonably foreseeable use?¹⁰⁸

Alternatively, should compensation be determined by an independent, current market valuation of the land with and without the overlay?¹⁰⁹ That may not always be easy to establish.¹¹⁰ For example, things get extremely complex and uncertain in Ireland, where valuers must assess what a landowner “might have been expected to realise” and take into account the reasonable possibilities for development, including speculating as to what conditions might reasonably be imposed under planning legislation *without* compensation.¹¹¹ Things are trickier still where compensation is owed to an *occupier* of land, not the owner.¹¹²

In some situations, controls may not significantly impair land *value* at all. Yet they may still prevent reasonable use. For example, rezoning a rural area as future urban may actually provide opportunity for a higher land value in the future, but it may also prevent a farmer from intensifying rural land use in ways that would be incompatible with that future use. For example, would there be a significant impairment for a farmer who wished to establish a chicken farm in a future urban zone? Not all impacts can be measured in land value.

Moreover, how (if at all) should contextual considerations like fairness come into a calculation of compensation? In particular, does the significance of an impairment depend on the characteristics and history of a landowner (as it does for the current unreasonable burden test under the RMA)? The EAG has suggested this would be a matter of judgement, based on equity. It might include factors like whether an overlay was imposed after a legitimate expectation of use had been established, the scale of an effect, and the impact on the value of land.¹¹³ There would be immense uncertainty going into the process. One might consider the following difficult scenarios.

1. A corporate developer owns a dozen ‘future urban’ lots, and half of one falls within an ONL overlay. Is the ‘significant impairment’ in value to be determined by the impact on the one lot, or the combined landholding?¹¹⁴ Should it depend on the financial position of the owner (ie hardship)?
2. Someone purchases a property after an overlay is imposed. Here, the purchase price would already reflect the constraints on its use, so any payment to the current owner would be a *windfall*, not *compensation*. Section 85 precludes compensation in this scenario, as should a future system.

3.3.4 What would significant impairment mean?

Another key design question is what a ‘significant impairment’ (or similar) test would mean when a claim is made. Under the status quo – section 85 of the RMA – it has been held that “reasonable use is not synonymous with optimum financial return”.¹⁰⁵ In other words, a buyout is not required just because a landowner’s *preferred* use is prevented by a plan. Future use can be a highly speculative exercise. Similarly, in Ireland, when a claim for compensation is lodged, a notice can be issued by a planning authority stating that “the land is... capable of other specified types of development for which permission may be granted”. This prevents compensation being payable.¹⁰⁶

A ‘significant impairment of property value’ is quite a different test. Against what benchmark would this be measured? Things could get very complicated if the courts were required to specify a dollar figure to be paid out, rather than just evaluate whether a use is reasonable and require a whole estate in land to be purchased at market value. This has been said to pose “a fiscal risk which is difficult to quantify but could be significant”.¹⁰⁷

For example, should all landowners in an overlay (eg for an SNA or viewshaft) be compensated to the extent they are unable to undertake the

3. An overlay is imposed after someone purchases a site, but *before* a new takings regime is introduced. Should this open the door to historical claims? What about if a previous landowner has already sold the land and made a loss?
4. An overlay that is *less* restrictive than a surrounding zone is created (eg a special economic precinct, or a specified area under the Urban Development Act). If compensation is required for *stricter* overlays, should value uplift from more *enabling* overlays or zonings be partly captured by council in the form of a betterment levy?¹¹⁵ In Ireland, this is now happening. A 'land value sharing' scheme will mean that a payment of up to 30 percent of increased land value will be a condition of planning permission where land has been rezoned residential or mixed-use.¹¹⁶
5. An overlay (eg a viewshaft) is imposed, leading to compensation, but this overlay is subsequently weakened (eg by allowing for greater height limits through a plan change). Would there be a mechanism for compensation to be recovered in part or whole?
6. An overlay is established that actually *increases* the value of land (eg to give purchasers certainty that an area will remain a leafy, low-density suburb) even though it reduces freedom to use it. Would compensation be payable? As the Parliamentary Commissioner for the Environment notes, RMA controls "have often increased property values by protecting the ambience that makes places more pleasant to live in. So ironically, frustration with the RMA often seems linked to the defence of interests that arise in part from the benefits of regulation itself".¹¹⁷

It may not always be possible to calculate a diminution in value at the rule making stage at all. This is because most plan overlays require resource consent; seldom do they prohibit activities outright.¹¹⁸ Sometimes it may be quite obvious on the face of planning policies that consent will be refused. But many rules in overlays are for controlled or discretionary activities and are not linked to strong 'avoidance' policies, making their impact on property rights unclear.¹¹⁹ For example, where there are SNAs in commercial forestry operations, effects on species do not need to be strictly avoided, only managed.¹²⁰

Discretionary consenting pathways are also likely to be more common in a future system (given the government's intention to remove non-complying activity status and use prohibited status more sparingly), making it even harder to speculate as to the actual loss of value at the planning stage.¹²¹

But if compensation requirements were instead triggered at the consenting stage, this may have an even bigger chilling effect on environmental controls, as well as risking the integrity of plans (which may seek an objective that is then frustrated by weak consent conditions). All of the above would create an immense amount of legal uncertainty, requiring bespoke property level solutions and extensive case law. This would clog an already stretched judicial system in litigation every time a plan changed or, potentially, every time a consent was declined or made subject to conditions.

Key points

- A test for compensation based on 'significant impairment' would make the system complex and uncertain. What would the significance of an impairment be measured against? What weight should be given to various contextual matters like the financial position of a landowner or the point in time at which controls are imposed?
- It may be impossible to determine impacts on property values when creating planning overlays like SNAs or ONFLs, because they often provide for consenting pathways. Effects on property values may not be felt until consent decisions are made, and such effects may be minimal.

3.3.5 Fairness more generally

A lot of discussion about regulatory takings is about fairness. Usually, it is focused on fairness for landowners. That is important, but a broader lens is also needed: fairness for society as a whole. For a long time, activities like agriculture and forestry (among others) have created significant externalities like pollution, and used public resources like freshwater, without a need to compensate the public.

For example, should regulatory controls attract blanket compensation when, as observed by the Parliamentary Commissioner for the Environment, taxpayers already subsidise agribusiness activities (where many SNAs exist) to the tune of around \$700 million per year?¹²² Where, according to the United Nations, the hidden environmental costs of our food producing systems amount to over \$14 billion?¹²³ Or where the economic benefits of irrigation (the use of a common pool resource, which attracts no return to the public purse) has been estimated as increasing the productive value of land to over \$2 billion per year?¹²⁴

Moreover, it has been estimated that failures to exclude stock from waterways has resulted in public health costs of \$138 million per year.¹²⁵ And as one commentator observes: “agribusiness cannot decide to socialise the environmental cost of its operations but seek support for the provision of public goods that will increase private profits”.¹²⁶ It is notable that in Ireland, for the narrow range of planning controls for which compensation is payable, any payout specifically has to ignore any grants or subsidies from public monies that *benefit* the land.¹²⁷

Key point

- Fairness is a key driver for a takings framework, but this works both ways. The reality is that environmentally harmful activities are often subsidised or create externalities that burden broader communities and the natural world. This makes the moral foundation of the proposed model questionable.

Fairness also depends on the public interest. A particularly risky possibility is that any ‘significant impairment’ of property value (and therefore a requirement for compensation) is measured as a simple matter of accounting for a landowner, rather than being evaluated in the context of how important a rule might be for the public. For example, it might mean that compensation would be presumed (and regulation made less likely) where an ONFL overlay in Queenstown reduced the value of a rural property by (say) 5 percent, irrespective of the value that the ONFL has for the public interest (eg tourism value).

This would be concerning for SNAs too. We have not found an assessment of the dollar value of SNA protection in New Zealand (which would require comprehensive mapping). But if we look to the EU, protected Natura 2000 sites were assessed in 2016 as being worth around €200-300 billion per year, a figure many times the €5 billion cost of protecting them.¹²⁸ Retreating from spatial biodiversity controls would be losing an enormous amount of value for society.

The approach would also be quite different to section 85, where ‘reasonable use’ involves a more nuanced evaluation of both private *and* public interests.¹²⁹ For example, under the RMA it is reasonable for a council to prevent building on land vulnerable to coastal erosion, even if it diminishes land value significantly.¹³⁰ It is the *outcome*, not just the *land value*, that matters.

Key point

- Fairness must also take into account the public interest. A model that focuses only on lost value for a landowner may fail to recognise the disproportionate benefit to the public being forfeited by regulatory retreat.

3.4 What it might mean in practice

In this section, we pose two scenarios to explore what a regulatory takings regime of the sort envisaged in phase 3 reform might mean on the ground. We look at SNAs in the Far North and ONFLs in Queenstown Lakes District. For each, we pose some difficult questions that would arise.

3.4.1 SNAs in the Far North



Northland landscape¹³¹

Areas of significant indigenous vegetation and significant habitats of indigenous fauna have been mapped in some parts of the country and are called SNAs. They are generally regarded as planning ‘overlays’ in district plans.

To inform its proposed district plan, the Far North District Council commissioned Wildlands Consultants to map SNAs in its district.¹³² Wildlands concluded that there were over 800 SNAs, covering 280,000 ha of Northland (or 42 percent of the district). The SNAs affected 8,000 landowners¹³³ and included areas of importance for species like kiwi, native bats, and the Northland green gecko. There are sound reasons for protection. 15.6 percent of the district includes ‘acutely threatened’ and ‘chronically threatened’ land environments. It also has 91 ‘threatened’ and 148 ‘at risk’ plant species.

The SNA mapping process generated strong public opposition, including landowners disputing the accuracy of desktop analyses. The district council paused the process, and the proposed plan was drafted and notified in 2021 without SNAs being mapped.

Under the NPS for Indigenous Biodiversity, district councils were then obliged to map SNAs using consistent assessment criteria in the NPS. However, the Government recently legislated to suspend the identification of new SNAs (and notify associated plan changes) to 2027.¹³⁴ It has also signalled that it will amend the significance threshold for SNAs in the future system, narrowing the scope of what is considered to be an SNA.

Consider the case of a sheep farmer in the Far North District, part of whose land (eg 5 percent) falls within a new SNA overlay.

1. Should the SNA overlay itself be considered a regulatory take, triggering a presumption of compensation for the landowner?
2. To what extent are the management controls that are applied to the SNA relevant to triggering a regulatory take? For example, would the nationally applicable 'avoidance' policies of the NPS for Indigenous Biodiversity trigger a take, or would something more stringent be required?
3. What if the district council sought to protect SNAs through a consenting pathway? Would the identification of SNAs in a plan be enough to trigger a compensation claim (if the outcome of the consenting process, and any restrictions on development, are unknown)?
4. How would one assess the impairment/diminution in property values for which compensation would be payable? For example, compensation might depend on the circumstances of each landowner, their expectations about land development, and equity concerns.
5. To what extent might this regime be different to (or build on) the RMA's section 85 existing trigger for voluntary acquisition of an interest in land (rendering it incapable of reasonable use)?
6. Should the district council have to (or would be capable of/likely to) pay compensation?

7. Should regulatory takings apply to Māori owned land?

3.4.2 ONFLs in the Queenstown Lakes District

Most of Queenstown Lakes District is comprised of ONFLs, although consenting pathways are generally available for development in these areas. The District Council is currently in the process of reviewing its district plan, including some 'priority area' landscape protections.¹³⁵

There are currently no national standards or methodologies set for landscapes against which the regulatory takings regime envisaged by the EAG might be tested. However, consider the recent case of an application by McDonalds for a restaurant in Wānaka. The relevant site here is beyond the urban boundary in a rural-zoned area on the outskirts of town, and is a non-complying activity.

Consent was declined by independent commissioners because it did not pass the first limb of the RMA's section 104(D) 'gateway' test, due to the effects on an outstanding natural feature overlay (Mount Iron) being more than minor.¹³⁶ This raises a number of questions about whether and how a takings framework might apply.

1. Should an overlay such as that protecting Mt Iron trigger a presumption of compensation for the owner of the site (due to it limiting the owner's private property rights)?
2. Would it matter if the land were purchased before/after the overlay was imposed?
3. Would the fact that the overlay was linked to a non-complying activity (ie it provided a consenting pathway) trigger a claim at the point the overlay was recognised, or only if a consent ended up being declined (or granted with conditions not satisfactory to the applicant)?
4. What possible use of the land would be the benchmark against which a diminution in land value was measured?
5. Should the district council (or others) have to provide compensation for situations like this, given the prevalence of ONFLs across the district?

3.5 Concluding comments

The examples above highlight some of the difficulties that could arise from a regulatory takings framework. At a bigger picture level, however, we need to accept that:¹³⁷

Many of the environmental imperatives set out in the RMA were never going to be met without impinging on people's perceived rights to use their property as they wish.

The same is true of a future system, including when it comes to SNAs. That said, none of the above is to dismiss legitimate concerns about regulatory overreach. Nor is it to suggest that the details of environmental regulations, and their impacts on landowners, are beyond debate.¹³⁸ The EAG justifiably points out that councils do not face the financial implications of their regulatory impositions (although it should be reiterated that they *do* face political consequences and legal constraints). The system needs to be vigilant to ensure they do not create unjustified regulatory burdens on property owners (or others).

However, transferring the financial burden entirely to ratepayers by requiring compensation where there is a diminution of land value is a crude mechanism, because it would generate the opposite but equally perverse incentive: a likely absence of *justified* regulation. Alongside section 85,¹³⁹ a better solution is therefore a set of institutional and regulatory checks and balances to prevent “silly things” happening.¹⁴⁰

This might, for example, make use of the EAG's proposed Planning Tribunal, which could more proactively invite and hear objections to determine whether land is incapable of reasonable use, rather than relying on burdensome plan change applications, appeals to the Environment Court, or unprincipled arguments about whether landowners have standing to raise section 85 later on if it was not mentioned in submissions.¹⁴¹ Indeed, the extremeness of anecdotes used by Ministers suggests that this system is failing to be *used* (a conclusion backed up by the minimal case law on section 85 and the paucity of times it is raised in submissions), not that it is inherently incapable of protecting property rights.¹⁴² In interviews we heard that many lay submitters are not aware of the implications of the section and therefore do not raise it in a timely way even though they conceivably could. Some will not have the time or capacity to engage in plan making at all, and others may be completely unaware of an overlay until they try to sell their land. In other words, under section 85 the RMA *already* provides a form of takings framework, but one where implementation could be improved.

Other measures could help too. For example, it would be desirable for national direction to provide more guidance as to the meaning of ‘unfair’ and ‘unreasonable’ burden in specific contexts (eg SNAs). Section 85 is unclear and is reliant on limited case law not easily accessible to the public.¹⁴³ The system could also codify case law around proportionality requirements, which are not obvious on the face of the RMA.

Ultimately, overlays like SNAs should not be regarded as overreach, even if they are created locally and impose some burden on landowners. Other assistance mechanisms, like rates relief, financial support for fencing and pest control, and technical advice should therefore continue to be available, and ramped up, to support landowners where reasonable use of the land is still possible. This was the emphatic conclusion of the Biodiversity Collaborative Group, and is how things work in Ireland to support the Natura 2000 network.¹⁴⁴ As Barton observes, public money (and therefore adequate funding tools) should be used where land has special importance and to prevent landowners shouldering unreasonable burdens. That is quite a different proposition to a legal right of compensation that goes beyond section 85 of the RMA.

The interface between regulatory controls and non-regulatory mechanisms like a biodiversity credit framework will need close consideration as well, as a way to use property rights to protect the natural environment while helping landowners do the right thing for nature. Further funds could be established to provide grants to landowners, but this needs to be carefully designed to avoid the assumption that public interest controls need to be purchased.

Key points

- It is not clear that section 85 of the RMA has been utilised to its full potential to address concerns with regulatory overreach.
- There are improvements that could be made to the system without creating a new regulatory takings framework, such as providing more guidance as to the meaning of ‘unreasonable use’ and ‘unfair burden’ currently in section 85; establishing a more proactive mechanism for screening plans for compliance with the section; codifying proportionality requirements currently in case law; and ramping up financial support mechanisms for landowners.

Endnotes

- 1 On compensation in the context of resource management in New Zealand, see B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401.
- 2 Another is to require that regulation be more rigorously justified. This is also proposed by the EAG in the form of regulatory justification reports by councils.
- 3 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025). Detail has been delegated to Ministers.
- 4 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment), from [104].
- 5 Presumably the logic is that overlays can be much more targeted at a smaller range of particular landholdings and therefore impose more focused burdens on particular owners relative to others. Interestingly, the EAG’s proposal to exclude underlying zoning might actually *cut off* possible compensation currently available under the RMA. For example, this might occur where an entire part of the coastal environment was rezoned as a coastal protection zone.
- 6 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [111], footnote 8.
- 7 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [111].
- 8 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [110].
- 9 EAG at [104].
- 10 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 11 B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401.
- 12 Case law under the RMA has also made it clear that the narrow property focused ethos of 19th century legal thought has been superseded by the public interest focus of the RMA: see *Falkner v Gisborne District Council* [1995] 3 NZLR 622 at 630; *New Zealand Suncern Construction Ltd v Auckland City Council* [1996] NZRMA 411 at 425.
- 13 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 14 B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401.
- 15 *Regulatory Impact Statement: Maintaining indigenous biodiversity under the RMA 1991*.
- 16 *Commission staff working document: fitness check of the EU Nature Legislation (Birds and Habitats Directives)* (Brussels, 16.12.2016 SWD(2016) 472).
- 17 *Commission staff working document: fitness check of the EU Nature Legislation (Birds and Habitats Directives)* (Brussels, 16.12.2016 SWD(2016) 472).
- 18 *Commission staff working document: fitness check of the EU Nature Legislation (Birds and Habitats Directives)* (Brussels, 16.12.2016 SWD(2016) 472).
- 19 B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401.
- 20 Case law has established the principle that the burden imposed on private landowners must be proportionate to the public benefit: See *Body Corporate 97010 v Auckland City Council* (1992) 2 NZRMA 257 at 265; Real Group Limited Notice of Appeal ENV-2021-CHC, at 66.
- 21 See *Application by Steven* (1997) 4 ELRNZ 64; *Steven v Christchurch City Council* [1998] NZRMA289.
- 22 Interestingly, this does not seem to extend to a consent condition, and specifically excludes designations and heritage orders.
- 23 Via submission to a plan or plan change (or appeal), or an application for a plan change.
- 24 The Council chooses which pathway is the appropriate one.
- 25 Fifteen cases to the Planning Tribunal, Environment Court and High Court between 1991 and 2013 involved applications for relief under section 85. The reasons for such few instances are not clear. For example, it may be that landowners are not aware of its potential use, or that such issues are addressed through planning processes before legal proceedings take place. It has also been argued that the difficulty and cost of obtaining the evidence necessary to meet the 85 threshold could be one explanation (see C Iorns and J Watts *Adaptation to Sea-Level Rise: Local Government Liability issues*, National Science Challenges, July 2019 at 72).
- 26 *Hastings v Auckland City Council ENC Auckland* [A068/01]. The court found that ‘open space’ zoning would render the land incapable of reasonable use and would place an unfair burden to the owners given that it would not allow for any development which would enable economic use, even if it had no significant adverse effects on the environment. The Court, accordingly, directed Auckland City Council to zone as ‘Business’ all the land outside of the areas required for railway links and proposed railway reclamation.
- 27 *Steven v Christchurch City Council* [1998] NZRMA 289 at [49]. It was conceivable that the council may have applied to demolish it on grounds that it was causing and adverse effect on the neighbourhood.
- 28 *Canterbury Regional Council v Christchurch City Council* (C134/08) at [18].
- 29 For example, in *Awatarariki Residents Inc v Bay of Plenty Regional Council* [2020] NZEnvC 215 (see [17]), the appellants argued that plan changes – which rezoned areas of Matatā from ‘residential’ to ‘coastal protection’ and which would terminate any existing use rights and prohibit residential activity – contravened section 85. However, the Court did not need to address the issues raised, given that Awatarariki Residents reached an agreement with Council for their voluntary managed retreat prior to the hearing.
- 30 See C Iorns and J Watts *Adaptation to Sea-Level Rise: Local Government Liability issues*, National Science Challenges, July 2019 at 13.
- 31 *Reasonable use*, in relation to land, includes the use or potential use of the land for any activity whose actual or potential effects on any aspect of the environment or on any person (other than the applicant) would not be significant.
- 32 See C Iorns and J Watts *Adaptation to Sea-Level Rise: Local Government Liability issues*, National Science Challenges, July 2019 at 71.
- 33 Although the courts have also held that “reasonable use is not synonymous with optimum financial return”: *Landco Mt Wellington v Auckland City Council* [2008] NZEnvC 192, at [18].
- 34 *Landco Mt Wellington v Auckland City Council* [2008] NZEnvC 192; *Gordon v Auckland Council* [2012] NZEnvC 7.
- 35 *Riddiford v Masterton District Council* [2010] NZEnvC 262 at [45].
- 36 “Unfair” may refer to qualitative matters, while unreasonable generally deals with qualitative matters: *Steven v Christchurch City Council* [1998] NZRMA 289, at [40].
- 37 B Loutit and C Faesenkloet “The Difficulties With Making a Case Either Way on Reasonable Use” [2012] RMJ 29 at 30.
- 38 Although this was before the option of compensation (acquisition) was available, so the remedy was a change in the planning provisions concerning density.
- 39 For example, general bulk, location, height, building intensity or vegetation clearance controls do not satisfy the section 85 tests: *Nicholls v Papakura District Council* (W086/96); *Power v Whakatane District Council HC Tauranga CIV-2008-470-456* 30 October 2009; *Purdie v Wellington City Council* [2010] NZEnvC 83.
- 40 *Landco Mt Wellington v Auckland City Council* [2008] NZEnvC 192, at [14].
- 41 See *Trustees of Glencally Trust v Northland Regional Council* [2015] NZEnvC 158.
- 42 B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401.
- 43 As well as some different elements of process (eg a presumption of compensation where rules went beyond national standards).
- 44 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [109].
- 45 <https://www.nzherald.co.nz/business/economy/employment/a-single-viewshaft-of-mt-edenis-costing-auckland-14b-says-pwc/R3ZOVZVHFBDTHKDUOSDL6R33HE/>
- 46 With the Auckland Unitary Plan recording 3,642 entries.
- 47 https://data-aucklandcouncil.opendata.arcgis.com/datasets/b40f8baea5ce4e348e339a2d7d367b8b_0/explore; <https://unitaryplan.aucklandcouncil.govt.nz/Images/Auckland%20Unitary%20Plan%20Operative/Chapter%20L%20Schedules/Schedule%203%20Significant%20Ecological%20Areas%20-%20Terrestrial%20Schedule.pdf>
- 48 On the significant fiscal constraints of local government, see generally New Zealand Productivity Commission *Local government funding and financing* (2019).
- 49 <https://qeii.nationaltrust.org.nz/>; <https://www.rnz.co.nz/news/environment/563695/qeii-national-trust-prepares-to-dramatically-scale-back-work>
- 50 Although it would depend on what national standards for various overlays looked like, given that compensation may be payable by councils only if they imposed more stringent requirements.
- 51 https://planning.org.nz/Category?Action=View&Category_id=1242
- 52 <https://legalguide.ie/compensation/>; Art 40.3, 43.

Article 43.

Central Dublin Development Ass v AG (1969) 109 ILTR 69. See generally *Simons on Planning Law* (Third Edition, 2021).

<https://legalguide.ie/compensation/>

<https://legalguide.ie/compensation/>; Laffan and O'Mahony "Bringing Politics Back In: Domestic Conflict and the Negotiated Implementation of EU Nature Conservation Legislation in Ireland" (2008) *Journal of Environmental Policy & Planning*. For example, a national list of Areas of Scientific Interest published in 1981 was set aside as unconstitutional in one case (*MacPharthalain v Commissioners of Public Works* [1994] 3 IR 353), primarily because landowners had not been properly notified that their lands were on the list and because the exercise had no statutory backing.

Ireland has recently enacted a new Planning and Development Act 2024, which largely carries over the compensation provisions of the Planning and Development Act 2000. See generally schedules 3-6 of the new Act.

Planning and Development Act 2024, sched 3(1).

Planning and Development Act 2024, sched 4(1)-(3).

Planning and Development Act 2024, sched 4.

Planning and Development Act 2024, sched 4(9).

Planning and Development Act 2024, sched 4(10).

Planning and Development Act 2024, sched 4.

See <https://legalguide.ie/compensation/>. Prior to this, it was assumed that such things might require compensation.

Clonres CLG v An Bord Pleanála [2021] IEHC 303, [83] (Ir). Compare *Tracey v Ireland* [2019] IESC 70, [26]-[27] (Ir).

<https://legalguide.ie/compensation/>

Planning and Development Act 2024, s 439.

Planning and Development Act 2024, s 438.

Planning and Development Act 2024, s 444.

Planning and Development Act 2024, s 441.

See, for example, R Walsh "Constitutional Property and Progressive Property's Compatibility: A Reappraisal" (2024) 10:1 *Texas A&M Journal of Property Law* 81 at 104.

Manitoba Fisheries Ltd v The Queen [1979] 1 SCR 721, 88 DLR (3rd) 462.

Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025 (March 2025, Ministry for the Environment) at [106].

B Barton "The legitimacy of regulation" (2003) 20(3) *New Zealand Universities Law Review* 364-401; R Meltz, D H Merriam & R M Frank *The Takings Issue: Constitutional Limits on Land Use Control and Environmental Regulation* (Washington DC: Island Press, 1999).

See the Supreme Court case of *Village of Euclid v Ambler Realty Co* 272 US 365 (1926).

As well as balanced factors like the economic impact of the regulation on the landowner, the extent to which the regulation interferes with distinct investment-backed expectations, the character of the government action, and proportionality. See generally B Barton "The legitimacy of regulation" (2003) 20(3) *New Zealand Universities Law Review* 364-401.

Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025 (March 2025, Ministry for the Environment) at [106].

Pennsylvania Coal Co v Mahon 260 US 393 (1922).

<https://www.gov.ie/en/department-of-agriculture-food-and-the-marine/publications/land-use-review-phase-1/> at 83.

Partly because the sites actually allow most rural activities to continue – they are not fenced off from use.

Laffan and O'Mahony "Bringing Politics Back In: Domestic Conflict and the Negotiated Implementation of EU Nature Conservation Legislation in Ireland" (2008) *Journal of Environmental Policy & Planning*.

<https://ieep.eu/wp-content/uploads/2023/01/RSPBcrosscompliance.pdf>

Although governments sometimes choose to frame them this way: see <https://www.npws.ie/faq/natura2000#faq-5581>

See https://agriculture.ec.europa.eu/common-agricultural-policy/income-support/conditionality_en. EU Directives do provide Member States with the opportunity to compensate for restrictions on farming and forestry activities in Natura 2000 sites. However, this has not been widely used. Compensation has been more forthcoming in the specific situation of property losses resulting from large carnivores (eg bears) killing livestock or fish (a problem not faced in New Zealand).

This €1.5 billion scheme is part of the country's CAP Strategic Plan. This scheme aims to support farmers in addressing biodiversity loss while providing income support. Participants can receive a maximum payment of €10,500 per year, with €7,000 from results-based actions. In Hesse, Germany, for example, there is a foundation which pays for the preparation of forest management plans in Natura 2000 areas.

For example, see <https://www.wildatlanticnature.ie/>; https://cinea.ec.europa.eu/programmes/life_en

The language used varies, sometimes using terms 'payment' and 'compensation' interchangeably https://ec.europa.eu/enrd/sites/default/files/rdp_analysis_m12.pdf

<https://www.gov.uk/government/publications/environmental-land-management-update-how-government-will-pay-for-land-based-environment-and-climate-goods-and-services/environmental-land-management-elm-update-how-government-will-pay-for-land-based-environment-and-climate-goods-and-services>

Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025 (March 2025, Ministry for the Environment) at [104].

Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025 (March 2025, Ministry for the Environment) at [111].

This is not to say that section 85 itself should be removed. Overlays that prevent reasonable use and impose unfair burdens should remain compensable as under the RMA.

See generally https://environment.govt.nz/assets/publications/biodiversity/report_of_the_biodiversity_collaborative_group.pdf

See generally <https://eds.org.nz/wp-content/uploads/2022/01/A-place-to-stand-complete.pdf>

Even under section 85 of the RMA, such overlays are being tested where they allegedly result in land being incapable of reasonable use: see *Blue Wallace Surveyors Ltd v Waikato District Council* NZEnvC 186 at [8].

See generally <https://environment.govt.nz/assets/Publications/Environmental-Reporting/our-land-summary-english.pdf>

Iorns and Watts have persuasively argue that it is likely that more councils will in the future restrict coastal development through mechanisms such as hazard lines on plans and possibly rezoning. As such, there may be more attempts to challenge controls under section 85. See C Iorns and J Watts *Adaptation to Sea-Level Rise: Local Government Liability issues* (National Science Challenges, July 2019, at 77). This would be exacerbated by a more extensive takings regime based on significant impairment in value.

This could lead to territorial authorities (especially those with a low rating base) to withdraw from heritage protection, rather than meeting the costs for compensation. See B Nahkies "Heritage Protection and the Compensation Issue" (1999) PQ 11.

Compare B Barton "The legitimacy of regulation" (2003) 20(3) *New Zealand Universities Law Review* 364-401, where the author notes that the literature from a libertarian perspective seldom seeks to articulate exactly the point at which regulation is acceptable.

<https://catobolam.co.nz/news/contaminated-land-investigations-one-size-does-not-fit-all/>

See <https://www.waikatoregion.govt.nz/assets/WRC/WRC-2019/TR201334.pdf>. The fund was used to buy and change land use, and to purchase allowances directly (after they had been grandparented to existing users) while retaining farmer ownership of the land. The use of economic instruments to reduce 'rights' around Lake Taupō required complementary funding measures through the Lake Taupō Protection Trust and the retirement of dairy farms on the western shores of the lake to achieve the necessary reduction in Nitrogen inputs.

<https://www.waikatoregion.govt.nz/assets/WRC/WRC-2019/TR201334.pdf> at 27.

Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025 (March 2025, Ministry for the Environment) at [111]: "There would be a presumption that a restriction on land use for overlays, identified by a national methodology, would not trigger a claim for compensation for takings. However, affected landowners could apply to the Environment Court to displace that presumption".

<https://newsroom.co.nz/2025/04/23/court-bolsters-mackenzie-protection-but-govt-reforms-cast-a-shadow/>

See Planning and Development Act 2024 (Ireland), s 452.

Fore World Developments Ltd v Napier City Council EC Wellington W29/06, 13 April 2006, at [125].

Planning and Development Act 2024 (Ireland), s 437.

- 107 https://planning.org.nz/Category?Action=View&Category_id=1242
- 108 In Ireland, “regard shall be had only to such reasonable possibilities as, having regard to all material considerations, could be judged to have existed immediately prior to the relevant decision” (Planning and Development Act 2024 (Ireland), sched 6(3)).
- 109 In Ireland, in situations where compensation is available, diminution in value is referred to a property arbitrator, based partly on differences in open market valuation but also taking into account other factors. See <https://legalguide.ie/compensation/>; Planning and Development Act 2024 (Ireland), s 448; Acquisition of Land (Assessment of Compensation) Act 1919.
- 110 Unless it actually went to market.
- 111 <https://legalguide.ie/compensation/>. See Planning and Development Act 2024 (Ireland), sched 6.
- 112 See Planning and Development Act 2024 (Ireland), s 435, where “the amount of compensation payable is the damage (if any) to his or her trade, business or profession carried out on the land”.
- 113 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [111].
- 114 In the USA, this has become a complex question: see *Keystone Bituminous Coal Assn v DeBenedictis* 480 US 470 (1987).
- 115 The EAG has supported government proposals for value uplift capture for where public investment in *infrastructure* occurs (eg increased valuations where houses are close to a new train station). However, this is quite different to where *regulatory* intervention increases property values.
- 116 <https://www.mhc.ie/latest/insights/land-value-sharing-and-urban-development-zones>
- 117 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>. Compare B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401, where it is said that “The assumption that the RMA reduces land value also needs checking. Land use regulation often enhances the value of one’s land because of the restrictions on what your neighbours can do”.
- 118 Case law under the RMA has established that land is not rendered incapable of reasonable use simply because some form of resource consent is required to avoid, remedy, or mitigate adverse effects on the environment: see *Riddiford v Masterton District Council* [2010] NZEnvC 262 at [45]; *Newbury Holdings Ltd v Auckland Council* [2011] NZEnvC 364. In Ireland, land use is not presumed to be permitted and often requires planning permission. This means that compensation arguments often arise at the detailed project stage, not in plans.
- 119 And even where they appear clear, there can still be a consenting pathway through (for example, in the case of Auckland’s East-West Link roading project: *Royal Forest and Bird Protection Society of New Zealand Incorporated v New Zealand Transport Agency* [2024] NZSC 2).
- 120 The NPS for Indigenous Biodiversity requires species to be managed to maintain their long-term populations over the course of consecutive rotations. This replaces the ‘avoid’ requirements and the effects management hierarchy which normally apply to SNAs (see <https://environment.govt.nz/assets/publications/npis-forestry-info-sheet.pdf>). Similarly, in the EU, Natura 2000 sites do not require ‘zero effects’, only that activities do not undermine the protected *values* of the site (eg impacts on a particular type of bird).
- 121 Even under the RMA, the Courts have emphasised that section 85 claims can be impossible to determine on the basis of planning provisions that allow consenting pathways, because it is hard to establish that an activity is actually prevented. This would raise particular challenges in a new system that is intending to remove the ‘zero effects’ (avoid) requirement for SNAs, because a more nuanced approach through a consenting pathway may instead be required.
- 122 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024) at 23.
- 123 Food and Agriculture Organization of the United Nations *The State of Food and Agriculture 2023: Revealing the true cost of food to transform agrifood systems* (2023) at 100.
- 124 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024) at 45, citing E Corong and others *Value of irrigation in New Zealand: An economy-wide assessment* (NZIER, 2014).
- 125 <https://environment.govt.nz/assets/Publications/Files/action-for-healthy-waterways-information-on-benefits-and-costs.pdf>
- 126 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024).
- 127 <https://legalguide.ie/compensation/>. Planning and Development Act 2024 (Ireland), sched 6(2)(b)(i). In the EU, support for farming is quite common in the form of grants under the Common Agricultural Policy.
- 128 https://www.ecologic.eu/sites/default/files/project/2015/documents/kh3012137enc_002.pdf
- 129 Instead, the test “must be based on all the evidence and assessed on the merits with a focus on the public interest”. See *Golf (2012) Ltd v Thames-Coromandel District Council* [2019] NZEnvC 112, at [123].
- 130 *Francks v Canterbury Regional Council* [2005] NZRMA 97 (HC).
- 131 *Credit: Far North District Council*.
- 132 <https://fyi.org.nz/request/15613/response/59465/attach/4/4899d%20Significant%20Natural%20Areas%20of%20Far%20North%20District%20Volume%201%206%2011%2019.pdf>
- 133 Far North District Council “Significant Natural Areas Feedback Extended” (25 May 2021) www.fndc.govt.nz/Whats-new/Latest-news/Significant-Natural-Areas-feedback-extended
- 134 Resource Management (Freshwater and Other Matters) Amendment Act 2024, s 20.
- 135 Council adopted the recommendations of the Independent Hearings Panel, including the insertion of Schedules 21.22 and 21.23 into Chapter 21 concerning the Rural Zone. These outline the values associated with ‘priority areas’ – landscapes and features under particular pressure in the short-term from various forms of development.
- 136 Decision of commissioners Helen Atkins, Lisa Mein and Robert Scott appointed by Queenstown Lakes District Council pursuant to section 34A of the RMA 1991 (RM230874), 12 February 2025 at [23].
- 137 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf> at 3.
- 138 For example, the RMA provides a process by which viewshafts can be protected, and balances various factors in determining what height limits and viewing angles should be.
- 139 The New Zealand Planning Institute notes that “although there have only been [only] three successful applications in the past 22 years, we consider that this is consistent with the fact that this is a last resort remedy” see https://planning.org.nz/Category?Action=View&Category_id=1242
- 140 B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401.
- 141 We understand there have been issues, for example, in lay submitters failing to raise section 85 arguments in submissions and therefore losing the ability to argue the case in court.
- 142 Compare B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401, where the author notes that compensation should be available in the kinds of cases where section 85 has been successfully argued.
- 143 The tests for what can be considered in determining if land has been made “incapable of reasonable use” and what “places an unfair and unreasonable burden” are unclear, especially in the context of future risk like rising sea levels. See <https://environment.govt.nz/assets/what-government-is-doing/MOG-13-18-October-2021.pdf> at 29-30.
- 144 https://environment.govt.nz/assets/publications/biodiversity/report_of_the_biodiversity_collaborative_group.pdf



4 Legislative design

Auckland

Another possible shift for a future system is changing how its legislation is designed. Legislative design refers to what statutes look like. New Zealand has a Legislation Design and Advisory Committee (LDAC) to provide advice when making or changing legislation.¹

For resource management, one of the most important choices about legislative design is how to ‘split’ content across different statutes, notably various domains like land, water, air and the marine environment. This debate has been going on for many years.² There is significant risk in getting it wrong, as the system can become complex and inefficient, and things can fall between the cracks.

Historically, town and country (land use) planning evolved for quite different reasons to ‘environmental’ statutes (eg those dealing with point source pollution or the abstraction of water). Such legislation still remains separate in most OECD countries. In New Zealand, that was also the case until the RMA integrated land and other domains into a single Act with one purpose.³

Should that be undone, and if so, how?

4.1 Government proposals

Cabinet has decided that the RMA will be replaced by “two Acts that separate land-use planning and natural resource management – a Planning Act and a Natural Environment Act”.⁴ The former will be a framework for “planning and regulating the use, development and

enjoyment of land” while the latter will deal with the “use, protection and enhancement of the natural environment”.⁵

The EAG agreed with this way forward, but not necessarily because it was the best thing to do. Rather, it proceeded on “the basis that there would be a high bar to displace this Cabinet directive”.⁶ Its report did not provide an examination of alternatives and appears to have largely adopted Cabinet’s preference for two acts uncritically.

4.2 The problem/opportunity

The RMA has been said to do three things: it is the place where land use is planned (including through zoning), where the adverse effects of activities on the natural environment are managed (eg through consent conditions), and where rights to use common pool resources (eg to take freshwater) are allocated. Cabinet has said that doing all these things in one statute is problematic, in that it causes:⁷

conflict between objectives and a lack of clear direction on priorities. The result has been poor outcomes for both development and the natural environment.

That is no doubt correct. But is it the product of an integrated statute, or other factors? The Ministry for the Environment has doubts. It recommended in its regulatory impact statement that new legislation

remain integrated similar to the RMA.⁸ Consider the main complaints about integrated management:

1. Issues with the RMA being a **handbrake on development** (to the extent this is actually true) do not clearly arise from there being one act, but rather from poorly constructed plans, processes and implementation.
2. Observations that the RMA **does not mention the benefits of development** in its purpose and principles (and is therefore ‘imbalanced’ in favour of the environment) do not obviously suggest splitting the Act. Rather, they suggest changing Part 2 or equivalent provisions directly (see Chapter 5).⁹
3. **Conflicts between the RMA’s objectives** need resolution, but this does not magically happen by splitting them across different acts (and this could make it *harder* if they are disconnected).
4. A **lack of direction or prioritisation** under the RMA is not because there is a single act. It is because there has been a lack of political will at central and local levels to do what the RMA has always allowed regulators to do, combined with an Act that seldom requires them to do so.¹⁰ For example, national direction has been created in an ad hoc way, resulting in significant gaps (eg for natural hazards and, until 2023, for indigenous biodiversity) and unclear relationships between instruments.
5. A suggestion that **the RMA ‘does too much’** raises questions about the scope of the system as a whole (see Chapter 2) and the focus of particular institutions like councils within it, not the scope of individual statutes. How would splitting the same objectives over two statutes help (keeping in mind that there is already considerable room for more focused decisions to be dealt with through district and regional plans, where the functions of decision-makers *are* more targeted)?
6. The idea that **‘planning’ needs a more positive focus** does not clearly distinguish this kind of endeavour from environmental management, where restoration is also crucial.¹¹
7. **‘Overly moribund and complex’ and disproportionate regulations** are complaints about process and purpose, not legislative design.

That said, splitting the RMA may also have some benefits if done well. In particular, a Natural Environment Act could provide greater focus for environmental protections. If it had a suitable scope, a protective purpose and a strong hierarchical relationship with a Planning Act, it could more effectively insulate the kinds of protections (including biophysical limits) that the RMA has tended to put into a broader melting pot of sustainable management (where development and environment have been balanced). Through a Planning Act (and spatial plans under it), it could also more tightly link land use planning with infrastructure provision. These things are currently managed under separate statutory frameworks.¹²

Key points	• The government’s proposal to split the RMA is not a well-targeted solution to the problems identified within the system. • However, there are some potential benefits of splitting the Act if done well, including a greater focus on the environment and a framework that insulates limits from the RMA’s broader melting pot of development and protective considerations.
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4.3 Discussion

4.3.1 Splitting the RMA has general risks

While it could certainly be done, there are risks in splitting the RMA that need to be carefully considered and mitigated in any model.¹³ Below, we outline some general risks, before exploring rationales for splitting the Act and then identifying the most promising way forward.

1. The **natural environment is a single, interconnected whole** and its management (purpose, process, institutional roles) needs to be integrated rather than siloed. The system is already too fragmented (creating difficult boundary issues and overlap),¹⁴ and splitting the RMA (in any way) would make this worse.¹⁵ For tangata whenua, the system “has often seen issues narrowed such that they are almost unrecognisable in Māori terms”¹⁶ and fragmentation would undermine concepts like cultural landscapes that would allow “multi-faceted relationships that mana whenua have with land and water to be adequately protected and restored.”¹⁷
2. Splitting the Act (rather than just carving specific elements off) would be a large change and would **disrupt existing case law**

and create uncertainty, litigation (including judicial review) and additional cost.

3. It would also **disrupt existing RMA instruments**, which would have to be revised to 'fit' into the purposes and subject scope of different statutory frameworks. This would take time. It is not clear which NPSs or national environmental standards, or aspects of regional or district instruments, would find their home under which Act, given that each statute is envisaged to have its own national policy direction.¹⁸ Some might need to be pulled apart and their provisions distributed in ways that were not intended. For example, many NPSs have been designed to span regional/district functions, to use various Part 3 RMA tools, and give effect to multiple Part 2 RMA principles. They would not be easily disentangled without fundamental rewriting. A split would therefore be inconsistent with the idea that national direction should seamlessly transition into a new system.
4. Many **detailed procedural provisions (which comprise the bulk of the RMA)**¹⁹ **would either need to be duplicated or cross-referenced, making the system more complex, longer and less accessible** (all things the government wishes to fix, not make worse). The EAG pointed out this fact ('some processes are likely to be repeated') while seemingly giving this little weight in its recommendations.²⁰ For example, extensive provisions about compliance monitoring and enforcement, consenting process, and plan-making may be largely the same under both statutes.
5. The idea of split acts is arguably **inconsistent with the idea of simplifying the system by having a single plan at a regional level** (and therefore a single consenting, impact assessment and enforcement framework) for each region. Two acts with different purposes and processes would struggle to generate integrated plans, which would be particularly disruptive for unitary authorities (notably Auckland, which has just spent the best part of a decade refining a single regulatory plan).

Key point

- Splitting the RMA creates a number of risks, including fragmented management of the natural environment, increased complexity, uncertainty and litigation, and duplication. These will need to be carefully managed in any model.

4.3.2 *There needs to be a clear rationale for a split*

Although we do not consider the case for splitting the RMA to be strong, government has decided to pursue this approach. It is therefore worth exploring how it could best be achieved. To do this, the rationale for the split needs to be made very clear, as this will help determine what pieces of the RMA should go where. There are several possible reasons for having separate statutes.

1. To ensure some decisions are guided by a **different legislative purpose**/set of principles than others (which partly explains the separation of statutes like the Building Act and Fisheries Act from the RMA).²¹ Each statute is defined by its own distinct purpose, even though there is overlap in the things they manage.
2. Because the **ecosystem of tools and decision-makers** contained in one act is quite different to that in another (which explains the separation of statutes for fisheries, waste minimisation, the emissions trading scheme, and hazardous substances despite all those things falling within the broad sustainable management purpose of the RMA).²²
3. To provide more **focused attention** or visibility on particularly urgent or important topics (eg partly explaining standalone COVID-19 response legislation).
4. To create a **clear relationship or hierarchy** between different statutes, which might not be as clear if decisions are all embedded in one act (partly explaining separate legislation for national parks, which applies alongside the RMA).
5. To allow **related decisions to be made within the same legislative framework** (which explains elements of legislation like the Urban Development Act, which ties together funding and planning/consenting decisions for particular developments, and the Fast-track Approvals Act, which provides a one-stop shop for approvals under the RMA, Conservation Act, EEZ Act and other statutes).

The government's rationale appears to be largely the first: to ensure that some regulatory decisions ('planning') currently made under the RMA will be guided by a fundamentally different legislative purpose or criteria than others ('environment').²³ This logic has some attraction from an environmental perspective, as long as environmental concerns take

precedence. Part 2 of the RMA has allowed the environment to be balanced against development, to the persistent detriment of the former (see Chapter 5). On the other hand, the RMA's purpose and principles have been criticised for saying too little about the benefits of development. Urban growth and infrastructure do not, for example, make an appearance in Part 2.

Assuming such criticisms are valid, what might that mean for a split? To determine what goes where, we need more than just two acts with two purpose statements. We also need to understand what specific decisions they should apply to. In other words, what do 'planning' and 'environment' actually mean and how are they different? We can usefully start with the relevant design principle adopted by Ministers:²⁴

One [Act] to manage **environmental effects** arising from activities, and another to **enable urban development** and **infrastructure**.

The EAG recommended:²⁵

Distinguishing between legislative objectives and functions for **land-use planning** and **natural resource management**.

This leaves much unanswered about how to operationalise a split, depending on which element is emphasised. The door has been left open to four quite different approaches, which we explore below.

Key points	• There are several possible rationales for splitting the RMA. • The government's rationale appears to be to apply separate purposes (enabling and protective) to different 'types' of decision. • The key design question is, then, which purposes should apply to which specific decisions.
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4.3.3 A spatial split

Are decisions about resource management in *urban* environments different from those in *non-urban* places? Could we simply draw a line around cities and manage those differently? Ministers have recently made comments suggesting this split is a possibility, so it is worth addressing.²⁶

Urban settings look quite different to rural or other spaces (eg marine space or conservation land). For some, this "is a distinction that holds the key to

pragmatic law reform".²⁷ A similar point was made by the EAG: cities involve inevitable frictions between neighbours (eg shading, privacy etc) that are not really about the natural environment as most people understand it.²⁸ For some things, that makes sense. For example, there are drivers for planning in and around urban areas that do not manifest as strongly in rural settings, like constrained land supply for housing/shops and the management of more intense boundary effects like shading and privacy.

However, as pointed out by the Productivity Commission and others, the key distinction in urban settings is not *different* purposes, but *additional* purposes.²⁹ Nature does not (or *should* not) disappear in cities. If anything, the need to protect and enhance the environment in and around cities is more important than outside them, given the huge environmental pressures that come from, and are felt by, dense agglomerations of people and activities.³⁰ Rivers run through towns. Species do not make a distinction between suburbia and lifestyle blocks. And 'friction' effects can also exist outside of cities, even if most are less intense.³¹

This does not, therefore, suggest a binary spatial split of legislation, but rather a broader, additional set of principles (eg around land supply) to be applied *where and to the extent relevant* to achieve an outcome (eg housing affordability).³² After all, other non-urban environments also involve unique considerations, yet we do not have bespoke legislation for lakes, grasslands and forests. The Māori worldview also militates against arbitrary spatial distinctions, in that:³³

as a first principle the integrated relationship of all natural and physical resources within a catchment. It does not matter if natural and physical resources fall within an urban or rural zone within a town-planning document, they are connected regardless.

An urban/non-urban split would also make strategic planning more difficult in practice, since there is a constant need to consider where the interface between urban and non-urban spaces is located (eg when cities grow/shrink over time). Indeed, this is one of the main points of spatial planning. Urban growth needs to be managed in an integrated way with surrounding land uses (including food producing land) and other resources (eg freshwater). Many such outcomes straddle spatial boundaries.³⁴

Such a split would raise many other tricky questions. For example, should a 'future urban' zone be subject to both 'urban' and 'non-urban' legislation, and when would it flip from one act to another?³⁵ What about lifestyle blocks or green belts? Such difficulties are why most countries have Town *and* Country Planning Acts, and why the design of spatially defined

statutes (like the Urban Development Act 2020, and similar legislation in Ireland) has proved challenging (because one area is master planned and developed without necessarily fitting into surrounding parts of a city or its infrastructure).³⁶

Key points

- While urban and non-urban spaces look different and give rise to effects that are different in their intensity, they are connected and need to be planned in an integrated way.
- Cities are not just about enabling development, they include nature, and there is a strong imperative to make them greener.



Auckland waterfront

4.3.4 A domain-based split

A second option would be for a Planning Act to regulate ‘land use’ and a Natural Environment Act to deal with other domains or human activities (eg discharges or the taking of water). This is the most literal interpretation of Cabinet’s decision to separate land use from natural resource management.³⁷

That said, no clear distinction between ‘land use’ and ‘natural resource management’ has been provided. The concepts clearly overlap. In fact, the EAG offered a definition of the ‘natural environment’ that includes ‘land’.³⁸ So what does this mean?

One obvious possibility is that one act would provide jurisdiction under sections 9 to 10 of the RMA (land use and subdivision) and the other would give jurisdiction over activities under sections 11 to 16 of the RMA (all of its other controls).³⁹ From a drafting perspective, this would be straightforward – different Part 3 RMA matters could be lifted out and put in different places, just as the management of minerals was extricated from earlier iterations of the RMA before it was passed in 1991.



However, there would be challenges. For instance, it is by no means obvious which Part 3 matters should be in one act or in another.⁴⁰ When is a control on land actually about protecting the ‘environment’ rather than ‘planning’? It depends what we mean by these terms. For example, consent conditions for noise, lighting and traffic are sometimes about protecting fauna like birds and insects, not just dealing with nuisance between

neighbours. Similarly, controls on contaminated land, earthworks, urban tree felling, landscape, vegetation clearance, the use of the surface of lakes and rivers, and occupation of the coastal marine area all span the artificial divide between 'environment' and land use. Natural inland wetlands are particularly ambiguous, given their hydrological characteristics can change seasonally (they are sometimes 'land' and sometimes 'lake'), and required cross-cutting national direction in 2020 to clarify jurisdictional ambiguities.⁴¹ Some arbitrary choices would need to be made about what went where, and why.

Carving off sections 9 to 10 of the RMA into a Planning Act would also create transitional issues. If district plans were deemed to be 'Planning Act' chapters of new combined plans, and regional plans were 'Natural Environment Act' chapters (as recommended by the EAG),⁴² their content would not perfectly reflect a domain-based split. This is because regional plans sometimes use section 9 jurisdiction to control land uses (eg agriculture or earthworks) directly to pursue regional functions (eg freshwater quality).⁴³ For example, input controls on fertiliser, stock exclusion rules, or stocking rates in regional plans rely on section 9, not section 15 (discharges). This *could* be remedied by transferring all such functions to district councils instead. But doing so would create a disconnect between the functions of regional councils (environmental protection) and the tools needed to perform them effectively (land use regulation).⁴⁴ Also, district councils would not be well equipped to take up regional functions.

Most importantly, the split would mean that all land use controls would be subject to an enabling, rather than protective, purpose. This would be disastrous for the environment, for a number of reasons.

1. Sometimes land use controls are a proxy for protecting 'common pool' resources like freshwater, thus belonging firmly under legislation with a protective purpose. Most 'wicked' pollution problems in New Zealand now arise from the cumulative effects of how land is used, not point source discharges that can be managed in isolation through individual consents. For example, land use controls often restrict activities like intensive agriculture that create diffuse nutrient runoff⁴⁵ or urban development that has risks for sedimentation of waterways.⁴⁶ The EAG specifically noted that land-use change has put pressure on ecosystems and native species,⁴⁷ yet (rather confusingly) has proposed a model with a separate, more enabling statute for land use.

2. Land use controls on individual parcels of private land are often responsible for protecting the land itself, including by preventing harm to indigenous biodiversity (eg via vegetation clearance rules) and elite soils, or by guarding against the contamination of land. These things clearly require a protective purpose if they are to achieve public interest outcomes. This is one reason why district, and not just regional, councils are guided by the protective elements of section 6 of the RMA (matters of national importance). Again, despite recommending an enabling Act for land use, the EAG also appears to envisage that a Natural Environment Act *would* have scope to impose some land use controls, like SNA and ONFL overlays.⁴⁸
3. As recognised by the EAG, more strategic land use choices are also vital to environmental sustainability.⁴⁹ What goes where has implications for things like energy efficiency, coverage and efficiency of public transport, soil health, greenhouse gas emissions (eg through urban form and afforestation) and food production. For example, sediment bursts from forestry harvesting in hill country can lead to large effects if all trees in a catchment are planted (and therefore harvested) at the same time, or if they are planted in the wrong places to start with. Land use planning is therefore fundamentally an environmental exercise. It has long been recognised in countries that have separate planning and pollution legislation, like Ireland, that there is a "need to integrate environmental considerations into land use planning in a way that responds to the sensitivities and requirements of the wider natural environment".⁵⁰ We look at the Irish system in more detail at the end of this chapter.

For a domain-based split to work for the environment, two key things would be needed.

1. A Planning Act would need to have a robustly protective purpose/goals. If it did not, land use decisions would drive continued environmental degradation. But infiltrating environmental matters into a Planning Act as well as a Natural Environment Act raises the obvious question: why not keep the more integrated RMA that already does so? Or design a single replacement Act?
2. Regional councils⁵¹ would need to retain some jurisdiction over land use under a Planning Act. This means they would need to be involved not just in the process of preparing 'environment' chapters, but also 'planning' chapters.⁵² In effect, regions would need to co-create district plans.

Both these would make the system unnecessarily complex and could undermine the point of splitting legislation in the first place.

Key points	- Splitting the RMA into statutes concerned with 'land use' and subdivision (dealt with in sections 9 and 10 of the RMA) and 'environment' (sections 11 to 16 RMA matters) would be possible. - However, it would cause considerable problems if separately tied to enabling and protective purposes, because land use controls are often used to achieve environmental objectives by regional councils (eg water quality) and district councils (eg biodiversity). - Such a split would create transitional issues, because district and regional plans could not easily morph into 'land use' and 'environment' chapters of a combined plan in this way (as suggested by the EAG). Transition would be complex and take time.
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4.3.5 A purposive split

A third option within the scope of Cabinet decisions would be to essentially have two versions of the RMA, one with a purpose of 'enabling development' and another of 'protecting the environment'. Every activity (eg housing development, dairy farming, forestry etc) would then be subject to both statutes, which would regulate them to achieve different goals. This purposive 'layering' approach is actually quite common in our statute book. For example, the closure of oil wells is subject to both health and safety legislation and environmental legislation.⁵³ They both impose similar controls, but for different reasons.

There would be an obvious difficulty here. What would happen when the two acts clashed, as they inevitably would? Unlike health and safety and environmental legislation, the Planning and Natural Environment Acts would have *conflicting* rather than *complementary* purposes. For example, a large-scale housing development might be 'enabled' if the Planning Act rezoned relevant land from rural to residential. But it might then be refused if a Natural Environment Act sought to prevent paving over of productive land or the environmental costs of sprawl. When and how would those objectives be reconciled?

Without a clear hierarchy between the two acts (eg a protective purpose always coming out on top), a purposive split would shift arguments to unpredictable points when the two frameworks clashed. It could require extensive litigation to resolve. For example, it may be difficult to reconcile two packages of national direction produced under statutes with different purposes (eg one requiring urban development capacity and the other protecting indigenous biodiversity). National direction that failed to achieve one purpose may be open to legal action.

The same would be true of regional spatial plans, which is where the government seems to be thinking most spatial tensions would be resolved (see Chapter 7). In reality, however, many conflicts are most likely to arise when the more detailed natural environment and planning chapters of a single regional plan are created (eg when councils must work together to prepare a single combined plan for notification, or where an independent hearings panel makes recommendations to change it). This is because it is at this regulatory level where detailed environmental limits are likely to be established. If plans fail to provide certainty, tensions are likely to then be bumped to individual resource consent processes, particularly in circumstances where consent is required under each act. Without a single purpose articulating the relationship between the statutes, all these decisions may be highly uncertain.⁵⁴

A more realistic approach to a 'purposive' split could be where a Natural Environment Act, with a protective purpose that prioritised the environment, dealt with the same activities as a Planning Act but only where their effects reached a certain level of significance. A Planning Act would control lower level environmental effects arising from activities (including diffuse discharges). Certain activities would either be elevated to assessment under a Natural Environment Act, or require two permits (one from each act).

This is, essentially, how some models work overseas (see section 4.3.7 below). High risk activities like oil refineries are specifically listed in schedules to environmental legislation, and they trigger the need for separate licenses to be obtained alongside permits under planning legislation. However, as explained further below, this model is highly complex. It also is not consistent with the strict division between 'enabling' and 'protective' legislation envisaged by the government, because planning legislation overseas contains many environmentally focused safeguards and principles, including consideration of the cumulative effects of lower-risk activities.

Key points

- A purely 'purposive' split would involve having two statutes with different purposes, applying to the same activities, with each requiring authorisations for different reasons.
- This could exacerbate rather than resolve conflicts within the system, particularly at places where the two statutes come into conflict.
- It would result in a dual layer of permitting (and potentially an additional, parallel, system for land use planning where needed to achieve limits).
- An alternative would be for a Natural Environment Act to apply only to very high-risk facilities, and for a Planning Act to address lower-level environmental effects. This is how some overseas models work. However, these create complexity, and planning acts are not purely 'enabling' in the way envisaged by the government.

Environment Act, not the Planning Act, and that as a transitional measure all district plans would be deemed to be planning chapters and regional plans would be deemed to be environment chapters. All this implies a functional split, not a domain-based one.⁵⁹

Such a split would minimise disruption, because in most places in New Zealand there are already separate district and regional plans (although having two acts may complicate things further for unitary authorities).⁶⁰ It would also mean that regional councils in their 'environment' chapters would retain the ability to create land use rules to achieve environmental outcomes, as they do under the RMA.

However, the split would still require careful drafting. For example, many functions of regional and district councils overlap, and they would need to be distributed to the right statutory homes. These include functions relating to indigenous biodiversity protection, natural hazard management, climate change adaptation and mitigation, provision of development capacity, and identification and management of contaminated land. This overlap is less of a problem under the RMA, where protective considerations (eg sections 5 and 6 of the Act) underpin all such decisions where relevant, irrespective of who is making them. It would be much riskier for environmental outcomes if some shared functions were contained only in a Planning Act driven by development-focused goals.⁶¹

In particular, indigenous biodiversity protections on private land (including but not limited to SNAs) should be firmly within the jurisdiction of a Natural Environment Act. This is quite different to the RMA, where regional functions only include the creation of objectives and policies but not the actual rules for controlling the effects of land use on flora and fauna. Similarly, functions relating to land use in the coastal environment (where regulation is currently the preserve of district councils) should fall under the protective umbrella of a Natural Environment Act. So too should noise, light and traffic, to the extent they have ramifications for biodiversity, not just neighbourhood disputes.

In short, there are many district functions that are about the natural world and should not be lost within a more enabling framework. The EAG suggested that consent decisions be limited to the matters contained within each Act, but in the case of an urban development (for example) this would mean two separate consents dealing with the quite distinct impacts of noise or traffic (one on people, the other on the natural world).⁶² That would be inefficient.

4.3.6 A functional split

A fourth option would be to split the RMA according to the functions of regional and district councils. In our view this is the most promising approach. Under a functional split, a Natural Environment Act would reflect regional functions (including control of land for certain reasons) under section 30 of the RMA, while a Planning Act would reflect district functions under section 31.⁵⁵ Essentially, this would mean that district and regional plans (which would become separate 'planning' and 'environment' chapters in combined plans) would be given separate purposes/goals to guide their creation.

It is not clear whether this is the intention of the model proposed by the EAG. For example, despite concluding that the Planning Act should deal with 'land use', the EAG also defines the 'natural environment' (managed under the Natural Environment Act) as including 'land'.⁵⁶ It also proposes that the Natural Environment Act should manage the effects of 'activities on the air, water and soil components of the natural environment, and impacts on indigenous biodiversity, landscapes'⁵⁷ and the relationship of Māori and their culture with natural resources'.⁵⁸ But it does not say what tools (eg land use rules and consents) would be available to do so.

The report also proposes that SNAs and the natural character of the coast, wetlands and water bodies would be protected under the Natural

A spotlight on the place of regional policy statements

The EAG recommended removing regional policy statements (RPSs) from the system and replacing them with spatial plans. There may be overlaps between these two tools, meaning we may not need both. However, the prospect of split legislation raises some concern about their place in the system.

RPSs are key tools through which regional councils establish protective policies. These have a clear line of sight through to land use controls in district plans, which must give effect to RPSs.⁶³ RPSs have been intentionally designed under the RMA to allow regions to influence aspects of land use in district plans rather than seeking to regulate land directly in their own regional plans. This is particularly important when it comes to rules protecting indigenous biodiversity, for which regional councils can create policies, but actual rule making is done by district councils.⁶⁴

RPSs are also generally the place where rural-urban boundaries are expressed, where land use change (eg rezoning) is sought to be aligned with strategic cross-district infrastructure provision (including public transport and energy),⁶⁵ and where requirements for mapping of SNAs are contained (even though the actual mapping usually happens in district plans).⁶⁶ In some cases, RPSs are used to map protected areas directly (such as protected geothermal features in Waikato), because RPSs have the benefit of being shielded from private plan change applications.⁶⁷ In other words, RPSs are intimately concerned with the *environmental* implications of land use.

Spatial plans, by contrast, are envisaged to be largely made up of maps (not policies) and are to be created under a Planning Act with an enabling purpose.⁶⁸ This creates risks.

For instance, a 'map-focused' spatial plan may mean that the carefully crafted objectives and policies in an RPS are relegated to the environment chapters of a combined plan, rather than forming 'higher' level direction that shapes planning (district) chapters. In this way, the line of sight between regional functions (environment) and district plans (land use) could be weakened. Unlike RPSs, protections in plans may also become vulnerable to private plan change applications.

For example, Waikato's RPS relies on district plans for some aspects of policy implementation,⁶⁹ including to ensure that the protective policies in the coastal environment (under the New Zealand Coastal Policy Statement (NZCPS)) flow through into district plans (for the

landward parts of the coastal environment, over which regions have no jurisdiction).⁷⁰ To that end, the RPS has provided indicative maps outlining the landward extent of the coastal environment.⁷¹ District plans are also expected to implement policies concerning development in floodplains.

The alternative to using the RPS to influence land use is that regional councils would have to litigate individual projects at plan change or consenting stage (eg where subdivision applications are being considered in floodplains). Already there are issues in some places where districts do not consistently give effect to RPS policies,⁷² and this would be made worse by weakening the influence of RPSs. Indeed, the EAG recommends that planning chapters be 'not inconsistent' with environment chapters, which is a weaker direction than the one under the RMA (for district plans to give effect to RPSs) even though some hierarchy would remain.⁷³ The risk would be exacerbated by spatial plans being prepared under the enabling purpose of a Planning Act. It is therefore vital that spatial plans (see Chapter 7) have a strong legal link/cross reference to the goals of a Natural Environment Act.⁷⁴

Key points

- A 'functional' split of the RMA has the most promise. Here, a Planning Act would have jurisdiction over most district functions such as those listed under section 31 of the RMA, and a Natural Environment Act would cover regional functions in section 30.
- However, some adjustments would be needed to ensure that the overlapping functions of regional and district councils (eg biodiversity) had a suitably protective statutory home, and that the protective functions of districts (eg noise impacts on fauna) did not end up only in a development-focused act.

4.3.7 International approaches

As mentioned in section 4.3.5 above, most other OECD jurisdictions have separate planning and environmental legislation. This split largely originated in existing land use planning (the much older discipline) being added to by other, newer, controls (eg for large discharges and waste disposal) as environmental awareness grew. In other words, having

multiple acts has not been a conscious design choice, but rather an accretion of legislation over time. Some of those have since coalesced into broader ‘environment’ legislation dealing with the more integrated licensing of high-risk polluting activities by national bodies.

This has had four results. First, achieving integrated management has been difficult. Secondly, planning acts have had to become more environmentally oriented. Thirdly, environmental statutes have themselves obtained some jurisdiction or influence over land use. And fourthly, there is considerable complexity for users. This is because complicated points at which the different frameworks intersect have to be navigated.

It is also important to note that international models are much more complex than the ‘enabling’ and ‘protective’ binary being proposed by the government. This is for two main reasons. First, modern planning statutes overseas invariably have strong environmental principles embedded within them. They are not really ‘enabling’ acts at all. Nor is planning just about ‘land’. As one Irish interviewee put it: “we don’t have separate legislation for planning and ‘environment’ as such.”

The Australian state of Victoria (see the spotlight below) has even recognised this in the name of its legislation: a Planning *and Environment* Act, which embeds many protective principles.⁷⁵ Similarly, the UK’s National Planning Policy Framework explicitly aims to do things like enhance the natural environment (including the intrinsic character and beauty of the countryside), sites of biodiversity or geological value, soils, the character of the undeveloped coast, coherent ecological networks, and features which support threatened species. It also aims to prevent developments that pose a risk of soil, air, water or noise pollution.⁷⁶ In Singapore, planning increasingly incorporates nature-based solutions instead of hard infrastructure (eg in the effort to naturalise waterways in the Jurong Gardens development as a flood protection measure).⁷⁷

Even Ireland’s new ‘Planning and Development Act’ could easily have been called an ‘Environment Act’. It is telling that the word ‘environment’ appears in the legislation 801 times (on average, almost once per page). It integrates various EU Directives on impact assessment, birds and habitats.⁷⁸ It is driven by concepts like “sustainable development”,⁷⁹ circular economy, climate change mitigation, biodiversity, and conservation of the environment including landscape, ecology and natural heritage. It has jurisdiction over the protection of trees and woodlands.⁸⁰ Its planning commissioners are to have expertise in environmental matters and have regard to various environmental laws.⁸¹ Its definition of infrastructure

encompasses ecological infrastructure providing ecosystem services.⁸² And it provides a home for a National Planning Framework that notes:⁸³

the planning system both directly and indirectly influences effective water management. ... Accordingly, statutory development plans must ensure the integration of sustainable water management considerations.

Our environment is an asset that if planned for in the same way as for other forms of infrastructure, can provide long term benefits.

It is also important to consider the interrelationships between biodiversity, natural heritage, landscape and our green spaces.

The Act even obliges planning authorities to prepare a strategy for the conservation, protection and improvement of the environment and natural heritage,⁸⁴ and its planning framework provides some of the key mechanisms for implementing EU Directives concerning environmental wellbeing (eg protecting Natura 2000 sites, water quality and biodiversity).

Key points	• Internationally, a split between planning and environmental legislation is common, historically based on land use legislation coming first, and environmental legislation being added later in response to growing environmental awareness (eg for the discharge of pollution or waste). • However, this split does not at all resemble the binary division between ‘enabling’ and ‘protective’ legislation proposed by the government. Planning legislation <i>is</i> environmental legislation, because it contains strongly protective principles for the use of land.
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Secondly, overseas there are increasingly strong links being made between planning acts and environment acts. The latter tend to be concerned more narrowly with large-scale or high-risk pollution or waste (eg chemical facilities or refineries), often being a framework for an Environmental Protection Agency/Authority’s (EPA) highly technical functions.⁸⁵ But they also have some broader reach and multiple points of interaction.⁸⁶ Links between statutes are complex and bespoke to individual countries, but the following interactions are common.

1. Land use plans made under planning legislation are often subject to separate legislation requiring strategic environmental assessment (including in relation to impacts on protected sites and water).⁸⁷ For example, this is required for regional level spatial planning in Ireland.⁸⁸
2. Planning legislation is generally the place where environmental impact assessment (EIA) for individual projects is triggered (where they reach certain thresholds of effect).⁸⁹ This is one point at which various other bodies (including EPAs or nature protection agencies operating under their own legislative frameworks) provide input or exercise functions directly.⁹⁰

For example, in Ireland the EPA often appoints an expert to assist in the impact assessment process, and can be called upon to give ‘observations’ to local authorities and others when a planning permission is required.⁹¹ Another example is Singapore, where planning approval processes often trigger input from a range of bodies, including technical clearance from the National Environment Agency, requirements for planting of vegetation from the National Parks Board, and assessment of impacts on water by the Public Utilities Board focused on water quality (given that two thirds of Singapore’s land area is a drinking water catchment).⁹²

3. Under environmental legislation, there is often a power for EPAs to set general environmental quality objectives and more specific codes of practice which must be taken into account or actioned under planning decisions.⁹³
4. EPAs under environmental (usually pollution control) legislation sometimes have direct jurisdiction over land uses (eg whether intensive agriculture should be able to locate in a particular place).⁹⁴ This happens where activities threaten significant harm to aspects of the environment like freshwater quality. For example, in New South Wales, EPA licences are usually only required for specific, high-risk activities listed in schedules to environmental legislation, but they *can* also be required from others (eg intensive agricultural uses of land) in order to achieve water quality objectives.⁹⁵ The Scottish EPA’s role is even broader. It has powers to impose controls on all activities impacting on freshwater environments, including discharges, water takes and land uses which impact water.⁹⁶

5. Environmental accountability frameworks sometimes reach out to planning decisions. For example, the UK’s Office of Environmental Protection (see Chapter 6) has jurisdiction to take legal action against the government for non-compliance with environmental law, which encompasses planning legislation. One interviewee noted that if this watchdog is serious about air quality and biodiversity breaches, then it “will have to start thinking seriously about the planning system”.
6. Planning legislation sometimes intersects strongly with frameworks for climate change too. For example, in Ireland, the new Planning and Development Act requires all public bodies to act consistently with climate legislation. This has proved powerful in practice.⁹⁷

Key point

- While targeted environmental frameworks overseas are mainly concerned with licensing large scale, complex activities with significant risks to human health (managed by EPAs), they can also have significant influence over land use decisions triggered by the planning system. There are many links that have had to be made between the two systems.

Despite all these attempts at connection, separation still creates a great deal of procedural complexity. This was recognised by a number of international interviewees. One described the split in Ireland as resulting in “quite a messy transposition” of EU environmental directives.⁹⁸ For example, the country’s Planning and Development Act relies on ministerial powers to coordinate the order in which different statutory permissions can be required for the same development, some by local government and others by the EPA.⁹⁹

There are many such permits. For example, under planning legislation, planning permission needs to be obtained for various land uses (unless something is an exempted activity). Under environmental legislation, a range of other permits are required from the EPA depending on the specific activity, including integrated pollution control (IPC) licenses, waste licenses, industrial emissions licenses, wastewater discharge licenses, and abstraction licenses.¹⁰⁰ This means that:¹⁰¹

many environmental regimes are implemented separately from ... planning legislation and this has in some cases created complex split consent-making processes.

This split has been criticised by the courts,¹⁰² partly because of concerns about the order in which permits are obtained. For example, as mentioned above, the need to obtain planning permission from a local authority¹⁰³ is the trigger point for a detailed EIA to be provided by an applicant. In the past, there were issues in Ireland with the EPA making a decision on separate IPC licenses (where required) before a detailed EIA was carried out by the planning authority.¹⁰⁴ A planning authority could then refuse permission once an EIA was done, even though a license had already been granted by the EPA.¹⁰⁵ That was inefficient, and fell afoul of EU regulations concerning integrated EIA. The European Court of Justice noted that:¹⁰⁶

it is not inconceivable that the [EPA], as the authority responsible for licensing a project as regards pollution aspects, may make its decision without an environmental impact assessment being carried out in accordance with Article 2 to 4 of Directive 85/337...

This resulted in a change to Irish regulations in 2012. These now require that a planning application be made before an application is submitted to the EPA for a license, and that authorities must cooperate when conducting an EIA.¹⁰⁷ However, this has caused its own issues. This is because of the possibility that an EIA process is *not* triggered even though it should be, and an EPA license or other involvement that should be required is therefore not obtained (see the spotlight below).

A spotlight on Ireland

In 2025, the Irish EPA issued a scathing report concerning the widespread commercial extraction of peat from boglands.¹⁰⁸ Peat is a heavy soil, historically used for heating Irish homes, but large scale extraction has had significant impacts on wetlands and biodiversity, among other things.¹⁰⁹

Much of this extractive activity should have triggered assessment by the EPA (either through its involvement in EIA under planning legislation, or by requiring an IPC license directly under environmental legislation). However, local authorities had failed to enforce requirements under planning legislation,¹¹⁰ meaning in some cases an EIA was not conducted. This meant assessment by the EPA was not triggered.¹¹¹

Essentially, a blind spot was created for peat extraction, making it, effectively, “the largest unregulated land use in Ireland, if not Europe” despite having significant cumulative effects.¹¹² This is partly because, as one interviewee put it, it has relied on “the assessment of impacts into the planning system, which is not a good place to do it” due to the political dynamics of local government.¹¹³

A similar predicament arose with the Derrybrien wind farm in County Galway. This large development (with capacity to power 30,000 homes) was constructed without obtaining the required EIA under planning legislation.¹¹⁴ Although a separate license from the EPA was not required for this project, an EIA would still have triggered the EPA’s involvement in the process. As a result, the project was deficient, causing significant environmental damage when a large landslide entered an adjoining river.¹¹⁵ The wind farm breached legal requirements, caused Ireland to be fined by the EU, and is now having to be decommissioned and removed.

The examples above highlight poor practice under planning legislation, but also how the fragmentation of legislation can create significant flow on effects for the environment, and complexity, where links between them are not effective.

Consenting gets even more complex when one turns to Ireland’s more specific environmental legislation (concerned mainly with licensing large polluting facilities like factories).¹¹⁶ For example, the EPA is encouraged to consult with planning authorities to figure out how the conditions of its licenses might intersect with conditions that have been imposed by a planning permission.¹¹⁷ The conditions of an existing planning permission can then be attached to the EPA’s license (or even included in a modified form).¹¹⁸ An IPC license, once granted by the EPA, supersedes any pre-existing licenses granted under the Local Government (Water Pollution) Act 1977 or the Air Pollution Act 1987.¹¹⁹

Trying to link separate biodiversity and climate-focused legislation to planning processes is particularly fraught. For example, one commentator notes:¹²⁰

in performing their statutory functions a planning authority [and An Bord Pleanála – the Planning Appeals Board] must have regard to the latest approved National Biodiversity Action Plan, and any other biodiversity strategies adopted by the Minister under the Wildlife (Amendment) Act 2000... [and] there are many examples

of similar such obligations embedded in other legislation, to which a planning authority ... must at least have regard when performing decision-making functions. It may fall to developers to bring such relevant considerations to the attention of the planning authority ... in the application for permission.

Relying on cross-statutory complexities to be proactively addressed by developers can generate perverse incentives (they have little incentive to do so), and risk legal action where under-resourced planning authorities get it wrong. So although there are mechanisms by which permits *can* be coordinated, and Ireland has sought to do so, under legislation like the RMA related decisions can more easily be bundled together and heard in a much more integrated way.

Key point

- Split legislation overseas has caused considerable issues for integrated management of the environment, and procedural complexity for users.



Rural Galway, Ireland

A spotlight on legislative design in Victoria – challenges with split legislation

The Australian state of Victoria has two key environmental statutes. The Planning and Environment Act 1987 (Planning Act) controls the use, development and protection of land. The recently reformed Environment Protection Act 2017 (Environment Act) provides for the protection of human health and the environment from pollution and waste. These are closely related topics and have therefore required links to be made between them.¹²¹

The Planning Act is about managing land. It provides for the development of the Victoria Planning Provisions, which are a statewide set of provisions around which numerous local planning schemes are constructed by councils and are intended to ensure a degree of consistency across the state. Planning schemes themselves are similar to New Zealand's district plans but also cover some aspects that would appear in regional plans and policy statements (given regional council jurisdiction over land for certain purposes). Planning schemes include, for example, provisions controlling the impact of land use on water, soil, air quality, waste, wastewater, land and groundwater contamination. They apply to land covered by water, including the coast. Like plans under the RMA, planning schemes outline objectives and policies and establish zones and overlays, with rules that may require development permits (akin to land use consents).

Under the Planning Act (and Victoria Planning Provisions), the EPA is a statutory referral authority. This means it can provide comment on, or in some cases essentially veto,¹²² permits required under planning schemes where there are potential risks to the environment, human health and amenity due to pollution or waste. In this way it acts as a bridge between planning and environment acts. The EPA also provides strategic advice for planning across a broad range of topics.¹²³ In a very real sense, it *is* a land use planning authority.¹²⁴

The Environment Act is mainly about regulating pollution, waste and contamination directly. Although it incorporates some broader non-RMA elements that have separate statutes in New Zealand (eg waste minimisation, hazardous substances, litter control and the functions/powers of the EPA), at its heart are controls on discharges that resemble sections 15-15C of the RMA (as well as control of contaminated land and noise). The Act works by:

1. Allowing for the creation of regulations, which specify when particular ‘prescribed’ activities must obtain an authorisation before they proceed. There are three types of authorisation (licenses, permits and registrations), which essentially reflect different activities having a decreasing level of environmental risk.¹²⁵ These authorisations are similar to RMA discharge permits for specific types of activity.
2. Providing for the creation of ‘environmental reference standards’ by Ministers. These set out environmental values and indicators for different domains (including water, land, air and noise). They are not just about pollution, but also ecological health more generally. The standards are not binding (ie they don’t themselves set prohibited activities) and are primarily a monitoring/reporting benchmark. However, they are a mandatory consideration when it comes to decision-making on authorisations under the Environment Act as well as planning schemes/development permits under the Planning Act.
3. Creating a general environmental duty on every person to minimise risks of environmental harm (as far as reasonably practicable) from pollution or waste. This duty is enforceable by the EPA and some third parties. Authorities can make ‘position statements’ and guidance that explain how the duty applies to various sectors (ie what compliance with the duty actually entails). People can also propose ‘better environment plans’ (similar to accords) where compliance with a plan is deemed to be compliance with the duty. The general environmental duty applies broadly – *including for activities controlled under the Planning Act* – not just to decisions made under the Environment Act.

Several other Acts address specific aspects of the environment, including the Catchment and Land Protection 1994, Water (Resource Management) Act 2005, Flora and Fauna Guarantee Act 1988, National Parks Act 1975, and Marine and Coastal Act 2018. The Environment Effects Act 1978 contains requirements for environment impact assessment (for significant projects), but links mainly to the Planning Act under which a requirement for EIAs is triggered.

Victoria shows that it is entirely possible to have a functioning resource management system with two (or more) separate statutes for land use and discharges. However, it has downsides and risks.

In interviews, stakeholders and experts in Victoria highlighted that having two acts is workable but not ideal given the challenges it creates, including the following.

1. **Public confusion and uncertainty.** It can be difficult for the public to understand the relationship between the statutes where they deal with overlapping outcomes.
2. **Unclear or weak interfaces between statutes.** Tools have been created to ‘bridge’ the acts (eg the general duty, reference standards, and referral to the EPA), but they create complexity and uncertainty. For example, it is still not clear the extent to which the EPA can enforce compliance with the general environmental duty (under the Environment Act) for aspects of land use already managed via schemes/permits issued under the Planning Act.¹²⁶ There have been issues with some activities (notably landfills) where registration under the Environment Act has incorrectly been assumed to confer authorisation under the Planning Act. There is overlap when it comes to control of issues like noise, odour and buffer distances between activities. And while the Environment Reference Standard (created under the Environment Act) is *relevant* to decisions under the Planning Act, it is not binding. Under the RMA, that would be a bit like saying that national direction for freshwater does not have to be given effect to in land use decisions.
3. **Regulatory gaps.** Separate statutes can create gaps in regulating specific activities classified as either ‘planning’ or ‘environment’ matters. For example, some local councils have failed to apply planning controls to sites listed as contaminated sites by the EPA, which is also a responsible authority under the Environment Act.¹²⁷ Contaminated land more broadly has been a confusing area that bridges the two frameworks. It is also unclear the extent to which the Planning Act is responsible for delivering transformational change with respect to climate change.¹²⁸
4. **Length and complexity.** The Victorian Planning Act alone is over 600 pages, whereas the Environment Act is over 500 pages. There is some common machinery in both. A separate EIA Act adds further length and cross-referencing.
5. **Complex consenting processes, including different timeframes.** For example, in Victoria there are ‘determining’

referral authorities and 'recommending' referral authorities that influence whether a Planning Act permit should be granted.¹²⁹ Each council establishes its own list of authorities in their planning schemes, depending on the type of application. Generally, a referral authority has 28 days to provide comments to a council. However, when the EPA acts as the determining authority, the process can take up to 4 months for a permit to be granted.¹³⁰ Costs and delays from a fragmented system were said to be significant by interviewees. The EPA also has its own authorisations (licenses, permits and registrations) to determine under Environment Act processes, making it more complex to 'bundle' the various permissions.¹³¹

6. **Challenges in navigating different authorities' input.** Local authorities may face difficulties in managing applications under one Act that require input from many others, including state and federal authorities, operating under another Act (eg the EPA under the Environment Act). Separate Acts can delay processing times, particularly if some have insufficient human and technical resources to assess the applications efficiently or if their statutory priorities are different. For an illustration of how complex this can be, see regulation 22(2)-(5) of the Environment Protection Regulations 2021 (Vic).¹³²
7. **Misaligned purposes and principles.** Although both acts contain environmental principles to guide decision-making, they are not the same. The principles of environment protection in the Environment Act are now wider ranging and stronger than the more balanced set of objectives of planning in the Planning Act.
8. **Diverging directions over time.** Amending one act while not changing the other at the same time (as occurred with the 2017 Environment Act reforms in Victoria) can cause misalignment with respect to both purpose and process. Policy makers were aware of inconsistencies being created at the time, but the acts were treated in silos. A subsequent process was needed to change planning legislation.¹³³ A similar phenomenon has happened in New Zealand with respect to the RMA, Local Government Act and Land Transport Management Act.
9. **Different institutional culture.** The historical roots and development of planning and environmental protection

are different, and those acting under the law may use quite different language and underlying philosophies (interviewees in Victoria referred to authorities sometimes talking at cross purposes).

These are some of the downsides or risks of a split act approach. Note also that the key 'bridge' between planning and environment statutes in Victoria, as in many countries, is a strong state-level EPA, which inputs into planning schemes and permits and controls activities via the general environmental duty. New Zealand currently lacks an EPA with a similar capability to bridge the gap between planning and environment.

4.3.8 A vertical split between primary and secondary legislation

Aside from the question of how to split up the RMA 'horizontally', there are questions about how to split its content 'vertically'. In other words, what content belongs in primary or secondary legislation? The government has signalled a desire to make primary legislation shorter and simpler, and to achieve this the EAG has recommended that some procedural elements of the Act be transferred to regulations.¹³⁴

There is no 'right' or 'wrong' answer here. However, it is important that core legal requirements are embedded in primary legislation, to ensure that they cannot be changed without parliamentary process. These should include the following, which are vital to good environmental outcomes but have been flagged as things to 'demote' to regulations:

1. Information requirements (which could exclude whole categories of effects);
2. Requirements for assessments of environmental effects (which could be weakened in various ways);
3. Timeframes (which can have significant implications for the provision of information and evidence and therefore quality of decisions).

Simpler legislation is certainly desirable but can be achieved through the use of more logical structure, explanatory provisions at the start of statutory parts, and the judicious use of schedules. Overseas, statutes (notably Planning Acts) are just as long as the RMA.

4.4 Concluding comments

The case for splitting the RMA into a Planning Act and Natural Environment Act is not strong, and there remains a compelling logic to having a single integrated statute. However, separation is the direction the government has decided on. The most feasible and least disruptive way to split the RMA would be to broadly reflect the section 31 functions of district councils in a Planning Act, and the section 30 functions of regional councils in a Natural Environment Act. Doing so would require careful drafting, partly because some key functions overlap. They need to go to the right places.

In such a split, the Natural Environment Act will need to have strong jurisdiction over the environmental implications of land use, and this should be expressed as a clear hierarchy. The EAG has recommended

that SNA jurisdiction be placed in environmental legislation, but so should protective goals (and limits) to determine land use rules relating to things like vegetation clearance, urban tree cover, green space, greenhouse gas reduction and other land use decisions needed to give effect to environmental limits (see Chapter 6).

Essentially, this means that a Natural Environment Act would *be* a planning act of sorts, in that it would take over the protective functions currently expressed in RPSs and district plans. The alternative would be for a Planning Act itself to have protective goals, as similar legislation does overseas. However, that would appear to conflict with the basic rationale for creating a split – to create a more enabling regime for planning than under the RMA.



Canterbury (Bernard Spragg)

Endnotes

- 1 <https://www.ldac.org.nz/guidelines/>
- 2 For example, *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010).
- 3 Among others, the RMA integrated the Town and Country Planning Act 1977, the Water and Soil Conservation Act 1967, and the Clean Air Act 1972.
- 4 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 26.
- 5 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 27.
- 6 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at 15.
- 7 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [31].
- 8 *Regulatory Impact Statement: Replacing the Resource Management Act 1991* (Ministry for the Environment, 25 March 2025).
- 9 Compare *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [31].
- 10 Compare <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 11 Both of which were recognised by the EAG.
- 12 Such as the Local Government Act and Land Transport Management Act. On this disconnection, see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 13 See also Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020).
- 14 See *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024).
- 15 In its position paper on RMA reform, Fish and Game notes, for example, that “overseas experience has shown the separating these functions results in greater losses of environmental values”.
- 16 Late Sir Archie Te Atawhai Taiaroa, describing the Whanganui iwi perspective on long-running claims.
- 17 Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020) at 99.
- 18 Some examples were given by the EAG, but they were not comprehensive and the basis for locating them in one place rather than another was not justified.
- 19 For example, provisions concerning notification, public participation, timeframes for decisions, and other procedural steps.
- 20 “Each Act will have its own purpose, they will have similar architecture and will need to ‘speak to’ each other in several places. Some processes are likely to be repeated”: *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [25]. At a table on page 18 of its report, the EAG makes it clear that there will be significant overlap and repetition.
- 21 For example, the sustainable utilisation purpose of the Fisheries Act, which is quite different from the sustainable management concept underpinning the RMA.
- 22 Currently, the RMA has an architecture based mainly on plans and consents, with key roles for councils and the Environment Court. Other frameworks, such as those for climate change (focused on the emissions trading scheme), hazardous substances and new organisms, conservation covenants, fishing, Crown minerals and waste minimisation are also about resources/environment but they use quite different tools, warranting separate legislative structures. Much will depend on what tools are anticipated. For example, an act like the RMA would not be a suitable location for framing complex taxes; economic instruments are already possible under the RMA but have not been widely deployed, suggesting that its framework is not suitable. More targeted legislation may create a more effective authorising environment for taxes, charges and other economic mechanisms than a planning and consenting ecosystem.
- 23 Other rationales do not seem to be prominent. For example, it appears that the same kinds of tools would continue to be used under both acts (integrated into different chapters of regional plans, from which consents would be required), and because there is no proposal to integrate related funding decision-making into a Planning Act (which is the rationale for splitting the RMA previously proposed by Infrastructure New Zealand). See *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at 15.
- 24 The EAG provided more specific proposals in the form of ‘goals’ for each Act.
- 25 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [24]. See also Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [33].
- 26 Address by Hon Chris Bishop to Environmental Defence Society Conference, 14 May 2025.
- 27 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 28 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [84].
- 29 See Resource Management Law Association *Submission on issues and options paper: Transforming the resource management system – opportunities for change* (2020) at [20]; Productivity Commission of New Zealand *Better urban planning* (2017).
- 30 Some of the country's most degraded waterways and marine areas owe a lot of their problems to the impacts of urban land uses, including heavy metals leaching from rooftops and cars, sewage leaks, stormwater runoff from roads, and sediment from construction activities. One indicator of the ecological health of waterways – the macroinvertebrate community index, has been shown to be 31 percent worse in urban areas than in areas with indigenous cover, while nitrate levels are over 19 times higher (Ministry for the Environment and Statistics New Zealand *Environment Aotearoa 2019* (2019)).
- 31 For example, the traffic, noise and amenity impacts of mines and quarries on rural dwellers.
- 32 Again, the RMA itself does not prevent such principles from being generated through national direction, and the *King Salmon* jurisprudence makes clear that one cannot use the more open textured language of Part 2 to question national direction. See *Environmental Defence Soc Inc v New Zealand King Salmon Co* [2014] NZSC 38, [2014] 1 NZLR 593; *Rj Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283; *Environmental Defence Soc Inc v Otago Regional Council* [2019] NZHC 2278.
- 33 James Whetu.
- 34 K Palmer *Separating regulation of the built and natural environments – legislative options* (Working paper produced for the New Zealand Productivity Commission, 2017).
- 35 A ‘built’ environment is broader than an ‘urban’ environment. An alternative distinction could, therefore, be made between a built and natural environment. However, this would also cause significant boundary issues and the purpose of doing so would be unclear. Many places are heavily modified by humans, making a distinction hard to make (intensively farmed market gardens are arguably as much a ‘built’ environment as low density suburbia). Built spaces have nature, and natural spaces (even the conservation estate) have infrastructure/modifications.
- 36 For example, specified developments under the Urban Development Act need to revert back to ‘ordinary’ planning settings under the relevant district and regional plans once they have been constructed, even though their built form may no longer reflect the policies (eg with respect to density) in the plans.
- 37 That ‘the RMA will be replaced by two acts that separate land-use planning and natural resource management’: Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [2], [27].
- 38 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [62].
- 39 Although other parts of the RMA impose some of their own more specific controls directly, such as water conservation orders.
- 40 Some things would be reasonably clear, such as minor neighbourhood friction issues. See <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 41 Resource Management (National Environmental Standards for Freshwater) Regulations 2020.
- 42 It is not yet clear what the preferred approach of the government is with respect to ‘deeming’ existing plans to roll over, although it is seeking a faster transitional period than proposed under the NBEA (which was to be around 7 to ten years as plans were reviewed regionally on a staggered basis).
- 43 Reflecting regional functions under section 30 of the RMA to ‘control’ land for the purposes of freshwater quality.

44 There have already been some issues under the RMA with regional policy statements
relying on rules in district plans for implementation, even though district plans are meant
to give effect to them. For example, this has been a challenge when it comes to district level
consenting of developments in floodplains despite regional policies to the contrary.

45 Partly due to difficulties in modelling nutrient loss (outputs). See generally [https://pce.
parliament.nz/publications/overseer-and-regulatory-oversight-models-uncertainty-and-
cleaning-up-our-waterways/](https://pce.parliament.nz/publications/overseer-and-regulatory-oversight-models-uncertainty-and-cleaning-up-our-waterways/).

46 For example, see [https://www.orc.govt.nz/media/12843/regional-plan_water-for-otago-
updated-to-3-september-2022-chapters-1-19.pdf](https://www.orc.govt.nz/media/12843/regional-plan_water-for-otago-updated-to-3-september-2022-chapters-1-19.pdf)

47 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource
management reform: A better planning and resource management system 2025* (March 2025,
Ministry for the Environment) at [32].

48 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource
management reform: A better planning and resource management system 2025* (March 2025,
Ministry for the Environment) at [499].

49 The EAG recognised that strategic land use planning (what goes where) cannot be separated
from its environmental consequences or goals. See *Report from the Expert Advisory Group on
Resource Management Reform. Blueprint for resource management reform: A better planning and
resource management system 2025* (March 2025, Ministry for the Environment) at 16.

50 [https://assets.govt.nz/static/documents/project-2040-national-planning-framework-841f7a87-
133c-4d9a-9ec7-d1d3da634105.pdf](https://assets.govt.nz/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf)

51 Or another suitable body, such as a retooled EPA.

52 The EAG proposed that SNAs and ONFLs would be created under the Natural Environment
Act, but the environmental implications of land use decisions are broader than just protected
areas.

53 [https://www.worksafe.govt.nz/topic-and-industry/petroleum/well-operations-and-well-
examination-schemes/](https://www.worksafe.govt.nz/topic-and-industry/petroleum/well-operations-and-well-examination-schemes/)

54 The EAG has simply said that such tensions *should* be resolved, not what test would actually
guide such decisions. See *Report from the Expert Advisory Group on Resource Management
Reform. Blueprint for resource management reform: A better planning and resource management
system 2025* (March 2025, Ministry for the Environment) at [5], [76].

55 Or a revised set of functions, to the extent that the broad functions of territorial authorities
are seen to be too broad. There would also need to be an equivalent split between these
functions for Ministers when creating national direction under each Act, since there is no
comparable split for central government under the RMA.

56 Land, water, air, soil, minerals, energy, plants (but not pest species) and animals (but not
humans, domesticated animals, or pest species) and their habitats; and ecosystems and
their constituent parts.

57 Presumably this refers only to ONLs, given elsewhere the EAG recommends removing other
landscapes and visual amenity from the scope of the system entirely.

58 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource
management reform: A better planning and resource management system 2025* (March 2025,
Ministry for the Environment) at 17-18.

59 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource
management reform: A better planning and resource management system 2025* (March 2025,
Ministry for the Environment) at [314].

60 Which would have to do two types of planning for quite different purposes.

61 The EAG considered that indigenous biodiversity, ONFLs and hazards should sit at a regional
level. For hazards, district and regional councils would reach an agreement as to the
distribution of functions.

62 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource
management reform: A better planning and resource management system 2025* (March 2025,
Ministry for the Environment) at [375].

63 Whether they always do so effectively is a separate question.

64 RMA, s 30.

65 See, for example, the Waikato RPS.

66 For example, see the Northland RPS.

67 While anyone can apply to change a regional plan, only the regional council, district councils
within the region, or a Minister of the Crown may apply to change an RPS.

68 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource
management reform: A better planning and resource management system 2025* (March 2025,
Ministry for the Environment) at [269].

69 For example, planning land transport infrastructure in geothermal steam zones.

70 In Waikato the RPS has mapped the landward margin of the coastal environment,
recognising that some of the NZCPS policies apply to development in the coastal
environment and this must be implemented by territorial authorities in their district plans.
RPS2022-Part-5-Maps.pdf This is to ensure that districts are clear where national direction
for coastal development applies.

71 RPS2022-Part-5-Maps.pdf

72 This is already an issue in some places, where land use decisions do not always obviously
give effect to RPS policies. For example, in 2021, district commissioners approved the
rezoning necessary for the large-scale 'Sleepyhead' development near Huntly, despite being
in a rural floodplain. See [https://newsroom.co.nz/2021/05/24/1bn-sleepyhead-suburb-
approved/#:~:text=A%20big%20Sleepyhead%20factory%20and%201100%2Dhome%20
development,medium%2Ddensity%20residential%20development.%20That%20was%20
approved%20today.](https://newsroom.co.nz/2021/05/24/1bn-sleepyhead-suburb-approved/#:~:text=A%20big%20Sleepyhead%20factory%20and%201100%2Dhome%20development,medium%2Ddensity%20residential%20development.%20That%20was%20approved%20today.)

73 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource
management reform: A better planning and resource management system 2025* (March 2025,
Ministry for the Environment) at 75.

74 The EAG recommended that spatial plans themselves identify environmental constraints like
SNAs, which would be a positive step (see Chapter 7).

75 Planning and Environment Act 1987 (Vic), especially objectives in section 4.

76 National Planning Policy Framework (UK), at [187].

77 <https://juronglakegardens.nparks.gov.sg/>

78 There are dedicated regulations that implement aspects of the Habitats/Birds Directives
in a standalone way (as New Zealand has with the Wildlife Act), but there are also specific
provisions integrated in planning legislation.

79 Section 21.

80 Section 267.

81 Section 507.

82 Section 584.

83 [https://assets.govt.nz/static/documents/project-2040-national-planning-framework-841f7a87-
133c-4d9a-9ec7-d1d3da634105.pdf](https://assets.govt.nz/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf) at 123.

84 Section 49.

85 In Ireland, the First Schedule of the Protection of the Environment Act 2003 lists those
activities that require an Integrated Pollution Control (IPC) licence.

86 For example, in Ireland, minor air emissions, discharge of trade effluent to drains and
sewers are required from local authorities under further fragmented legislation: eg the Local
Government (Water Pollution) Acts 1977 and 1990.

87 For example, see Ireland Planning and Development Act 2024, s 54(12)-(13).

88 Through regional spatial and economic strategies.

89 In Europe, Projects listed in Annex I of the EIA Directive have mandatory EIA requirements.
Each Member State decides on a case-by-case basis whether Annex II projects require an
EIA. Projects which do not meet the threshold may still require an EIA if the project is likely to
have significant effects on the environment (called sub-threshold projects).

90 For example, see Ireland Planning and Development Act 2024 (Ireland), s 224.

91 Protection of the Environment Act 2003 (Ireland), s 99F(3).

92 <https://www.pub.gov.sg/Public/WaterLoop/OurWaterStory/Local-Catchment-Water>

93 For example, Environmental Protection Agency Act 1991 (Ireland), ss 75-76.

94 For example, under Ireland's Environmental Protection Agency Act 1992, Annex 1, Category
6.6 lists "Intensive rearing of poultry or pigs: (a) with more than 40 000 places for poultry; (b)
with more than 2000 places for production pigs (over 30 kg)..."

95 See [www.epa.nsw.gov.au/licensing-and-regulation/legislation-and-compliance/acts-
administered-by-the-epa/act-summaries](http://www.epa.nsw.gov.au/licensing-and-regulation/legislation-and-compliance/acts-administered-by-the-epa/act-summaries).

96 *Governance of water: A proposal from the Turnbull Group* (2009) at [www.waternz.org.nz/
Folder?Action=View%20File&Folder_id=99&File=130312_turnball_group_governance_of_
water.pdf](http://www.waternz.org.nz/Folder?Action=View%20File&Folder_id=99&File=130312_turnball_group_governance_of_water.pdf). Small-scale activities that individually pose a small risk of pollution, but which
cumulatively can result in environmental harm (eg some agricultural operations), are
required to register with the EPA and comply with standard conditions. Larger impact
facilities have more tailored conditions applied to them via a licensing process. The EPA has
also been involved in river basin planning, including with respect to controlling the input of
pollutants (eg fertiliser).

97 For example, one wind farm (Coolglass) took a legal challenge with respect to a refusal of
planning permission on the basis that Ireland has a high renewables targets. It was held by
the High Court that the directive requirements in climate legislation are to take precedence
over visual impacts. See <https://climatecasechart.com/non-us-case/coolglass-windfarm->

limited-v-an-bord-pleanala-2025-ihc-1/

- 98 There are around 20 statutes that are needed to transpose the Directive on EIA: see <https://eur-lex.europa.eu/legal-content/EN/NIM/?uri=CELEX:32011L0092>. Interestingly, only four statutes are listed as transposing the Habitats Directive, even though the Planning and Development Act is a key one. <https://eur-lex.europa.eu/legal-content/EN/NIM/?uri=CELEX:31992L0043>
- 99 For example, air pollution is governed by the Air Pollution Acts 1987 and 2011 and is regulated by both local authorities and the EPA. Minor discharges to water are governed by the Local Government (Water Pollution) Acts 1977 and 1990.
- 100 Section 240. These licenses (especially IPC and industrial emissions licenses) themselves overlap in complex ways, partly because of additional artificial distinctions between EU and national level legislative requirements. Generally, industrial emissions licenses cover EU requirements for large scale projects, whereas IPC licenses cover a broader range of activities regulated under Irish domestic law. See generally <https://www.algoodbody.com/media/A%20Guide%20to%20Environment%20Law%20in%20Ireland.pdf>
- 101 Interview with Irish legal academic, March 2025.
- 102 See https://epawebapp.epa.ie/licences/lic_eDMS/090151b28057c3fc.pdf
- 103 Or, on appeal, *An Bord Pleanála*, now reconstituted as *An Coimisiún Pleanála*.
- 104 See *European Commission v Ireland C-50/09*. <https://www.algoodbody.com/media/A%20Guide%20to%20Environment%20Law%20in%20Ireland.pdf>. The Court ruled that Ireland had failed to: ensure that where Irish planning authorities and the Environmental Protection Agency both have decision-making powers concerning a project, there will be complete fulfilment of the requirements of Articles 2 to 4 of the EIA Directive, as amended by the Public Participation Directive 2003/35/EC.
- 105 Protection of the Environment Act 2003 (Ireland), s 99F(2). However, if a license has been granted, a planning authority cannot impose conditions that overlap with the license (s 99F(1)) and must not consider any matters relating to the risk of environmental pollution from the activity (Environmental Protection Agency Act 1992 (Ireland), s 98).
- 106 *European Commission v Ireland C-50/09*, at [81].
- 107 European Union (Environment Impact Assessment) (IPPC) Regulations 2012 (SI No. 282 of 2012). In a case where EIA is required, the Agency will not in the future consider such a licence application unless the development consent process, including an EIA, has been concluded or, at least, the application for the consent has been lodged with the planning authority/Board.
- 108 <https://www.epa.ie/news-releases/news-releases-2025/operators-engaged-in-large-scale-unauthorised-peat-harvesting-activities-are-in-flagrant-violation-of-environmental-law.php>.
- 109 <https://www.daera-ni.gov.uk/articles/peatlands>
- 110 Local authorities have not pursued injunctions despite the almost total absence of planning permission for large scale peat operations.
- 111 <https://www.epa.ie/news-releases/news-releases-2025/operators-engaged-in-large-scale-unauthorised-peat-harvesting-activities-are-in-flagrant-violation-of-environmental-law.php>. Arguably this was due to a failure of the EPA to enforce; interviewees suggested that for some time it saw its role more as a license processing body rather than active enforcer of rules. All but one peat extractor over 50 hectares were operating without an IPC licence (and none had planning permission).
- 112 Tony Lowes, Friends of the Irish Environment. See <https://www.antaice.org/news/environmentalists-challenge-irelands-mushroom-industry>
- 113 The EPA has taken the issue seriously in recent years and has been pursuing numerous operators for working without an IPC licence.
- 114 See generally <https://www.agriland.ie/farming-news/derrybrien-wind-farm-how-it-all-went-wrong/>
- 115 <https://www.oireachtas.ie/en/debates/debate/seanad/2024-02-20/14/#:~:text=A%20substitute%20consent%20application%20by%20the%20ESB,law%20to%20enforcement%20by%20the%20local%20authority.>
- 116 Environmental Protection Agency Act 1992 (Ireland); Protection of the Environment Act 2003 (Ireland).
- 117 Protection of the Environment Act 2003 (Ireland), s 86(8)(a).
- 118 Protection of the Environment Act 2003 (Ireland), s 86(8)(b).
- 119 Environmental Protection Agency Act 1992 (Ireland), s 83(6).
- 120 Planning and Development Act 2024 - Philip Lee LLP.
- 121 For a good illustration of how connected the two topics are, see www.planning.vic.gov.au/guides-and-resources/guides/all-guides/environment-protection-and-land-use-planning
- 122 In the case of being a 'determining', rather than 'recommending' referral authority.
- 123 www.planning.vic.gov.au/guides-and-resources/guides/all-guides/referrals-to-environment-protection-authority
- 124 See, for example, <https://www.planning.vic.gov.au/guides-and-resources/guides/planning-practice-notes/managing-buffers-for-land-use-compatibility>
- 125 Registrations are not permits per se, but are essentially the equivalent of permitted activity notices under the NBEA. The idea is that they create a line of communication between proponent and regulator so the latter can understand what activities are occurring and monitor their effect.
- 126 Some commentators have signalled it is likely that there will be standard form conditions in Planning Act permits that outline environmental risks and how the general environmental duty will be complied with.
- 127 Auditor-General *Managing Victoria's Planning System for Land Use and Development* (2017) see <https://www.audit.vic.gov.au/report/managing-victorias-planning-system-land-use-and-development?section=>
- 128 Hansen Partnership *Climate Change & Planning in Victoria* (2021) at 15.
- 129 Victoria Planning Provisions, cl 66.
- 130 Environment Protection Act 2017 (Vic), s 69.
- 131 Noting that the RMA is by no means perfect on this front either, despite being a single Act.
- 132 <https://content.legislation.vic.gov.au/sites/default/files/2021-05/21-047sra%20authorised.pdf> at 52.
- 133 Integrating environment protection reform into land use planning | Engage Victoria
- 134 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [366].

5 Purpose and principles of new legislation



New Zealand fern (Bernard Spragg)

5.1 Introduction

So far, we have been speaking in general terms about a Planning Act being 'enabling' and a Natural Environment Act being 'protective'. The precise way in which the RMA is split up will determine what the more specific purposes and principles of these different statutes would look like. Generally speaking, however, any decisions with public interest environmental consequences should have protective provisions to guide them.

Precise drafting suggestions are not possible while legislative design choices are still uncertain. In this chapter, we therefore consider more generally how Part 2 of the RMA is (and is not) deficient, and where 'shifts' might therefore be required across one or both new acts. These present both risks and opportunities. There are five pertinent questions, but we focus mainly on the first.

1. Does the RMA articulate the right relationship between development and protection?
2. Does the RMA reflect the Treaty of Waitangi?
3. Does the RMA adequately recognise the importance of positive outcomes?
4. Does the RMA provide enough normative guidance for allocative choices?
5. Does the RMA provide a suitable normative basis for the resolution of what are essentially private disputes?

The meaning of 'purpose'

Normative shifts could, if required, be implemented in various ways.¹ The EAG recommended, for example, that the general purpose of legislation should simply describe what the Act is there to do, and (unlike section 5 of the RMA) have no bearing on day to day decision-making.² The real equivalent of Part 2 of the RMA (the 'engine room' of the legislation) would instead be a series of 'goals' and 'decision-making principles' in the two acts.³

How specific these goals are would depend on the answer to a fundamental question that has never really been addressed under the RMA. Do we expect primary legislation to provide clear answers at all? Or is it intended to be a general framework within which society trusts elected councillors and Ministers to exercise democratic judgement? Do different *kinds* of decisions require different approaches?

In our view, clear, stable hooks capable of legal interpretation and challenge need to be contained in *primary legislation*. This is to ensure that environmental safeguards are just that – safeguards – and not a general framework within which Ministers or councils undertake discretionary and democratic decision-making as is the case (for the latter) in the Local Government Act. Parliament needs to set clear outcomes, and decision-makers need to be held to account for achieving them.⁴

Key point

- Although core criteria for resource management decision-making need not necessarily be contained in a general 'purpose' clause, it is vital they are expressed with clarity somewhere in primary legislation.

5.2 Government proposals

Prior to the EAG report, Ministers talked about replacing Part 2 with a 'double bottom line' for protection and 'essential development'. This was to enable:⁵

growth and development and better respect private property rights within the framework of a market economy, while also improving environmental outcomes.

The EAG provided a more nuanced approach in line with the idea of having two statutes (see Figure 5.1 below). This would deliberately preserve some elements of Part 2 (so as not to undermine existing case law) while changing or adding others. Overall, a Planning Act would include a series of (1) goals, (2) decision-making principles, and (3) procedural principles. These are to be premised on the purpose the EAG sees for land-use law, in line with Cabinet directions: "the need to protect a person's use and enjoyment of their land" and "prevent unreasonable incursions from the use of land by other landowners".⁶

A separate Natural Environment Act would have its own set of goals and decision-making principles, although some of these would be the same as the Planning Act. It would also have the same procedural principles as the Planning Act, meaning there would be overlap. Below we have outlined these in table form, including key differences from the RMA (in red text).



Rural Taranaki

Planning Act	Natural Environment Act
Goals	
Enable the enjoyment of property rights. <i>New</i>	Safeguard the life-supporting capacity of air, water, soil, and ecosystems <i>Section 5 RMA</i>
Land uses [should] not unreasonably infringe on the rights of neighbouring property owners to enjoy their own land, including by separating incompatible land uses. <i>New</i>	Protect human health from harm caused by the discharge of contaminants <i>New</i>
Keep communities safe from intolerable risks and effects of natural hazards and climate change. <i>Altered section 6(h)</i>	Indigenous biodiversity net gain. <i>New (replacing section 6(c) RMA protection of areas of significant indigenous vegetation and significant habitats of indigenous fauna).</i>
Make available at least sufficient land to be developed for residential and business purposes ahead of expected demand. <i>New (but a recognition of existing policy in national direction)</i>	Protect high value natural character of the coastal environment, wetlands, and lakes and rivers and their margins from inappropriate development. <i>Revised section 6(a) RMA (with addition of high value)</i>
Plan and provide for infrastructure ahead of expected demand. <i>New (and potentially beyond the scope of the legislation to achieve)</i>	Protect the values and characteristics of ONFLs from inappropriate development. <i>Section 6(b) RMA</i>
Maintain and enhance public access to and along the coastal marine area, lakes, and rivers. <i>Section 6(d) RMA</i>	

Create well-functioning urban and rural areas. <i>New (but a recognition of existing policy in national direction)</i>	
Recognise and provide for the relationship of Māori and their culture and traditions (including kaitiakitanga) with their ancestral lands, water, sites, waahi tapu, and other taonga and protected customary rights. <i>Section 6(e) and (g) RMA (with addition of kaitiakitanga)</i>	
Decision-making principles	
Recognise the capacity for positive benefits of development to enhance people's wellbeing and balance these against costs. <i>New (but partly reflecting the enabling portion of section 5 RMA)</i>	Seek to achieve positive outcomes for the natural environment. <i>New (but similar to section 7(f) RMA)</i>
	Ensure appropriate management of cumulative effects. <i>New (encompassed by section 5(2)(c) RMA, but with new gloss of 'appropriate')</i>
	Recognise that those who produce negative externalities (including pollution) should bear the costs of remediating or mitigating them. <i>New</i>
	Recognise the reasonably foreseeable needs of future generations when granting permits to use resources. <i>Revised section 5(2)(a) RMA, encompassing all inter-generational needs and not just potential of natural and physical resources to meet them, and limited only to the granting of permits</i>

Provide for essential human needs within environmental limits. <i>New</i>
Have information sufficient and necessary to understand the implications of the decision, weighing the cost and feasibility of obtaining information with the scale and significance of the decision. <i>New (although aspects resembling consenting provisions in the RMA)</i>
Avoid repetition by only including a provision in a planning instrument if it is necessary to further particularise a goal. <i>New</i>
Give preference to achieving compatibility between goals rather than achieving one at the expense of another. <i>New (although resembling provisions in the NBEA)</i>
Recognise that not all goals are required to be achieved in all places or at all times. <i>New (although resembling provisions in the NBEA)</i>
In any planning instrument made under the Act, provide guidance to users as to how to resolve conflicts between the objectives and policies contained in that instrument. <i>New (although resembling provisions in the NBEA)</i>
Consider whether adverse effects that cannot be avoided should be minimised, remedied, offset or compensated for. <i>New (although a variant of section 5(2)(c) RMA)</i>
Procedural principles
Act in an enabling manner in accordance with the goals and principles. <i>New</i>
Act proportionately to the scale and significance of the issues. <i>New (extending section 18A(a) RMA from process to all actions)</i>
Be succinct in all written materials and use plain language so that documents are accessible to the public. <i>New (building on section 18A(b)(ii) RMA)</i>
Act in a timely, cost-effective manner. <i>Section 18A(a) RMA</i>

Figure 5.1: Key goals/principles in the EAG’s proposed Planning Act and Natural Environment Act

Some goals present in the RMA are noticeably absent here, including those related to protection of historic heritage,⁷ the habitat of trout and

salmon, the efficient use and finite character of resources, kaitiakitanga (as a general principle beyond the management of ancestral land/taonga), and amenity. There is also no reference to protection of areas of significant indigenous vegetation or habitat, only net biodiversity gain, which is quite a different thing to aim for (see Chapter 6 on limits).

EAG recommendations are not government policy. Cabinet has agreed in principle only that each act will have ‘a’ set of legislated goals and decision-making principles, focusing on the ‘essential functions’ of land use planning and natural resource management.⁸ Ministers have also said that the EAG “proposed a large number of goals and principles, which we intend to streamline given our focus on a ‘back to basics’ resource management system”.⁹ It has not stipulated what those goals would be, other than that:¹⁰

A Planning Act would enable the use, development and enjoyment of land, while a Natural Environment Act would be about using, protecting and enhancing the natural environment (while ensuring that protection and enhancement are proportionate, given that the Act is also “intended to be enabling”).

Key points	• The EAG has proposed a new framework of goals, decision-making principles and procedural principles for a Planning Act and Natural Environment Act. • Some goals and principles reflect the wording of Part 2 RMA matters, but there are significant modifications and additions, as well as overlap between those proposed for each statute. • Cabinet has signalled an intention to streamline these goals and principles by going ‘back to basics’.
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5.3 The problem/opportunity

The overall theme here is to shift the RMA’s balance between use and protection in favour of use,¹¹ under both a Planning Act and a Natural Environment Act. It is still unclear what that will mean, given that no clear legal test has been offered to mediate between the conflicting goals of the acts (other than general terms like ‘balance’ and ‘proportionality’).

But there is a more fundamental question to address. What problem is this shift trying to solve? The government has said that the RMA has been

a ‘handbrake’ on development and has been “interpreted as putting the environment first ... above development and other land use”.¹² This raises moral questions (*should* we put the environment first? In what situations?). But it also raises serious evidential questions. *Has* the RMA put the environment first? And to what extent? Let us look at the facts.

5.4 Discussion

5.4.1 The relationship between use and protection

There are two arguments that have been put forward as to why Part 2 has been a handbrake on development. The first is that the link between the enabling and protective elements of section 5 (the word ‘while’) is skewed in favour of protection. But has that actually been the case?¹³

Let us consider the legal perspective. The word “while” in section 5 has not been interpreted as development being “subject to” basic environmental safeguards. For example, a recent Court of Appeal case has explicitly stated that Part 2 itself does not impose biophysical outcomes that must be defended.¹⁴

In addition, a long line of cases following the landmark *King Salmon*¹⁵ judgment makes it clear that decisions lower down the hierarchy (eg for regional plans and consents) are not allowed to rebalance things under Part 2, if it would undermine clear decisions that have already been taken in higher instruments (eg NPSs).¹⁶ It means that a hierarchy of instruments must be adhered to.

There is discretion in promulgating national direction (except the NZCPS) meaning that strong protective policy is dependent on political will, not legal mandate. National direction has been used to support development such as that for urban development which imposes ‘bottom lines’ for housing.¹⁷

Even when protective national policy has been put in place, such as under the NZCPS, NPS for Freshwater Management and NPS for Indigenous Biodiversity,¹⁸ there are extensive exceptions, including mining and quarrying activities being allowed in wetlands.¹⁹ Consenting pathways have also been recognised by the courts for developments (eg ports and highways) despite directive national policies seeking to avoid their effects.²⁰

Other features of the RMA reinforce the permissiveness of Part 2. For example, the cumulative effects of activities are often assessed against a ‘permitted baseline’ (where effects permitted by a plan for other activities can be disregarded by a consent authority).²¹ Once granted, consented rights cannot easily be curtailed (and they cannot be cancelled) even when

significant adverse effects are occurring. This has been a big issue in some places, where regulators have needed to rely on voluntary measures by consent holders to stop further degradation.²²

Key point	• Legally, Part 2 of the RMA does not give primacy to the protection of the natural environment. This flows through to many other features of the Act that put development first.
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Secondly, let us consider environmental outcomes on the ground. If the RMA was skewed in favour of protection, and against development, we would expect to see improved environmental outcomes. But this is clearly not the case. Environmental reporting paints a dire picture. For example (although by no means comprehensive) 2025 reporting found that:²³

1. New Zealand has the highest proportion of threatened or at-risk indigenous species in the world (more than 4,000). This includes 94 percent (116 of 124) of indigenous reptile species, 78 percent (77 of 99) of indigenous terrestrial bird species, 93 percent (13 of 14) of indigenous frog species, and 80 percent of indigenous bat species.
2. Between 2019 and 2024, 46 percent of 1,007 groundwater monitoring sites failed to meet the New Zealand drinking water standard for *E. coli* on at least once, and 12 percent of 1,173 groundwater monitoring sites failed to meet the New Zealand drinking water standard for nitrate-nitrogen.
3. Between 2016 and 2020, 45 percent of the country’s total river length was not suitable for activities such as swimming, and 55 percent of New Zealand’s river length had modelled macroinvertebrate community index scores that indicate moderate or severe organic pollution. Water quality is more degraded when there is more high-intensity pasture and horticultural land upstream.
4. In 2022 alone, an estimated 182 million tonnes of eroded soil entered our rivers.
5. The area of New Zealand covered with native ecosystems decreased by about 88,000 hectares between 1996 and 2018.
6. With respect to soil health, 49 percent of monitored sites between 2014 to 2018 were below the target range for microporosity, indicating that compacted soil limited the flow of oxygen and water.

These outcomes, and many others, suggest that the purpose of the RMA needs to be *strengthened* for some things, not weakened. We look at a framework for environmental limits in Chapter 6.

Key point

- The failure of the RMA to prioritise the environment ahead of development has contributed to continued degradation of the natural environment. This suggests a need for a stronger purpose for environmental limits (see Chapter 6).

Thirdly, let us consider things from the perspective of system users. Has a “culture of ‘no’ ... seeped into bureaucratic decision making in New Zealand” as claimed by Ministers?²⁴

Well, no. The vast majority of consent applications under the RMA are approved. During the 2022-2023 year, 36,158 consents were granted out of the 37,996 processed. That is over 95 percent.²⁵ In some places, like Auckland and Waikato, 99 percent of consent applications were granted.²⁶ In fact, the data within the National Monitoring System is clear that only 143 (or 0.4%) applications were actually declined during that period. Over 1,000 were deemed to be incomplete (and had yet to proceed) and 840 were withdrawn.²⁷ It also needs to be remembered that plans are filled with permitted activities, where consent is not required as long as certain standards are met. Many activities proceed under this consent status.



Wind farm, Pātea

When one looks across the system, it is hard to conclude that Part 2 is stopping people doing things. That is even the case for large-scale developments with significant effects (see the spotlight below). Instead, the pertinent issue seems procedural: whether the system should require so many consents in the first place, or whether the processes to obtain them impose excessively high costs and delays.²⁸ Any issues here should be addressed with procedural solutions and not through poorly-targeted tinkering with Part 2.

A spotlight on renewable electricity and housing

Part 2 of the RMA recognises the importance of renewables (and national direction strengthens this further).²⁹ In interviews with councils we heard that there are few regulatory barriers to renewables. In Waikato, for example, consents for hydro reconsenting and geothermal projects are being resolved promptly (within around 6 months).³⁰ Rooftop solar is also a permitted activity, and yet it has not been deployed en masse.³¹

There is a large amount of wind power that has been consented but not yet built, signalling that the RMA is not impeding consent for renewables, but rather that issues lie elsewhere such as with incentives in the electricity market.³² Many applications for wind farms have been granted. For example, a large wind farm on Mount Munro was approved by the Environment Court in February 2025.³³ The Waipipi wind farm on the South Taranaki coast (with turbines 160 metres high) was granted discretionary consent despite forming a prominent backdrop to views inland from the coast and dunes and being within a migratory pathway for birds.³⁴ Wind turbines were also allowed at Mākara despite having adverse effects on an area deemed to be an ONL.³⁵ In another case it was emphasised:³⁶

the generation of a substantial output of electricity from a perpetually renewable source which emits no pollution, particularly greenhouse gases, is of such national importance and benefit that it clearly outweighs site-specific adverse effects.

Furthermore, almost all renewable electricity projects going through the COVID-19 Recovery (Fast-track Consenting) Act 2020, which requires compliance with Part 2 of the RMA, have either been granted or are still in progress.³⁷ Only two wind farm applications have been declined under the legislation (Southland and Waiuku), and no solar or geothermal proposals have been declined.³⁸

High profile cases where consent *has* been declined (or where applicants faced difficulties) include those where effects would have been particularly significant, such as being sited in ONFLs and SNAs.³⁹ These were clearly proposed in the wrong place, and highlight the problem with a lack of strategic planning (figuring out in advance where things *should* and *should not* go), rather than a problem with Part 2 (see Chapter 7 on spatial planning).

In terms of housing, Ministers have said that the RMA “suppresses development of housing, resulting in some of the highest house prices in the OECD”.⁴⁰ But in Auckland, there is now 30 years’ worth of development capacity provided for (400,000 houses). Between 2016 and 2021, upzoning in the Unitary Plan facilitated the consenting of 21,800 new dwellings, most of which were medium or high density.⁴¹ It is not the RMA, but council difficulties servicing housing development with infrastructure, that is the most significant constraint.⁴² This issue is being worked on, including the prospect of value uplift capture to help fund things like rail, roads and pipes and unlock development capacity.⁴³

Other problems with housing affordability arise in much more contentious areas of policy, such as tax settings, and cannot be resolved through RMA reform. For example, it has been said that “the Act can’t be held responsible for immigration or tourism-driven growth pressures”.⁴⁴ Nor can red tape be blamed for sites that are already suitably zoned for development but remain vacant. In Ireland, for example, vacant site levies have been imposed to incentivise actual development of housing rather than land banking.⁴⁵

Key points

- Most developments are authorised under the RMA. It is very hard to conclude that Part 2 is stopping people doing things in any significant way.
- Reasons for a lack of sufficient renewable electricity projects or housing development lie far outside the RMA and Part 2.
- The more compelling problem is that the RMA fails to guide activities to appropriate locations, and generates tensions and costs as a result (see Chapter 7).

5.4.2 A lack of focus on development outcomes

The second criticism of Part 2 is that development-focused outcomes are not really mentioned in it. For example, sections 6 and 7 do not refer to the importance of providing for housing or infrastructure. As a result, it has been said that “the current legislation drives those tasked with implementing it to stop rather than enable development” and “the absence of such principles in the RMA is a key contributor to risk aversion in discretionary decision-making situations”.⁴⁶

It is by no means clear that this is the right conclusion to reach. The lack of explicit reference to development is mainly because of the era in which the RMA was born, where such outcomes were to be left to the market to determine, as long as they complied with clear environmental bottom lines. The idea was, essentially, that because no balancing would be needed between outcomes, there was no need for Part 2 to outline anything except the biophysical parameters within which developers would need to operate. People would simply be enabled to provide for their own wellbeing and development if and when they wanted to.

According to some, this has led to development benefits receiving little weight in decision-making.⁴⁷ Consider the Infrastructure Commission’s assertion that the RMA is imbalanced in favour of protection, because it focuses:⁴⁸

on the impacts that a development or activity may have on the immediate environment ... Under this system, an infrastructure project that makes a positive contribution to the national environment (for instance, a hydroelectric scheme) but a negative contribution to a local environment can be delayed or not given consent.

But development is far from a blind spot in the RMA. For a start, the first element of section 5 is *explicitly* about enabling development to allow people to provide for their wellbeing.⁴⁹ Part 2 and associated consenting provisions also require positive effects (including those of development) to be considered and weighed up in accordance with relevant policies.⁵⁰ In addition, the benefits of renewable energy are explicitly recognised in Part 2.

This is also not how the RMA has ended up working in practice, in most cases. It is standard practice for consent authorities to grapple extensively with all effects, both positive and adverse. This includes consideration of property rights, employment generation, local economic benefits, security of electricity supply, housing and many other matters.⁵¹ Projects certainly

can be (and have been) declined where their local effects are unacceptable, but this is not because their social, economic or environmental benefits are ignored or downplayed.

In cases where such development benefits have not been factored in appropriately, this is not a failure of the RMA itself, but an example of poor practice:⁵²

If there is a practice problem, it may be that some district plans stray into the dogma that avoiding, remedying or mitigating an adverse environmental effect is alone sufficient to promote sustainable management, or is inherently more important than enabling social, economic or cultural wellbeing (positive effects in simple terms). Such is not in our view a correct interpretation of the RMA.

The Act has certainly not prevented national direction or plans from creating policies strongly recognising development outcomes and influencing practice on the ground. These are now much more powerful in guiding consenting decisions than Part 2 itself.⁵³ For example, we now have strong national direction on the provision of urban development capacity.⁵⁴ The benefits of urban intensification are extensively discussed in the Auckland Unitary Plan. Renewable electricity is another example. Recognition in Part 2, supported by national policy, has meant that renewables projects with adverse effects are often consented⁵⁵ (and there is a specific carveout in the NPS for Indigenous Biodiversity so that it does not apply to the development, operation, maintenance or upgrade of renewables).⁵⁶ Indeed, one recent Environment Court decision noted, in granting consent for a wind farm that:⁵⁷

We start from the premise that at central government strategic policy level increasing capacity for renewable energy generation is of high priority...

while the various policy documents do not suggest it should proceed at any cost to the environment, there is strong direction in national, regional and district planning instruments in providing for its development. We are satisfied in this instance that the direction in those planning instruments, and indeed the purpose of the Act is best met by the granting of consent, despite those effects...

we accept that some individuals and families in the affected communities will have to live with a changed landscape that may not be acceptable to them.

In short, it is far from clear that the absence of development-focused goals in Part 2 has been an impediment to development.

Key points

- Some have said that the absence of development-focused principles in Part 2 of the RMA has meant low weight has been given to its benefits.
- This is not borne out by the provisions of the RMA, their implementation in national direction and plans, or in actual practice on the ground in planning and consenting.

Given the purpose and principles of the RMA have not been a handbrake on development, and have resulted in ongoing environmental degradation, there appears little justification for a new system to be more 'enabling' (if this means altering the balance between resource use and protection of the natural environment, rather than addressing procedural concerns).

Nevertheless, there will need to be change, because the exact wording of Part 2 clearly cannot survive in a system with two acts. To minimise disruption, the EAG's proposal to split Part 2 matters across statutes has sought to retain case law in some sensible ways, including by keeping the language of several section 6 matters.⁵⁸ But reform also provides an opportunity to address other genuine concerns with Part 2. Some of these have been proposed by the EAG, and we explore them below.

5.4.3 The Treaty of Waitangi

The Treaty of Waitangi is of central importance to the norms of a new resource management system. Section 8 of the RMA currently requires decision makers to take into account the principles of the Treaty, and the EAG has proposed that the RMA's approach to the Treaty and its principles remain largely unchanged.⁵⁹ However, Cabinet has decided to remove reference to Treaty principles and focus on upholding specific Treaty settlements.⁶⁰

This is currently a politically fraught question that extends well beyond the context of resource management, and we do not attempt to provide an 'answer'. It will be shaped by a constitutional conversation between Māori, the Crown and the public, and this is as much to do with *how* and *by whom* decisions are made as it is about the principles of legislation that replaces the RMA.

Nevertheless, several things should be noted. First, there are serious questions about the extent to which Part 2 of the RMA *currently* upholds Crown obligations with respect to the Treaty. Section 8 strikes us as being inconsistent with the Crown's obligations.⁶¹ Many others have taken this view, including the Waitangi Tribunal in its Wai 262 and Wai 2358 reports.⁶² The Randerson Panel also pointed out that "much remains to be done to ensure that the principle of partnership inherent in the Treaty moves towards an everyday reality".⁶³ Part of the problem is that Māori interests are often "balanced out" by virtue of their weak recognition in Part 2 (ie they are only something to be "taken into account" and not necessarily given effect to).⁶⁴ The overarching concept of 'sustainable management' is also somewhat technocratic and does not resonate with te ao Māori.⁶⁵ The NBEA sought to address this through, among other things, its purpose of Te Oranga o te Taiao.⁶⁶

Secondly, Part 2 is not entirely deficient. It has provided a flexible framework for some improvements to be made over time. There is, for example, generally greater understanding and integration of Māori perspectives in resource management processes than there was a decade ago. Much of this rests on the direction to recognise and provide for ancestral connections to the environment in section 6 (rather than section 8 specifically). In addition, other parts of the RMA require stronger engagement of tangata whenua in decision-making processes, and some councils have recognised the benefits of involving tangata whenua proactively and early. It is now more common, for example, for tangata whenua to sit on council and council committees, and for their input to help shape plans.

This progress (as well as the evolution of case law concerning the recognition of tikanga)⁶⁷ has been positive for both Māori and the natural environment and should not be lost. The proposal to remove section 8 and general application of kaitiakitanga is a retrograde step and, if implemented, will need to be replaced with a stronger integration of Treaty principles within the purpose and principles of the new system. In addition, the EAG's recommended retention of 'ancestral connection' is positive and should be supported and built on.⁶⁸

Thirdly, great care will be needed to ensure that a more enabling system is consistent with specific Treaty settlements. Links between frameworks can be complex. For example, there may be issues if authorities cannot require consent (or are obliged to grant consent) for activities that undermine the Vision and Strategy for the Waikato River (Te Ture Whaimana o Te Awa o Waikato), which has statutory force under settlement legislation.⁶⁹

Key points

- If not explicitly recognised in a 'Treaty clause', Treaty of Waitangi principles will need to be embedded within the purpose and principles of a new system.
- The RMA's approach has been mixed, but at a minimum its focus on ancestral connection and recognition of kaitiakitanga should be retained and strengthened.

5.4.3 Precaution, polluter-pays and environmental justice

The RMA does not express a clear precautionary principle, meaning that this has had to be inferred through complex case law that is not accessible to lay users.⁷⁰ This jurisprudence has also not proved strong enough to prevent adverse cumulative effects (which often arise where information about effects is uncertain).

More modern environmental legislation in New Zealand and overseas⁷¹ includes explicit precautionary principles, stating that scientific uncertainty about environmental impacts cannot be used as a justification for inaction and recognising the need to err on the side of caution. The EAG has quite rightly proposed to enshrine precaution in new legislation.⁷² This will need to encompass land use under a Planning Act as well as a Natural Environment Act.

Part 2 also lacks a strong polluter-pays principle of the sort that is frequently found overseas (eg where "persons who generate pollution and waste should bear the cost of containment, avoidance and abatement").⁷³ As a result, the RMA has seen considerable cost placed on communities (rather than being internalised to polluters or users). This effectively amounts to a subsidy. For example:⁷⁴

two key measures to stop [Te Waihora/Lake Ellesmere] declining would result in an annual loss of revenue for local dairy farmers of about \$250 million... [which] effectively [hands] a subsidy to ... farmers in this catchment to the tune of \$250 million every year.

The EAG has rightly recommended that a Natural Environment Act should include such a principle. Doing so is, in fact, necessary in a system that seeks to address externalities.

A spotlight on the UK's Environment Act

The UK's Environment Act 2021 establishes a series of environmental principles, including:

1. environmental protection should be integrated into the making of policies;
2. the principle of preventative action to avert environmental damage;
3. the precautionary principle;
4. the principle that environmental damage should as a priority be rectified at source; and
5. the polluter pays principle.

These are more than just general statements. The government must create a policy statement on these principles, outlining how they are to be applied. It must be satisfied that the policy statement *will* result in the improvement of protections, and it must adhere to it. For example, one investigation by the UK's environmental watchdog found that decisions to allow the emergency use of certain pesticides infringed the precautionary principle, partly resulting in an application to use them being declined.⁷⁵

The most novel aspect of the provisions is that Ministers must have due regard to policy statements on principles when making *any* policy decision (including when developing legislative reform proposals), not just regulatory decisions under planning or environmental legislation.⁷⁶

Some have criticised this system for not going far enough, in that it does not apply to policies regarding defence or taxation, and the duty is to have regard to the government policy statement (Ministers' interpretation of principles) rather than the principles themselves.⁷⁷ Nevertheless, it was described to us as constitutionally significant,⁷⁸ and goes well beyond the narrow scope of principles currently under the RMA.

The RMA also does not include clear principles around environmental justice or equity. This means that the effects of activities can be felt disproportionately by some people or communities. For example, poorer areas in Auckland have much less (some only 2 percent) urban tree cover,

meaning hotter and less liveable communities for people who are also less able to afford mitigating measures like air conditioning.⁷⁹

Modern environmental laws overseas are often more explicit in specifying that human activities should not be allowed to create environmental harm that disproportionately affects some people or communities (eg the poor). For example, in Victoria "all people are entitled to live in a safe and healthy environment irrespective of their personal attributes or location" and "should not be disproportionately affected by harm or risks of harm to human health and the environment."⁸⁰ That should be embedded in new legislation in New Zealand.

Key point

- The RMA does not have sufficiently strong or explicit principles around precaution, polluter-pays, or environmental justice. Modern environmental frameworks overseas embed these in their legislation.

5.4.4 Trade offs

The RMA does not provide clear guidance about how to make trade-offs between protection and use, despite this often being the central question plans and consents have to resolve. It has been left largely to national direction and plans (and consenting processes) to address legitimate conflicts, which has created uncertainty and litigation. New legislation could provide greater clarity.

Sections 6 and 7 have been described as a "hotch-potch collection of sentiments" and in need of "some rationalisation".⁸¹ It is not clear why some things are in one section and not another (eg freshwater quality is not mentioned as a matter of national importance). There are also notable gaps when it comes to some important outcomes like food security, energy security and greenhouse gas reduction, which jar with some highly specific goals like protecting the habitat of trout and salmon. Some provisions are so vague they provide a hook for all sorts of aspirations to be weighed in unpredictable ways. Others overlap and are open to allegations of 'double counting'.⁸²

The NBEA had a single, more coherent list of outcomes.⁸³ This provided a more sensible approach. The Act's lengthy list was criticised by some for 'objective overload', meaning it could merit simplification in a future system depending on the respective jurisdictions of Planning and Natural Environment Acts.⁸⁴ However, over-simplification should also be avoided, because it creates uncertainty about what statutory goals actually mean.

Several interviewees highlighted the need for outcomes to be ‘anchored’ and not ‘ephemeral’. For example, the EAG’s conception of ‘well-functioning urban and rural environments’ was described as potentially including various things, like the protection of elite soils.⁸⁵ Why not say that specifically?

Cabinet has implied that statutory goals might be reduced ‘back to basics’ even further than those proffered by the EAG, essentially leaving more room for political discretion about what outcomes should be pursued and which could be ignored.⁸⁶ The uncertainty and flip-flopping this would create would not be desirable.

Another issue with Part 2 is that synergies between use and protection are also not preferred or recognised when making trade-offs.⁸⁷ This means opportunities for win-win situations are not always pursued (eg nature-based infrastructure solutions). The EAG has rightly recommended that synergies be recognised in the principles of future legislation. The NBEA provided wording that could be applied:⁸⁸

as a means of avoiding conflict between outcomes, achieving compatibility between or among outcomes must be preferred rather than achieving one outcome at the expense of another.

When providing for outcomes... the health of the natural environment and its capacity to sustain life must be protected...

Spatial planning would be one tool to achieve synergies and avoid unnecessary conflict (see Chapter 7). It would help ensure that the right things go in the right places.

Primary legislation cannot provide all the answers. A more coherent set of legislated goals should therefore flow into a single, cohesive set of national direction – a National Planning Framework. At present, national direction under the RMA pulls in many directions without clear relationships between its objectives and policies, an issue that has been recognised by the Randerson Panel and the EAG. Both proposed a more integrated package of national direction.⁸⁹ Initial work done by the previous government on a National Planning Framework should be built upon.⁹⁰ This should provide clearer direction about how to resolve conflicts, and the NBEA again provides suitable wording:⁹¹

conflict between or among outcomes must be identified and resolved at the highest practicable level within the national planning framework and plans.

This may be harder to achieve if there are two instruments made under separate statutes for planning and environment.

Key points

- Part 2 of the RMA does not provide clear guidance about how to make trade-offs between protection and use.
- The list of outcomes in the NBEA provides a more coherent starting point for a future system. Although this could be simplified, legislation should provide a reasonable degree of specificity about what objectives must be pursued and how they relate to each other. Synergies should be expressly encouraged.
- Conflicts should be more clearly resolved in an integrated package of national direction.

5.4.5 Positive outcomes

Part 2 has another problem: it does not go far enough in recognising positive environmental outcomes. For example, the general direction to “avoid, remedy or mitigate” – especially “mitigate” – is a tacit invitation to make things worse, not better. Part 2 is mainly about ‘protecting’, ‘preserving’ and ‘safeguarding’. There is a general recognition that environmental enhancement is important,⁹² but this is vague and is hard to reconcile with the focus on mitigation.

Although national direction and plans can seek environmental improvement (eg in the regional biodiversity strategies required under the NPS for Indigenous Biodiversity),⁹³ this is not well reflected in the RMA itself. The EAG (and others) have therefore said that ‘planning needs a more positive focus’ and ‘natural resource management needs a clearer aspiration to work to enhance degraded resources’ (including biodiversity net gain).⁹⁴

It is hard to square this aspiration with an effects-based system based on externalities, but it is something that needs to be done better in a future system. Overseas, a more coherent range of targeted goals are explicitly recognised in planning legislation. Frameworks are outcome-based (seeking positive change) rather than just effects-based (preventing or mitigating harm).

A spotlight on Victoria

The drafting of the RMA's purpose and principles seems dated in light of the environmental challenges the country faces in 2025, especially when compared to some of the principles and objectives contained in environmental and planning legislation in other jurisdictions. For example, in Victoria, legislation aims to:⁹⁵

1. secure a pleasant, efficient and safe working, living and recreational environment for all Victorians and visitors to Victoria;
2. conserve and enhance those buildings, areas or other places which are of scientific, aesthetic, architectural or historical interest, or otherwise of special cultural value;
3. provide for the fair, orderly, economic and sustainable use, and development of land;
4. encourage the achievement of planning objectives through positive actions by responsible authorities and planning authorities; and
5. ensure that present generations maintain or enhance the state of the environment for the benefit of future generations.

These are relatively strong aspirations for making things *better*, not just figuring out whether the positive impact of developments are worth it in light of their negative effects.

A spotlight on the EU's Nature Restoration Law

Victoria's aspirations are relatively general. In the EU, there are more specific legally binding goals for improvement. This is driven by the fact that, across the EU, 81 percent of habitats and 63 percent of protected species have a "poor" conservation status.⁹⁶

The EU Nature Restoration Law, which came into force in August 2024, is the first of its kind, designed to give teeth to international obligations under the Convention on Biological Diversity.⁹⁷ It requires the restoration of at least 20 percent of land and sea areas by 2030 and 90 percent of degraded habitats (those listed in Annex I of the EU Habitats Directive) by 2050. It is a legally binding regulation, which aims to reverse and not just halt biodiversity loss. It requires all

member states to draft and start implementing national restoration plans by July 2026.

The plans must meet some quite specific goals.⁹⁸ For example, 25 percent of degraded peatlands must be rewetted by 2030 (a particular challenge in Ireland, where peat harvesting/turf cutting has long been essentially unregulated);⁹⁹ 25,000 kilometres of "free-flowing" rivers and floodplains must be restored across Europe; and there must be an increase in urban green spaces and tree coverage after 2030, including the planting of 3 billion additional trees. There are complex exemptions,¹⁰⁰ and there have been some criticisms about the law's level of ambition and potential for implementation.¹⁰¹ Yet the urgency of environmental improvement is recognised, not just in the aspirations of the legislation, but also in the specificity with which they are expressed.

The UK, no longer a member of the EU, also faces biodiversity challenges. We look at its new system for targets, improvement plans and net biodiversity gain in the following chapter on environmental limits. But the starting point needs to be legislation that explicitly recognises the need for restoration in its goals.

Key points

- The RMA does not sufficiently recognise the need for environmental improvement in its purpose and principles.
- Internationally, specific goals for restoration and enhancement are more clearly recognised in primary legislation.

5.5 Concluding comments

There are several opportunities for positive change identified in the discussion above. The *most* important shift, however, will be for a new Natural Environment Act to have a more strongly protective purpose/goal than the RMA. Without this, legislation will sink into "being a mealy-mouthed manifesto whose meaning is whatever decision-makers on the day want it to be".¹⁰²

There are many options for what specific goals might be included in new legislation. Section 6 of the RMA provides a good springboard to preserve some valuable case law. But at the heart of environmental legislation will need to be an uncompromising purpose driving the establishment and defence of environmental limits. It is to this framework we turn next, in the following chapter.

Endnotes

- 1 The core normative provisions of the RMA are in Part 2, but the Act does contain others. For example, section 107 states that decisions cannot grant consents if they would cause certain effects in receiving waters.
- 2 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [43].
- 3 According to the EAG, this is because of the ‘unproductive debate’ about the meaning of sustainable management over many years.
- 4 Contrast the EAG’s perspective at [44], where it is implied that most normative guidance would be contained in national and regional level instruments, not legislation itself.
- 5 <https://www.beehive.govt.nz/speech/speech-nz-planning-institute-conference>
- 6 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [45].
- 7 Which is to be placed in a separate framework outside the RMA, but not immediately – raising concerns about a lack of protection in the interim period.
- 8 Cabinet’s decision is also subject to further advice on the ‘value provided’ by such provisions. See Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 27.
- 9 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [37].
- 10 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 26-27.
- 11 It has been said by Ministers that “we have a “planning system that fails to effectively take into account the basic requirements a modern country requires to thrive: economic growth, property rights, and the rule of law”: Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [18].
- 12 <https://www.beehive.govt.nz/speech/speech-replacing-resource-management-act>
- 13 Compare Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020) at 16.
- 14 *Muaūpoko Tribal Authority Incorporated v Minister for Environment* (2022) CA250 at [49], [145]. The *King Salmon* jurisprudence does not change the “deliberate openness” of Part 2 itself.
- 15 *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.
- 16 See *Environmental Defence Soc Inc v New Zealand King Salmon Co* [2014] NZSC 38, [2014] 1 NZLR 593; *Rj Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283; *Environmental Defence Soc Inc v Otago Regional Council* [2019] NZHC 2278.
- 17 See NPS on Urban Development, pol 7.
- 18 These instruments contain various policies that require certain effects to be ‘avoided’, which has been held to be a strong direction to ‘not allow’. See *Environmental Defence Soc Inc v New Zealand King Salmon Co* [2014] NZSC 38, [2014] 1 NZLR 593.
- 19 This now includes coal mining. See <https://www.mbie.govt.nz/dmsdocument/28364-supplementary-analysis-report-amending-the-consenting-pathway-for-coal-mining-in-or-around-wetlands-and-significant-natural-areas>
- 20 The adverse effects of ports do not need to be avoided in all situations. See *Port Otago Limited v Environmental Defence Society* [2023] NZSC 112. This was highlighted by Auckland’s East-West Link roading proposal, which infringed the ‘avoidance’ policies in the NZCPS, but was given the green light nevertheless. See *Royal Forest and Bird Protection Society of New Zealand Incorporated v New Zealand Transport Agency* [2024] NZSC 26.
- 21 <https://www.qualityplanning.org.nz/node/850>.
- 22 <https://environment.govt.nz/publications/otuwaharekaishburton-lakes-lessons-learned-report/>
- 23 See generally *Our Environment 2025 Tō tātou taiao* (April 2025).
- 24 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [17]
- 25 National Monitoring System data, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 26 National Monitoring System data, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 27 National Monitoring System data, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 28 See generally New Zealand Infrastructure Commission Te Waihangā Rauaki *Hanganga o Aotearoa New Zealand Infrastructure Strategy 2022-2052* (2022).
- 29 RMA, s 7(j); NPS for Renewable Electricity Generation, objective A.
- 30 The effect of the policy was that geothermally sourced generation went from 6 percent to a current 21 percent of baseload electricity. See *Entry for Energy Globe Awards 2007* (Environment Waikato, August 2007).
- 31 [https://www.waikatodistrict.govt.nz/docs/default-source/your-council/plans-policies-and-bylaws/plans/district-plan-review/decisions/proposed-waikato-district-plan-\(decisions-version\)/part-2-district-wide-matters/signs/part-2_6-egen-electricity-generation.pdf?sfvrsn=66e19ac9_2](https://www.waikatodistrict.govt.nz/docs/default-source/your-council/plans-policies-and-bylaws/plans/district-plan-review/decisions/proposed-waikato-district-plan-(decisions-version)/part-2-district-wide-matters/signs/part-2_6-egen-electricity-generation.pdf?sfvrsn=66e19ac9_2)
- 32 <https://thekaka.substack.com/p/consents-galore-but-wheres-the-power>
- 33 <https://www.epa.govt.nz/assets/Uploads/Documents/Fast-track-consenting/Southland-Wind-Farm/Correspondence-to-panel/Meridian-Energy-Ltd-2025-NZEnvC-44.pdf>
- 34 https://www.google.com/url?sa=t&source=web&rct=j&opi=89978449&url=https://www.kaipara.govt.nz/uploads/resource-consents/Memorandum%2520of%2520Counsel%2520for%2520TWP.pdf&ved=2ahUKEwizljsL2OAXjTGwGHVL-AJ8Q-tANegQILRAY&usq=AOvVaw24gt6eQSOFYr8ScDbNV_yk
- 35 *Meridian Energy Ltd v Wellington City Council* W031/07 at [283], [412].
- 36 *Unison Networks Ltd v Hastings District Council* W058/06 at [79].
- 37 See <https://www.epa.govt.nz/fast-track-consenting/fast-track-projects/>.
- 38 See <https://www.epa.govt.nz/fast-track-consenting/fast-track-projects/>.
- 39 https://www.epa.govt.nz/assets/Uploads/Documents/Fast-track-consenting/Southland-Wind-Farm/Decision/Southland-Wind-Farm-Decision_FINAL-1.pdf; <https://www.rnz.co.nz/news/business/556344/contact-energy-appealing-decision-to-decline-southland-wind-farm-consent-reapplying-under-fast-track-act>
- 40 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [24.3].
- 41 <https://ourauckland.aucklandcouncil.govt.nz/news/2024/03/auckland-upzoning-sparks-more-homes-and-improved-affordability/>
- 42 The Council’s Infrastructure Strategy considers this growth feasible.
- 43 Resource Management Law Association *Submission on issues and options paper: Transforming the resource management system – opportunities for change* (2020) at [18]; A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 1.
- 44 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf> at 3
- 45 <https://legalblog.ie/vacant-site-levy/>
- 46 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [37], [51].
- 47 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [51]; A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010).
- 48 New Zealand Infrastructure Commission Te Waihangā Rauaki *Hanganga o Aotearoa New Zealand Infrastructure Strategy 2022-2052* (2022) at 138.
- 49 Compare L Beattie and I Munro “Common RMA misconceptions, Part One” (2014) 193 *Planning Quarterly* 14.
- 50 See RMA, ss 2 and 104. For example, see <https://www.epa.govt.nz/assets/FileAPI/proposal/NSP000039/Boards-Decision/f2a6b7d01d/NCI-Volume-1-of-2-Board-of-Inquiry-Draft-report-and-decision-FINAL.pdf> from [281].
- 51 See, for example, <https://www.epa.govt.nz/assets/Uploads/Documents/Fast-track-consenting/Southland-Wind-Farm/Correspondence-to-panel/Meridian-Energy-Ltd-2025-NZEnvC-44.pdf>
- 52 L Beattie and I Munro “Common RMA misconceptions, Part One” (2014) 193 *Planning Quarterly* 14 at 17.
- 53 *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.
- 54 Which specifies that urban change is not in and of itself to be regarded as ‘adverse’.
- 55 <https://www.epa.govt.nz/assets/Uploads/Documents/Fast-track-consenting/Southland-Wind-Farm/Correspondence-to-panel/Meridian-Energy-Ltd-2025-NZEnvC-44.pdf> from [327].
- 56 At 1.3(3).

- 57 <https://www.epa.govt.nz/assets/Uploads/Documents/Fast-track-consenting/Southland-Wind-Farm/Correspondence-to-panel/Meridian-Energy-Ltd-2025-NZEnvC-44.pdf> at [380], [391], [389].
- 58 Although some have been altered (see Figure 5.1 earlier), which raises environmental risks.
- 59 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) from [35].
- 60 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025).
- 61 Waitangi Tribunal *The Stage 2 Report on the National Freshwater and Geothermal Resources Claims: Wai 2358* (2019) at 66.
- 62 Waitangi Tribunal *The Stage 2 Report on the National Freshwater and Geothermal Resources Claims: Wai 2358* (2019) at 66.
- 63 Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020).
- 64 Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020) at 89; Waitangi Tribunal *The Whanganui River Report (Wai 167 report)* (1999) at 330.
- 65 Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020) at 97.
- 66 Section 3.
- 67 See <https://wynnwilliams.co.nz/insights/local-government/supreme-court-concludes-tikanga-maori-part-of-law-of-new-zealand/>; *Trans-Tasman Resources Ltd v Taranaki-Whanganui Conservation Board* [2021] NZSC 127.
- 68 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at 23.
- 69 See Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010.
- 70 See G Severinsen “To Prove or not to Prove? Precaution, the Burden of Proof and Discretionary Judgment under the Resource Management Act” (2014) 13 *Otago LR* 351; and G Severinsen “Bearing the Weight of the World: Precaution and the Burden of Proof under the Resource Management Act” (2014) 26 *NZULR* 375.
- 71 For example, the Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012.
- 72 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [378].
- 73 Environment Protection Act 2017 (Vic), s17.
- 74 <https://www.wgtn.ac.nz/news/2022/03/whos-paying-for-the-environmental-costs-of-farming>
- 75 See <https://www.theguardian.com/environment/2025/jan/23/government-decision-not-to-authorise-pesticide-is-sweet-as-honey-for-pollinators>. The potential failures relate to DEFRA's interpretation and application of the precautionary principle and compliance with its nature conservation obligations when it considered granting emergency authorisations in 2023 and 2024: <https://www.theoep.org.uk/news/oep-issues-information-notice-defra-investigation-emergency-authorisation-pesticide-continues>
- 76 Section 17.
- 77 Interview with UK legal academic, March 2025.
- 78 Interview with UK legal academic, March 2025.
- 79 <https://interactives.stuff.co.nz/2022/03/urban-heat-island-tree-cover/>
- 80 Environment Protection Act 2017 (Vic), s 21.
- 81 Local Government New Zealand *Transforming the resource management system: Opportunities for change – Local Government New Zealand's submission on the issues and options paper* (February 2020) at 4; M Foster and others *Report of the Minister for the Environment's Infrastructure Technical Advisory Group* (2010) at 23; compare A Dormer and others *Report of the Minister for the Environment's Technical Advisory Group* (February 2009) at 38.
- 82 See <https://eds.org.nz/wp-content/uploads/2021/11/Caring-for-the-Landscapes-of-Aotearoa-New-Zealand.pdf> at 29. For example, there is some overlap between ONLs and natural character of the coastal environment; or the concept of heritage landscapes, which span the concepts of heritage protection and landscape protection and where recognition has been patchy. See *Waiareka Valley Preservation Society Inc v Waitaki District Council* C058/2009 at [230]-[231]; *Clevedon Cares Inc v Manukau City Council* [2010] NZEnvC 211 at [185]; *T W Reed Estate v Far North District Council* [2014] NZHC 3328 at [65]; *Gavin H Wallace Ltd v Auckland Council* [2012] NZEnvC 120.
- 83 The NBEA provided a single list of outcomes, recognising some new matters like housing. But it also provided that “when providing for [the long list of] outcomes, the following approach must be taken: ... the health of the natural environment and its capacity to sustain life must be protected in accordance with the purpose of this Act ...”, thereby preventing development factors being balanced against protection.
- 84 As long as there were separate environmental limits, outcomes could include more explicit recognition of the *public* benefits of development (eg housing, infrastructure and domestic food supply), to reflect the trade-offs that are already possible through RMA national direction.
- 85 For example, see *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [87].
- 86 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 7.
- 87 Synergies between development and protection are more common than one might think, but are not necessarily options pursued by the market alone, without a push from the planning system. For example, densification of neighbourhoods can occur around mass transit nodes, the greening of urban space has benefits for environment and property values, and pursuing nature-based infrastructure solutions (like wetlands) can provide services as well as enhancing biodiversity.
- 88 Sections 7(2)(b); 7(2)(d).
- 89 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment); Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020).
- 90 <https://environment.govt.nz/publications/our-future-resource-management-system-developing-the-national-planning-framework/>
- 91 Section 7(2)(c).
- 92 Section 7(f).
- 93 These must be prepared by regional councils within 10 years of the NPS coming into force.
- 94 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at 17.
- 95 Planning and Environment Act 1987 (Vic) s 4; Environment Protection Act 2017 (Vic), s 21.
- 96 <https://www.eea.europa.eu/en/topics/at-a-glance/nature/state-of-nature-in-europe-a-health-check/habitats-and-species-latest-status-and-trends/>
- 97 Regulation 2024/1991, https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=OJ:L_202401991
- 98 See generally https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=OJ:L_202401991, art 4.
- 99 <https://www.epa.ie/publications/compliance--enforcement/peat/large-scale-illegal-peat-extraction-report-2025.php>
- 100 For example, see art 4(14)-(17).
- 101 For example, in Ireland: see <https://www.anglocelt.ie/2025/03/29/nature-and-farming-coexisting-is-cornerstone-of-nrl/>
- 102 SD Upton “Purpose and Principle in the Resource Management Act” (1995) 3 *Waikato Law Review* 17.

6 Environmental limits



Waimakariri River (Bernard Spragg)

6.1 The problem/opportunity

The RMA has failed to prevent the degradation of some of the most basic elements of environmental health that society expects. Why has this happened? The weakness of Part 2 of the RMA is one issue (see Chapter 5). This has flowed through to vague and conflicting policies in planning instruments and a tendency not to use prohibited activity status, creating cumulative effects through permitted activities and case-by-case consenting decisions.

There are few true limits, because even strong policies do not make it clear in advance what cannot be done.¹ For example, nitrate contamination of Selwyn's drinking water supply (now over the safe level recommended by midwives for pregnant women)² is clearly not consistent with the direction to safeguard the life supporting capacity of water in section 5.

Poor monitoring and enforcement has contributed to the issue, even where strict standards or conditions exist.³ A lack of data and information, or a failure to act on it, is a further issue.⁴ And then there are issues with 'implementation', including a long history of inactivity by central government,⁵ the uncritical carrying over of outdated provisions in plans, and the persistent under-resourcing of regulators. In addition, the RMA has left most trade-offs to political decision-making that inevitably tends towards short-term priorities and has seen a degree of regulatory capture.⁶ To all this we can add the many environmental problems

originating well before 1991, which have not been addressed by a system that is better at mitigating harm, than it is at incentivising improvements.

All this can be bundled into one problem: the RMA lacks a proper framework for setting and defending clear environmental limits.⁷ A new system presents a valuable opportunity to do better. This requires much more than a strong purpose statement, because "we should not delude ourselves into thinking that because we have spelt out a high-level principle, we know how to give it practical traction."⁸ Limits demand a more fulsome legislative architecture for decision-making and accountability.



Forestry, Nelson

A spotlight on Māori perspectives on limits

The Treaty of Waitangi has implications for environmental limits. On the one hand, the absence of limits in the RMA may be inconsistent with te ao Māori and the Treaty's obligation to protect taonga (and the principle of active protection). While not purporting to speak for all Māori, James Whetu explains:⁹

where there is evidence that taonga, and/or a catchment, are degraded, it is anticipated that the position of kaitiaki will be for their taonga/catchment to not absorb further degradation. I would view this as a basis for discussion on an 'environmental bottom line' approach to setting and strengthening of environmental limits and for the application of cultural indicators (includes cultural-derived ecological indicators) to protect and restore/improve their taonga...There are local and national state of the environment reports (and other audit reports and research reports) that have identified by name and location those taonga and catchments that are degraded and at tipping points.

As Te Kahui Wai Māori noted in its engagement with the Randerson Panel:¹⁰

Where ... settlement legislation has overcome that tension [between use and protection], it has done so by taking a stand, elevating one consideration over another, rather than relying on a balancing approach.

On the other hand, how limits are described in the purpose of new legislation, and how (and by whom) they are set, matters greatly. A traditional Western approach to protection ('lock up and leave') may be equally harmful to kaitiaki if it severs ancestral connections and the conception of humans and te taiao as intimately connected through cultural practices (eg gathering kai). Whetu notes:¹¹

In the discussion about environmental limits (and targets), I often reflect on the planning debate about the application of an 'overall broad judgment' approach, and an 'environmental bottom line' approach. I have come across varying views in Māori communities on this matter, so cannot state here that there is a definite Māori position. The exercise of rangatiratanga and kaitiakitanga differs between iwi, hapū, marae and whanau. In many instances, both approaches are discussed and pursued, hence the importance that the

strengthening and clarifying of environmental limits must recognise the cultural/manua whenua context.

Where there is a growth mindset to advance Māori and communities, an overall broad judgment approach can be observed. It is considered that this approach is holistic and recognises the interconnectedness of te taiao (environment) and te ira tangata (humankind) and is more flexible and agile than adhering to a fixed environmental limit.

Clearly, great care is needed, including the involvement of tangata whenua (alongside others) in the design of limits that respond to different tikanga and biophysical circumstances. The two things should be consistent.

Key points

- The RMA lacks a meaningful framework for clear environmental limits. The framework needs to reverse poor environmental outcomes and reflect obligations under the Treaty of Waitangi.
- Environmental limits are about much more than the purpose of legislation. They require a broader architecture of decision-making and accountability.

6.2 Government proposals

Cabinet has determined that the new system will “strengthen and clarify the role of environmental limits and how they are to be developed”.¹² More specifically:

1. Where needed to protect human health, limits would be set nationally. Where needed to protect the 'natural environment' they would be set by regional councils using a nationally set methodology.
2. There would be mandatory domains for which limits must be set, potentially including air, water, soil and ecosystems, with criteria for setting the management units across which they would apply.
3. Human use of resources would be capped to ensure no limits were breached, and there would be a process for some over allocated resources to achieve limits over time.

The EAG recommended a more detailed model, based to some extent on the National Objectives Framework under the NPS for Freshwater Management. In particular:¹³

- 1. A Natural Environment Act would itself set values for each domain;
- 2. The EPA would create regulations that identified attributes for each domain;
- 3. Limits (defined as a minimum environmental state or maximum amount of pressure) would be recommended by the EPA for national limits, and decided by the Minister for the Environment;
- 4. The EPA would support regional councils in deciding regional limits;
- 5. Limits could be met through offsetting across appropriate scales;
- 6. An allocation method would determine competing claims to resources within limits.

There is a significant role for the EPA in the EAG’s model. However, Cabinet has determined that institutional arrangements for setting limits are to be determined over a longer time period than the promulgation of new resource management legislation.¹⁴ This is of considerable concern, as setting limits is the prime mechanism within the new system through which environmental health is to be protected. Ministers have also requested further advice to “consider the role and weighting of environmental limits, their relationship to other planning instruments”,¹⁵ leaving their exact operation (and effectiveness) unclear.

Key point	• The government has committed to establishing a framework for environmental limits, for key domains, under a Natural Environment Act. Human health limits would be set nationally, while environmental quality limits would be set regionally.
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6.3 Discussion – key elements of environmental limits

The detail of a limits framework will be extremely important, given the intention for the new system to “put development beyond question, so long as that development occurs within environmental limits”.¹⁶ An effective framework will require 8 key features, which we explore below.

6.3.1 A clear conceptualisation

A future system needs to be very clear on what an environmental limit means. The basic idea of a biophysical limit is intuitive and well supported by science. It is expressed most succinctly in the concept of planetary boundaries.¹⁷ But it needs to be operationalised in the machinery of a regulatory statute.

The EAG has said that the concept means both (1) a minimum acceptable state of the natural environment and (2) a maximum amount of acceptable harm or pressure. That is a good starting point,¹⁸ depending on how and by whom ‘acceptability’ is determined, because:¹⁹

while available scientific knowledge and data have enabled some boundaries to be defined in terms of environmental states (eg a particular chemical concentration), in other cases it has made more sense to define boundaries in terms of environmental pressures or impacts (eg emissions).

Environmental limits should not just be seen as *numerically measurable* states as implied by some statements about limits.²⁰ Limits for things like biodiversity may resist the kind of quantification that is possible for things like freshwater pollution (eg parts per million of contaminants), and may need to include qualitative statements (eg a policy describing certain kinds of significant effects that are to be avoided).²¹

There is an underemphasised piece of the puzzle in the EAG’s model: the means to achieve the minimum state or maximum harm. This is the actual regulation – the thing stopping human activities. Such provisions must also be a ‘limit’ in legal terms. That is crucial if a limit is to have a particular legal status, with consequences that flow from it (see further below on what some of those consequences could be). For example, if a catchment’s capacity to assimilate a pollutant like nitrogen is fully allocated, a prohibited activity rule disallowing any additional pressure will require status as a ‘limit’ – with all the additional legal scrutiny that accompanies such a rule.

A limits framework would be far more directive than the RMA in terms of setting boundaries. For example, despite plans often setting relatively clear objectives about the minimum state of receiving environments, there has been persistent wriggle room for the actual rules (including permitted activities) to allow things that infringe it. One 2023 report noted the historical “disconnect between rules and outcomes” in Canterbury’s land and water regional plan, which:²²

has objectives and policies for maintaining or improving the naturalness of the region's lakes, but the rules do not directly manage the significant pressures on the lakes (land use, stock numbers, farming intensity).

Interestingly, the NPS for Freshwater Management already defines 'limits' as the actual controls (on land use, inputs or outputs) needed to achieve minimum outcomes, although these do not have separate legal status from other rules or standards.²³

It is also crucial that buffer spaces be built in between the minimum state of an environment, the amount of pressure that would infringe it, and the rules or conditions controlling actual activities. This would take into account uncertainty relating to environmental tipping points, because in many cases we simply do not know. The approach would reflect the precautionary principle that the EAG has seen as central to a Natural Environment Act,²⁴ and was discussed at length in the Randerson Report.²⁵

Key points

- Although limits need to be predictable, understandable and measurable, this does not necessarily require numbers. They should be able to encompass clear qualitative descriptions as well (eg a minimum state expressed in a policy).
- A limit should be able to be expressed in three ways: (1) a set of minimum acceptable biophysical outcomes (eg a river that is swimmable); (2) a maximum amounts of pressure/impact beyond which those outcomes cannot be achieved (eg total nutrient loads into a river); and (3) regulatory controls on human activities that are needed to prevent those impacts (eg restrictions on stocking rates or fertiliser inputs).

6.3.2 A clear purpose

Primary legislation needs to be very clear about what outcomes are being sought when limits are set. If these are too vague, limits may be set in the wrong place, vary wildly over time according to political preferences, and be incapable of legal defence if challenged. For example:²⁶

Applying different judgements to these choices renders the world differently, as the New Zealand government did when it relaxed

its *E. coli* classification thresholds in 2017, turning 13% of New Zealand rivers from 'unswimmable' to 'swimmable' overnight.

In Chapter 5 we noted that the RMA's purpose has been used to balance the environment and development, and a future system needs to be more protective of biophysical limits. But what does that mean?

Most fundamentally, limits should not be tied to the maintenance of the current state of the environment, because to do so would lock in existing, unacceptable degradation.²⁷ So, what is a minimum 'acceptable' state or pressure? The EAG's view was that limits should have a purpose of "protecting the values of human health and the life-supporting capacity of the natural environment".²⁸ This may be suitable as a general expression of intent, building on case law under section 5 of the RMA. But it will not be enough, for two reasons.

First, it sets the bar too low. A highly degraded environment (eg a nutrient rich river, one overrun with pest species, or one in which indigenous species are on the brink of extinction) is still one capable of supporting life. As one interviewee told us, so too is a septic tank. We need a more protective concept, and the NBEA provided one way forward.

A spotlight on the NBEA and limits

In the NBEA policy development process there was extensive debate about the merits of alternative concepts like ecological integrity and ecological health (which includes ecosystem services provided by introduced, non-pest species) as the basis for limits.²⁹ Some suggested the use of the term mauri (roughly, life force),³⁰ although that would need to be clearly defined to provide certainty. Ultimately, the concept of ecological integrity was used as the starting point, meaning "the ability of the natural environment to support and maintain the following":³¹

(a)

representation: the occurrence and extent of ecosystems and indigenous species and their habitats; and

(b)

composition: the natural diversity and abundance of indigenous species, habitats, and communities; and

(c)

structure: the biotic and abiotic physical features of ecosystems; and

(d)

functions: the ecological and physical functions and processes of ecosystems.

Although the NBEA's limits framework ended up being convoluted (and it could have been simplified),³² its essence was that human activity could not allow ecological integrity to fall below a level where it was 'unacceptably degraded'.³³ What this meant involved discretion, but it was bounded by a number of mandatory considerations:

- (a) whether the degradation of that aspect compromises the ability of future generations to provide for their needs and wellbeing;
- (b) whether and how the state of that aspect—
 - (i) poses risks to human health of current and future generations;
 - (ii) increases the risk of indigenous species being displaced or made extinct;
 - (iii) increases the risk of irreversible or significant harm to ecological integrity;
- (c) the impact of any recent disaster event on that aspect and on the matters described in paragraphs (a) and (b);
- (d) New Zealand's international obligations that relate to that aspect.

There is room for refinement here. But the purpose of limits should not be about the bare minimum (for example, preventing 'irreversible' harm). Many impacts (eg kina barrens) *can* be reversed, but that does not mean that they *will* be, or that temporary harm should be accepted. In addition, harm that may have been reversible or temporary in the past may not be in the future, given the accelerating impacts of climate change compounding existing stressors.

Secondly, the concept of human health and life-supporting capacity proposed by the EAG is too vague by itself. General purposes like this may:³⁴

make their authors feel good, but [are] of no practical use when it comes down to resolving the difficult questions about where to draw limits and how to apportion the costs.... it doesn't lend itself to a world of legal duties, rights and responsibilities which address very different sorts of biophysical, social, cultural and economic circumstances....

The EAG recognised this, proposing that more specific values for each domain be established in primary legislation.³⁵ However, it did not suggest what they should be. Instead, we need domain-based objectives which we explore next.

Key point

- There are many options for what the purpose of environmental limits might be, but the NBEA provides a good starting point in its concept of ecological integrity.

6.3.3 Domain-based objectives

What things should limits be set for? As a general principle, they should be required for all things needed to achieve their purpose, whether that be life-supporting capacity or something else like ecological integrity. Not everything worthy of protection needs a biophysical limit (eg visual landscapes). The EAG proposed mandatory environmental limits for air, water (freshwater and coastal),³⁶ soil and ecosystems.³⁷

Domains will need to be identified with reasonable specificity in primary legislation if they are to be effective. If they are too broad, there will be inevitable gaps and 'places to hide'. For example, estuarine health has been a significant gap in RMA national direction.³⁸ Wetlands are not obviously emphasised by terms like 'freshwater' or 'ecosystems' and do not obviously fall within any of the domains in Part 3 of the RMA (eg land, lake bed, water body). As a result there was jurisdictional confusion until national direction was created on the subject in 2020.³⁹

As a starting point, mandatory limits should reflect the domain-based functions of regional councils articulated in section 30 of the RMA, not just general words like 'air, soil, water and ecosystems'. For example, these include (among other things):

1. control of the quantity, level, and flow of water in any water body;
2. control of the quality of water in water bodies and coastal water;
3. ecosystems in water bodies and coastal water;
4. indigenous biological diversity;
5. the control of the taking or use of geothermal energy;
6. control of the use of land for the purpose of soil conservation.

Wetlands and estuaries should also be singled out specifically. When setting domain-based limits regulators will still need to keep in mind the broader concept of the environment, since there are risks in siloed approaches:⁴⁰

setting limits on, for example, nitrogen discharges to water does not ensure that aquatic environments will be healthy. Both freshwater and marine environments are ecologically complex systems; their status is the result of multiple factors (and stressors) interacting in complex and often cumulative ways.

Within this framing, however, each domain should have a clear goal to be achieved and defended.⁴¹ In achieving them, biophysical matters should be the *only* factors in setting limits. Otherwise, there will be inevitable trade-offs with other considerations (eg economic development) that will erode the concept of a biophysical bottom line. For example, goals like a ‘functioning freshwater ecosystem’, the ‘ecological health of waterbodies’,⁴² or ‘swimmability’ (if well defined) should be included in primary legislation as overriding objectives for freshwater. More general terms like ‘sustainability’ invite balance and argument.

There are many such concepts across existing national direction and plans that could form the basis of a conversation about domain-based goals. Further direction could be drawn from key documents such as Te Mana o Te Taiao – the New Zealand Biodiversity Strategy.⁴³ Some goals might be very specific, like ‘no further loss of natural inland wetlands’.⁴⁴ Other goals will be needed for bespoke protections, like water conservation orders (which are more akin to national parks than RMA overlays) and areas like the Waitakere Ranges and Hauraki Gulf that have their own legislation.⁴⁵ Goals will also need to be sensitive to bespoke Treaty settlement legislation, such as that for Te Awa Tupua, the Whanganui River.⁴⁶

Domain-based goals should be measurable or evaluable where possible.⁴⁷ This means that a core range of attributes, not just values, should be provided for. In our view, a minimum list of these should be included in primary legislation (rather than being later specified in regulations by Ministers, councils or the EPA). Other attributes might be added or removed, but some things (eg levels of *E.Coli* in waterways or macroinvertebrate community index), as a proxy for the things we value, are sufficiently beyond debate to be enshrined in actual law. Other core attributes might include parts per million of contaminants in the air (eg particulates) or soil, or prevalence/range of threatened species.

A spotlight on the EU

The EU’s Water Framework Directive has an uncompromising purpose that must be transposed into the legislation of member states. It aims for at least “good status” in water bodies, including surface, ground and coastal water, by addressing both ecological and chemical factors.

‘Good status’ sounds vague, but it is extensively defined in Annex V of the Directive. For surface water, for example, this involves achieving two things: good ecological status and good chemical status. A series of tables then specifies what this means, across a number of indicators like phytoplankton, hydromorphology, fish fauna, and benthic invertebrates. Physical and chemical elements like pH, temperature, and dissolved oxygen are also included. These specific matters are framed within an overarching definition of ecological quality, expressed as follows:⁴⁸

The values of the biological quality elements for the surface water body type show low levels of distortion resulting from human activity, but deviate only slightly from those normally associated with the surface water body type under undisturbed conditions.

The European Court of Justice has held that EU members must refuse to authorise any project which would result in deterioration of the status of a water body, or would jeopardise the attainment of ‘good status’.⁴⁹ At least in theory, limits have teeth.

‘Heavily modified waterbodies’ have their own bespoke goals. These are surface waterbodies that have had their physical characteristics modified by engineering works (eg power generation, water supply, flood defences). To recognise this reality, they are given an ‘ecological potential’ objective (rather than a ‘good ecological status’ aim). Other goals such as for nutrients, chemicals and any other biological elements that are not impacted by the modification must still be met.⁵⁰ Mitigation measures are also required (eg fish passage for dams).

Guidance makes it clear that this “does not consign a waterbody to abandonment”. Rather, “it allows realistic environmental objectives to be set that maintain the highest ecological standards possible given the specified use”.⁵¹ In Ireland, there is a three-stage bespoke assessment process undertaken by the arm’s length EPA to identify modified waterbodies (currently there are around 466) and to identify their ecological potential objectives.

Although the Water Framework Directive establishes qualitative goals and methods rather than numerical limits (which are left to national jurisdictions),⁵² it is nevertheless quite specific as to what outcome is being sought. It is binding on domestic legislation, and there are well-used mechanisms for enforcement at European level (see later in this chapter).⁵³ A similar series of 'values' and associated attributes could be enshrined in a Natural Environment Act rather than being left to more readily changed regulations.

Biophysical indicators such as water quality, air quality and noise "can be measured in a relatively straight-forward way which lends them well to bottom-line assessment."⁵⁴ But the general 'ecosystem' limit proposed by the EAG presents a more conceptually challenging domain. An ecosystem, like sustainable management, is so broad as to 'hide a multitude of sins'.⁵⁵

For example, is the goal of an ecosystem limit 'a functioning ecosystem capable of providing services (eg pollination or food) to humans'? Does it encompass the protection of particularly vulnerable places *within* an ecosystem, like wetlands? Does it imply a limit for specific threatened species that may have a very narrow range? Regulatory responses for each could look very different.



Variable oystercatcher (Bernard Spragg)

True ecosystem health is inextricably linked to the wellbeing of indigenous flora and fauna within it. As such, a future system needs to require minimum outcomes for indigenous *biodiversity* – including the protection of both species and the habitats on which they rely.

It is of concern that biodiversity limits have not been clearly recognised by Cabinet. Instead, Cabinet has said that the term 'ecosystem' "overlaps with the other domains to ensure they describe the extent they support life".⁵⁶ The implication is that 'ecosystem' limits are only there to protect water, soil and air – not indigenous biodiversity itself (eg threatened species).

Even the EAG does not refer to indigenous biodiversity limits specifically.⁵⁷ Its report even implies that place-based tools like SNAs (often crucial for protecting habitat of threatened species) would not necessarily be part of the package of 'rules, standards and other methods' responsible for achieving limits.⁵⁸ If so, SNAs may lack a robust legal status (made even shakier by their exposure to regulatory takings discussed in Chapter 3). By contrast, the NBEA specifically required limits to be set for *indigenous biodiversity*, not just ecosystems, as well as robust protected areas to safeguard the habitat of threatened species.⁵⁹

Our view is that there should be two distinct forms of environmental limit for biodiversity, reflecting the different reasons it is important. The first should preserve ecosystem services and biodiversity generally (including to preserve useful services to humans). Here, offsetting may be appropriate when used with extreme care.

The second should be linked to the threat status of particular species under the New Zealand Threat Classification System (NZTCS). Part of this should be limits for species themselves (to restrict human activities having direct impacts on them). This is necessary because the separate Wildlife Act has severe deficiencies, including an incomplete coverage of species (eg it does not apply to invertebrates). Another part should be where critical habitat for threatened species requires stricter protection.⁶⁰ For example, a future system could build upon the distinction in the NBEA between 'significant biodiversity areas' and 'high value biodiversity areas'. The latter was subject to more stringent protection for threatened species habitat. This would also reflect the kind of approach used in EU Directives, where identification and management of priority Natura 2000 sites on private land are directly linked to the protection of specific species with poor conservation status (eg wolves), not just ecosystem health and services (eg vegetative cover).⁶¹

Finally, we note that domain-based objectives (and the overall purpose of limits) will likely need to stand apart from the more general purpose or goals of environmental legislation. If limits are just one among many goals in a Natural Environment Act (especially one which is proposed to be ‘more enabling’ overall), the Act will not be protective. This is of concern, given Cabinet has said it intends to consider further the ‘weight’ that limits will receive in decision-making.⁶² The relationship between the purpose of limits and the purpose of legislation was also an issue under early versions the NBEA.⁶³ It was resolved late in the legislative process by clarifying that the purpose of the Act is to be *achieved* by limits being set and complied with.⁶⁴ Limits need to be seen as a vital *part* of ensuring people’s broader wellbeing, not something that exists in tension with it.⁶⁵

Key points	• The domains for which limits are required will need to be identified with reasonable specificity in primary legislation if they are to be effective. • At a minimum, these should refer to the regional council functions contained in section 30 of the RMA. • A limit should be required to be set for indigenous biodiversity specifically, not just for overall ecosystem health. This should require minimum outcomes for particular species as well as their habitat and be linked to threat classification status. • An overall purpose for limits should be supplemented by descriptive values associated with each domain, to articulate what is being sought for each. There are many options for what these might look like. • Environmental limits require a clear purpose that stands apart from the more general purpose of legislation.
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6.3.4 A suitable geographical scale

If limits are to protect what matters, they must be set at appropriate geographical scales. These are often referred to as management units. For freshwater, for example, this needs to be based on catchments (and units within them). For air quality, airsheds are what matters.

Appropriate scales will vary according to the physical and human geography of a place (eg for airsheds, it is matters like valleys, wind conditions and population distribution that matter). Estuaries should be managed as part of freshwater catchments.⁶⁶ For biodiversity, however, the appropriate scale is less clear. It depends on a philosophical question: what is being protected? After all, nature does not respect artificial jurisdictional boundaries.

The government’s intention appears to allow for offsetting of adverse effects ‘where appropriate’ within units.⁶⁷ This needs to be approached with great care. If limits are measured across a whole district, a whole region, or even the whole country, there will be significant room for some places to become heavily degraded while still being able to claim ‘compliance’ with an overall limit, because:⁶⁸

aiming to improve environmental outcomes overall, whilst laudable, is not the same as maintaining in law high levels of protection for specific habitats and species.

This is why the idea of biodiversity net gain (in which all benefit might be concentrated in one place while harm builds up in others) needs to be distinguished from the true safety net of regulatory limits applying at place. Just as it would be unacceptable for minimum air quality standards to be averaged across a region if polluting activities were concentrated in one valley, it would be inappropriate for biodiversity offsets to result in the extinction of a species or the denuding of an entire urban area of trees.

For that reason, the EU’s Habitats and Birds Directives provide a framework for identifying and strictly⁶⁹ protecting a coherent network of individual areas, based on objective scientific factors and connections within biogeographical regions, not just overall measures of ecological health across the continent.⁷⁰ These ‘Natura 2000’ sites form the largest coordinated network of protected areas anywhere in the world.⁷¹ Effects on the integrity of one site cannot simply be traded off for improvements elsewhere, except in extremely limits cases (where there are “imperative reasons of overriding public interest” and only if overall network integrity is protected).⁷² Even Donald Trump’s proposed coastal protection wall on the beach beside his golf course at Doonbeg, Ireland, was refused permission partly because it would have impacted on a nearby Natura 2000 site.⁷³

Although the system is not perfect in practice (notably when it comes to implementation by member states),⁷⁴ a 2016 review showed that the status and trends of bird species as well as other species and habitats protected by the Directives would be significantly worse in their absence. It also

found that the Directives have not created undue barriers to investment. The vast majority of projects are approved, with conditions that carefully manage impacts on protected sites.⁷⁵

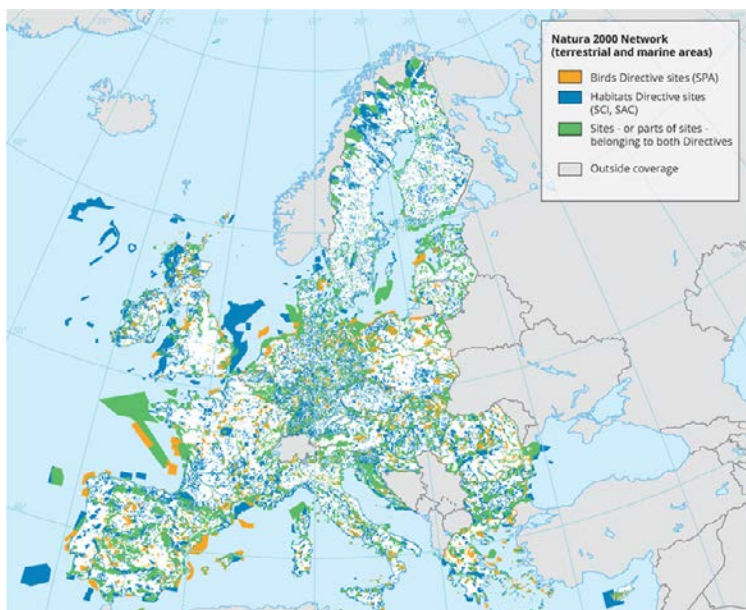


Figure 6.1: Natura 2000 protected sites in Europe⁷⁶

The UK and Singapore offer two other interesting examples – one risky, the other more positive – of the scale on which biodiversity limits might be established under a Natural Environment Act.

A spotlight on the UK's Planning and Infrastructure Bill: A risky approach

Concerns have been raised by many people about proposals in the UK's Planning and Infrastructure Bill. It has been described by George Monbiot as “the worst attack on England's ecosystems in living memory”.⁷⁷ This is largely because of the scale at which biodiversity impacts are being considered.

The Bill would essentially allow developers to contribute a sum of money (a “nature restoration levy”) to Natural England as part of an Environmental Delivery Plan, at which point they could disregard the impact of destroying a protected feature (eg a woodland or meadow). These would include habitats and species protected under the Habitats Regulations.

In many cases, “a single payment will enable development to proceed”.⁷⁸ The Secretary of State only needs to be satisfied that the levy would “outweigh” the damage (essentially, a balancing test).⁷⁹ And the levy cannot be so high as to render a project economically unviable.⁸⁰ Essentially, this means that site-specific environmental damage would often not even need to be assessed, as long as money is paid for the government to undertake unspecified enhancements elsewhere. Indeed, those cost savings are part of the point.

A pool of contributions from developers would fund larger “strategic interventions”. One interviewee described this as “essentially buying rights to destroy” nature. It is reminiscent of a similar, albeit more targeted, experience in Hawaii. There, in some cases, mitigation obligations (eg in response to wind farms killing endangered native bats) have seen financial contributions go to species research rather than actual outcomes on the ground. Even where money has been used to restore actual bat habitat, scientific uncertainty about the species' biology and habitat (and the risks of a changing environment) have made the value of such broader mitigation measures unclear. In other words, it has not been established how many acres of habitat restoration are needed to counteract the death of one bat flying into a turbine.⁸¹

The likely outcomes under the proposed UK legislation are predictable. Nature would not need to be protected onsite or integrated into developments, making nature something that exists ‘over there’. This would threaten the health and wellbeing of residents⁸² as well as outcomes for biodiversity, because they would be reliant on robust and permanent government action elsewhere. It puts “a lot of responsibility on Natural England to get it right”,⁸³ and the bill is silent as to when conservation measures must be implemented and by when they must be effective. The proposal would threaten the coherence of the existing protected sites network (including European Natura 2000 sites), which in the UK is just as important as protecting individual sites in isolation. The proposal turns the mitigation hierarchy (avoid, remedy, mitigate, offset) completely upside down.

In theory, this system is meant to be separate from other legal obligations in the UK to provide net biodiversity gain (see the spotlight further below). However, it is not yet clear how the two are intended to work together. In July 2025 the UK Parliament's Environmental Audit Committee wrote to the government to express its concerns that the Bill will undermine existing net biodiversity gain requirements.⁸⁴

The UK's Bill has eerie parallels in the proposed phase 3 reforms in New Zealand. The impetus for the Bill is a housing affordability crisis (a drive to build 1.5 million new homes) and concern about economic stagnation. It is intended to "help to speed up projects, including new wind farms, railways and roads, gigafactories and data centres across the country".⁸⁵ Development has been said by the UK government to be impeded by "blockers", "time-wasting nimbys" and "zealots",⁸⁶ and:⁸⁷

... we can now look forward to 150 key infrastructure projects going ahead within the next few years while also providing more funding to protect and restore nature.

In New Zealand, Ministers have similarly emphasised not only that planning legislation must be enabling, but also that environmental limits might be 'weighed up' against other factors and could be complied with by allowing offsetting. What that means remains unclear. But without robust constraints (eg the stipulation under the NPS for Indigenous Biodiversity that offsetting and compensation are not appropriate where there are significantly adverse or irreversible harm),⁸⁸ offsetting might mean a system where developers simply pay to destroy nature, while government uses the proceeds to do things like acquire dairying land or paying for SNAs through a regulatory takings regime.

A spotlight on Singapore's site-based greening

In the tiny island nation of Singapore, land is at a premium. As a result, it has long been recognised that its use needs to be optimised and constantly 'recycled', and that the market will not always do so in the public interest. The legal and political context of Singapore is very different to New Zealand, in that the state owns the majority of land, and leases it out to residents and businesses.⁸⁹ Singapore's high population density has also meant that land has to be carefully planned. The small size of the city state has meant that resource management is a matter of existential importance rather than a tool for economic growth. Greening is about survival.⁹⁰

There is benefit in having a tight geographical scope for biodiversity limits. Singapore highlights a universal lesson for any country: nature can, and must, be integrated into human habitation, not just compensated for somewhere else. This is reflected in its 'city in a garden' ethos.⁹¹ It is in response to the very real challenges that

Singapore and many other cities now face from a lack of greenery, like urban heating, flooding risk (including sea level rise),⁹² poor air quality and the need to improve physical and mental health through access to nature.⁹³ Those are pertinent in New Zealand too.

On the ground, this means that there are requirements in many parts of Singapore for new developments to provide no net loss of biodiversity *onsite*.⁹⁴ Under the Urban Development Authority's landscape replacement policy (one aspect of its LUSH programme),⁹⁵ developers must replace greenery lost from the site with greenery in other areas within the development, before various permissions can be granted.⁹⁶ That can be achieved on the ground, on rooftops, through vertical planting or mid-level sky terraces.⁹⁷ Rooftop urban farms also now count towards landscape replacement area. Maintenance requirements are binding and enforceable on residents, on an ongoing basis, although they are not onerous.

There are also requirements for the density of greenery (a ratio of the total leaf area of plants on a site relative to the site area). For example, a ratio of 4.5 is required for new public housing (comprising the vast majority of housing in Singapore), meaning the total leaf area of all plants must be at least 4.5 times the size of the estate's footprint. All this must be done at the design stage, to enable it to shape a development from the outset, rather than be imposed or offset as an afterthought.

For example, one recent redevelopment (Kampung Admiralty) was designed in close collaboration with the National Parks Board, with greenery covering 53 percent of the building plot area, achieving 100 percent green replacement.⁹⁸ There are synergies in designing in such a way, including creating a system that gathers, purifies, and reserves stormwater (rather than it being piped away from the site) for reuse in irrigation of more than 50 species of plants designed to enhance habitat. A biodiversity audit found over 50 animal species.

There are also incentives to encourage urban greening and better social and health outcomes. For example, developers are permitted up to 10 percent more floor area than otherwise allowed in a zone (and can therefore make more profit) if they provide communal sky terraces or ground gardens.⁹⁹ The National Parks Board also offers up to 50 percent funding for the installation costs of rooftop and vertical greenery projects under the Skyrise Greenery Incentive Scheme. This has been important in improving biodiversity on existing developments. As of May 2023, over 180 buildings had been

retrofitted with skyrise greenery, amounting to 155 hectares. This is well on the way to a target of 200 hectares by 2030.

Alongside intensive roadside planting, expansion of protected reserve land, and work to connect green spaces to create biodiversity corridors, Singapore is gradually improving outcomes for biodiversity in an intensively urbanised environment. This can be contrasted to a similarly land-constrained city, Hong Kong, which has long had significant urban problems through a free market approach to planning. Skyscrapers there are more closely packed, there is little sunlight, and infrastructure is underground, making it hard for trees and vegetation to be retrofitted.¹⁰⁰ It is a vivid illustration of how biodiversity limits need to be applied at a tight geographical scale to achieve both improved outcomes for indigenous species and the lives of people.



Landscape replacement area concept, Singapore¹⁰¹



Kampung Admiralty development, Singapore¹⁰²

Key points

- Environmental limits need to be established and measured across meaningful geographical scales (eg catchments for water and airsheds for air). Getting the size and boundaries of management units right is important because offsetting of environmental harm may be allowed within them.
- For indigenous biodiversity, it will be important to protect particular sites of significance, not just overall biodiversity metrics across a region.
- The Natura 2000 model in Europe, and Singapore's site-based greening approach, are examples to emulate. The UK's proposed system would have significant risks.

6.3.5 Binding targets and a pathway to improvement

Many environments across New Zealand are already degraded and in need of restoration. Their existing state is below anyone's reasonable definition of a 'limit'. In such cases, there needs to be a clear pathway to reduce pressures to acceptable levels,¹⁰³ and to return to a "safe and just operating space".¹⁰⁴

Generally, the RMA does not do this well. Few binding targets exist to claw our way back above limits that have already been infringed. Most objectives are general, aspirational and/or disconnected from methods required to achieve them. One recently established exception is for freshwater, where there is now an obligation under national direction to improve a water body where national bottom lines are not being met.¹⁰⁵ Councils we interviewed said this limit, embedded in the broader National Objectives Framework (the matrix within which local government has to manage freshwater), has been immensely valuable in working with communities to improve the environment. But it is not a requirement of the Act itself, and many rights, and therefore harm, have been baked into the regulatory system and are now hard to undo. For example, there is no power to cancel consents, and only limited power to review conditions.¹⁰⁶

We need a stronger mechanism. The EAG has recommended some form of pathway towards meeting limits, over reasonable timeframes, where they have been exceeded. That is positive. However, it is hard to square this sentiment with other statements from Ministers (for example that national bottom lines for freshwater are likely to be removed, and replaced by discretionary 'limits' set by regional councils,¹⁰⁷ which would be guided by a

broader range of objectives allowing for balance).¹⁰⁸ This is some way from what is required, which is a clear, structured framework for setting targets to achieve limits over time. This is especially important when dealing with groundwater contamination by nitrogen runoff, for example. It may take decades for improvements in land use management to manifest as the 'load to come' works its way through the aquifer.

A spotlight on the NBEA

Across all domains, the NBEA provided a sensible and relatively simple approach to targets that could be largely lifted and shifted into a new system, with more detail provided in national direction. Effectively, the Act provided for two kinds of target: where limits are infringed, and to improve the environment above limits.¹⁰⁹ With respect to the former:

1. Targets had to be set for the domains for which limits were required;
2. They must be set at higher levels than 'minimum acceptable' limits (ie minimum levels of ecological integrity);¹¹⁰ and
3. 'Ambitious but reasonable' timeframes must be set for achieving them.

Key points

- In some places, the state of the environment has already exceeded limits. A future system needs a clear framework that sets targets to ensure progress is made back to operating above limits.
- The NBEA provided a model for targets that could be largely adopted.

It is worth considering indigenous biodiversity specifically. For this domain, and especially for threatened species, limits have almost by definition been infringed. However, because a lot of indigenous biodiversity is found on private land, improving the situation may be more politically challenging than where common pool resources (like water) are degraded, or where improvements have obvious economic benefits to landowners (eg soil quality). Clear legal mechanisms for improvement will therefore be needed, not just the setting of targets. For example, despite ambitions to improve vegetation cover in urban areas under national direction for indigenous biodiversity (to 10 percent total area),¹¹¹ tree cover continues to decline as places like Christchurch intensify.¹¹² This is not surprising given

a key mechanism for actually achieving it – the protection of urban trees – has been significantly curtailed since amendments to the RMA in 2013.¹¹³

Some non-regulatory mechanisms would be helpful here, and exploration of a voluntary biodiversity credit system should continue. However, such credits have been shown to have considerable risks, and cannot currently be relied upon to improve outcomes.¹¹⁴ Various other financial incentives should be explored too.¹¹⁵

Could we go further, though? The UK provides a more comprehensive model – albeit one that is not perfect – that could be built on in a Natural Environment Act. Its system includes mandatory targets, environmental improvement plans, and net biodiversity gain.

A spotlight on environmental improvement in the UK

In 2021, spurred by the need to fill the legal gaps left by Brexit (about 80 percent of UK environmental laws came from the EU), the country enacted a new Environment Act with cross-party support.¹¹⁶ The Act is a grab bag of provisions and topics that overlay other more detailed statutes (not a coherent regulatory framework like the RMA). To some it is a 'dog's breakfast'.¹¹⁷ However, some key framework features provide novel mechanisms for improving the environment.

It requires that the government set at least one long-term target for 'priority' areas, via regulations. These priority areas are defined as air quality, water, biodiversity and resource efficiency and waste reduction. Their purpose is to achieve 'significant improvement' in the natural environment.¹¹⁸ Targets must be objectively measurable and have dates by which they can be achieved. More specific targets must also be set for air quality (particulate matter) and species abundance (for which there is a statutory deadline of 2030). There is a duty on government to achieve them. This was described by interviewees as "a real driver of progress".

To operationalise all this, there is a requirement for government to create an environmental improvement plan. This must outline steps to create significant improvement (including interim targets, which are not themselves binding) and make progress towards the binding targets. It needs to be reported on annually and is reviewed every five years. The first plan was published in 2023, with 13 goals, but was judicially reviewed because it lacked sufficient specificity for the goals to be measured. The result has been an agreement by government to conduct a rapid review of the plan.

The Act also seeks to guard against the targets being subsequently watered down. Once set, targets cannot be weakened unless there is a change in circumstances or there would be no significant benefit in keeping the stronger target. Such changes must be justified in Parliament. If a target is not met, the government must say so explicitly, and explain why. It must also outline the steps to be taken to meet the target as soon as reasonably practicable. All this adds transparency to the target setting process.

The Environment Act also requires Ministers to make ‘non-regression’ statements before any new legislation is made. These statements must clearly specify that in “the Minister’s view the Bill will not have the effect of reducing the level of environmental protection provided for by any existing environmental law”.¹¹⁹ Essentially, this requires the government to be transparent about the impact legislative change will have on environmental outcomes, something that is notably missing from New Zealand’s proposed Regulatory Standards Bill (which professes to do a similar kind of thing for impacts on property rights).¹²⁰ To date, no ‘regression’ has been admitted by the UK government, but the country’s independent watchdog (see spotlight further below on the Office for Environmental Protection) has recently, for the first time, stated that proposed legislation (the Planning and Infrastructure Bill, described in the earlier spotlight) *would* be regressive.¹²¹

A more specific mechanism for improving biodiversity is also contained in Part 6 of the Act. This provides for biodiversity net gain (BNG). Basically, developments in England must deliver a 10 percent net gain of more, or better quality, natural habitat than existed pre-development.

Developers can meet BNG requirements in three ways. If possible, they should create biodiversity on-site;¹²² if not, they can deliver it on a different site;¹²³ or they can buy off-site biodiversity credits.¹²⁴ Credits represent “units” of biodiversity value on sites where the landowner has agreed to create and/or maintain a habitat for 30 years.¹²⁵ The further from a site, the lower value credits are given. This has given rise to a market for credits, where landowners create or restore habitats and then sell the units generated to developers who cannot offset impacts onsite.¹²⁶ The Act also provides for conservation covenants, which are one way of giving legal teeth to long-term (30 year) BNG obligations.

There have been some teething problems. For example, owners of land where restoration could occur have so far proved hesitant to restore habitats at scale, given uncertainty in demand for offsite

credits and other market dynamics.¹²⁷ Expected gains were one fifth of that expected in its first year.¹²⁸ Implementation has also been affected by resourcing constraints for councils, including a lack of expertise in what is a highly technical subject.¹²⁹

Although onsite mitigation has been higher than expected overall, there are still concerns in places like Birmingham that offsets may result in dense developments at the urban fringe lacking local access to nature, because restoration is done at scale elsewhere. For onsite measures, there are also concerns that hundreds of individual householders may fail to comply with maintenance requirements once a development is complete.¹³⁰ Arguably, offsite restoration is more robust in terms of registration, monitoring and enforcement.¹³¹

Most significantly, there are extensive exemptions to the duty. Between February and December 2024, for example, more than three quarters of individual households’ planning applications said they were exempt, mostly because they fell below the ‘de minimis’ threshold.¹³² This may limit demand for offsite credits and therefore incentives for large-scale habitat restoration.

As mentioned earlier, a parallel initiative (the Nature Restoration Fund, under the Planning and Infrastructure Bill) has unclear links to BNG requirements. Under this initiative, infrastructure developers can pay into a fund in return for a streamlined permitting process, which will be used to finance “strategic nature interventions” across England, rather than engaging in site-by-site assessment of impacts on biodiversity. Aside from obvious concerns about the ability to simply pay for environmental destruction, some have said the model may generate uncertainty in BNG credit markets and undermine its goals.¹³³

Most interviewees noted that it is too soon to judge whether the UK system for BNG (in force for around one year) has been successful, but it is worth watching closely. Despite some early issues, it has shown promise. Estimates published by the Green Alliance suggest that total annual private investment into nature restoration in UK was previously £95 million, whereas now there are live inquiries for credits worth £210 million.¹³⁴ As one interviewee put it: “BNG has flaws, but it is *something*. Otherwise development results in loss”.

Overall, the architecture of targets, improvement plans and BNG provided by the UK’s Environment Act would be a useful addition to a Natural Environment Act that seeks to restore degraded environments to a minimum healthy state and maintain biodiversity above set limits.

Scotland is also currently considering targets for biodiversity in a new Bill.¹³⁵ As currently drafted, this outlines more specific targets within the domain, including the condition or extent of any habitat, the status of threatened species, and the environmental conditions for nature regeneration. There is a clear duty to ensure that each target is met.¹³⁶

Key points

- The UK provides a structured model for biodiversity improvement, including the setting of binding targets, the creation of environmental improvement plans, and regulatory requirements for net gain.
- It is too soon to determine the success of the system, and it has some flaws. However, it is a step in the right direction and should be emulated in a Natural Environment Act. The risks of net biodiversity gain requirements can be addressed through careful design (eg constraints on offsetting) and a robust limit setting framework for particular protected sites and species.

6.3.6 Legal consequences

So far, we have explored some key features that a limits system needs to have: a clear purpose that stands apart from more general objectives; adequate coverage of specific domains, including biodiversity; reasonably specific values and attributes associated with those domains; an appropriate geographical scale for measurement; a timeline or target when a limit must be reached; and a framework for improvement where limits are infringed. Perhaps most important, however, is the need for limits to be given special legal status, and for there to be clear legal consequences if they are violated.

Most fundamentally, there needs to be a statutory requirement for a minimum environmental state not to be breached.¹³⁷ This should flow through to decisions on national direction, plans, consents and any other tool (eg designations), whether under a Planning Act or Natural Environment Act. The NBEA provided some suitable starting points. For example, in section 286 it prohibited the grant of a resource consent that would be contrary to an environmental limit or associated target (ie where a limit had already been infringed). Below, we outline other consequences that limits should have.

1. **Environmental limits need to prevail in the event of conflict** with other provisions. This should include any ‘enabling’ provisions in a separate Planning Act. For example, the EAG recommended the explicit recognition of ‘the enjoyment of property rights’ in the goals of a Planning Act.¹³⁸ Such language would risk creating a significant tension with limits, and would require a strong hierarchy, because the language of ‘rights’ is powerful. Property rights should not be recognised without recognition of ‘rights’ to (or for) the environment.¹³⁹ Victorian environmental legislation, for example, uses the language of rights. It provides that all people are *entitled* to live in a safe and healthy environment.¹⁴⁰
2. A **stronger precautionary approach** should be required when planners, consent authorities or requiring authorities are making decisions on activities posing risks to environmental limits.
3. **National direction and plans should not be able to permit activities where this risks exceeding environmental limits.** This is fully consistent with the idea of a ‘cap’ on environmental harm. Under the RMA, there is already a requirement that no national standards or plan rules may provide for permitted



Kanuka, Great Barrier Island

activities if they would have significant adverse effects,¹⁴¹ which could be applied to the clearer concept of 'limits'.

4. **Having regard to whether prohibited activity status is appropriate to defend an environmental limit should be a legal requirement.** While there will be many possible methods to achieve a limit, prohibited status would provide clarity to users, a more efficient process, and more regulatory teeth than allowing a consenting pathway. It may, however, be counterproductive to *require* prohibited status, since this may prevent innovations that could mean a limit is not actually infringed.

A spotlight on Ireland

In Ireland, the country is split into three zones for the purpose of nitrates regulation (related to the length of the growing season, weather, soil types etc).¹⁴² These are linked to some quite specific prohibited activities, which vary slightly in each zone. For example, chemical fertiliser may not be applied between 15 September and sometime between mid and late-January.¹⁴³ Other prohibitions correspond to the proximity of sensitive receiving environments, such as a requirement that chemical fertiliser must not be applied to land within 2 metres of a surface watercourse or 20 metres of a lake shoreline.¹⁴⁴ Grassland may not be ploughed between 16 October and 30 November.¹⁴⁵ There are many other prohibitions, which provide certainty for farmers and reduce consenting burdens.

5. **Limits need to be more upwardly mobile than other provisions and established with future risk firmly in mind.** This is because the environment itself will not remain static. For example, changes in species distribution over time due to climate change may require protected areas and other spatial expressions of biodiversity limits to move. One council interviewee posed the question: "will Northland be the stronghold for kauri in 40 years' time?" Shifting patterns of rainfall and prolonged dry periods may also require limits on water abstractions to be tightened over time to maintain minimum ecological outcomes. This phenomenon appears to be happening in northern Waikato already.¹⁴⁶ An agile mechanism is needed to respond to such change in particular places – not an adaptation of the EAG's proposed 'stickier' process for controls that exceed national standards.
6. **Limits should have direct legal consequences for land use decision-making,** which should be required to give effect to them. That could be through constraints mapping under a spatial plan (see Chapter 7), or through zoning under a regulatory plan.¹⁴⁷
7. **Effective monitoring and reporting of limits is essential.** Monitoring needs clear guiding principles in legislation to make sure that it is performed in robust and consistent ways.¹⁴⁸ For example, weekly grab samples of freshwater may be misleading if they are taken at the wrong time of the day or ignore short-term fluctuations (eg when a river is in flood), because often it is the maximum measurement that is important rather than an average ("it doesn't matter if it's OK 99 percent of the time; one percent still kills everything").¹⁴⁹ For freshwater, continual in stream telemetry would be desirable, but this requires investment as well as transparent availability of data.¹⁵⁰ Transparency is also important. For example, the NBEA required local authorities to publicly notify any breaches of environmental limits (including their causes and extent) and how the authority planned to address them.¹⁵¹
8. **Rapid or automatic corrective or preventive measures need to be triggered by monitoring data.** There should be a requirement for planning authorities to give priority attention where a limit is infringed or threatened (eg through enhanced monitoring), and a corresponding duty to take actual action in response (eg by initiating a plan change or by establishing economic instruments or other incentives). Powers need to include an ability to review, reduce or even cancel consented or other rights (eg existing use rights) where necessary. The RMA does not provide for this at present, unless information provided in an application was materially incorrect, meaning that protections are not responsive to adverse environmental change. The large legacy problems this can create can be seen in the cases of Lake Taupō and Lake Horowhenua, where the government had to buy out some farmland to achieve better environmental outcomes.¹⁵² If more options were available to cancel resource consents where limits are infringed, this would ease the financial burden on government by reducing the need to purchase rights. The NBEA provides a suitable model of drafting that could be adopted.¹⁵³

A spotlight on the EU

Europe's Water Framework Directive provides high level requirements when it comes to the design of national level monitoring frameworks (including things like the selection of monitoring sites and frequency) and adoption of internationally recognised technical standards.¹⁵⁴ The Nitrates Directive has an Annex dedicated to common methodologies for measuring nitrates, to facilitate easy comparison across EU countries.¹⁵⁵ These have driven a more robust and standardised system of monitoring, and the development of valuable time series datasets, some of which are absent in New Zealand (eg how land use patterns are evolving).¹⁵⁶ In New Zealand, legal requirements are vague and have led to inconsistent approaches across councils and difficulties in tracking progress across space and time.¹⁵⁷ In most European jurisdictions, monitoring of core environmental indicators tends to be conducted at a national level by an arm's length EPA, resulting in a more standardised approach.¹⁵⁸



Galway, Ireland

9. **Central government assistance will likely be needed to help landowners** where significant capital expenditure is realistically needed to meet limits over time. For example, a big reason for farmer non-compliance with nitrate limits in Ireland has been the financial strain of creating larger slurry storage facilities.¹⁵⁹
10. **Any exemption to environmental limits (eg for 'essential' human needs) must be limited to a specific range of crucial activities**, given that limits are themselves essential for human wellbeing. Any exemption must also outline how other responses will 'make up' for the infringement of a limit. For example, if a land use like vegetable growing (and fertiliser application) is to be provided for as a controlled activity in parts of the country like Horowhenua or South Auckland, there needs to be a mechanism by which other pressures in a catchment are reduced accordingly so that an overall limit is not infringed. Note also that extensive exemptions would be inconsistent with the idea of limits providing certainty for developers.¹⁶⁰
11. **Limit setting, monitoring, review and enforcement should be linked to clear funding sources** to reduce the risk of political de-prioritisation of the function.¹⁶¹

Key points

- An environmental limit, once set, needs to have clear legal consequences. Most fundamental is the legal requirement for a minimum environmental state or maximum pressure not to be breached. There also needs to be a clear statement that environmental limits prevail in the event of conflict with other provisions.
- A stronger precautionary approach is required when making decisions on activities posing risks to environmental limits.
- National direction and plans should not be allowed to provide for something as a permitted activity if it risks exceeding environmental limits, and there should be a legal requirement to have regard to whether prohibited activity status is appropriate to defend an environmental limit.
- Limits need to have more robust monitoring arrangements, dedicated funding, and automatically trigger corrective action when infringed or when not trending towards a target.

- Limits should be expressed spatially where appropriate, and need to be strongly connected with spatial planning and land use decision-making.

6.3.7 Institutional responsibilities

Earlier, we looked at the geographical scale of limits. This is relevant when it comes to the question of who should be responsible for setting them. Currently, the bodies responsible for managing freshwater, and other core aspects of environmental wellbeing, are regional councils. A regional focus is generally appropriate for environmental management.

However, regional councils bring with them another feature: political governance. Is this appropriate for a future system? In other words, as one interviewee put it: “how much should be done by elected bodies”? The EAG’s view was that setting limits involves a value judgement and it therefore requires democratic decision-making. Ministers have also concluded that limits for environmental quality should be made by regional councils. The only technocratic choice, the EAG said, would be identifying the specific attributes for which limits are required (and monitoring them).¹⁶² Identifying mandatory attributes is certainly important, so that elected officials cannot ignore important indicators of environmental health or select inappropriate ones. For example, there has been significant debate about the appropriateness of using nitrate toxicity as a measure for freshwater because it is arguably a poor indicator of ecological health.¹⁶³ A technocratic lens on attribute selection would certainly be appropriate, and the EPA could step into this role.

But the system could, and should, go further. Many of the RMA’s failures have arisen in the political world, given that all the powers needed to limit environmental damage “have been available to elected politicians with the political will to use them”.¹⁶⁴ In many cases that will has been lacking.

This is not to suggest that limit setting is devoid of value judgements. For example, whether a river should be wadable, swimmable, or drinkable, or whether a species should be allowed to go extinct, is not something a scientist can determine. Science provides assessments of cause and effect, not moral conclusions.

However, such value judgements could be made up front by Parliament in the form of clear statutory objectives (see the earlier section in this chapter), rather than providing a framework for ongoing political

judgements. If statutory objectives were clear enough, it would make the limits developed to achieve them amenable to expert or quasi-judicial determination based on legal and biophysical/scientific factors. For example, there need not be a political judgement involved if there is a clear direction to achieve no further loss of wetlands. The idea of resource management as a legal framework, not just one for democratic discretion, is a key reason why the Environment Court already exists and can overturn council decisions where appropriate. It is also reflected in the EU approach, where independent entities like the European Commission and European Court of Justice are heavily involved in defending limits (see Appendix 1).

A similar approach can be seen in other areas of New Zealand law, where there are long-term effects on society that could be disrupted by short-term political incentives. One example is the independence of the Reserve Bank when setting monetary policy, due to the overriding importance of controlling inflation for financial stability and the existence of clear bands for inflation targets in primary legislation against which its performance can be measured.¹⁶⁵

A spotlight on the UK

In the UK, the Planning and Infrastructure Bill currently before Parliament is proposing to legislate for more decisions to be made by expert planning staff, rather than being sent to planning committees comprised of elected members. The Bill would provide for a national scheme of delegation, which would specify more clearly which planning applications are decided by whom. The basic idea is that technocratic decisions – whether a proposal complies with legal requirements – should not be undermined by the consideration of political factors, which are bound to appear in committee decisions and need to be corrected on appeal anyway.¹⁶⁶

This does not mean that elected members will play *no* role, only that they will focus on “those applications which require member input”.¹⁶⁷ In other words, councillors should make decisions where there are value judgements to be made, not to revisit the validity of objectives established already.¹⁶⁸ Similarly, in New Zealand, the EAG has recommended that consenting functions be explicitly removed from elected members (as is already common practice under the RMA).¹⁶⁹ This suggests that other decisions focused purely on implementing the law, like the setting of limits to achieve specific statutory objectives, also do not require direct decision-making by elected bodies.¹⁷⁰ As one UK interviewee observed: we should not “mischaracterise all local planning as local democracy.”

Institutional arrangements (including a role for a strengthened and independent EPA in setting place-based limits and targets) therefore need to be considered as an integral part of resource management reform, and not afterwards. There are a number of possible ways forward, but this needs to be much more nuanced than simply ‘getting rid of regional councils’ as has been suggested recently by some Ministers.¹⁷¹ In an ideal world, the EPA would evolve to have strong regional offices and work in partnership to support and oversee councils (possibly unitary authorities) in setting, monitoring and enforcing limits required under a Natural Environment Act.

The NBEA took a more modest approach. It envisaged a Limits and Targets review panel to provide independent advice to Ministers on preparation of limits, who would have to give weight to their recommendations.¹⁷² Proposed legislation in Scotland is similar, in that Ministers will need to “seek and have regard to scientific advice” from people who are “independent and ... have relevant expertise” when setting minimum targets for biodiversity.¹⁷³ An independent review is also required by Environmental Standards Scotland. In many OECD countries, an independent and expert EPA is the body primarily responsible for preparing, monitoring and enforcing basic biophysical limits.

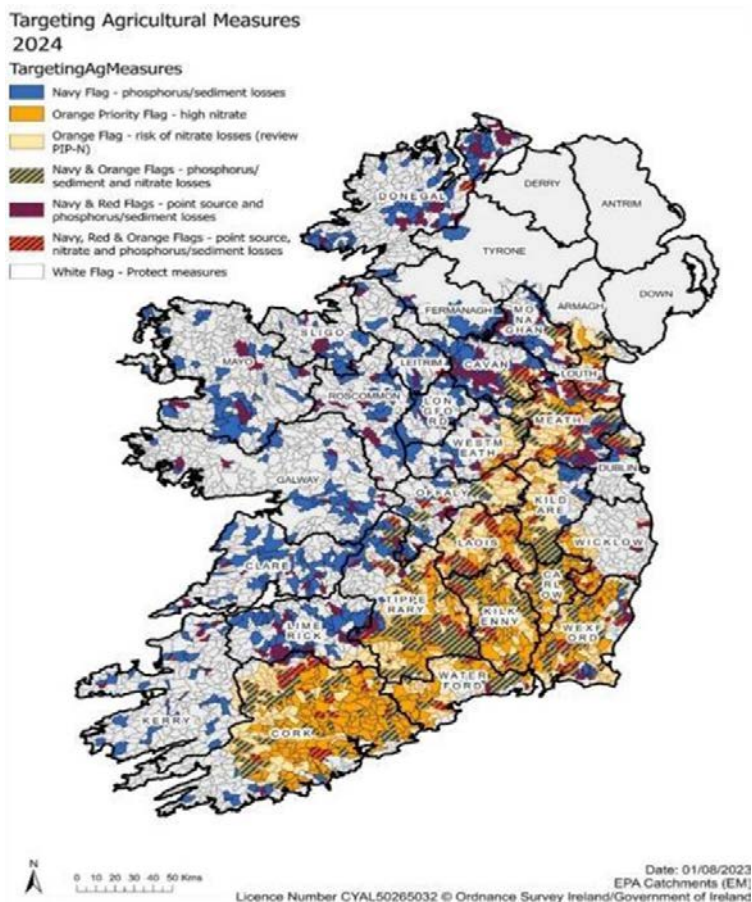


The Three Sisters, Tongapōrutu

So while the EAG recommended that New Zealand's EPA be a ‘centre of excellence’ to support regional councils in limit setting, in our view it should have a more formal role in *preparing* regulatory limits to give effect to legislated, domain-based objectives. Appeals should then be possible where Ministers or councils depart from the EPA's recommended limits. The role of the Environment Court will therefore continue to be crucial as a forum for testing evidence rigorously and providing access to justice. A strong system of advocacy will also be required, to bring matters to the attention of the Court where needed – an accountability mechanism (see the following section).

Finally on this topic, we note that a regional *focus* for institutions responsible for setting limits is important. Consistent, minimum national standards will be essential to act as guardrails (eg for water quality).¹⁷⁴ But identical regulatory controls cannot always be set across the whole country by central government. Instead, some need to be tailored to local circumstances by a body that has local knowledge. National direction for freshwater already provides for this variability, because the reality is that some rivers and estuaries are more susceptible to the effects of diffuse pollution than others (eg because of soil type or the kinds of rivers involved, such as braided rivers). They may therefore require different rules to defend the same minimum statutory objectives (eg a river that is swimmable).¹⁷⁵ Place-based nuance is also already provided by exemptions to nationally set limits where appropriate. Nuance may also be required where the river is severely degraded and will need unusually robust measures to recover.

The key point is that tailoring controls to the biophysical circumstances of a region does not necessarily require regional *democracy*. In other jurisdictions, it is much more common for arm's length agencies like EPAs to focus on issues at place, not just prepare general rules that apply across the whole of a country. For example, in the EU, ‘vulnerable freshwater areas’ are specifically identified based on a number of area-specific, technical characteristics (eg soil type). The process does not involve elected bodies weighing up the socio-economic costs of taking action. In a similar spirit, Ireland's EPA has produced a ‘Targeting Agricultural Measures’ map (see Figure 6.2 below) to identify the types of agricultural issues that require particular measures in each sub-catchment (“the right measure in the right place”) to achieve water quality objectives.¹⁷⁶ This is not simply left to elected local bodies to determine.¹⁷⁷ A good way forward in New Zealand would be for the EPA to develop a strong regional presence and relationships, and be involved in process for setting limits alongside regional councils. This would retain the benefits of a regional focus while injecting greater political independence.



6.3.8 Strong accountability

Accountability for basic environmental safeguards is weak in the current system, leading to poor planning frameworks that allow unacceptable cumulative effects. Although the Parliamentary Commissioner for the Environment is a vital element of the RMA's accountability architecture, it is a small office, and it does not have a structured role litigating at the coal face of planning or consenting. Nor do its recommendations have legal consequences for decision-makers. Far too many are simply ignored.¹⁷⁸ Submissions and appeals by the Department of Conservation, statutory agencies like Fish and Game, tangata whenua and environmental NGOs have also been a key accountability mechanism for decision-makers, but the advocacy system has a number of important weaknesses (as explored in a previous EDS report).¹⁷⁹

It is important that stronger accountability for meeting environmental limits is built into the new system. This could take different forms. For example, it might reflect the kinds of softer law mechanisms proposed under the Regulatory Standards Bill or Bill of Rights Act, in that formal declarations could be made that a law, regulation, policy or other action is inconsistent with the defence of environmental limits. This would primarily create political incentives by raising transparency, but could also support judicial review action. In previous work we proposed a 'Future Generations Commission' which would, among other things, issue a scorecard rating government (or council) environmental performance prior to elections.¹⁸⁰

Stronger *legal* accountability frameworks should also be considered. These could build on the more structured model that exists in the UK.

A spotlight on the UK's Office of Environmental Protection (OEP)

The EAG recognised an opportunity for more active oversight of regulatory bodies within the resource management system.¹⁸¹ Government accountability will be especially important when it comes to defending environmental limits. The EAG report specifically noted the OEP in the UK as a model to look at. One interviewee described this as:

an independent, statutory environmental body that will hold government and public bodies to account on environmental standards, including taking legal action to enforce the implementation of environmental law where necessary...

The OEP was created in 2021 under the UK Environment Act, and has been described as its most important feature.¹⁸² It has a number of functions. For example:

1. It scrutinises government progress towards environmental targets, including by evaluating the environmental improvement plan and environmental principles policy statement required under the Act. It publishes an annual progress report. In the past three years, this has highlighted that government is not hitting the mark, and has made recommendations for improvements.¹⁸³
2. It is required to give published advice to Ministers about any proposed change to environmental law or any other matter relating to the natural environment on which the Minister requires it to give advice.
3. Similar to the Parliamentary Commissioner for the Environment, it does deep dives into environmental issues (its 'monitoring environmental law' function).¹⁸⁴ A recent focus has been on freshwater. This supports the efforts of others, including civil society and parliamentarians.

Arguably the OEP's most significant function is to take legal action against government itself, where there are failures to implement or comply with environmental law. After Brexit, this was seen as necessary to replace the similar function performed by the European Commission, which can and often does take member states to the European Court of Justice for non-compliance with EU directives (see the spotlight on Ireland in the following section). Powerful oversight had long been business as usual, and can be contrasted with relatively weak government and council oversight models in New Zealand.¹⁸⁵

In the UK, this now means that the OEP can respond to complaints by members of the public, or take action on its own initiative for serious failures to comply with environmental laws. Interestingly, the definition of 'environmental law' is broad, arguably providing the OEP enforcement jurisdiction over planning legislation where it affects environmental outcomes. The scope of that jurisdiction has yet to be fully tested, although interviewees noted that the OEP could get involved where planning legislation triggers EIA for large projects.

The OEP has a three-stage enforcement process (investigation, decision notice, legal proceedings) which can culminate in action in the courts.¹⁸⁶ If the court finds non-compliance, it must make a

statement to that effect and may grant any remedy available for judicial review other than damages. This 'environmental review' is distinct from judicial review, which was seen to be too narrow in terms of scope and remit, too restrictive in terms of access (including costs) and too limited in terms of remedies and sanctions. The more specific a statutory obligation, the easier it is for the OEP to take action.¹⁸⁷

To date, the OEP has not needed to initiate an environmental review (ie take court action), because earlier stages of investigation have prompted issues to be resolved.¹⁸⁸ For example, in response to a complaint by conservation charity WildFish, a decision notice was issued by the OEP in late 2024 outlining various agencies' non-compliance with requirements concerning sewage overflows.¹⁸⁹ The Department of Environment, Food and Rural Affairs (DEFRA) and other regulators were said to have failed to provide guidance, permits and enforcement. The notice provided specific actions to rectify the situation, which authorities appear to be pursuing. It is not yet clear whether court action will still be taken, or if the situation will be resolved to the OEP's satisfaction. Either way, the model is broadly working, and interviewees told us it is probably only a matter of time before an environmental review is undertaken.

The OEP also has a power to initiate urgent judicial review, if there is no time to go through the longer review process, and where there is an imminent threat to environment or human health. This process was initiated, for example, with respect to ammonia controls in Northern Ireland.¹⁹⁰ It prompted swift action by government in 2023 to strengthen controls in an interim framework, allowing the proceedings to be discontinued.

A critical part of the OEP's institutional design is its independence from government. For example, its status is a non-departmental public body.¹⁹¹ Funding is provided in the form of a grant-in-aid, which is set out in a separate line to the overall estimate of DEFRA, to ensure transparency. Its budget is funded on a multi-annual (five-year) basis and is ring-fenced and protected by DEFRA during that spending period. Government ministers have a duty to have regard to the organisation's independence.

Overall, although some aspects have been criticised,¹⁹² the OEP model is a strong one which could be usefully built on for New Zealand's new system. Interviewees said it is too early to judge outcomes on the ground, but it has already forced government action that may not otherwise have been forthcoming.¹⁹³ And it provides government with 'political cover to say no' where there is industry pressure.

The UK also has other interesting accountability features. For example, one of its parliamentary committees is the Environmental Audit Committee.¹⁹⁴ Among other things, this conducts post-legislative scrutiny of laws. Although such scrutiny is not compulsory, it is done by convention. The Environment Act will be subject to this process in 2026.¹⁹⁵

Ireland has quite a different independent watchdog in the form of the Office of the Planning Regulator. This body does three things.¹⁹⁶ First, it provides an independent audit of all statutory plans (eg development plans, akin to district plans) and can recommend intervention by the Minister if a local authority fails to address its concerns.¹⁹⁷ This is similar to the EAG's recommendation that combined plans be subject to a review by the Secretary for the Environment. Secondly, the Planning Regulator can review the systems and procedures used by any local authority (including An Coimisiún Pleanála, the planning appeal authority which is in some ways similar to the Environment Court) in the performance of its planning functions. This is akin to ministerial powers under the RMA, and periodic auditing of council performance by the Auditor-General. Thirdly, it drives research, education and training (it is a centre of excellence for planning as a discipline).

New Zealand does not have the equivalent of this body, with similar functions instead found within the Ministry for the Environment. A comparable unit within the Ministry (a Chief Planning Officer), with a degree of independence, might provide stronger focus on planning practice within the system. Independence here would be particularly valuable to the extent that environmental limits are translated into spatial terms in land use planning under a Planning Act.



Central Dublin, Ireland

Key points

- A limits framework requires strong accountability mechanisms to ensure they are set in appropriate places, and that they are not infringed. The RMA has some accountability tools, but they have not proved effective.
- A stronger model could take a number of forms. The UK, in its OEP, provides a robust model that could be emulated and built upon. In particular, the OEP can take the government to court for failures to uphold environmental law, which has provided strong incentives for corrective action.
- Ireland's Office of the Planning Regulator provides another model that could be adopted, although this is focused more on local government accountability than that of Ministers.

6.4 Concluding comments

A system of limits and targets will be required in a future system and reform offers a significant opportunity to address weaknesses in the RMA, which has long failed the environment. In this chapter we have outlined some key framework features that should be designed into new legislation, including a clear purpose, domain-based objectives, a suitable geographical scale, a framework for binding targets, clear legal consequences, appropriate institutional responsibilities and a strong accountability mechanism.

Most of these framework features appear in the EU. In Appendix 1, we therefore take a deeper dive into how the Nitrates Directive has operated in Ireland, and how these mechanisms can work together to create a coherent framework for an environmental pressure that we are also facing in New Zealand. Although it is far from perfect, the model appears to be making progress. Key lessons include the following:

1. It is important to have clear legislated (and, arguably, constitutional) goals for limits.¹⁹⁸ Although New Zealand does not have the same layer of supra-national governance provided by the EU, Ireland shows the potential power of embedding clear minimum outcomes in primary legislation that lie beyond the discretion of ministerial or council decisions.

2. It is important to focus on objective biophysical criteria when setting limits, rather than balancing socio-economic factors.
3. Consistent and defensible attributes and methodologies for monitoring and reporting over time need to be established.
4. It is important to translate objectives into specific regulatory requirements that 'bite' (including for land use).
5. Regulations should be tailored at place where this responds to genuine local biophysical conditions. But there is a need to constantly assess the suitability of bespoke regulations in light of the purpose of limits.
6. Clear timeframes are needed for achieving compliance.
7. There needs to be active oversight arrangements by an external and independent party (the role of the European Commission and European Court of Justice).
8. There need to be meaningful consequences for failures by regulators, and therefore incentives to meet obligations. In the EU, this can take the form of significant financial penalties.

We have not sought to outline specific limits as they might appear in legislation or rules. Note, however, that it may be possible for many attributes and thresholds to be drawn from existing national direction,

such as NESS for contaminated land, air quality and telecommunications, and NPSs for freshwater, the coastal environment and biodiversity. A 2020 report by the Cawthron Institute has identified a number of these, some of which are expressed in a quantitative way.¹⁹⁹

So where does all this leave us? Although the basic need for limits has been accepted by Ministers, the devil will be in the detailed wording of the Natural Environment Act. Some contradictory ministerial comments are concerning, including identifying the need for "pathways for accepting significant environmental effects where there are net benefits at play,"²⁰⁰ highlighting a "shift from precautionary to permissive,"²⁰¹ and the fairly emphatic "no environmental limit should make it impossible to build housing, produce food or energy, or provide transport".²⁰² More specifically, the conclusion that "protecting human health is not intended to mean every river should be drinkable"²⁰³ may be reasonable in context. But what *does* it mean? There is a big difference, for example, between a 'swimmable' river and a 'wadeable' one.²⁰⁴ Most recently, despite the EAG being quite clear that development will need to occur within limits, Cabinet has requested further advice on what the 'weighting' of limits will be in the system.²⁰⁵ This has strong connotations of 'balancing' which in effect would mean that limits are not limits at all.

Overall, policy makers need to remember that environmental constraints are ultimately a biophysical reality, not a social or legal construct. They will not go away simply because we ignore them in our laws. They are a place where a 'culture of no' is entirely appropriate. One important way in which limits might be expressed is through a new tool – spatial plans. It is to spatial planning that we turn our attention in Chapter 7.



Lake Pukaki and Aoraki/Mount Cook (Bernard Spragg)

Endnotes

- 1 Compare *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [190].
- 2 See <https://www.thepress.co.nz/nz-news/350268801/selwyn-council-spend-5m-hunt-nitrate-free-drinking-water>. High nitrate levels were found in drinking water supplies in several towns including Rolleston and Darfield.
- 3 See MA Brown, R Peart and M Wright *Evaluating the Environmental Outcomes of the RMA* (Environmental Defence Society, New Zealand, 2016); MA Brown *Last Line of Defence* (Environmental Defence Society, 2017); Resource Management Review Panel *New Directions for Resource Management in New Zealand* (June 2020).
- 4 M Tadaki “Limits to measurement: Rethinking the role of monitoring in environmental governance” (2024) *Environment and Planning E: Nature and Space*, 0(0); Parliamentary Commissioner for the Environment *Focusing Aotearoa New Zealand’s environmental reporting system* (Office of the Parliamentary Commissioner for the Environment, Wellington, November 2019).
- 5 It took 20 years for national direction to be created for freshwater quality, and even longer for biodiversity protection.
- 6 <https://melanienelson.substack.com/p/marie-doole-regulatory-capture-and>; <https://ojs.victoria.ac.nz/pq/article/view/9634>
- 7 The problem definition articulated by the Randerson Panel remains fundamentally sound: see Resource Management Review Panel *New Directions for Resource Management in New Zealand* (June 2020), ch 2, Appendix 1.
- 8 S Upton *Biodiversity management - what works??* (1999).
- 9 James Whetu, personal communication.
- 10 Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020) at 98.
- 11 Personal communication.
- 12 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025).
- 13 From [204].
- 14 In practice, this may mean that more functions are performed by the Minister for the Environment, supported by the Ministry for the Environment.
- 15 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [57].
- 16 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [23]. Ministers have also indicated the law will “require decision-makers to “provide for essential human needs such as housing, food production, drinking water and sanitation within environmental limits.”
- 17 <https://www.stockholmresilience.org/research/planetary-boundaries.html>
- 18 Limits are a “level of some environmental pressure, indicator of environmental state or benefit derived from the natural resource system, beyond which conditions which are deemed to be unacceptable in some way...”: Cawthron *Environmental Limits – A proposed framework for Aotearoa New Zealand* (Report no 3530, 2020) at i, citing Haines-Young et al.
- 19 Cawthron *Environmental Limits – A proposed framework for Aotearoa New Zealand* (Report no 3530, 2020) at 33.
- 20 For example, the ACT Party’s pre-election manifesto characterises limits as constraints that are ‘clearly measurable’. See *ACT’s solutions for building New Zealand and conserving nature* (2022).
- 21 Compare NBEA, s 111(5).
- 22 MFE *Ōtūwharekai/Ashburton Lakes lessons-learned report: A case study examining ongoing deterioration of water quality in the Ōtūwharekai Lakes* (Wellington, 2023).
- 23 More specifically, target attribute states.
- 24 At [378].
- 25 Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020).
- 26 B Blue and M Tadaki “Getting the measure of nature: The inconspicuous geopolitics of environmental measurement” in S O’Lear (ed) *A research agenda for environmental geopolitics* (Edward Elgar, 2020) at 16–29.
- 27 This approach taken in the NBEA – of defining limits as current state – made the conception of limits more complicated than it needed to be. There was a framework of cross-references, confusing terminology and extensive exemptions. Instead, a purpose needs to articulate in broad terms the biophysical threshold.
- 28 At [207]. Human health and environmental health are being seen as distinct things. It may be difficult to make a distinction between limits for human health and natural environment, given the dependence of humans on the natural environment for their wellbeing.
- 29 <https://newsroom.co.nz/2023/07/03/rearguard-action-by-hunters-and-fishers-rescues-bill/>
- 30 Personal communication.
- 31 NBEA, s 11.
- 32 In that a limit was defined as current state, preventing future degradation beyond this irrespective of headroom, unless an exemption was obtained. An exemption could not be obtained where it would infringe a ‘minimum acceptable limit’, defined as the point of unacceptable degradation. This was a complex way of providing for limits.
- 33 This threshold could not be crossed even if an ‘exemption’ was granted. The exemptions process was designed to allow environments with ‘headroom’ to degrade relative to current state, not to allow unacceptably degraded environments to be created.
- 34 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 35 At [207].
- 36 Note the potential limitations on the term ‘coastal’, which may not encompass deeper waters (eg pollution from installations in the coastal marine area beyond the coastal environment). This may have been a result of the EAG’s recommendation that the new system’s jurisdiction be reduced geographically to around 3 nautical miles from the shore, which has not been adopted by Cabinet.
- 37 At [207].
- 38 See <https://pce.parliament.nz/publications/managing-our-estuaries/>
- 39 Through the Resource Management (National Environmental Standards for Freshwater) Regulations 2020.
- 40 Cawthron *Environmental Limits – A proposed framework for Aotearoa New Zealand* (Report no 3530, 2020) at v.
- 41 Compare Cawthron *Environmental Limits – A proposed framework for Aotearoa New Zealand* (Report no 3530, 2020) at vi and 132-136.
- 42 As contained in the objective of the NPS for Freshwater Management 2020. Note that the NPS’s hierarchy, with “health of freshwater” at the top, exists independently of Te Mana o Te Wai in the NPS’s implementation provisions.
- 43 Boston suggests, for example: to prevent the loss of indigenous biodiversity, especially the irreversible loss of distinct species; to enhance the resilience of indigenous biodiversity to adverse impacts; to prevent the irreversible loss of unique and highly distinctive ecosystems, including ‘keystone species’, and the ecosystem services they provide; to maintain the self-sustaining capacity of ecosystems, thus preventing abrupt ‘regime shifts’ resulting from the crossing of environmental thresholds; and to prevent significant harm to human health. See J Boston “Assessing Aotearoa’s latest ‘war on nature’ or ‘Goodbye Freddy’” (2024) 20:4 Policy Quarterly 3.
- 44 As under the NPS for Freshwater Management 2020 and National Environmental Standards for Freshwater.
- 45 Waitakere Ranges Heritage Area Act 2008; Hauraki Gulf Marine Park Act 2000.
- 46 Te Awa Tupua (Whanganui River Claims Settlement) Act 2017.
- 47 Compare <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>
- 48 Annex V at 1.2.
- 49 Case C-461/13 *Bund für Umwelt und Naturschutz Deutschland EV* (“Weser”); Case C-535/18 *Land Nordrhein-Westfalen*.
- 50 <https://www.catchments.ie/public-consultation-on-the-designation-of-heavily-modified-waterbodies-for-the-third-cycle-river-basin-management-plan/>
- 51 <https://www.catchments.ie/public-consultation-on-the-designation-of-heavily-modified-waterbodies-for-the-third-cycle-river-basin-management-plan/>
- 52 Although the Nitrates Directive and others provide more specific quantitative requirements.
- 53 For example, Ireland is currently subject to enforcement of aspects of the Water Framework Directive.
- 54 <https://www.treasury.govt.nz/sites/default/files/2024-05/pc-inq-bup-sub-039-catherine-scheffer.pdf> at 4.
- 55 S Upton *Biodiversity management - what works??* (1999).
- 56 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 10.

At [207].

The EAG instead said that “in addition to environmental limits, the NEA will include environmental controls to protect significant natural values, including significant natural areas (SNAs).”

Even though the legislation also did not make it clear if SNAs (called ‘significant biodiversity areas’ and ‘high value biodiversity areas’) would be a mechanism for doing so.

For example, minimum acceptable limits (including for indigenous biodiversity) under the NBEA had to be set where the relevant aspect of the environment was “unacceptably degraded”. In determining whether that was the case, the Minister had to consider whether current state “increases the risk of indigenous species being displaced or made extinct” (see s 112).

See <https://www.eea.europa.eu/themes/biodiversity/natura-2000/the-natura-2000-protected-areas-network>

Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 57.

See <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>

NBEA, 4(b).

Compare Resource Management Review Panel *New Directions for Resource Management in New Zealand* (June 2020), ch 2, Appendix 1. The idea of a bespoke purpose within a statute is not unique. It can already be seen with water conservation orders in the RMA.

See <https://pce.parliament.nz/publications/managing-our-estuaries/>

Compare *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [213].

<https://www.theoep.org.uk/report/oep-gives-advice-government-planning-and-infrastructure-bill>

Necessary management measures must be taken to maintain or restore the species and habitats present to a good condition.

<https://sdi.eea.europa.eu/catalogue/idp/api/records/c6d27566-e699-4d58-a132-bbe3fe01491b>. Member States must designate, protect and manage core areas for habitat types listed in Annex I and species listed in annex II of the Habitats Directive. Sites are selected on scientific grounds using the criteria laid down in the Directive (Annex III).

One Natura 2000 site in Ireland is the Seas off Wexford Special Protection Area (SPA). Designated in January 2024, this SPA spans over 305,000 hectares of marine waters off the coast of Wexford, making it the largest SPA in Ireland’s history. The site aims to enhance protection for twenty seabird species, including the common eider, red-throated diver, and common scoter, which rely on these waters for breeding, feeding, and migration.

<https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:01992L0043-20130701>, art 6(4). For priority sites, this is further limited to human health and safety.

And partly because it was not ‘strategic’ in the sense envisaged by the Act: see https://www.washingtonpost.com/world/europe/trump-tried-and-failed-to-build-a-wall-in-ireland-that-could-mean-big-trouble-for-europe/2017/02/05/4629d02e-e5a0-11e6-a419-eeef8eff0835_story.html). Similarly, under the UK’s National Planning Policy Framework, deterioration of ‘irreplaceable’ habitats ‘should be refused’ unless there are ‘exceptional reasons’.

See D Koolen-Bourke, R Peart and S Schlaepfer *Reform of the Wildlife Act 1953: An opportunity for transformational change of Aotearoa New Zealand’s biodiversity laws* (Appendix A: Comparative review of threatened species law) (2023) from 42.

Commission staff working document: fitness check of the EU Nature Legislation (Birds and Habitats Directives) (Brussels, 16.12.2016 SWD(2016) 472) at 5.

Source: <https://www.eea.europa.eu/en/analysis/maps-and-charts/natura-2000-network-terrestrial-and>

G Monbiot “Labour’s great nature sellout is the worst attack on England’s ecosystems I’ve seen in my lifetime” (The Guardian, 24 April 2025).

Planning proposals to unblock vital infrastructure and drive nature’s recovery - GOV.UK

See <https://www.theoep.org.uk/report/oep-gives-advice-government-planning-and-infrastructure-bill>; Planning and Infrastructure Bill, cl 55(4). The test is whether it is “likely to be sufficient to outweigh the negative effect, caused by the environmental impact of development, on the conservation status of each identified environmental feature”. Ecological features that are particularly threatened, irreplaceable and non-substitutable (for example, ecologically significant sites, habitats and species are not excluded from the scope of EDPs, but instead will rely on the proper functioning of the overall improvement test to ensure their adequate protection.

Natural England would need to have regard to economic viability when drawing up their EDP

(under clause 64(1) of the Bill).

D Koolen-Bourke, R Peart and S Schlaepfer *Reform of the Wildlife Act 1953: An opportunity for transformational change of Aotearoa New Zealand’s biodiversity laws* (Appendix A: Comparative review of threatened species law) (2023) at 33-34; T Dawson “Wind farm barely gets preliminary OK to kill 160 additional endangered bats” August 2019, <https://www.environment.hawaii.org/?p=11635>

[https://www.thelancet.com/journals/lancet/article/PIIS0140-6736\(08\)61689-X/abstract](https://www.thelancet.com/journals/lancet/article/PIIS0140-6736(08)61689-X/abstract)

Interview with UK legal academic.

<https://committees.parliament.uk/publications/48989/documents/257472/default/>

<https://www.gov.uk/government/news/planning-proposals-to-unblock-vital-infrastructure-and-drive-natures-recovery>

<https://www.gov.uk/government/news/prime-minister-clears-path-to-get-britain-building>; <https://www.dailymail.co.uk/debate/article-14314783/KEIR-STARMER-Labour-Government-stop-time-wasting-Nimbys-zealots-holding-country-ransom.html>

<https://www.gov.uk/government/news/planning-proposals-to-unblock-vital-infrastructure-and-drive-natures-recovery>

NPS for Indigenous Biodiversity, Appendix 3(2)(b); Appendix 4(2)(b).

80 percent of Singaporeans live in Housing Board high rise estates.

<https://bigthink.com/the-present/supertall-singapore/>

This is one pillar of the City’s Green Plan.

One metre of sea level rise is anticipated by 2100 in Singapore.

A study by NParks and the National University of Singapore found a higher life satisfaction among people who visited diverse natural spaces, had nature views from windows at homes/work, and strong connection with nature.

In strategic areas, which are extensive and growing.

Landscaping for Urban Spaces and High-Rises.

<https://www.ura.gov.sg/Corporate/Guidelines/Circulars/dc14-12-original#:~:text=Under%20the%20landscape%20replacement%20policy,Kallang%20Riverside%20and%20Jurong%20Gateway>; <https://www.ura.gov.sg/Corporate/Guidelines/Circulars/dc17-06>

<https://www.ura.gov.sg/Corporate/Guidelines/Circulars/dc14-12-original#:~:text=Under%20the%20landscape%20replacement%20policy,Kallang%20Riverside%20and%20Jurong%20Gateway>; <https://www.ura.gov.sg/Corporate/Guidelines/Circulars/dc17-06>

<https://www.ramboll.com/lets-close-the-gap/kampung-admiralty-working-with-nature-to-transform-the-ecological-value-of-a-neighbourhood>

<https://www.ura.gov.sg/Corporate/Guidelines/Development-Control/Non-Residential/SR/Greenery>

<https://bigthink.com/the-present/supertall-singapore/>

<https://www.ura.gov.sg/Corporate/Guidelines/Development-Control/Non-Residential/SR/Greenery>

<https://www.ramboll.com/lets-close-the-gap/kampung-admiralty-working-with-nature-to-transform-the-ecological-value-of-a-neighbourhood>

Compare *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [212].

Cawthron *Environmental Limits – A proposed framework for Aotearoa New Zealand* (Report no 3530, 2020) at i.

NPS for Freshwater Management 2020.

See MFE *Ōtūwharekai/Ashburton Lakes lessons-learned report: A case study examining ongoing deterioration of water quality in the Ōtūwharekai Lakes* (Wellington, 2023).

Response by Parliamentary Under-secretary Simon Court to a question at Environmental Defence Society Conference, 14 May 2025.

Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at 57.

The former were called ‘minimum acceptable limits’ rather than targets.

Sections 106, 112.

NPS for Indigenous Biodiversity.

<https://www.landscapearchitecture.nz/landscape-architecture-aotearoa/2024/4/22/our-cities-are-losing-their-leaves>. Data suggest that private green space per person in Auckland declined by around 30 percent between 1980 and 2016.

RMA, s 76(4A), which specifies that a rule may prohibit or restrict the felling, trimming, damaging, or removal of a tree or trees on a single urban environment allotment only if, in a schedule to the plan, the tree or trees are described; and the allotment is specifically

- identified by street address or legal description of the land, or both.
- 114 See <https://eds.org.nz/resources/documents/reports/banking-on-biodiversity/>.
- 115 See G Severinsen and R Peart *Reform of the Resource Management System: The Next Generation Synthesis* Report (Environmental Defence Society, Auckland, December 2018), ch 13.
- 116 The Act applies differently in different countries of the UK, with much of it applying in England only.
- 117 Interview with UK legal academic, March 2025.
- 118 Section 7.
- 119 Section 20.
- 120 <https://www.legislation.govt.nz/bill/government/2025/0155/latest/whole.html>
- 121 <https://www.theoep.org.uk/report/oep-gives-advice-government-planning-and-infrastructure-bill>
- 122 For example, by sowing wildflowers along road verges or managing some of the grassland within a housing development to promote wildlife, rather than for traditional landscaping.
- 123 These units are supposed to mirror the habitat that is impacted by the development.
- 124 The government holds a stock of these units as a last resort for developers who cannot offset their damage in other ways.
- 125 Such as converting low-productivity pasture into a field managed for wildflowers.
- 126 <https://www.gov.uk/guidance/search-the-biodiversity-gain-sites-register>
- 127 UK farmers 'hesitant and uncertain' about BNG credits - Sustainable Views/. See also <https://www.dentons.com/en/insights/articles/2025/january/13/how-will-the-governments-planning-reform-affect-biodiversity-net-gain-and-natural-capital-schemes>
- 128 <https://www.wcl.org.uk/happy-birthday-to-biodiversity-net-gain.as>
- 129 It was found that around 60 percent of local planning authorities have no in-house ecological expertise: https://www.biodiversity.ox.ac.uk/research_stories/fixing-the-gaps-in-englands-biodiversity-net-gain-policy/
- 130 The register of offsets maintained by Natural England does not include onsite offsets, meaning these are only apparent from the conditions of individual planning permits.
- 131 https://www.biodiversity.ox.ac.uk/research_stories/fixing-the-gaps-in-englands-biodiversity-net-gain-policy/
- 132 Where development affects less than 25 square metres of on-site habitat or 5 metres of linear on-site habitat. See <https://www.planning.data.gov.uk/>
- 133 Despite statements that net gain requirements are intended to be unaffected, some have said that "the Government's current proposals may cool the appetite to implement new BNG habitat banks until the Nature Restoration Fund proposals are clear". See <https://www.dentons.com/en/insights/articles/2025/january/13/how-will-the-governments-planning-reform-affect-biodiversity-net-gain-and-natural-capital-schemes>
- 134 <https://green-alliance.org.uk/briefing/how-to-increase-private-investment-in-nature/>. The Environment Bank says it has current live enquiries from developers that need to invest in biodiversity units worth £210 million.
- 135 Natural Environment (Scotland) Bill at <https://www.parliament.scot/bills-and-laws/bills/s6/natural-environment-scotland-bill>. The Bill would amend the Nature Conservation (Scotland) Act 2004.
- 136 Natural Environment (Scotland) Bill.
- 137 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [211].
- 138 At 10 (Table 2).
- 139 Compare D Grinlinton "The intersection of property rights and environmental law (2023) 25(3) Environmental Law Review" 202.
- 140 See section 21(1) of Victoria's Environment Protection Act 2017, which provides an 'entitlement'. All people are entitled to live in a safe and healthy environment irrespective of their personal attributes or location.
- 141 Noting, however, that a Bill currently before Parliament is amending section 70 of the RMA to "enable regional councils to include permitted activity discharge rules under section 70 where standards would contribute to a reduction in adverse effects over time" even if they would allow significant adverse effects. See Resource Management (Consenting and Other System Changes) Amendment Bill, cl 15.
- 142 To give effect to European Communities (Good Agricultural Practice for Protection of Waters) Regulations, which were in turn created to give effect to the Nitrates Directive and form part of Ireland's National Action Programme under the Directive.
- 143 <https://www.epa.ie/publications/monitoring--assessment/freshwater--marine/Nitrates-Report-for-Ireland-2016-2019-22Dec2020.pdf> at 31.
- 144 <https://www.epa.ie/publications/monitoring--assessment/freshwater--marine/Nitrates-Report-for-Ireland-2016-2019-22Dec2020.pdf>
- 145 <https://www.epa.ie/publications/monitoring--assessment/freshwater--marine/Nitrates-Report-for-Ireland-2016-2019-22Dec2020.pdf>
- 146 Rainfall data shows 25-30 percent less rainfall in the north of the region in recent years. See *Waikato Regional Energy Inventory* (Environment Waikato, 2024) at 38; *Te oranga o te taiao Waikato State of the Environment 2022* at <https://www.waikatoregion.govt.nz/assets/WRC/7364-SOE-report-2022-WR.pdf>
- 147 For example, where certain land uses like forestry harvesting should not be allowed in the future due to the high risk of effects (eg sedimentation) on sensitive receiving environments.
- 148 See M Tadaki "Limits to measurement: Rethinking the role of monitoring in environmental governance" (2024) *Environment and Planning E: Nature and Space*, 0(0).
- 149 Interview with freshwater scientist.
- 150 Remote sensing is more expensive in capital outlay, but arguably cheaper than manual sampling and lab costs in the longer term. Some councils, such as Horizons, are investing in such technology.
- 151 Section 54.
- 152 <https://www.rnz.co.nz/news/national/443504/bid-to-restore-lake-horowhenua-with-new-wetland-project>; <https://www.waikatoregion.govt.nz/assets/WRC/WRC-2019/TR201334.pdf>
- 153 NBEA, s 341(8).
- 154 Annex V at 1.3.2-1.3.6. Compare the Nitrates Directive, art 5(6), where states are obliged to monitor the nitrate content of waters (surface waters and groundwater) at selected measuring points which make it possible to establish the extent of nitrate pollution in the waters from agricultural sources.
- 155 Annex IV.
- 156 See for example <https://www.epa.ie/publications/monitoring--assessment/freshwater--marine/Nitrates-Report-for-Ireland-2016-2019-22Dec2020.pdf> at 28. This monitoring covers aspects like total areas in agricultural production, the area of grasslands, and areas available for application of manure.
- 157 See M Tadaki "Limits to measurement: Rethinking the role of monitoring in environmental governance" (2024) *Environment and Planning E: Nature and Space*, 0(0).
- 158 In Ireland, monitoring is one of the EPA's three core pillars alongside regulation and advocacy.
- 159 <https://www.epa.ie/publications/monitoring--assessment/freshwater--marine/Nitrates-Report-for-Ireland-2016-2019-22Dec2020.pdf>. Many cows in Ireland are still housed for the winter, meaning that large amounts of effluent slurry are scraped and stored, for use in growing seasons.
- 160 And the idea that limits would "reduce administrative burdens": Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [24.4].
- 161 On the politicisation of monitoring see, M Tadaki "Limits to measurement: Rethinking the role of monitoring in environmental governance" (2024) *Environment and Planning E: Nature and Space*, 0(0).
- 162 At [488].
- 163 For example, see <https://streamlined.co.nz/measuring-ecosystem-health-toxicity-versus-community-ecology/>
- 164 <https://newsroom.co.nz/2024/01/20/simon-upton-any-rma-reforms-must-endure/>; <https://pce.parliament.nz/media/hxjxhxcy/salmon-lecture-rma-reform-coming-full-circle.pdf>. Limits should also not be set through alternative arrangements like 'collaborative processes' or negotiated 'accords'. Consider the cautionary tales outlined in Cawthron *Environmental Limits – A proposed framework for Aotearoa New Zealand* (Report no 3530, 2020) at iv.
- 165 See www.rbnz.govt.nz/monetary-policy/about-monetary-policy/monetary-policy-framework
- 166 See generally <https://www.gov.uk/government/publications/the-planning-and-infrastructure-bill/factsheet-planning-committees>
- 167 <https://www.gov.uk/government/publications/the-planning-and-infrastructure-bill/factsheet-planning-committees>
- 168 The Bill will also include a measure for all committee members across the planning system to receive training that covers at least the key principles of planning.
- 169 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [385].
- 170 This is not to say they do not require political oversight to ensure they are accountable.

171 [https://www.thepost.co.nz/politics/360728708/scrap-regional-councils-says-regional-](https://www.thepost.co.nz/politics/360728708/scrap-regional-councils-says-regional-development-minister)
172 [development-minister](#)
173 Schedule 5, cl 3.
174 Natural Environment (Scotland) Bill, cl 2E, 2G.
175 The EAG therefore recommended that central government either set limits directly (for 'human health') or provide a methodology for them to be set at place (for 'environmental quality'). We are not entirely convinced this is a viable distinction, given that many environmental issues have a national community of interest and therefore warrant minimum national standards, and because there is no clear divide between health and environmental impacts.
176 Similarly, interviewees highlighted some of the difficulties faced by councils and others in delineating 'natural inland wetlands' under 2020 National Environmental Standards for Freshwater. One council official said they had to add a 'common sense' filter when regulating and enforcing compliance to respond to conditions on the ground. See generally *Greater Wellington Regional Council v SL Adams and Others* [2022] NZEnvC 25.
177 <https://www.catchments.ie/updated-map-published-by-epa-targeting-agricultural-measures/>
178 Note also that Singapore's development plan (roughly equivalent to a district plan) has 54 geographically focused parts with bespoke attention, but it has the same basic governance arrangements across all of them. There are not 54 elected councils to prepare and implement each one.
179 See Parliamentary Commissioner for the Environment *Submission on: Fast-track Approvals Bill* (April 2024).
180 G Severinsen *Environmental Advocacy in the Future Resource Management System* (EDS, 2023).
181 G Severinsen and R Peart *Reform of the Resource Management System: The Next Generation Synthesis* Report (Environmental Defence Society, Auckland, December 2018).
182 At [494].
183 Interview with UK legal academic, March 2025.
184 For example, see <https://www.gov.uk/government/publications/government-response-to-oep-review-implementation-of-the-duty-to-have-due-regard-to-the-environmental-principles-policy-statement/government-response-to-the-office-for-environmental-protection-review-of-implementation-of-the-duty-to-have-due-regard-to-the-environmental-principles>
185 Interestingly, the New Zealand Parliamentary Commissioner for the Environment model was considered as an alternative to the OEP, but was rejected on the basis that the Commissioner did not have the full breadth of functions (scrutiny, advice and enforcement) that were required to fill the post-Brexit governance gap.
186 Which are heavily reliant on legal action taken by civil society groups.
187 First, the OEP may issue an information notice to obtain information relevant to the investigation. If the OEP then decides that, on the balance of probabilities, the authority failed to comply with environmental law it can issue a decision notice which outlines the non-compliance and the steps that should be taken in relation to the failure. An environmental review can then be initiated where the court must determine whether the authority has failed to comply with environmental law, applying the principles applicable on an application for judicial review.
188 For example, one investigation was about a failure by Northern Ireland to publish an environmental improvement plan by a specified deadline, while another was a failure by the Secretary of State to report on International Legal obligations. See <https://www.theoep.org.uk/investigation/alleged-failure-daera-publish-and-lay-environmental-improvement-plan-eip-northern>; <https://www.theoep.org.uk/investigation/failure-secretary-state-report-developments-international-environmental-protection>
189 See <https://www.theguardian.com/environment/2025/jan/23/government-decision-not-to-authorise-pesticide-is-sweet-as-honey-for-pollinators>, where an OEP investigation prompted a decision by the government to no longer grant emergency authorisation for some pesticides (which can kill off bee populations). See also <https://www.theoep.org.uk/news/oep-launches-investigation-defras-emergency-authorisation-pesticides>.
190 <https://www.theoep.org.uk/news/oep-finds-there-have-been-failures-comply-environmental-law-relation-regulatory-oversight>
191 The OEP launched a judicial review pre-action investigation into the Department of Agriculture, Environment and Rural Affairs (DAERA) and the Northern Ireland Environment Agency (NIEA). The action was prompted by the NIEA's decision to lift a pause on the use of the 'Operational Protocol', which was used to provide advice to planning authorities on livestock development applications. The OEP investigation concluded that DAERA failed to comply with environmental law in relation to its previous advice on ammonia.
192 This ran into some constitutional challenges as it is problematic to have an organisation of Parliament taking the executive branch to court.
193 For example, the Chair and other non-executive members of the OEP are appointed by the Secretary of State, and key decisions cannot be delegated by the Board. This has been considered a weakness of the OEP model, as it enables the Government to hire (and fire) the members of the Board that is supposed to be regulating it (one interviewee noted it is possible they "could play dirty with reappointments" in the future). There is no ability to fine public bodies for non-compliance, the logic of which is that it would simply create a 'money go round' within government. One barrier is that before someone complains to OEP, they have to go to public authority first to exhaust their internal complaint procedure. In some cases, this is not easy to do.
194 For example, the threat of review for the emergency use of certain pesticides (mentioned above) forced a backtrack by the government.
195 Its remit is to consider the extent to which the policies and programmes of government departments and non-departmental public bodies contribute to environmental protection and sustainable development, and to audit their performance against sustainable development and environmental protection targets. See <https://committees.parliament.uk/committee/62/environmental-audit-committee/>
196 <https://committees.parliament.uk/committee/62/environmental-audit-committee/news/204204/is-legislation-to-protect-the-environment-working-government-offers-postlegislative-scrutiny-timetable/>
197 <https://www.opr.ie/evaluation-of-statutory-plans/>
198 Given that there can be strong local political pressures to make decisions that do not align with national strategies (eg with respect to the densification of urban areas): see <https://www.independent.ie/irish-news/planning-regulator-urges-tough-stance-on-one-off-homes-and-urban-sprawl/a1161839162.html>
199 In the sense that the Directive operates above national legislation.
200 Cawthron *Environmental Limits – A proposed framework for Aotearoa New Zealand* (Report no 3530, 2020) from 143-168.
201 <https://www.beehive.govt.nz/speech/speech-minerals-west-coast-forum>
202 <https://www.beehive.govt.nz/sites/default/files/2025-03/Factsheet%20--%20Resource%20management%20reform.pdf>
203 <https://www.beehive.govt.nz/speech/speech-replacing-resource-management-act>
204 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [55].
205 A "wadeable" standard primarily focuses on water being safe for wading and boating, while "swimmable" implies water quality safe for swimming, including full body immersion. One criticism of a previous iteration of the NPS for Freshwater Management was that national bottom lines for *E.coli* were set at 1000 *E.coli*/100ml; which is not considered safe for swimming (only wading). See generally <https://thespinoff.co.nz/science/01-03-2017/wadeable-swimmable-indecipherable-cutting-through-the-crap-in-the-nick-smith-water-row>
206 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [57].

7 Spatial planning



New urban development, South Auckland

7.1 The problem/opportunity

The concept of ‘strategic spatial planning’ is one that has been talked about a lot in recent years. It presents significant opportunities for improved environmental and social outcomes. Spatial planning is about determining what goes where over time. But it is a general term, and one that can mean different things to different people depending on what it is intended to do or the problems it is intended to solve. In the New Zealand context, it is primarily intended to be a more strategic layer of land use planning, responding to three key problems, or gaps, that have been identified with the RMA.¹

First, while the RMA is unquestionably *spatial* (consider the extensive zoning maps in district plans), it is arguably not strategic. Some have suggested that an RMA plan is not really a “plan” at all,² because it is a static regulatory document rather than an instrument that drives better outcomes or one that is consciously designed to evolve in certain directions over time.³ Added to this, RMA decision-making is often made:

on a case-by-case basis at the expense of taking a long term strategic or cumulative impact view of development. This fragmented approach to development acts against well planned, efficient and integrated approaches to the provision of land-use...

Historically, this has contributed to problems with a reactive approach to urban growth.⁵ Land has been released on a ‘just in time’ basis through ad

hoc plan changes. It has also been an issue for the environment, especially in addressing cumulative environmental effects, whether from the creeping intensification of agricultural use or the paving over of productive soils. In some catchments there has been mass planting of pines at the same time, with the predictable result that much of a catchment is then clear felled all at once (with an intense burst of sediment and slash into waterways, with catastrophic effects on aquatic and sometimes human life), rather than more manageable impacts being staggered over time.

Some RMA instruments are *becoming* more strategic, even if the underlying legal framework may seem an uneasy fit for them. For example, the NPS on Urban Development requires some councils to produce future development strategies that inform (albeit not bind) district plan changes, and to provide for at least 30 years of housing and business development capacity.⁶ RMA plans themselves include ‘future urban’ zones, anticipating change.⁷ The NPS for Freshwater Management requires limits and targets to be set for improved water quality and the NPS for Indigenous Biodiversity requires the preparation of regional biodiversity strategies.

Secondly, even when strategic planning has been forced into the framework of the RMA, it has only weak legal relationships with the regulatory and funding plans needed to give it effect (eg district plans and regional land transport plans). Different decisions have different purposes, and timeframes are not well aligned.⁸ As a result, land use decisions under the RMA have not been well coordinated with the infrastructure planning and funding decisions made under the Local

Government Act, Land Transport Management Act, and broader government funding frameworks (eg the Public Finance Act).⁹ There is no legal connection between them (and in Auckland, the only place with a formal spatial plan, it has limited legal effect).¹⁰ Among other things, this has contributed to constraints on available land for housing, and keystone projects (such as Wellington light rail) that are left with insufficient funds to proceed.¹¹

Non-statutory strategic spatial plans can and have been developed by councils under the general auspices of the Local Government Act. Most have been focused on urban growth pressures that cross district or regional boundaries, such as Western Bay of Plenty's Smart Growth Strategy and Waikato's Future Proof.¹² Non-statutory plans like this can be helpful (as in the case of Queenstown Lakes), because they have been easier to change than an RMA plan, and district plan changes and variations based on them have gone through more smoothly. But they do not have legal effect on decisions. A lack of legal effect has proved challenging with respect to implementation of the *Seachange – Tai Timu Tai Pari* spatial plan for the Hauraki Gulf,¹³ and when it comes to consistent funding from different agencies under various growth strategies.¹⁴

Thirdly, spatial plans are not mandatory (with the exception of Auckland). Non-statutory spatial plans have tended to arise only in response to pressures, not proactively. Finally, unlike in Ireland, there is no integrated *national* spatial plan, meaning that different elements of central government decision-making risk being made in siloes.

Key points

- Strategic spatial planning is about what goes where over time, having regard to environmental constraints.
- A formal framework for spatial planning is necessary to respond to three core issues with the RMA: (1) its instruments tend not to be strategic (anticipating or driving future change); (2) there is only weak legal influence between strategic instruments and the regulatory and funding frameworks on which their implementation depends; and (3) strategic spatial planning is not mandatory and can therefore be reactive and focused on particular issues.



Browns Island/Motukorea, Hauraki Gulf

7.2 Government proposals

Cabinet has agreed that the new system will require long-term, strategic spatial plans. These would be prepared under a Planning Act but would also influence decision-making under a Natural Environment Act, and are intended to enable urban development and infrastructure within environmental constraints (eg high hazard areas and SNAs).¹⁵ Spatial plans would broadly identify future urban development areas, major existing and future infrastructure, and where separation of incompatible activities may be required. They would align land use decisions with the infrastructure planning/funding decisions under other legislation. They would also resolve some conflicts between the enabling purpose of a Planning Act and the more protective purpose of a Natural Environment Act.

7.3 Discussion – key elements of spatial planning

7.3.1 Environmental constraints

The government's main driver for spatial planning appears relatively narrow: "to lower the cost of future infrastructure".¹⁶ But spatial planning offers more extensive opportunities than that.

As mentioned in Chapter 6, some environmental limits (eg for indigenous biodiversity) will require spatial expression to be effective. The RMA already *allows* this to happen (eg by mapping SNA overlays or by zoning to prevent activities in inappropriate places). But such measures are usually reactive and not well coordinated with other strategic decisions about how land is used (eg where new highways are proposed or where exotic afforestation should occur). The two come into tension more often than they need to. A key aspect of spatial planning will be the identification of environmental constraints on maps so they can be avoided. This will smooth the path for appropriate development in other places, reducing costs and uncertainty while protecting 'what matters'.

A spotlight on the importance of location

By the time a plan change or consent application comes to be tested under a regulatory framework like the RMA, it is often too late to realise the synergies that such projects might have if located in a more suitable place or co-designed with compatible activities. Indeed, for large projects, a questionable location is often the reason for a lot of resistance, delay and cost in the system. Once a development is proposed, it is easy to frame this as interference with property rights and costly bureaucracy, but it is really a product of weak strategic planning in the system.

Some of the very long consenting processes in New Zealand highlighted by the Infrastructure Commission (notably a series of large wind farms, which took longer than three years to gain consent)¹⁷ took so long partly because of the sensitivity of the environments in which they were proposed in the first place. Their positioning was not guided by a bigger picture conversation about where wind farms, and other crucial infrastructure, *should* go given both the country's wind resource and environmental constraints. Some proposals have struggled because they were proposed in SNAs or outstanding natural landscapes of immense value to the country, not just because of the visual amenity ('NIMBY') concerns of people living nearby that tend to arise almost everywhere. For example:¹⁸

Adverse effects on the ONL of the Lammermoor in Central Otago weighed heavily in the Court's decision to refuse consent to the Project Hayes windfarm proposal, which was later abandoned by Meridian after planning and legal processes spanning five years.

Other developments have been proposed in high-hazard areas (eg floodplains) because it can be cheaper to build there.¹⁹

There has been significant pressure to create blanket consenting pathways through protections or, at least, a more enabling environment. However, this need not be the case if 'go' and 'no go' areas are identified in advance. Indeed, one reason why consenting timeframes for large-scale geothermal projects in Waikato have, over the last 30 years or so, been relatively fast (averaging around 6 months) and generally without appeals is because of the inclusion of what is essentially a 'mini spatial plan' in the RPS.²⁰ This more clearly identifies areas for protection and development on detailed maps.²¹ Strict protection of some areas means that effort is not expended on fruitless consent applications, and it also "protects the regional community from bearing the cost of litigation".²² Irrespective of the merits or otherwise of individual protections, the key point is that spatial identification can be helpful in driving protection and enabling development.

The same kinds of issues are being experienced in other countries. George Monbiot points out that in the UK, a £100 million tunnel has been required to protect bats from a highway:²³

How's that for regulator overreach? But had ecologists been brought in at the beginning of the planning process, they would have advised avoiding the ancient woodland the railway bisects, saving HS2 a ton of money and trouble.

Similarly, the relative vagueness of the UK's National Planning Policy Framework has meant applications for housing developments in inappropriate places have continued to be made. This has led to planning refusals and costs that should have been signalled more clearly in advance. For example, one proposed housing development in the Surrey Hills Area of Outstanding Natural Beauty was declined all the way to the Court of Appeal.²⁴

In Ireland, the country's largest wind farm (Derrybrien in County Galway) was allowed to be *built* in a location that was wholly unsuitable (due to impacts on protected sites under EU Directives and land subsidence issues).²⁵ As a result, the Irish government has been subject to infringement proceedings and fines at the EU level, and it is likely the wind farm will have to be physically disassembled, with significant financial losses for its operators.²⁶ To prevent this kind of outcome happening again, the Irish government's intention is for regional spatial and economic strategies to identify go and no go areas for wind farms based on landscape assessments.²⁷

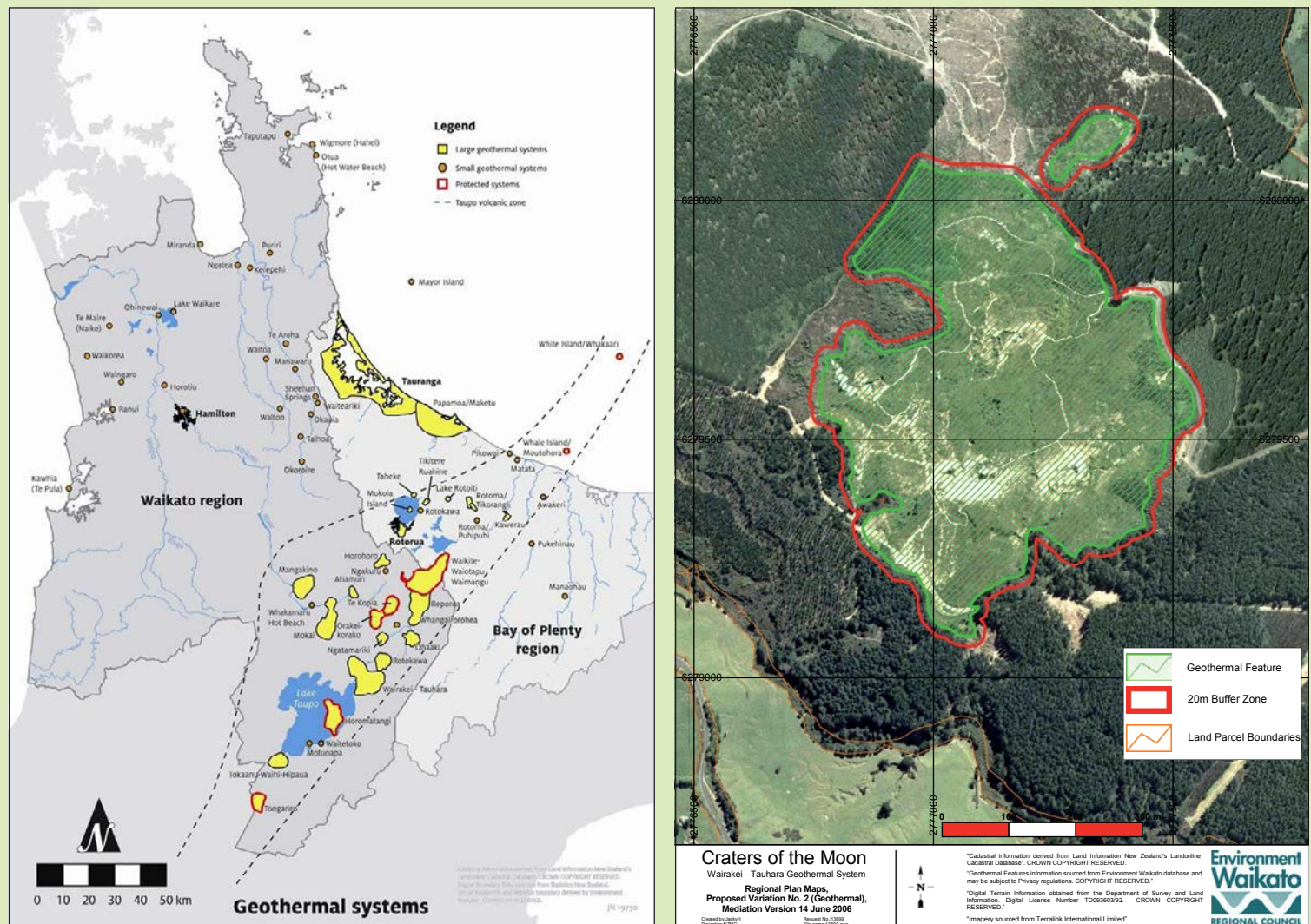


Figure 7.1: Spatially mapped geothermal systems in the Waikato RPS (left), including protected systems.²⁸ More detailed mapping was delegated to regional plans (right).²⁹

Given that spatial plans are not intended to be detailed documents, what types of constraint should be identified in them? To provide strong signals to developers, environmental constraints will need to encompass all spaces that require a degree of regulatory protection (even if they are not to be 'avoided' entirely) because:³⁰

without clear demarcation on maps showing where ecologically significant areas are, it is less clear to resource consent applicants what restrictions apply where.

At minimum, therefore, constraints should include SNAs, ONFLs, significant geothermal features, SASMs (where publication of information is appropriate), drinking water sources, elite soils, high hazard areas (with reference to climate adaptation plans), marine protected areas (including where *Motiti* jurisdiction applies),³¹ and wetlands. They should also indicate the spatial extent of water conservation orders,³² conservation land and areas having status under international law (eg RAMSAR sites). Many of these constraints, although not all, can be gleaned from existing plans and documents. For example, some are mapped in Queenstown Lakes' non-statutory spatial plan and the Waikato region's RPS (see Figures 7.2 and 7.3 below).

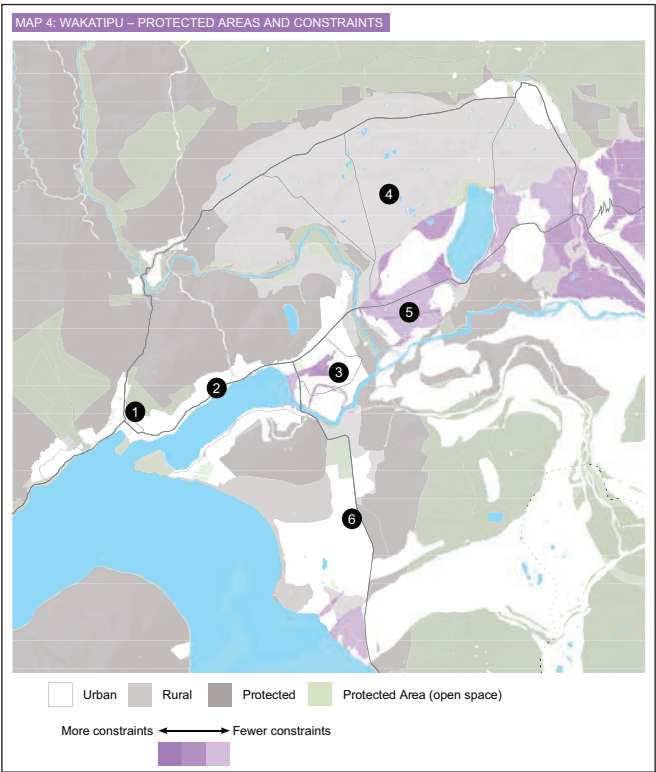


Figure 7.2: General indication of environmental constraints in and around Wānaka, Queenstown Lakes Spatial Plan³³

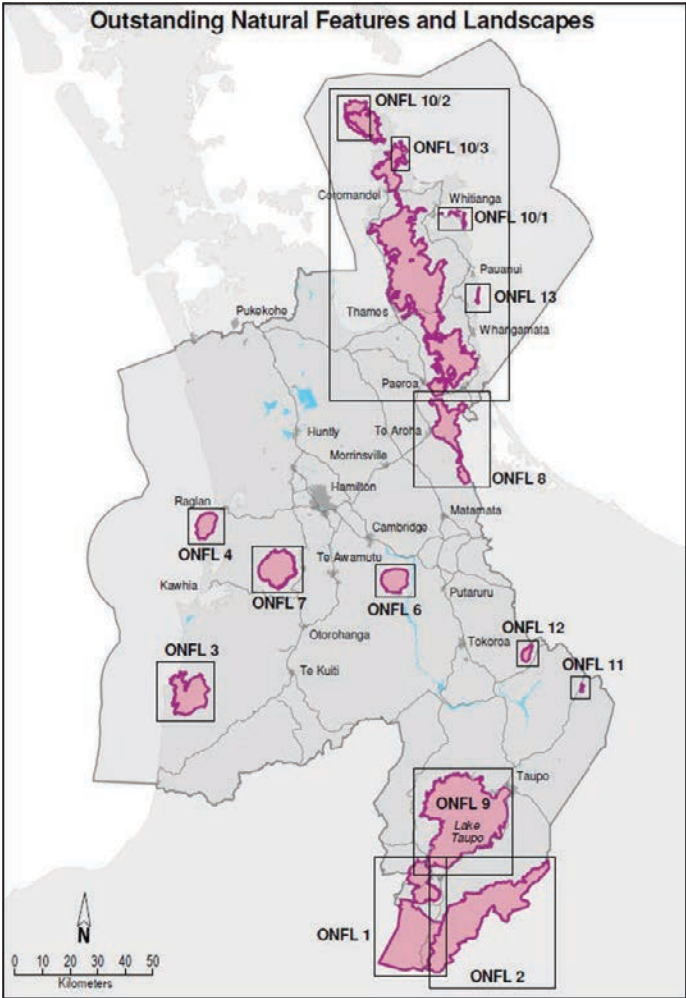


Figure 7.3: 16 regional scale ONFLs identified in the Waikato RPS.³⁴ Associated policies establish an expectation that new wind turbines and transmission infrastructure are located outside these areas.

A spotlight on the EU

In the EU, members are obliged under the Water Framework Directive to spatially identify a range of 'protected areas', including drinking water sources, areas designated for the protection of economically significant aquatic species, areas designated as bathing waters, and areas vulnerable to nutrient pollution. They must also delineate areas for the protection of habitats or species "where the maintenance or improvement of the status of water is an important factor in their protection".³⁵ River basin management plans then need to include maps indicating the location of each protected area.

Spatial plans should also tackle the issue of strategic land use choices, not just specific areas of value like SNAs. In the bigger picture view, these are also constraints. Some places have biophysical characteristics that make them inherently unsuitable for certain types of land use (eg exotic plantation forestry on erosion prone land, intensive dairying on shallow soils or water stressed areas, or urban development in floodplains). This needs to be signalled early on to avoid consent-by-consent assessment and the adverse cumulative effects of creeping development or intensification. It could also reduce site-based litigation. Forms of development should not be contemplated in a particular place if they are likely to infringe limits. The EAG has quite rightly signalled that ‘constraints’ need to include the ‘implications’ of environmental limits for broader land use patterns, not just individual areas like SNAs.³⁶ This may well mean things like ‘dairying exclusion zones’.

Spatial plans should also signal land use change: where *existing* uses are to be reduced over time to lessen pressure on the environment (especially in light of anticipated biophysical changes, like less available water due to changing precipitation, increase in flooding risk, or changes in the range of pest and threatened species). In recent work the Parliamentary Commissioner for the Environment has shown that around one third of all catchments will require such treatment.³⁷ Essentially, this would be the environmental equivalent of providing for ‘future urban’ spaces, recognising that environmental change needs to be planned for, along with population and economic growth. The alternative may be that unsustainable land uses (perhaps some dairying activity in Northland, for example) are simply left to market forces. As one council interviewee said:

Will [change] happen because a local council says you cannot have access to irrigation or discharge rights? Or [will it happen] because the banks say you're unprofitable, you're relying on rainfall, and we won't loan you money to build shade for your cows because you can't milk when it's [too hot]?

Spatial planning is an opportunity to pre-empt such issues and soften the impact of biophysical change before it happens.

A spotlight on Ireland

Spatial planning can identify where land use change, or a reduction in land-use intensity, may be required where the impacts of some activities cannot be realistically mitigated.³⁸ This is a challenge for Ireland, where the first phase of a nationwide land use review has

gathered information about how land use is impacting on the environment. Subsequent phases will consider how that translates to the kinds of regulation and other measures needed to meet environmental goals (including compliance with EU directives).³⁹

Some kind of change will clearly be needed. Over half of the country's 1,460 water bodies, which are at risk of not meeting their environmental objectives, have agriculture (largely grass fed) listed as a significant pressure.⁴⁰ Although measures like fencing waterways can help mitigate impacts, and technology has been embraced to improve efficiency and reduce harm from fertiliser application,⁴¹ there is less that can realistically be done (barring a technological breakthrough like feed additives) about diffuse pollution leaching into water from sources such as urine patches.⁴²

Grasslands (which cover around half of the country) and cultivated land have been identified as some of the areas where there is potential for land use change, and it has been accepted this “will be required” to address environmental issues.⁴³ But the options remain open. Is there a need to shift from grass-fed farming to other approaches (eg housing cattle in sheds)? Or to change areas to fundamentally different kinds of land use? The Irish government is treading carefully for now, because rural land use is a culturally sensitive topic, and farmers may be sceptical of top-down change given previous failed schemes (eg for biomass and venison farming).

Similar challenges are being faced in England. Recent government estimates suggest that, by 2050, nearly 10 percent of the country's farmland (760,000 hectares) may need to be converted to low-carbon uses, like woodland or heath, to meet climate targets.⁴⁴ Less clear is how that is going to happen.

In Singapore's more constrained land mass, where all policies need to ‘bend the knee to water survival’ (since most water is drinking water), there has been a longer history of public interest land use change. For example, to clean up the Singapore River in the 1980s, the government required intensive farming like pig and poultry farming activities to cease operations or move to more appropriate places.⁴⁵ Sedimentation risk from land use is also strictly managed because this can make drinking reservoirs shallower. In addition, the country has been carefully planned so that all industrial activities having risks to freshwater are located in one corner of the island, where they are outside potable water catchments.⁴⁶ That is quite different to how activities like intensive agriculture have proliferated on unsuitable land across New Zealand.

Key points

- One reason why there is so much conflict in the system is because high impact activities are being proposed in inappropriate places. Robust spatial planning can help to avoid this.
- It is vital that spatial plans identify and map a comprehensive range of environmental constraints. This includes where environmental limits (eg for indigenous biodiversity protection) require spatial expression. Doing so will reduce cost, litigation and increase consenting certainty.
- A lot of spatial information can be gleaned from existing instruments and databases (especially at local government level), but there will be gaps that will need filling.
- Spatial plans also need to signal necessary land use change, including where damaging activities will be phased out or moved over time. This is a challenge being faced in other countries with a strong agricultural sector.

The order in which things are done matters greatly when it comes to constraints mapping. It is vital that constraints form the first layers of a spatial plan. This is so that the individual and cumulative impacts of land use choices and development (eg urban expansion or new network infrastructure) on constraints can be assessed and suitable locations then identified, rather than constraints being retrofitted later on.⁴⁷

That appears to be the intention of Ministers in the phase 3 reforms. The EAG has also recommended the mapping of constraints based on 'robust data'.⁴⁸ However, there is a big transitional challenge here. Some progress has been made in identifying constraints like SNAs, ONFLs and wetlands in many districts. But this is far from complete. In addition, it has been signalled that changes to national direction may provide different criteria or methodologies for identifying some constraints (such as for SNAs), meaning that existing mapping may need to be reconsidered.

Without comprehensive constraints mapping, first generation spatial plans (intended to be ready for notification within 12 months) will lack the biophysical information required to determine appropriate areas for development and infrastructure. This is of particular concern given that regulatory plans (sitting beneath spatial plans) are likely to be heavily influenced by what is in spatial plans. In fact, the EAG has

even recommended that a formal plan change not be needed for areas identified as future urban in a spatial plan. Instead, rezoning would be automatically triggered by other metrics, like the availability of council infrastructure.⁴⁹

The EAG has also said that "imperfect information is not a reason to delay spatial planning as [they] can be reviewed and amended where necessary in response to significant new information".⁵⁰ However, it will be extremely hard to undo development expectations once plans have been changed to provide for them, and public and private investment decisions made.⁵¹ Even with a 'transparent improvement plan' to fill data gaps, changes to spatial plans (eg strategic infrastructure routes) would likely be intensely resisted once established. It may even spur the kinds of litigation the system is intended to avoid, noting that certainty of investment is one of the main drivers for making such plans. Rushing ahead with development, before the right information is available to identify constraints, has been a big issue recently in Auckland.



Singapore CBD

A spotlight on Auckland

In urban Auckland, short timeframes were imposed for the creation of plan changes that give effect to the urban intensification requirements of the NPS on Urban Development. This was intended to provide more land for housing, and included a requirement to apply 'medium density residential standards' (MDRS) across all qualifying residential zones. Essentially, this enables three storey townhouses across most of the city.⁵²

Although there are various 'qualifying matters' that can in theory be used by the Council to justify lower densities – including natural hazards – the assessment of such risks takes time. Meanwhile, the MDRS allows a huge amount of housing in floodplains, the results of which could be disastrous for life and property, as evidenced by the recent Auckland Anniversary Day floods and cyclone Gabrielle.⁵³ This situation has not been helped by the fact that there is no national direction on natural hazards (eg to make tolerable risk levels clear, or clarify the appropriate council responses to high risk levels).⁵⁴ In practice, this has meant that hazard risks are not well recognised in plan change processes, especially when considered alongside directive policies supporting housing development.⁵⁵ For one of the key plan changes (PC78), for example:⁵⁶

While the [Independent Hearings] Panel ... completed many of the hearings of discrete ... topics [including general density] ..., it is limited as to what recommendations it can make without having fully considered the potential impacts of natural hazards, as this has city-wide implications.

The government is now progressing an amendment to the RMA to ensure that natural hazard constraints are better recognised when intensifying. This was originally going to make MDRS optional, as long as the same overall level of development capacity was provided across the urban area. As of July 2025, however, the solution is to allow exceptions only for Auckland and Christchurch.⁵⁷ All this means that post the Auckland Anniversary floods, PC78 is now largely on hold, with parts undergoing review due to natural hazards and infrastructure concerns.

One can only speculate on the alternative scenario if PC78 had gone ahead as originally conceived, to allow for significant added density in hazardous areas of the city. It would have been exceedingly difficult to downzone after the fact, given existing use rights protected under

the RMA. And once the concrete has been poured, higher risk is baked into the system, increasing the overall cost of insurance and any subsequent public buy-outs after disaster occurs. Even without plan changes like PC78 permitting greater density, current plan settings are already deficient, with Auckland Council approving 4,000 new homes on floodplains since the 2023 floods.⁵⁸

While all this is about hazard constraints, it is a cautionary lesson for planning more generally. One cannot expect constraints to be effective if the information does not exist at the point at which development is enabled. It is a situation that first generation spatial plans might create.

More strategic planning will take time, money and resources which need to be provided up front. Much of the cost appears likely to fall on local authorities, which are already fiscally constrained.⁵⁹ That is not good enough. Strong support will be required from central government.⁶⁰ In addition, for spatial planning to be effective, New Zealand's system for environmental data and information needs reform (as outlined by the Parliamentary Commissioner for the Environment over his several reports on the topic).⁶¹ For example, the Commissioner states that it is "truly remarkable that a land and resource-based economy like New Zealand lacks a comprehensive database of land use updated in real time" which could underpin constraints mapping and strategic planning (and targeted investment).⁶²

Other countries have, or are making progress towards, much more coherent and up to date information on land use.⁶³ Some have had ambitious programmes of constraints mapping. In the EU, for example, members were expected to designate all areas vulnerable to nitrate pollution within a period of 2 years after notification of the Nitrates Directive. In Ireland, a nationwide survey of protected areas was undertaken from 1992–94, funded under the EU LIFE programme, to establish their significance and map their boundaries.⁶⁴ In Czechia/ the Czech Republic, there is now a national map showing not only protected sites, but also a "territorial system of ecological stability". This has legislative basis and is defined as an interconnected system "of natural as well as modified semi-natural ecosystems keeping the natural balance".⁶⁵ So, ponder this: if New Zealand's mineral sources can be rapidly mapped to support a strategy for mining,⁶⁶ a concerted effort to map all environmental constraints like SNAs can, surely, be achieved as well.⁶⁷

Key point

- Constraints must be identified and mapped prior to first generation spatial plans being developed and having legal effect. Once development corridors are established, it will be difficult to change them in the future, when more constraints information becomes available.

7.3.2 Environmental improvement

There is a clear need to improve the state of the natural environment, not just maintain what is left.⁶⁸ Although a range of mechanisms will be needed to incentivise restoration, spatial planning has the potential to contribute. Its purpose and content should reflect this. For example, rather than just identifying existing SNAs, a spatial plan should identify where future protected areas would be desirable (and could be restored) in order to join up disconnected habitats or migratory pathways. Conceptually, this is similar to the way that notices of requirement can identify future corridors for roads and rail. In Ireland, for example, hedgerows are considered as a vital form of habitat connection for birds and insects across a landscape, and are therefore strongly protected.⁶⁹ Its planning legislation is explicit that regional spatial and economic strategies are not just about development and infrastructure; they are also about environment and place-shaping.⁷⁰

A spatial plan's vision for environmental improvement would not necessarily have regulatory effect. However, it could influence (for example) where various agencies placed their efforts with respect to pest management, landowner assistance with planting and fencing, budgeting decisions, or even voluntary land acquisition. For example, in Queenstown, a non-statutory spatial plan identifies areas where enhancement is a priority, including its blue-green network.⁷¹ Spatial planning in the Hauraki Gulf has had a significant focus on environmental enhancement (including through establishing a protected area network).⁷² And some RPSs already recognise the value of enhancing connectivity.⁷³

It is unclear whether this kind of spatial planning is envisaged by the government. The EAG points to the open space and recreational network anticipated in the Hamilton to Auckland Corridor Plan as an example of something a spatial plan *could* be required to do.⁷⁴ However, this does not then form part of its 'mandatory matters', which are instead focused only on environmental *constraints* to infrastructure and urban growth.⁷⁵ In fact, the EAG notes that first generation spatial plans might piggyback on much narrower spatial exercises like the future development strategies

produced by tier 1 (high growth) councils under the NPS on Urban Development.⁷⁶ Those are targeted at just a small number of the many issues that spatial planning needs to address.

Moreover, spatial plans have the potential to locate development not just *away* from sensitive locations, but also to encourage it *in* places where there could be synergistic benefits for society and the environment. For example, offshore wind proposals could be encouraged in places where environmental impacts (eg on migratory seabirds) were minimised *and* where there was potential for safety zones to act as protected areas to enhance both ecosystems and fish stocks.⁷⁷ Rather than relying on a case-by-case assessment of the effects of large solar projects proposed in sensitive locations like the Mackenzie Basin,⁷⁸ a spatial plan could encourage the utilisation of already industrialised or intensified land, or rooftops, for more distributed solar. This would have benefits for network resilience and efficient transmission.⁷⁹

Co-location of environmentally beneficial infrastructure has been central to strategic land use and marine spatial planning overseas, such as in Singapore.⁸⁰ In Austria, there is a wind energy map that assigns 'priority zones', 'suitability zones' and 'exclusion zones' for wind energy development. A land use review in Ireland has recommended developing maps, at a national level, to determine high or low suitability for a subset of land uses starting with energy generation and forestry.⁸¹ And consider the following from the EU:⁸²

Directive (EU) 2018/2001 requires Member States to carry out coordinated mapping for the deployment of renewable energy ... [and they] should designate a sub-set of such areas as renewables acceleration areas. [These] are specific locations ... that are particularly suitable for the installation of plants for the production of energy from renewable sources, where the deployment of a specific type of renewable energy is not expected to have significant environmental impacts.

Member States are to give priority to artificial and built surfaces, such as rooftops and facades of buildings, transport infrastructure and their direct surroundings, parking areas, farms, waste sites, industrial sites, mines, artificial inland water bodies, lakes or reservoirs, and, where appropriate, urban waste water treatment sites, as well as degraded land not usable for agriculture [and] are to avoid protected areas... [They] should ensure synergies with the build-up of renewable energy and energy infrastructure.

Although there are some environmental concerns about the implementation of this Renewables Directive (and its relationship with protected area impact assessments), in principle it seeks a synergistic approach to social and environmental outcomes.⁸³ To implement this Directive in Ireland, the National Planning Framework allocates renewables targets to different regions, and regions are likely to allocate this further between local authorities. They may then provide for renewables zones in their local plans.⁸⁴

A spotlight on spatial planning in Singapore: A tool for environmental improvement

Spatial planning in Singapore has a strong focus on environmental enhancement. The country has two tiers of formal strategic planning. First is its long-term plan (previously known as a concept plan). This guides the country's development over the next 50 years and covers strategic land use and transportation. It can be regarded as a 'spatial plan' and is reviewed every ten years. Secondly, the master plan translates the broad, long-term strategies set out in the long-term plan into more detailed plans for implementation (eg by outlining permissible land uses and densities).⁸⁵ It is more like a district plan covering the whole country, although more strategic in its outlook. It is reviewed every five years.

A notable feature of the long-term plan is its focus on improving environmental outcomes through tangible and measurable actions. For example, the most recent long-term plan review process⁸⁶ has identified four new ecological corridors to serve as a 'highway for wildlife'. This was after the National Parks Board completed an extensive island-wide ecological profiling exercise, in 2022, to map out Singapore's key biodiversity areas and how they are connected.⁸⁷ It was done in consultation with a 14-member scientific advisory panel. Notable is the Kranji Nature Corridor, which will connect the Mandai Mangrove and Mudflat Nature Park and the Central Catchment Nature Reserve. These efforts build on the 390 kilometres of park connector network already established (see Figure 7.4 below). Also notable are recent in-depth government studies to establish ecological connectivity in marine habitats, which will guide the development of Singapore's sea space (including where to locate marine farms and anchorage sites).⁸⁸

Singapore's long-term plan has strong influence over the regulatory master plan, providing a clear pathway for its environmental enhancement measures to be achieved, as urban development progresses in a carefully sequenced manner. There are also more

specific 'control plans' which do not have regulatory status, but which serve to guide planning permit decision-makers by giving more detail. Control plans exist for various matters, including for green and blue spaces. Strategic environmental aims are also reflected in transport planning. For example, the 'Eco-Link@BKE' bridge spans 75 meters over the Bukit Timah Expressway, and connects the Bukit Timah and Central Catchment Nature Reserves. Around 100 species of fauna have been recorded using the bridge.⁸⁹



Figure 7.4: Nature corridors anticipated in Singapore's Long-term Plan⁹⁰

There is also a 'Green Plan'.⁹¹ This has no legal status, but it is a strong expression of the government's strategic policy for improving the environment. It contains around 45 specific and measurable targets across many topics, such as to develop 130 hectares of new parks by 2026 and Green 80 percent of Singapore's buildings (by Gross Floor Area) by 2030. The plan has been important in guiding the review of the long-term plan. In Singapore, non-statutory plans tend to be stable and influential, partly because of the continuity of government

(the same party has been in power for the last 66 years). In interviews we heard that targets tend not to be legislated for this reason. And although environmental issues persist, consistent progress tends to be made towards targets once set, including those having spatial expression in the long-term plan. For example, one aim is for 100 percent of houses to be within a 10 minute walk of a park by 2030, and the country is over 90 percent of the way there.

A spotlight on the EU

Spatial planning in Europe is not just about providing for renewables. River basin management plans under the EU's Water Framework Directive are also important. These are about more than just the mapping of constraints and protection of those areas. They are also used as tool to integrate other programmes relevant to improving freshwater and achieving other environmental quality outcomes.⁹² Essentially, they incorporate strategic planning at a catchment level.

For example, Ireland's proposed river basin management plan is linked with the funding and planning of a range of initiatives. They include wastewater treatment plant upgrades, creating nature based sustainable urban drainage, identifying priority areas for improvement, undertaking EU funded habitat conservation (eg on peatlands), providing grants for pest control, and specifying water-sensitive design requirements for projects requiring planning approvals.⁹³ Austria has adopted a "River Corridor Zoning" or river catchment approach to land-use policy, "concentrating land-use demarcation around the main rivers in the region".⁹⁴ In New Zealand, more integrated and strategic catchment planning could occur as part of a broader spatial planning process.

Finally, it is important that spatial plans are not *just* comprised of maps. There needs to be a clear articulation of the actual strategy underpinning what spatial arrangements are trying to achieve:⁹⁵

in the sense of long-term, protective of critical natural assets, and with a clear view about vision, values, and goals for the future.

This will be particularly important if, as proposed by the EAG, spatial plans are to replace RPSs in the formal hierarchy of planning instruments. Although these instruments have overlaps, RPSs are currently the place where many region-wide strategic objectives, carefully crafted in RMA-style language, are established for environmental health. This should not be lost from the system.⁹⁶

Key points

- Spatial planning is a significant opportunity to improve environmental outcomes, not just avoid further degradation or mitigate adverse effects. Environmental enhancement should therefore be a key statutory purpose or mandatory matter for spatial plans.
- Plans should be required to seek spatial synergies when considering what goes where. Development, where located in the right place, can be good for the environment. Spatial planning for environmental wellbeing is embraced in some other countries, notably Singapore.

7.3.3 Process and legal influence

The process for preparing a spatial plan is important too. As recommended by the EAG, a robust process involving independent review (to ensure compliance with environmental limits)⁹⁷ and appeal rights will be crucial if spatial plans are to have integrity and specific legal influence on regulatory plans. That will be particularly important if, as intended, they cannot subsequently be revisited in a regulatory planning process. Robust process is necessary both to ensure good environmental outcomes and, as pointed out by the EAG, to safeguard people's property if a spatial plan has property-level implications.⁹⁸

This begs an important design question. *Should* spatial plans bind other instruments like regulatory land use plans and funding decisions? There clearly needs to be some influence, to ensure that they are worth doing. Infrastructure New Zealand has pointed to a number of examples where agencies have in the past departed from non-statutory spatial plans (sometimes due to changing political leadership), leaving funding shortfalls.⁹⁹ In some cases, a lack of commitment to spatial planning by some parties has caused the whole thing to fall over, as occurred in 2023 when the 'Let's Get Wellington Moving' strategy (and its centrepiece light rail proposal) was disestablished and most of its funding pulled.¹⁰⁰

The EAG recommended that spatial plans have "strong legal weight and direct regulatory plans",¹⁰¹ in order to avoid relitigating decisions at the regulatory (ie district) planning level. It did not suggest a precise legal test, but the principle is similar to overseas, where spatial planning frameworks have strong effect. For example, one driver of Ireland's recent planning reforms has been to strengthen the influence of instruments at both national and regional levels, with which lower-level instruments must be materially consistent.¹⁰²

The EAG did not, however, recommend a completely binding relationship. For example, it recommended that spatial plans “should not restrict development in alternative locations” to future urban zones identified in a spatial plan.¹⁰³ This is hard to reconcile with the idea that spatial plans would be ‘directive’. Essentially, the market would still be given free rein to go where it wanted, and spatial plans would not be able to impose a hard urban boundary.

There are considerable risks in this approach. If the system allows out of sequence or non-anticipated development on an ad hoc basis, this could cause significant downstream effects on the affordability and efficiency of council infrastructure and services. Ad hoc dispersed development has not been allowed in other countries like Ireland, where interviewees expressed surprise that this would be countenanced.

Even if a developer was to internalise the costs of a development (by paying for infrastructure),¹⁰⁴ urban form is about much more than just the financial consequences for councils (see Chapter 2).¹⁰⁵ For example, it has significant implications for how people move around a city, how they connect with each other and nature, how big their carbon footprints are, and the efficient use and distribution of energy across districts. There are also ongoing costs for councils that *cannot* be met by developers (eg services like rubbish collection or public transport) that would have been carefully considered in the development of a spatial plan. In short, growth needs to be planned, not just accreted randomly.

The legal influence of spatial plans should therefore be strong. But it cannot be absolute. Safety valves are needed where circumstances fundamentally change (eg where there is materially new information about a receiving environment, where the environment changes due to factors like climate change, and where funding sources dry up).¹⁰⁶ Existing urban environments are also dynamic, requiring direction rather than a detailed straitjacket. For example, in Singapore, development plans can depart from a long-term plan where there is justification.¹⁰⁷

Most importantly, spatial plans should be required to be consistent with, and give effect to, environmental limits set under a Natural Environment Act, *not the other way round*. The EAG refers only to ‘suitable cross references’,¹⁰⁸ leaving uncertainty about the direction and strength of influence. More specifically, the following hierarchy should apply, with spatial plans required to be consistent with, or give effect to:

1. Limits and targets set at a regional level (including where set *above* national limits), not just nationally set limits. This is vital if environmental limits are to crystallise through rules in combined plans (as appears to be the intention).
2. Measures to come within limits over time where they have already been exceeded. In other words, strategic land use decisions should be compatible with a direction to (for example) *improve* water quality over specified periods of time. That might even rule out certain land uses being enabled in some places.
3. Protected areas like SNAs and ONFLs, which should create environmental constraints, to the extent they are not specifically regarded as ‘limits’.

Key points

- Spatial plans should have strong legal influence over other instruments, including regulatory land use plans.
- This will be especially important to prevent ad hoc dispersed developments that might undermine the policy goals of the plan (eg efficient infrastructure provision and environmental benefits of compact urban form).
- Safety valves will be needed to depart from a spatial plan, notably in situations where environmental limits need to be strengthened.
- Spatial plans themselves should be required to give effect to environmental limits set under a Natural Environment Act.

Some flexibility is also needed when it comes to funding, to preserve the democratic idea of ‘no taxation without representation’. The plans of one government/council should not be allowed to bind the funding decisions of another. The basic idea should be alignment across planning and funding instruments, not that one instrument dictates the content of another one per se. For example, there could be a requirement for a council’s long-term plan to be consistent with a spatial plan unless there is good reason to depart from it. Ireland provides an interesting example of how spatial planning and funding can be linked, and highlights the importance of doing so.

A spotlight on Project Ireland 2040: The importance of national involvement and a link between planning and funding

Project Ireland 2040 is a spatial planning exercise in the broadest possible sense. It is the government's long-term overarching strategy "to make Ireland a better country for all and to build a more resilient and sustainable future".¹⁰⁹ Project Ireland 2040 has two limbs. The first is the National Planning Framework, created under the Planning and Development Act.¹¹⁰ This sets the vision and strategy for the development of the country to 2040. The second is the National Development Plan:¹¹¹

a ten year strategy for public capital investment of almost €116 Billion. Their joint publication as Project Ireland 2040 is perhaps the most radical break with the past: aligning our investment strategy with our strategic planning documents to, for the first time in the history of our State, create a unified and coherent plan for the country.

This means that Ireland now has a national spatial plan that is intimately linked to a funding plan to achieve it. Ireland had a national spatial strategy as far back as the early 2000s, but "previously, national investment didn't follow the plan, and so it was difficult for Government policy to follow it also".¹¹² It did not have associated funding at the outset. This was partly because the strategy lacked a statutory basis.

As a national instrument, Project Ireland now integrates actions and funding that can only be taken by central government (eg strategic use of state lands). Previous spatial plans encouraging regional growth around major 'hubs' were undermined by government decisions that went in inconsistent directions (eg distributing public sector employees around the country in completely different places to achieve a desire for localism).

The National Planning Framework flows into regional spatial and economic strategies (which must be 'materially consistent' with it), which in turn flow through to regulatory local development plans and, under them, more detailed plans.¹¹³ In theory, the National Development Plan supports this all the way down, providing for a €3 billion competitive Regeneration and Development Fund that can be applied for by the regions, and a requirement that regional strategies specifically identify potential sources of funding to support implementation.¹¹⁴ However, because regions are heavily dependent

on central government funding, tensions can arise where national and regional priorities differ.¹¹⁵

The National Development Plan is structured into chapters dealing with the same objectives as set out in the National Planning Framework (including environmental ones), meaning (at least in theory) that there is a degree of consistency between policy and funding. There is a capital investment tracker that monitors what investment has taken place, and an interactive map providing information on over 1,100 projects.¹¹⁶

Overall, Project Ireland 2040 is about much more than maps and infrastructure pipelines. It articulates a vision for the country, including environmental action. One element is a national transition to a competitive low carbon, climate resilient and environmentally sustainable economy. This is accompanied by the funding needed to make progress. For example, strategic investment priorities by government in the current National Development Plan include water infrastructure and public transport and cycleways.¹¹⁷ €22 billion is allocated for climate action.¹¹⁸

Funding will also be crucial for effective spatial planning in New Zealand. This is partly for infrastructure, but also for environmental outcomes. For example, it should clearly signal central government sources of funding for things that some local councils may struggle to achieve on their own, such as the mapping of wetlands.¹¹⁹



Galway, Ireland

A spotlight on Thames Water

The risks of failing to integrate strategic planning with funding can be seen in the UK. Thames Water, a private water company which services over a quarter of the country's population with drinking water and wastewater services, is facing severe financial constraints from high debt levels (19 billion pounds) and a refusal by investors to inject more capital.¹²⁰ There has been underinvestment in the infrastructure needed to support population growth and urban change (as well as ageing facilities), leading to environmental harm from sewage leaks and spills. Overflows have spilled "routinely and not in exceptional circumstances".¹²¹ As a result, the company has faced record enforcement action by water regulator Ofwat, including a fine of over 104 million pounds in May 2025.¹²²

These failures have not just caused environmental damage. They have also meant that new housing developments have been constrained, undermining a key aspect of the UK's National Planning Policy Framework. This is because new developments are required by Natural England to show that their projects will not add to the nutrient burden on protected water bodies ('nutrient neutrality'). Given the parlous state of largely Victorian era wastewater infrastructure, and the expense of mitigation measures,¹²³ this has not been possible in some cases. In places like Hampshire (around the coastal Solent area especially), this has meant that "anything that creates a toilet" cannot go ahead.¹²⁴ The experience in the UK shows the importance of ensuring that strategic plans for land use and urban change is supported by funding.

Key points

- Statutory spatial plans should be accompanied by a clear mechanism through which their ambitions are to be funded, including for environmental goals.
- Project Ireland 2040 provides an example of how that might be done, while the UK provides a cautionary tale about how a failure to link infrastructure funding with growth can fall foul of a system with environmental limits for freshwater quality.

7.3.4 Governance of spatial planning

In the absence of mandatory regional planning committees or local government structural reform, neither of which seem to be supported in phase 3, there will need to be some mechanism by which councils, tangata whenua and central government work together in the production of spatial plans. For example, there will need to be clarity about what happens in the event of disagreement between councils or other spatial planning stakeholders.

We agree with the EAG that this will need to be carefully managed, and have some flexibility, in order to provide a smooth transition. This is because several bespoke non-statutory spatial planning partnerships have already been established in various places around the country, and their work should not be undermined.¹²⁵ For example, the Grow Well Whaiora Partnership is an Urban Growth Partnership between Central Government, Kāi Tahu, Queenstown Lakes District Council and Otago Regional Council, which is responsible for the non-statutory Queenstown spatial plan.¹²⁶ Imposing inflexible new arrangements could undermine existing relationships and protocols.

Councils could be required to enter willingly into agreements up front, which could be different across the country. That is the EAG's proposed way forward. However, some formal arrangements will need to be put around these groupings, given that spatial plans will have legal effect and councils (and other partners) may not all agree on their content. Forcing sub-regional governance into a regional framework could create significant implementation challenges. For example, why should South Taranaki District have a say in the urban expansion of New Plymouth, when councillors would have no democratic accountability to its residents? A similar model under the NBEA was roundly criticised for undermining local democracy, but such issues are inescapable when regionalising planning, irrespective of the name that is given to governance arrangements.¹²⁷



Development, South Auckland

A spotlight on regionalism in spatial planning in Ireland and England

In Ireland, regional assemblies were created in 2014. These are comprised of nominees from relevant local authorities,¹²⁸ and were established primarily to create regional spatial and economic strategies, which implement the National Planning Framework (and distribute EU funds).¹²⁹ Such assemblies are expected to act independently of their constituent councils (who appoint members based on their respective population sizes).¹³⁰ This can create some tensions in practice, where the interests of members compete with each other (especially when it comes to funding), and because members' interests can diverge from those of central government expressed in the National Planning Framework. One interviewee said it can be "hard for them to wear a regional hat". Public engagement is much higher at the local authority level, reflecting stronger public attachment to districts than regions also seen in New Zealand.¹³¹

This is one reason why an independent Office of the Planning Regulator (see Chapter 6) will have a role in checking that the next generation of regional strategies comply with the National Planning Framework. There has also been a degree of unease with a situation in which one local authority (eg Cork) has voting rights over a regional strategy that legally affects the planning of others (eg Waterford), because they are not democratically accountable to the latter's voters.

A drift towards regionalism is apparent elsewhere too. In England, legislation is proposed that would essentially create a new layer of regional governance (covering populations of around 1.5 million).¹³² These bodies would prepare spatial development strategies to guide the regulatory plans of their constituent councils. The new regional layer would be complemented by local authority reorganisation and amalgamation to increase their size and efficiency. This is a move away from the country's previous focus on localism, recognising that many things now have to be planned at a regional level.¹³³

A simpler approach in New Zealand, with a smaller population, may be structural reform to create unitary authorities – a single layer of directly elected regional governance. That would avoid some of the issues that have arisen in Europe, although it would not resolve the tensions that have arisen there between regional and national priorities (for example, the deployment of renewables like wind farms). Local government reform, and institutional change more broadly (eg reconsidering the role of the EPA), is something that warrants attention in a much more nuanced way than recent comments by Ministers suggesting regional councils should be dispensed with.¹³⁴

Key points

- Without local government structural reform, the governance of regional spatial planning will inevitably be complex. The unitisation of local government would provide a solution, but this needs to be approached with care because it is a much larger, more complex exercise.
- In the short term, care is needed to ensure that transitional arrangements do not undermine the governance arrangements underpinning existing non-statutory spatial plans, but these will need to be more robust and formalised due to the legal effect spatial plans are envisaged to have.

7.3.5 Other key features

Because spatial plans should be environmental tools and not just development-focused ones, they need to be prepared under legislation having a suitable purpose and decision-making criteria. The EAG recommended that spatial plans be made under a Planning Act rather than a Natural Environment Act, but also that they should have legal influence over regulatory decisions made under both statutes. This poses risks. If a Planning Act's goals are 'enabling' only, the approach has potential to undermine or at least create conflict with the goals of a Natural Environment Act. So, while spatial planning needs to find a statutory home *somewhere*, legislation also needs to be clear that it is to be driven by the goals of *both* acts. And in the event of conflict, the goals of a Natural Environment Act should prevail. That is consistent with the idea that environmental constraints are to be respected and guide where development is appropriate.

Spatial planning raises many other detailed design questions, and we have addressed some of these in previous work on the topic.¹³⁵ Our conclusions largely align with the recommendations of the Randerson Panel and the EAG. Some key recommendations are as follows.

1. Spatial plans should be mandatory.
2. They should apply to the coastal marine area. In the marine space, there is a need for more integrated and coordinated use of different statutory and non-statutory tools to achieve ecosystem-based management, and to manage the land-sea interface effectively.¹³⁶

3. Planning horizons should be long-term and aligned with other planning processes (for example, Queenstown's non-statutory spatial plan looks out to 2050, but some aspects of Waikato's RPS seeks to manage resources like geothermal features over several generations).
4. Plans should have provision for regular review, and be flexible enough to respond to environmental change.
5. They should uphold Treaty settlement arrangements (especially with respect to settlements that engage specifically with RPSs that spatial plans are intended to replace).¹³⁷
6. Their degree of detail and areas of focus should be flexible depending on the circumstances of the region in question. Some areas may require quite elaborate provisions (including detailed mapping), whereas others may not.¹³⁸
7. Spatial plans will also be vital for integrating tools under legislative frameworks other than just land use planning and infrastructure. For example, they will be needed to achieve effective climate change adaptation (eg managed retreat), and this should be a core part of their purpose.
8. Plans should be regional in scope (with more focused areas within a region as needed), but be able to cover two or more regions in response to particular issues.¹³⁹ An obvious place where this is needed is the golden triangle between Auckland, Hamilton and Tauranga. By comparison, Ireland's spatial planning framework has a strong focus on this broader cross-county metropolitan level planning.¹⁴⁰ Inter-regional planning will also be especially important in the marine environment because the boundaries of regional councils do not generally align with the extent of biologically connected marine areas.
9. As recommended by the EAG, a *national* spatial plan would be useful in order to present (ie amalgamate) regional spatial plans together alongside other national-level planning having spatial implications. The EAG has mentioned the National Infrastructure Plan, but equally important will be strategies like Te Mana o te Taiao – the New Zealand Biodiversity Strategy. As in Ireland (see below), a national spatial plan is useful because it can be more effectively integrated with national funding decisions.
10. Implementation/coordination plans and agreements will be needed to give a level of commitment and clarity around who does what (including funding).¹⁴¹
11. Implementation should be carefully monitored and reported on periodically.
12. It is vital that central government is involved in spatial planning (and committed to implementation), given its importance for both funding and legal functions (eg the New Zealand Transport Agency with respect to transport). Within central government, the Department of Conservation specifically should be a spatial planning partner, and be funded accordingly.
13. Care will be needed to ensure that spatial plans are not just another layer of paperwork for local government that replicates planning undertaken elsewhere (eg in regional land transport strategies, biodiversity strategies, climate change strategies etc).

Development identified in a spatial plan should have reasonable certainty of proceeding and a simpler regulatory pathway. However, it should not escape from more detailed regulatory assessment through consenting or designation processes. A decision-maker should remain free to impose conditions or even decline a proposal based on a detailed assessment of its effects. Identification in a spatial plan should not render things like renewables infrastructure or roads a permitted or even a controlled activity (or presume a designation would be included in a plan).¹⁴² This is a crucial point, given that the EAG has recommended that no one should be able to make submissions on matters that have already been 'determined' through spatial plans.¹⁴³

7.4 Concluding comments

Spatial planning will be a very useful part of a future system if designed carefully. The SPA provides a reasonable starting point for legislative drafting across most detailed design features.¹⁴⁴ There is no need to fundamentally reinvent the wheel. That said, the SPA's provisions will need to be adjusted to fit with quite different legislative arrangements (eg a separate Planning Act, and the removal of RPSs).

Most fundamentally, spatial planning needs to be seen as an environmental tool and not just one pursuing development outcomes. We see risks that strategic planning becomes myopic, focusing on facilitating urban growth, infrastructure corridors and economically important and efficient facilities (eg location of ports) because of their perceived short-term necessity, without considering (or identifying) the ecological constraints around which they need to work or the opportunities for environmental improvement. Done well, spatial plans can be a significant enhancement to our resource management system.



Okarito Lagoon

Endnotes

- 1 On spatial planning generally, see Resource Management Review Panel *New Directions for Resource Management in New Zealand* (2020); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019); Productivity Commission of New Zealand *Better urban planning* (2017).
- 2 *New Zealand Planning Institute Submission: RMA Review Panel issues and options paper* (2020); see also G Severinsen and R Peart Reform of the resource management system: The next generation (EDS, 2019), ch 3.
- 3 For example, “the RMA’s focus on effects (and in particular adverse effects) is not conducive to achieving optimal planning and design solutions.” A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010) at 9. Infrastructure New Zealand has pointed out that “spatial planning differs from conventional land use planning as practiced in New Zealand. Land use planning under the RMA is not strategic. It is effects based and reactive. It is designed to minimise the impacts of physical development on other residents, activities and the environment. It is not designed or set up to proactively promote outcomes”: Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 4 New Zealand Productivity Commission *Using land for housing* (2015) at 270, citing the submission of Wellington City Council to the Commission at 13. Compare *Future Proof Submission to the Resource Management Review Panel’s ‘Transforming the resource management system – Opportunities for change – Issues and options paper’* (December 2019).
- 5 Other factors have contributed too, such as fiscal and political incentives on councils.
- 6 Tier 1 and Tier 2 local authorities (listed in the NPS on Urban Development) are required to prepare a future development strategy.
- 7 For example, the Auckland Unitary Plan provides for extensive future urban zones.
- 8 District plan processes can take more than a decade, and annual and long-term planning cycles for local government run separately to three yearly cycles for national land transport planning. Decision-making responsibility, processes and appeal rights vary considerably for each. See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 9 Infrastructure New Zealand has pointed out that “a nationally significant project may be a priority in the Auckland spatial plan but have no recognition under the RMA or the [Land Transport Management Act’s Government Policy Statement] on land transport” and that “a regionally significant project may have priority in a [regional land transport plan] but not be funded in the local council’s long-term plan”: Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 10 The only legislative linkages the Auckland Plan has are as a document the Council should “have regard to” in preparing plans under the RMA. This was, according to some, a political decision which reflected the Government’s views on the content of the Auckland Plan: M Davey “The promise of spatial planning in Auckland’s new Super City: Rhetoric and reality” (PhD thesis, 2014).
- 11 See <https://thespinoff.co.nz/politics/19-12-2023/lets-get-wellington-moving-was-a-giant-waste-of-time>
- 12 Some have been deemed to be future development strategies under the NPS on Urban Development in some cases, to avoid repetition of processes for places already having similar frameworks.
- 13 K Serjeant and R Peart *Healthy seas: Implementing marine spatial planning in New Zealand* (2019); G Severinsen and others *The breaking wave: Oceans reform in Aotearoa New Zealand* (EDS, 2022).
- 14 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 15 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025).
- 16 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025).
- 17 New Zealand Infrastructure Commission Te Waihangā Rautaki Hanganga o Aotearoa New Zealand *Infrastructure Strategy 2022-2052* (2022).
- 18 R Peart and others *Caring for the landscapes of Aotearoa New Zealand* (EDS, 2021) at 44. See also *Maniototo Environmental Society Incorporated v Central Otago District Council* C 103/2009.
- 19 For example, see <https://www.stuff.co.nz/national/125650536/waka-kotahinzta-appeals-sleepyhead-development-to-environment-court>
- 20 Consenting times were 6 months for Nga Awa Purua (140 MW) and Ngatamariki (110 MW) and 14 months for Te Mihi (166 MW). See *Waikato Regional Energy Inventory* (Environment Waikato, 2024). The Wairakei geothermal consenting took 6 years and is something of an outlier, but this was because of a range of complex issues other than the appropriateness of its location (eg legal arguments in the High Court around priority to be heard). Spatial planning cannot assist with such issues.
- 21 These have been mapped with buffer zones around them. See *Entry for Energy Globe Awards 2007* (Environment Waikato, August 2007). The RPS became operative in 2016 and was influenced by a 2006 energy review.
- 22 *Entry for Energy Globe Awards 2007* (Environment Waikato, August 2007).
- 23 G Monbiot “Labour’s great nature sellout is the worst attack on England’s ecosystems I’ve seen in my lifetime” (The Guardian, 24 April 2025).
- 24 Paragraph 172 of the National Planning Policy Framework was held to provide a reason for refusing planning permission, but this was not obvious in advance due to the presumption in favour of sustainable development in paragraph 11. See localgovernmentlawyer.co.uk+2TLT+2localgovernmentlawyer.co.uk+2localgovernmentlawyer.co.uk+1localgovernmentlawyer.co.uk+1CornerstoneBarristers
- 25 https://ec.europa.eu/commission/presscorner/detail/es/ip_18_355. The project resulted in an extensive and environmentally devastating landslide in October 2003.
- 26 The legal action was for not properly carrying out an EIA. Although it was considered that the site could still benefit from mitigation and remediation measures, issues arose primarily because it was located in the wrong place. The European Commission requested the European Court of Justice impose a minimum lump sum payment of €1 685 000.00 on Ireland.
- 27 For example, a wind farm map was developed based on a landscape assessment of Ireland’s southern region, informing its regional economic and spatial strategy.
- 28 www.waikatoregion.govt.nz/assets/WRC/Council/Policy-and-Plans/RPS-Regional-Policy-Statement/RPS2022-Part-5-Maps.pdf, Map 21.
- 29 *Waikato Regional Energy Inventory* (Environment Waikato, 2024) at 86; *Entry for Energy Globe Awards 2007* (Environment Waikato, August 2007) at 7.
- 30 <https://environment.govt.nz/assets/publications/RIS-National-Policy-Statement-for-Indigenous-Biodiversity.pdf>; compare New Zealand Infrastructure Commission Te Waihangā Rautaki Hanganga o Aotearoa New Zealand *Infrastructure Strategy 2022-2052* (2022) at 138.
- 31 Regional councils have some jurisdiction to control the impacts of fishing on marine biodiversity under the RMA, through the creation of marine protected areas. See *Attorney-General v The Trustees of the Motiti Rohe Moana Trust & ors* [2019] NZCA 532.
- 32 Note that water conservation orders cannot be achieved through more general environmental limits for freshwater quality and flows, any more than national parks could be managed under general RMA vegetation clearance rules.
- 33 https://www.qldc.govt.nz/media/hsdjlrv3/the-spatial-plan_a4-booklet_jul21-final-web-for-desktop.pdf
- 34 www.waikatoregion.govt.nz/assets/WRC/Council/Policy-and-Plans/RPS-Regional-Policy-Statement/RPS2022-Part-5-Maps.pdf, Map 27.
- 35 Water Framework Directive, Annex 4(1). See https://environment.ec.europa.eu/topics/water/water-framework-directive_en
- 36 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [273.a].
- 37 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024). The report notes that 34.8 percent of catchments have high excess contaminants (nitrogen, sediment, phosphorus) and would need land use change to achieve their environmental bottom lines. Of these, change is urgent in parts of the Manawātū and Whangāehu catchments, parts of Waituna and Otāpiri catchments, and the Otāpiri catchment.
- 38 See *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024). In Ireland, there has been concern that Brexit will render Irish agricultural unviable without intensification to uses like dairying.
- 39 <https://www.gov.ie/en/department-of-agriculture-food-and-the-marine/publications/land-use-review-phase-1/>
- 40 <https://teagasc.ie/wp-content/uploads/2025/05/Water-Quality-in-Ireland-Status-Trends-Pressures-and-Policies-1.pdf>
- 41 For example, it was possible to put in technology on tractors that has generated more efficiency in terms of ammonia emissions.
- 42 <https://www.epa.ie/publications/monitoring-assessment/freshwater-marine/Nitrates-Report-for-Ireland-2016-2019-22Dec2020.pdf>
- 43 <https://www.gov.ie/en/department-of-agriculture-food-and-the-marine/publications/land-use-review-phase-1/> at 89.

44 <https://www.ft.com/content/9581872d-d6b8-4db4-b58f-698507644ddc>

45 Food for Thought | Journeys of Transformation: Singapore's Pig Farmers after Pig Farming

46 There are still issues like runoff of contaminants from roads into rivers, however.

47 <https://pce.parliament.nz/media/hxjhxecy/salmon-lecture-rma-reform-coming-full-circle.pdf>

48 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [282].

49 At [340]. A spatial plan would be the only place where people could make submissions and appeals.

50 At [525].

51 In other words, if “decisions are made before the right information is available, they’re more likely to lead to problems,” including litigation: New Zealand Infrastructure Commission Te Waihanga Rautaki Hanganga o Aotearoa New Zealand Infrastructure Strategy 2022-2052 (2022) at 110.

52 See <https://environment.govt.nz/publications/medium-density-residential-standards-a-guide-for-territorial-authorities/>

53 The Te Ararata and Harania catchments in Māngere were severely affected, with 376 properties at risk of future flooding.

54 National direction on hazards was proposed by the previous government, and is being progressed by the current government. See <https://www.regulation.govt.nz/assets/RIS-Documents/ria-mfe-npsnhd-jul23.pdf>

55 See <https://www.greatauckland.org.nz/2025/06/12/more-housing-plan-changes-on-the-way-for-auckland/>

56 <https://www.aucklandcouncil.govt.nz/have-your-say/hearings/types-of-hearings/npsud-independent-hearings/LegalGuidelinesAndProcedure/npsud-minute-2024-04-04.pdf#:~:text=14.%20While%20the%20Panel%20has%20completed%20many,natural%20hazards%2C%20as%20this%20has%20city%2Dwide%20implications.>

57 Legislative change will allow Auckland Council to withdraw PC78 and replace it with a new plan change, which has to provide the same level of capacity (or greater) as PC78, as well as strengthened density provisions around City Rail Link stations. See <https://www.beehive.govt.nz/release/saying-yes-housing-growth>

58 Especially in Māngere-Ōtāhuhu, Hibiscus and Bays, and Upper Harbour Local Board areas. See <https://www.nzherald.co.nz/nz/auckland-council-approves-4000-new-homes-on-floodplains-since-2023-storms-huapai-residents-oppose-plans-for-more/P30IBIHM4FFAHGP4QANC6PRHEE/>; <https://www.nzherald.co.nz/nz/auckland-council-has-consented-to-1415-new-house-builds-on-flood-plains-one-year-on-from-auckland-floods/P7RHY7JK5CK5GGIVEZEDHDHKA/>

59 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [284].

60 Robust data needs to underpin the kind of strategic environmental assessment (for particular sectors) that is common in other places like Europe. See generally <https://op.europa.eu/en/publication-detail/-/publication/43bd490d-15f1-1e8-9253-01aa75ed71a1/language-en>

61 For example, see Parliamentary Commissioner for the Environment *A review of the funding and prioritisation of environmental research in New Zealand* (2020).

62 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024).

63 For example, Ireland’s recent land use review identifies the proportion of land in different kinds of agriculture. See <https://www.gov.ie/en/department-of-agriculture-food-and-the-marine/publications/land-use-review-phase-1/>

64 A Craig “The role of the state in protecting natural areas in Ireland: 30 years of progress” (2001) 101B (1/2) *Biology and Environment: Proceedings of the Royal Irish Academy* 141; A Jackson and A Murray “Chapter 19 – Ireland” in G Tucker (ed) *Nature conservation in Europe* (2023).

65 <https://www.gov.ie/en/department-of-agriculture-food-and-the-marine/publications/land-use-review-phase-1/> at 95; <https://www.sciencedirect.com/science/article/abs/pii/S0169204696003210>

66 <https://www.rnz.co.nz/national/programmes/ninetonoon/audio/2018953247/minerals-potential-mapped-now-what>; <https://www.mbie.govt.nz/building-and-energy/minerals-and-natural-resources/a-draft-minerals-strategy-for-new-zealand-to-2040>

67 See ME Consulting *National Policy Statement- Indigenous Biodiversity* (1 December 2022). Costs were estimated at between \$250,000 and \$2.5 million per district.

68 <https://environment.govt.nz/publications/environment-aotearoa-2022/>

69 <https://birdwatchireland.ie/faq/when-is-hedge-cutting-prohibited-in-ireland/>

70 Planning and Development Act 2024 (Ireland), s 28.

71 <https://www.qldc.govt.nz/your-council/council-documents/queentown-lakes-spatial-plan/>

72 <https://www.mpi.govt.nz/dmsdocument/22-APF-Project-Summary-Sea-Change-Hauraki-Gulf-Marine-Spatial-Plan/sitemap/>

73 For example, the Waikato RPS.

74 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [248].

75 At [263], [273].

76 At [517].

77 <https://www.eea.europa.eu/en/analysis/publications/harnessing-offshore-wind-while-preserving-the-seas>

78 <https://www.forestandbird.org.nz/resources/solar-farm-threatens-mackenzie-basin>

79 <https://www.aut.ac.nz/news/stories/rooftop-solar-for-more-resilient-cities>

80 For example, the Tuas Nexus development integrates a water reclamation plant and a waste management facility to tackle Singapore’s solid waste management and used water treatment needs more efficiently. The by-product of one facility becomes a resource for the other. For instance, biogas production in the water plant is boosted by 40 percent from combining its used water sludge with food waste. The gas is then combusted to generate electricity, enough to power both facilities: see https://www.ura.gov.sg/-/media/Corporate/Planning/LTPR21/LTPR_publication.pdf

81 <https://www.gov.ie/en/department-of-agriculture-food-and-the-marine/publications/land-use-review-phase-1/> at 102.

82 https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=OJ:L_202401991 at [68].

83 <https://www.euronatur.org/en/what-we-do/news/disappointing-results-of-last-trilogue-on-renewable-energy-directive>

84 <https://www.mhc.ie/latest/insights/revised-npf-whats-new-for-the-energy-sector>

85 <https://www.ura.gov.sg/Corporate/Planning/Master-Plan>

86 https://www.ura.gov.sg/-/media/Corporate/Planning/LTPR21/LTPR_publication.pdf

87 <https://www.straitstimes.com/singapore/from-new-homes-to-a-new-island-7-things-about-singapores-long-term-plan-for-next-50-years>; <https://www.ura.gov.sg/Corporate/Planning/Long-Term-Plan-Review/Space-for-Our-Dreams-Exhibition/Steward/Stewardship-Natural-Capital>

88 <https://www.straitstimes.com/singapore/environment/singapore-to-have-4-new-eco-corridors-lower-seletar-reservoir-park-to-be-expanded>

89 <https://www.nparks.gov.sg/visit/parks/bukit-timah-nature-reserve/special-features/eco-link-bke>

90 <https://www.straitstimes.com/singapore/environment/singapore-to-have-4-new-eco-corridors-lower-seletar-reservoir-park-to-be-expanded>

91 <https://www.greenplan.gov.sg/>

92 See Annex VII.

93 <https://assets.gov.ie/static/documents/draft-river-basin-management-plan-2022-2027.pdf>; <https://www.water.ie/projects/national-projects/river-basin-management>

94 <https://www.gov.ie/en/department-of-agriculture-food-and-the-marine/publications/land-use-review-phase-1/> at 95.

95 *R Chapman and others Submission by the NZ Centre for Sustainable Cities on the RMA issues and options paper, ‘opportunities for change’* (2019) at 4.

96 Compare *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment), ch 17.

97 The EAG suggested this auditing function be undertaken by the Secretary for the Environment: see *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [285]. The responsible entity could equally be the EPA or equivalent independent body.

98 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [256].

99 See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).

- 100 <https://www.transport.govt.nz/area-of-interest/infrastructure-and-investment/lets-get-wellington-moving>
- 101 From [275].
- 102 Under Ireland's previous approach, jurisprudence established that lower levels of plans did not necessarily need to adhere to the higher level plans.
- 103 At [264].
- 104 As recommended by the EAG at [333].
- 105 The EAG recognised at [332] that "private plan changes impose material administrative costs on councils".
- 106 For example, Ireland's previous non-statutory national strategy was derailed by the global financial crisis because core elements could no longer be paid for.
- 107 <https://petir.sg/2023/01/28/petir-explains-how-does-the-long-term-plan-guide-singapores-urban-future/>
- 108 At [267].
- 109 <https://www.gov.ie/en/department-of-public-expenditure-infrastructure-public-service-reform-and-digitalisation/campaigns/project-ireland-2040/>
- 110 <https://www.irishstatutebook.ie/eli/2024/act/34/enacted/en/html>
- 111 <https://assets.gov.ie/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf> at 5.
- 112 <https://assets.gov.ie/static/documents/project-2040-national-planning-framework-841f7a87-133c-4d9a-9ec7-d1d3da634105.pdf> at 16.
- 113 Urban area plans, priority area plans and coordinated area plans.
- 114 Planning and Development Act 2024 (Ireland), s 29(13). Although there are requirements for urban development zones to be materially consistent with the National Planning Framework, in practice these areas (formerly known as strategic development zones) have been criticised for not following the aspirations of the framework and creating fragmentation of particular sites within the broader urban fabric. For example, The Dublin Docklands were criticised for potentially prioritising private development over social housing needs, displacement of communities through gentrification, and a privatised public space. See <https://www.hotpress.com/culture/the-battle-for-dublins-docklands-392120>
- 115 See <https://southernassembly.ie/regional-spatial-and-economic-strategy-for-the-southern-region-two-year-monitoring-report-2022-2024-published/>
- 116 See <https://www.gov.ie/en/department-of-public-expenditure-infrastructure-public-service-reform-and-digitalisation/campaigns/project-ireland-2040/>
- 117 <https://www.gov.ie/en/department-of-public-expenditure-infrastructure-public-service-reform-and-digitalisation/press-releases/government-launches-the-renewed-national-development-plan-2021-2030/>; <https://assets.gov.ie/static/documents/national-development-plan-2021-2030.pdf>. Wastewater upgrades are planned for Bailieborough, Buncrana, and Nenagh.
- 118 https://www.independent.ie/irish-news/the-big-reveal-five-things-you-need-to-know-about-project-ireland-2040-plan/36611281.html?utm_source
- 119 See, for example, <https://www.rnz.co.nz/news/ldr/425722/new-freshwater-rules-terrible-for-west-coast-regional-council-chair>.
- 120 <https://www.bbc.com/news/articles/cgeg5vy9q8eo>
- 121 <https://www.bbc.com/news/articles/cgeg5vy9q8eo>. Natural England has advised several local authorities, including Portsmouth, Fareham, Gosport, Havant, and East Hampshire, to halt planning permissions for new housing unless developers can demonstrate nitrate neutrality.
- 122 <https://www.bbc.com/news/articles/c7vzq9436zdo>; <https://www.bbc.com/news/articles/cgeg5vy9q8eo>
- 123 In some cases this has been done. In Havant, for example, the council purchased a farm to transform it into a nature reserve, effectively offsetting the nitrogen impact of new developments.
- 124 Interview with UK academic.
- 125 Although "it may be appropriate for an existing committee or other governance body, such as an urban growth partnership, to oversee the development of a spatial plan and make recommendations to the relevant local authorities": *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [280].
- 126 <https://letstalk.qldc.govt.nz/spatial-plan>
- 127 The EAG recommended (at [288]) that some recommendations may require a decision from all local authorities in the region, while others could be decided by a smaller group of local authorities. But this would not always be easy to distinguish.
- 128 For example, 27 members are nominated by the 10 local authorities in the southern regional assembly. See <https://www.localgov.ie/about-local-government/regional-assemblies>.
- 129 Planning and Development Act 2024 (Ireland), s 28
- 130 For the Southern Regional Assembly, 5 members are from Cork, while 1 comes from Waterford.
- 131 See generally JK McNeill *The public value of regional government: How New Zealand's regional councils manage the environment* (PhD dissertation, Massey University, 2008).
- 132 The Planning and Infrastructure Bill would impose a duty on combined authorities, combined county authorities, upper-tier county councils and unitary authorities – or designated groups of these authorities – to prepare a strategic plan (Spatial Development Strategy) for their area. See <https://www.instituteforgovernment.org.uk/comment/five-key-changes-planning-and-infrastructure-bill>
- 133 Given that excessive devolution has meant new housing is poorly distributed and does not align with local infrastructure plans.
- 134 <https://www.nzherald.co.nz/business/economy/the-case-for-abolishing-regional-councils-in-nz-matthew-hooton/KAKTRUFGJRGMPKT4RQU22FDWQ/>
- 135 See G Severinsen and R Peart *The Strategic Planning Act and funding* (EDS, September 2021); R Peart and G Severinsen *Designing the Strategic Planning Act to better address the marine environment* (EDS, May 2021); G Severinsen *Reform of the resource management system: The urban context* (EDS, 2020), ch 10.
- 136 See R Peart and G Severinsen *Designing the Strategic Planning Act to better address the marine environment* (EDS, May 2021).
- 137 For example, the Vision and Strategy for the Waikato River under the Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010.
- 138 For example, the Queenstown Lakes District spatial plan focuses on the Wakatipu and Upper Clutha areas.
- 139 Compare *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [268].
- 140 For example, see the statutory Metropolitan Area Strategic Plans in the five cities of Dublin, Cork, Limerick, Galway and Waterford.
- 141 Compare the EAG's recommended 'coordination plans' (at [296]) and the SPA's implementation plans and agreements (ss 55-60).
- 142 The EAG (at [265]) has stated that inclusion in a spatial plan should determine *whether* the work should proceed, although it is not clear if this is referring only to land use authorisation through a designation or all consents (eg those under a Natural Environment Act). The latter should not be guaranteed.
- 143 At [324].
- 144 More detail about the SPA can be found in Appendix 2 of the Randerson Panel's report, which was to a large extent reflected in the SPA.

8 Standardisation

South Auckland

8.1 The problem/opportunity and government proposals

The government has lamented “the absurd bespokeism of navigating new consents and conditions for things we’ve done many times before” and proposed “greater use of national standards, setting minimum requirements for developments, infrastructure and other processes that are currently regulated via consents.”¹ These standards would “reduce the number and scope of consents and simplify council plans.” In short, the system would be standardised in four ways:

- By establishing a single and more comprehensive **National Policy Direction** under each Act (to reduce variation in policies at regional and district level, and “shifting the focus of policy setting to a national level”).²
- By creating a single suite of **nationally determined zones** (with common rules) under a Planning Act, from which all territorial authorities would pick and choose when preparing their land use plans. The implication is that there would be nationally standardised overlays too (eg methodologies or rules applying to SNAs and ONFLs).³
- By establishing a single set of **regulatory limits** for human health, and regulatory limits or a common methodology for setting them for environmental quality (see Chapter 6).
- By establishing a set of **national standards** under a Planning Act and Natural Environment Act (presumably for things other than limits), from which councils could only depart if they followed a ‘stickier’ pathway (including regulatory justification reports) for ‘genuinely novel issues’.

A shift towards a more standardised system will present opportunities and risks, depending on what is meant by the term and how it is applied.

Key point

- The government is proposing a system with greater standardisation at the national level, through more integrated national policy instruments; a limited range of nationally set land use zones and overlays; environmental limits; and national standards.

8.2 Consistency

There are two distinct meanings to the term ‘standardisation’ as it is being used by the government. The first is about improving consistency – the creation of identical or similar requirements across the country for various activities. The idea is that councils should not, by default, be taking different approaches to the same issues where there is no justification for doing so (eg dozens of variations on urban zones seeking the same basic things).⁴ Ministers have rightly pointed out the “enormous duplication of

efforts across the country, on things that do not differ from community to community”.⁵ Such effort is not just a burden on councils, but also on tangata whenua, environmental groups and others, who are forced to spread their resources across very similar planning and consenting processes seeking basically the same outcome again and again (eg by litigating very similar plan provisions or consent conditions).⁶

Standardisation in this sense can be procedural (the use of common terminology and formatting requirements) or substantive (the same default policies and rules). Procedural consistency makes a lot of sense and is what the National Planning Standards were created to achieve. These standards already provide for common land use zones (with the ability for councils to create bespoke ones where appropriate).⁷ These could be developed further, without legislative change, to the extent that common terminology and more detailed structure for plans are needed. It would also be possible to go further and require the creation of one or more model plans at the national level. Councils could use these as a starting point for their own combined plans under new legislation, but still depart from them where appropriate. Model plans may save councils a significant amount of time and effort.

In principle, substantive consistency in rules and policies across the country is not a bad thing either. Variation should not be arbitrary or exist for the sake of it. For example, national level standards are clearly needed to establish environmental limits. Standardised zones also make sense, especially in urban areas (rural environments present a more diverse and challenging landscape to achieve widespread standardisation). That said, there need to be enough suitable zones from which councils can choose, and a degree of flexibility (eg ranges of performance standards, suitable overlays, and the ability to depart from standards where appropriate).



Wellington CBD

Without this flexibility, there is a risk that national standards break the valuable feedback mechanism between those making policies (central government) and those implementing policies (councils). If they do not work in a particular place, there needs to be a mechanism for change (via plans).

A spotlight on Victoria, Australia

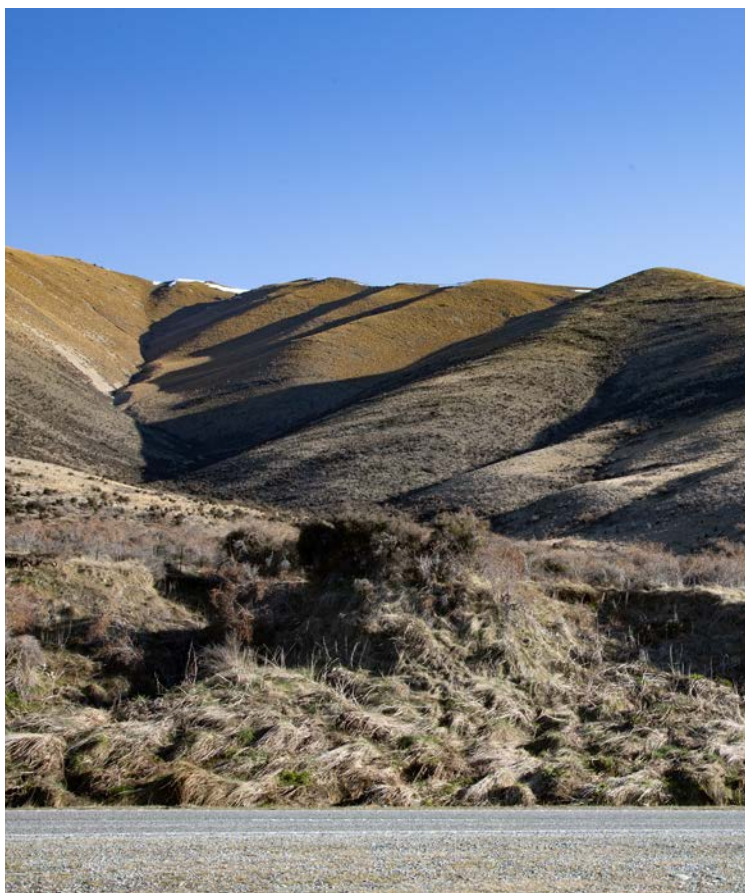
Victoria provides a good example of how a more nationally standardised system for land use can also provide appropriate flexibility for environmental outcomes. On the one hand, state Planning Provisions provide for standardised zones with default rules (including a common set of 18 ‘overlays’ to recognise specific features like floodways and areas of environmental significance),⁸ while allowing local councils to vary some rules to suit local circumstances.⁹

In particular, the State has sought to simplify and standardise its commercial zones over the past 20 years. Reforms included the standardisation of business zones, the introduction of commercial 1 and 2 zones in 2013 (replacing the previous five business zones) and a commercial 3 zone that includes a mixed-use employment zone.¹⁰ This has expanded the range of permitted activities in commercially zoned land, and was designed to increase business investment and encourage more productive land use by making the zoning rules simpler and less prescriptive.¹¹ For example, commercial 1 zone opened up some previously restricted uses by¹² removing the requirement to obtain permits for retail activity and accommodation, and removing floor space limits for shops and offices. The Productivity Commission found that new zoning arrangements allowed for flexibility that benefited businesses and consumers (greater choice in retail offerings and potentially lower prices), by reducing impediments to investment.¹³

When it comes to pollution, however, Victoria has focused more on the need for agile and bespoke measures. This is through its ‘general environmental duty’. This duty is contained in the State’s Environment Protection Act 2017. In addition to a more traditional licensing framework (where large scale or high risk activities must obtain approval from the EPA), the duty takes a risk-based approach modelled on more flexible health and safety laws, by requiring that “a person who is engaging in an activity that may give rise to risks of harm to human health or the environment from pollution or waste must minimise those risks, so far as reasonably practicable”.¹⁴ This includes an obligation to eliminate risks as far as reasonably practicable.¹⁵

The basic idea is that the duty allows the EPA to be much more adaptable and work with polluters to minimise potential harm as circumstances change, whether a formal consent has been required or not. Although guidance is being developed to provide more predictability for various sectors, the duty offers regulators the flexibility to apply a risk-based approach to the circumstances of particular activities rather than mechanically assess compliance with a numerical standard set out in State-wide legislation. Interestingly, in New Zealand the EAG also recommended a similarly flexible approach be taken to enforcement.¹⁶ However, it did not address how this would fit with a desire for more certainty through standardised rules for environmental quality.

Victoria's situation illustrates that a desire for predictability or certainty for development must be set against the importance of contextualisation and discretion when it comes to a changing environment. The challenges



Dunstan Downs

facing different parts of New Zealand are diverse, meaning that the same standards (eg for an effluent discharge) could drive very different outcomes depending on where they are applied. This is why one interviewee described the idea of extensive national standardisation as “a good ambition but incredibly optimistic”.

Some differences are about the distinct values of particular communities. Some may have a desire for higher water quality or valued landscapes than others. But other differences are because the biophysical characteristics of places are unique. For example, there may be quite different soil types or particularly sensitive receiving environments (eg already polluted catchments) that cannot cope with additional pressure, even if it is from ‘an activity we have done many times before’. Or there might be protected areas like the Rakaia River (subject to a water conservation order) or threatened species found nowhere else, necessitating different standards for the same activity.

A spotlight on Gollum galaxias

The threatened fish species Gollum galaxias¹⁷ is only found in the lower South Island and potentially in Rakiura, making it a precarious species of high conservation value.¹⁸ Yet a stream in which the fish were recently found (the Waimatuku) falls within the worst 25 percent of sites for E.coli, nitrogen and phosphorus across the country.¹⁹ Poor outcomes are being driven here by agricultural activities, which have been subject to standards that do not properly account for the threat status of specific species in particular places.

Rolling out activity-based standards (eg for certain kinds of primary production activities such as commercial vegetable growing) across the whole country will likely make this much worse. National level policies and standards therefore need to provide a *framework* for imposing more stringent or bespoke arrangements where necessary to achieve protections at place, subject to a safety net of minimum national quality limits.

The Mackenzie Basin is another place where a menu of standards or standardised zones simply would not work. This can be seen in the complexity of the rules framework recently established by the Environment Court around over-sowing and top-dressing.²⁰ The Mackenzie is far from an isolated example. Many environments around the country need bespoke attention, which is why plans can be quite complex (see Figure 8.1 below).

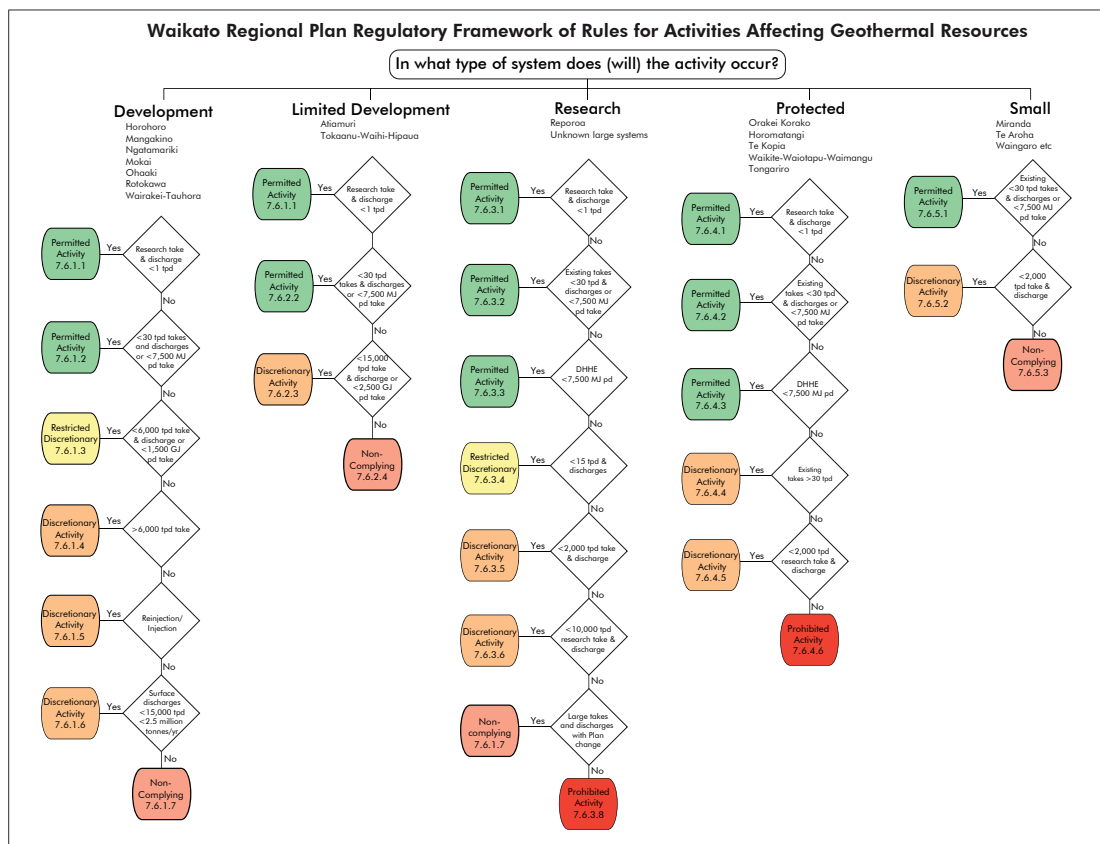


Figure 8.1: Rules framework for geothermal consenting in Waikato²¹

The EAG envisaged local variation would still be *possible* in council plans. However, that would be the case only if councils produced a ‘justification report’ as part of a ‘stickier’ process.²² If they chose to do so, this could trigger regulatory takings claims (eg for SNAs) as well as more extensive submission and appeal rights. There would be a strong incentive not to go above and beyond. Indeed, the explicit intention is that:²³

providing comprehensive national direction will significantly reduce the ability to appeal plan content ... merits appeals provide a necessary check on councils’ ability to regulate beyond that provided by national direction.

Bespoke protections would be slower, more litigious, more expensive and therefore less likely to appear in plans as notified. But this is not the end of the story. The EAG has also said that submissions *should* be available where there is a need for bespoke provisions and they are *not* proposed in a plan.²⁴ This approach is good. In fact, it has been used in recent years

under the RMA to improve the quality of plans. For example, submissions have been made on plans where more stringent provisions are needed to go beyond the deficient standards in national forestry standards,²⁵ or where regional coastal plans have failed to include marine protected areas despite being able to. Here, submissions (and subsequent appeals) have successfully sought their inclusion after extensive legal argument.²⁶

This safety net is therefore desirable. But it is fragile, because it relies on robust advocacy from tangata whenua, environmental NGOs and communities getting involved in multiple plan-making processes to remedy their defects. If plans are to be reviewed, all at the same time, as we transition into the new system (as appears to be the intention), it will overwhelm their capacity. It would therefore be much more efficient for councils to have the incentive to

establish bespoke provisions from the outset.²⁷ Tailored planning solutions really need to be assumed, not disincentivised, in many environments.

Overall, it is difficult to judge the efficacy of a ‘more’ standardised system in the abstract. Standardisation for some things will be useful, where differences between regions or districts are arbitrary or unintentional. But for others, where places and outcomes are different and policies and rules are intentional, it will present significant risks to people and the environment.²⁸ As the Parliamentary Commissioner for the Environment has observed:²⁹

if central government issues a ‘paint-by-numbers’ template it will almost certainly lack the information to do this in a way that really makes sense of the environment, and will certainly lack the knowledge of the people who live there.

Excessive standardisation may also presents risks to developers, if they are inflexible (inhibiting innovation), unclear whether they apply or not, or poorly targeted at the needs of particular activities.

Key points

- The first way ‘standardisation’ is being talked about is to do with consistency of provisions across the country (that councils should not be taking different approaches to the same issues for no real reason).
- National Planning Standards could be used to create greater procedural consistency in terminology and structure without legislative change.
- Substantive consistency in policies, rules and conditions is also desirable (eg to avoid having to litigate the same consent conditions in similar projects). Some standardisation through a common set of urban zones would be positive.
- However, there needs to be flexibility to respond to local circumstances. The challenges facing different parts of the country are diverse, which means that imposing the same rules to activities, even if they are very common ones like road building, could drive very different outcomes depending on where they are applied.
- This means a ‘stickier’ process involving justification reports where departing from national standards should not be made too onerous. Doing so would likely increase litigation, not reduce it.
- A range of model plans could usefully be created as a starting point for councils to depart from where appropriate, reducing the risk of reinventing the wheel.
- Flexibility in the form of a general environmental duty, as in Victoria, would be a useful addition to a future system.

can comply with clear and measurable ‘standards’ in a plan or national direction. The purpose of having more permitted standards is not just greater consistency and simplicity, but also cost saving (avoiding the cost of a consenting process), and predictability of outcome (people know in advance whether an activity can proceed).

Cabinet has agreed with the EAG that there will be *greater* use of permitted activities in a new system. It has not been specific about what kinds of activities would fall into this category. But more broadly it appears to be a red tape reduction exercise, it being said that “farmers will be able to stop worrying so much about filling in bureaucratic forms that tie them up in red tape, and get on and do what they do best: farm.”³⁰

Permitted activities (which need to comply with a common set of standards) only make sense where compliance can be easily measured³¹ and where effects do not differ greatly according to context. In some cases, standards can apply across the whole country. For example, there are national permitted standards for electromagnetic radiation from cellphone towers,³² the outdoor storage of tyres,³³ and the remediation of contaminated land for food production. These effects are felt in largely the same way everywhere.³⁴ Other permitted activity standards apply locally, like those that relate only to activities in specific catchments or zones/overlays.

There may well be some topics warranting further national standardisation through permitted status. We understand that officials have a national direction work programme on this topic. The Infrastructure Commission has also identified things like noise and dust management as areas to explore.³⁵ That sounds reasonable in principle, and a good place to start would be where activities are already permitted in district and regional plans, with only minor differences between them.

However, it is unclear why this would warrant legislative change in phase 3 reform. The government is already able to create national standards containing permitted activities. It can even insert them into plans, requiring that councils do not make standards more or less stringent.³⁶ The Environment Court also provides some oversight of councils where they fail to implement standards in their plans (including the power for the Minister to get involved in legal proceedings), although a more efficient process may (as suggested by the EAG) be a more proactive audit of council plans by the Secretary for the Environment prior to notification.³⁷

Permitted activity standards are already used extensively in national direction (such as for forestry and aquaculture). They are also used frequently in district plans for common urban activities, where effects are

8.3 Permitted activities

There is a second, more specific, way in which the term ‘standardisation’ is being used in conversations about reform. This revolves around the more widespread use of permitted activity status. Permitted status means that people can undertake an activity without a consent if they

known or small scale.³⁸ Many rural activities are also permitted activities. Indeed, the presumption in section 9 of the RMA provides that anyone is free to use land as they wish unless it is expressly restricted, essentially forming a blanket permitted activity status for many land uses. Such an approach is uncommon overseas, where (for example) in Ireland the default position is that consent is required for land use unless specifically exempted in legislation (and Ireland has codified about 50 pages of ‘exempted developments’ in planning regulations).³⁹ Even for regional functions, a council interviewee noted that:

The reality is that because of the restrictive presumptions in sections 12-15 [of the RMA], regional councils have been motivated to identify minor activities that can be codified as permitted activities. Councils don’t want to be dealing with the trivia... The opportunities that remain for codifying low level activities are slim.

For example, the Waikato Regional Plan provides for over 100 permitted activities. Permitted activities also do not exist in isolation, so it is not clear what new legislation would do differently to the RMA. Standards usually exist as part of a broader and more complex rules framework, where exceeding one standard (ie a certain threshold of effects) shifts the status to a one requiring consent. For example, exceeding a permitted standard in National Environmental Standards for Telecommunication Facilities means the activity becomes a controlled or non-complying activity.⁴⁰

Such frameworks are usually more nuanced than simply labelling an entire ‘activity’ (eg building a house or irrigating a paddock) as permitted. It is therefore unclear what a ‘more permissive’ system actually means. For



Dublin, Ireland

example, it is too simplistic to say that ‘farming’ is a permitted activity. It encompasses a wide range of activities in a wide range of places, some of which would clearly justify a consenting pathway and others would not. That is what planning processes are for.

Key points	• Permitted standards are already used extensively in national direction and regional and district plans, as part of carefully constructed rules frameworks. • Land use is, by default, permitted unless expressly restricted with justification. • There may well be specific areas warranting further national standardisation through permitted activity status. A work programme to identify such things would be a positive step. • A system with more permitted standards does not require legislative change.
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Generally speaking, there will be significant environmental and social risks in taking permitted activity standards too far or legislating for them to be used in a blanket way.⁴¹

1. Even within the same basic zone (eg rural production) **the exact same activity can have significantly different effects depending on the biophysical and social conditions in which it is occurring.** This means a consenting process is often needed to provide tailored regulatory requirements. For example, soil type and ecological sensitivities make farming in Canterbury’s high country quite different to in Taranaki. It is one reason why the RMA requires regional councils to be satisfied that discharges (including land uses producing diffuse pollution) will not cause certain kinds of effects (eg significant effects on aquatic life) before providing for them as permitted activities.⁴²
2. **The effects of an activity might be far more uncertain in a new location even if it has been done many times before elsewhere.** Permitted standards are not about familiarity with an *activity*, but rather the place or context in which it is operating. There needs to be an extremely high level of knowledge about the environment before permitted standards can be established. For example, the same approach to managing two geothermal fields (Wairakei and Ōhaaki) in the

Waikato produced opposite outcomes.⁴³ The Infrastructure Commission has emphasised that standardisation should therefore focus on residential and business zoning or transport and utilities rules, rather than issues where local differences may be more relevant, like water regulation.⁴⁴

3. **The exercise of rangatiratanga and kaitiakitanga is spatially or locality specific and context dependant.** An excessively uniform approach could undermine the rangatiratanga of iwi/hapū (including rights, interests and values) and decision-making in areas where the relationship and culture and traditions to the environment (and its taonga, waahi tapu etc) are locally distinct.⁴⁵ Permitted standards set at a national level (eg for wastewater) might also fall foul of bespoke Treaty settlement legislation (eg for the Waikato River), which provide more nuanced approaches to planning and consenting.⁴⁶
4. **The absence of a consent process makes the impacts of permitted activities much harder to understand and monitor.** Authorities may not even be aware that permitted

activities are taking place other than through general state of the environment monitoring. If more people engage in permitted activities than anticipated, it may generate significantly higher cumulative effects, potentially infringing environmental limits. Such activities will be occurring in a rapidly changing context (not least due to climate change), making their close monitoring and regular review even more important.⁴⁷

5. **Compliance with permitted activity standards is harder to enforce,**⁴⁸ because there is no structured compliance monitoring programme as there is with consents. It is also much harder to cost-recover for compliance monitoring and enforcement in the absence of a consent. This means that a greater financial burden falls on councils, which is incompatible with the polluter-pays principle.⁴⁹ The EAG has therefore proposed that a new system have a class of permitted activities for which notification to council is required (and suitable drafting can be found in the NBEA's concept of a permitted activity notice), as well as conditions allowing for monitoring and associated resourcing.⁵⁰



Pātea, Taranaki

6. **Extensive permitted activities risk setting a much broader ‘permitted baseline’ where effects permitted in a plan can be disregarded when making decisions on resource consents.**

This is why the permitted baseline is not mandatory under the RMA.⁵¹ It is of concern that the EAG has recommended that consent authorities *must* apply the permitted baseline in a new system (even for consents under a Natural Environment Act).⁵²

7. **Where cumulative effects arise, it can be harder and slower to effect change to permitted activities** (which require changes to a plan and can run up against existing use rights), than the review of bespoke conditions of a resource consent (where structured review is now usually provided for as a condition). A more general environmental duty (see the earlier spotlight on Victoria) will be important for this reason, because it allows for more flexible standards to be imposed.

8. **Permitted activities do not allow for public notification or limited notification of activities, which means that potentially relevant information may not be taken into account.**⁵³ It is also much harder for environmental watchdogs to be made aware of situations in which permitted standards are being breached.

9. **Permitted activities may inhibit innovation.** This is because they provide inflexible requirements that can incentivise developers to comply with rules rather than incur the cost of a consenting process (through which more bespoke or innovative design solutions may be possible). That is a risk when it comes to the design of cookie-cutter urban developments that may be an ill fit for the features of particular sites. For example, while urban design principles underpinning consent decisions might be criticised for being too vague, an independent review of Wellington’s design guide highlighted the value of bespoke consenting processes in facilitating innovation:⁵⁴

We have found no evidence of the design guides stifling innovation and creativity. [Many] of the developments would have benefited from a more creative approach, the lack of which was not caused by the design guides. In fact, the poorer design outcomes suggest the need for stronger and more effective design guidance.

In the UK, conversions from commercial to residential premises were exempted from permitting requirements in 2013. This led to poor quality housing, despite assertions from government departments that the market would not allow this to happen.⁵⁵

Most importantly, there needs to be a clear provision in legislation that permitted activity status cannot be conferred where it would risk significant environmental effects (as under the RMA currently) and where it would risk infringing environmental limits or associated targets (see Chapter 6). The EU provides such a mechanism under its Environmental Impact Assessment (EIA) Directive.

A spotlight on Ireland

In Europe, there are stronger constraints than in New Zealand on when developments can escape consenting scrutiny. If a proposal requires an EIA (under the EIA Directive) because of its potential for significant effects, if it needs ‘appropriate assessment (under the Habitats Directive, due to impacts on protected areas)⁵⁶ or if it would cause a nuisance or pollution, it is, by law, not allowed to be listed as an ‘exempted’ development. This is, essentially, the equivalent of New Zealand’s permitted activity status.⁵⁷

The EIA Directive’s requirements have led to legal action requiring consenting processes to be undertaken by the Irish government (although implementation has still had some issues on the ground).⁵⁸ For example, Ireland was forced to introduce a consent and EIA requirement for some harmful agricultural land uses.⁵⁹ These included the removal of large areas of hedgerow, wetland reclamation, and proposals to bring semi-natural land within intensive use. This followed legal action by the European Commission and two judgments of the European Court of Justice.⁶⁰



Rural landscape, Ireland

Key points

- There are significant environmental and social risks in taking permitted activity standards too far.
- Even within the same basic zone (eg rural production) the exact same activity can have significantly different effects depending on the biophysical and social conditions in which it is occurring
- The effects of an activity might be far more uncertain in a new location even if it has been done elsewhere many times before.
- The exercise of kaitiakitanga by tangata whenua is specific to their rohe, and highly context dependant. Extensive national permitted standards will struggle to be sensitive to this.
- The absence of a consent process makes the impacts of permitted activities much harder to understand, monitor and enforce. This issue can be partly addressed through the concept of a permitted activity notice (ie registration) found in the NBEA.
- Extensive permitted activities risk setting a much broader 'permitted baseline' where effects permitted in a plan can be disregarded when making decisions on resource consents. This will exacerbate cumulative effects.
- Permitted activities may inhibit innovation, because they provide inflexible standards that can incentivise developers to comply with rules rather than incur the cost of a consenting process in which more suitable solutions may be found.
- Permitted status should not be allowed where there is a risk of significant environmental effects or there is a risk to limits or associated targets.

A spotlight on forestry in New Zealand and Ireland

Some risks of permitted activity standards can be seen in the case of the National Environmental Standards for Commercial Forestry (NES-CF).⁶¹ This provides for most forestry activities as permitted

(if they meet certain standards).⁶² The rationale is both to remove unwarranted⁶³ variation in rules between districts and to reduce the uncertainty and cost that comes from having bespoke consenting processes for each individual forest.⁶⁴

Some forestry activities require consent under the NES-CF, and councils can apply more stringent controls for forestry activities like harvesting and afforestation, including where needed to implement other national direction (eg for freshwater or the coast). However, application of stringency has been patchy across regions, partly due to a lack of reliable information to justify it.⁶⁵ Many activities, including large areas of clear fell harvesting, remain permitted.

The results have been disastrous for communities and the environment. Clear fell harvesting has had significant erosion and sedimentation effects, especially for forests on steep land.⁶⁶ The risks were brought to public attention in the wake of Cyclone Gabrielle, where beaches on the East Coast were littered with forestry slash, properties extensively damaged, and one person was killed after being hit by a log believed to be from a plantation forest. Clear fell sites remain vulnerable to these impacts for between 6-8 years until newly planted trees are established (known as the 'window of vulnerability').⁶⁷

The NES-CF has failed to tailor its standards to the context of particular places, partly because it relies on the use of an Erosion Susceptibility Classification (ESC) tool to determine whether activities like clear fell harvesting are permitted or require a consent. Critics argue that the ESC struggles to distinguish between areas of high and low landslide risk, as the data layers may be too coarse to adequately represent actual conditions on the ground.⁶⁸ Issues have been particularly prominent in the Gisborne region, where 17 percent of the land – much of it steep and severely eroded – is under plantation forestry and has expectations of harvest.⁶⁹ Twenty five percent of this land is considered high risk and yet harvesting activities have accelerated since 2010.⁷⁰

Part of the problem is that the standards themselves are not protective enough.⁷¹ There are also questions around the adequacy of implementation by councils (eg to create more stringent rules),⁷² as well as issues with the strength of monitoring and enforcement. But, fundamentally, the NES-CF shows the inherent risks of a system that attempts to standardise permitted activities across places that are very different on the ground without a tailored assessment process based on granular information. That is what consent processes are for. There

is even a risk that such standards fall foul of legislative requirements; recall that under the RMA, national standards are not allowed to provide for permitted activities if they have significant adverse effects on the environment.⁷³ Forestry has clearly had such effects.

Ireland has had similar issues with consenting thresholds when it comes to forestry. In 1999, the European Court of Justice ruled that the country cannot simply set an arbitrary threshold, based on the size of the forest (initially 70 hectares), for triggering an EIA (which is required under EU law).⁷⁴ Like an RMA consenting process, the aim of the EIA Directive is to ensure that projects which are likely to have a significant effect on the environment are adequately assessed before they are approved.⁷⁵ The Court held that whether an assessment is required must depend on context, including the nature of the receiving environment. The ruling responded to concerns that very few EIAs were being conducted for forestry in Ireland, because proponents were incentivised to create forests just below the size threshold to avoid full environmental scrutiny.⁷⁶

Criteria were subsequently broadened to require 'screening' of applications below the threshold (in which an EIA can still be triggered). The threshold for an automatic EIA was also reduced to 50 hectares. However, there were still ongoing issues with implementation.⁷⁷ The industry seldom sought permission for forests above 50 hectares (with only three applications made since 2010).⁷⁸ For projects under the threshold, no EIAs came out of sub-threshold screening despite 12,000 afforestation licences being issued in that timeframe. Recent changes have been made to strengthen the consenting system, but it is not yet clear how effective they will be.⁷⁹

Overall, national standards for forestry in New Zealand have highlighted the risks of overreliance on permitted activity standards where they fail to respond to the risks of specific biogeographical contexts. Ireland has had a similar experience, but has a mechanism where 'sub-threshold' screening allows for project-level assessment to be required.

One of the key drivers for expanding permitted activities is to provide more certainty of outcome for development. However, there are more nuanced ways forward. For example:

1. A big issue with the RMA is in the vague drafting of competing policies that inform consenting decisions. **Policies in plans could be made clearer** to give more certainty of outcome. They

could provide for more coherent and directive policies (so there is less need to weigh up dozens of conflicting policies, such as those that "enable" things and others that seek to "avoid" their effects). The NBEA provided suitable drafting to 'push' plans to resolve conflicts and provide clearer answers at the planning stage where possible.⁸⁰

2. **Policies in national direction could also be made clearer.** NPSS are arguably less coherent and integrated than council plans. The EAG has recommended clearer and more integrated national direction under a Natural Environment Act and Planning Act, although separating policies across statutes with different purposes may not be helpful in resolving tensions (see Chapter 4).⁸¹
3. **Controlled and non-complying activity statuses provide a degree of predictability** to consenting outcomes, while offering more flexibility than permitted or prohibited statuses. Non-complying status can increase efficiency because it prevents the substantive consideration of an application where it would not be consistent with the objectives and policies of a plan or where effects are more than minor.⁸² This gateway test provides a strong signal to developers to design proposals carefully or seek more appropriate locations. Without it, more effort and cost may be expended by parties through discretionary decisions, only for the same outcome to be reached.

Similarly, controlled status requires consent to be granted (with limited discretion to impose conditions), giving confidence to applicants entering the consenting process while allowing controls to be tailored. That is important where a form of development is anticipated or even encouraged, but where its acceptability is highly dependent on bespoke controls at place (eg subdivision in an urban zone where flood management is required).

The EAG criticised controlled and non-complying statuses as creating complexity and being unnecessary. It proposed their removal.⁸³ However, the alternative will be a 'simpler' sounding system where users may not know how likely it is for consent to be granted.

4. A consenting process does not mean that the same basic issues should be relitigated from scratch every time, only to end up in roughly the same form after potentially years of litigation. There is considerable room in the system for **default consent conditions for common activities** (eg for management of bats) at the

national or regional level, and for these to be the starting point for tweaks by consent authorities.⁸⁴

5. If more predictability is built into plans in the ways outlined above, there **may be less need for individual participation in consenting decisions**, because those effects would be clearly signalled as acceptable early on in a plan. In Singapore, a development plan is relatively detailed for this reason, and some urban renewal zones in Ireland are highly prescriptive to give everyone more certainty.⁸⁵ This will necessitate strong participation at the plan making stage. Ideally, notification status would also be made clearer in plans, to avoid arguments about the exercise of discretion of council officers when it comes to consenting.
6. Predictability could also be provided by the **greater use of prohibited activity status**. This will be particularly important to prevent activities infringing limits if non-complying status is removed. We are therefore uneasy with the conclusion of the EAG that prohibited activities should be used 'sparingly'.⁸⁶ That is effectively saying that more activities should be put into the melting pot of discretion where they are not permitted, risking the defence of environmental limits and undermining certainty.

Key points

- Nationally set permitted activities are not the only way to increase certainty of outcome for development.
- Policies in national direction and regulatory plans could be made clearer and more directive.
- Controlled and non-complying activity statuses could be retained to provide a degree of predictability.
- Default consent conditions could be developed for common activities as a starting point (so as not to reinvent the wheel).
- Prohibited status should be used to provide certainty where activities would breach environmental limits.

things for the natural world. For example, the use of down-hole heat exchangers is a permitted activity in Waikato's geothermal systems, because this is far more efficient than systems that extract geothermal water.⁸⁷ Paris provides another an example of how this can work.

A spotlight on Paris

In 2015, Paris created a 'right to plant' (permis de végétaliser). This allows anyone to green public spaces like footpaths, walls and fences by planting things like herbs and creepers. Permits must be applied for, but this is more for the purposes of registration and monitoring (one must agree to maintain the plants) than detailed assessment. They are given essentially as of right. The permits are free and last for three years. The aim is to encourage biodiversity, improve the amenity of the city, reduce urban heat, and improve people's connection to nature.

8.4 Concluding comments

The drive for a more standardised system is, in principle, a good one. Future legislation needs to be more predictable, efficient and accessible for users than the RMA. Differences across regions should not exist for their own sake. However, as explored in this chapter, there are many good reasons for variation, and there is a legitimate tension between the pros and cons of discretion and certainty. For example, one interviewee said that her experience has:⁸⁸

ebbed and flowed between seeing discretion as a dirty word through to it being the saviour of all our resource management problems – for both regulators and those being regulated...

Standardisation therefore needs to be done with great care, particularly if it involves significantly greater use of permitted activity standards. Mechanisms for doing so are already built into the RMA. Targeted issues should receive attention through National Planning Standards and National Environmental Standards (or their future equivalents).

Robust evidence will be needed for any particular topic subject to national standardisation. For example, the New Zealand Planning Institute has pointed out that proposals for making 'granny flats' (secondary residential units) permitted via national standards has very little evidential foundation and will, in practice, have little impact.⁸⁹ Indeed, it might even undermine efforts by councils to provide more housing through density. This is because almost all district plans *already* provide for granny flats as

Finally, note that permitted activity status is not just a tool to accelerate development. It can also make it easier (or relatively easier) to do good

permitted activities (and some are *more* liberal than national standards), and because it is not clear that consents (where required) are actually being refused.⁹⁰ These sorts of issues are bound to arise across a raft of activities, and they therefore require bespoke assessment, not a blanket legislative direction to make the system more permissive.

Finally, note that standardisation is intimately entwined with a more general desire to make a future system simpler, faster and cheaper. In principle, that would be a good thing. Indeed, a great many problems with the RMA come down to process and poor implementation, and this is where the attention of policy makers should focus once more conceptual questions have been addressed satisfactorily. The EAG made a broad range of specific and sensible recommendations about how to improve

planning, consenting and compliance processes, many building on the recommendations of the Randerson review and the NBEA.⁹¹

While a detailed exploration of process is beyond the scope of the 7 shifts discussed in this report, some aspects have arisen in previous chapters. For example, environmental limits and spatial planning should provide greater certainty for both development and protection, making subsequent processes cheaper and faster as long as there is adequate investment in constraints mapping.

We offer some further thoughts on the need for procedural speed – and words of caution – in Appendix 2. Simply imposing arbitrary timeframes and cutting people out of processes will not be an effective way forward.



Russell/Kororāreka

Endnotes

- 1 <https://www.beehive.govt.nz/release/replacement-resource-management-act-takes-shape>
- 2 “Shifting the focus of policy setting to a national level”: Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [22.4], [47].
- 3 Given that regulatory takings would be assumed where councils went beyond national standards for these overlays (see Chapter 3).
- 4 Te Waihangā New Zealand Infrastructure Commission *New Zealand Infrastructure Strategy 2022-2052* (2022) at 87.
- 5 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [24.5].
- 6 The Infrastructure Commission, similarly, has lamented the plethora of definitions in land use policies: Te Waihangā New Zealand Infrastructure Commission *New Zealand Infrastructure Strategy 2022-2052* (2022) at 87.
- 7 <https://environment.govt.nz/assets/publications/national-planning-standards-november-2019-updated-2022.pdf>, at 36 (“Zone Framework Standard”).
- 8 For example, in a Floodway overlay, a permit is required to construct a building, including a fence, roadworks (if the water flow path is obstructed), a bicycle pathways and trails, a deck and a domestic swimming pool.
- 9 Compare Te Waihangā New Zealand Infrastructure Commission *New Zealand Infrastructure Strategy 2022-2052* (2022) at 87.
- 10 Productivity Commission *Victoria's Commercial Land Use Zoning* (July 2020), at vi.
- 11 Productivity Commission *Victoria's Commercial Land Use Zoning* (July 2020), at vi.
- 12 Productivity Commission *Victoria's Commercial Land Use Zoning* (July 2020), at 19.
- 13 Productivity Commission *Victoria's Commercial Land Use Zoning* (July 2020), at 37.
- 14 Productivity Commission *Victoria's Commercial Land Use Zoning* (July 2020).
- 15 Section 6.
- 16 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at 423.
- 17 Named after Tolkien's famous character due to its bulbous eyes.
- 18 <https://www.odt.co.nz/southland/threatened-fish-found-stream>
- 19 <https://www.lawa.org.nz/explore-data/southland-region/river-quality/waimatuku/waimatuku-at-waimatuku-township-road>
- 20 A new regulatory framework for ‘maintenance vegetation clearance’ (including oversowing and topdressing) has been confirmed in the Basin to prevent land-use intensification and the incremental loss of significant indigenous biodiversity values. See <https://eds.org.nz/resources/documents/media-releases/2025/environment-court-confirms-indigenous-biodiversity-values-in-the-mackenzie-basin-are-deserving-of-bespoke-protection/>
- 21 See *Entry for Energy Globe Awards 2007* (Environment Waikato, August 2007).
- 22 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [321].
- 23 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [327].
- 24 At [325].
- 25 Even under the RMA, where councils are *able* to create more stringent rules than national standards, they have not proven easy to achieve on the ground. See the example of forestry further below, and the excellent exploration of the issue in SC Ulrich and Mawardah Nur Hanifiyani “A stringent failure: Regulators do not use available tools to protect aquatic ecosystems from clearcut forestry impacts in New Zealand” (370) *Journal of Environmental Management* (November 2024) at <https://www.sciencedirect.com/science/article/pii/S030147972402526X>.
- 26 For example, in Northland the Environment Court broadened the scope of the proposed regional plan on appeal, to include marine protected areas. This was on the basis of relatively high-level submissions from interested parties, that were later fleshed out, not on analysis undertaken as part of the plan development process. See *Bay of Islands Maritime Park Incorporated and The Royal Forest and Bird Protection Society of New Zealand Inc. v Northland Regional Council* [2022] NZEnvC 228 at [2].
- 27 The outcome in other places, like the Wakatipu Basin, would depend enormously on what was contained in national standards (eg for ONFLs), the possible content of which remains entirely uncertain at present.
- 28 Note also that there is a degree of inconsistency in what Ministers are actually saying (for example, that freshwater limits will be set by regions, but that standards for particular activities like wastewater will be set nationally).
- 29 *Going with the grain: Changing land uses to fit a changing landscape* (Parliamentary Commissioner for the Environment, 2024).
- 30 Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [24.2].
- 31 Since a lay person needs to be able to look at a plan on its face and determine if he or she is complying or not.
- 32 Resource Management (National Environmental Standards for Telecommunication Facilities) Regulations 2016.
- 33 Resource Management (National Environmental Standards for Storing Tyres Outdoors) Regulations 2021.
- 34 The Resource Management (National Environmental Standard for Assessing and Managing Contaminants in Soil to Protect Human Health) Regulations 2011 were developed to establish numerical values for contaminant levels that ensure human health is protected. Previously, practitioners in New Zealand relied on a combination of national and international guidelines to set numerical values for decision-making, however, not all of them were suitable for New Zealand's context. See Ministry for the Environment, *User's Guide: National Environmental Standard for Assessing and Managing Contaminants in Soil to Protect Human Health*, 2012).
- 35 Te Waihangā New Zealand Infrastructure Commission, *New Zealand Infrastructure Strategy 2022-2052*, 2022 at 141
- 36 Councils are not required to undertake a plan change process under schedule 1 of the RMA to give effect to a National Environmental Standard or remove conflicting or duplicative rules. Under section 55 of the RMA, there is a power to insert provisions directly into plans.
- 37 Especially given that plans sometimes do not clearly give effect to national direction or regional policy. See *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [285].
- 38 For example, many provide for granny flats as permitted activities. Compare Victoria, where permits are not required for a small second dwelling in a township zone, as long as certain conditions are met (eg it is connected to reticulated water and sewage). See Victoria Planning Provisions, cl 32.05.
- 39 Planning and Development Regulations 2001, sched 2. It is common to see notices for planning permission on fences of people's homes for relatively minor activities like extensions.
- 40 For example, see regulation 14.
- 41 Except where their purpose is effectively to remove *de minimis* effects from the scope of the system entirely, as with marginal or temporary non-compliance under section 87BB of the RMA.
- 42 Section 70(1)(g).
- 43 At Ōhaaki, the first production wells were openly discharged to the air for several years with the intention of creating a steam reservoir similar to the one already established at Wairakei. However, the same management practice was not suited to the specific characteristics of the Ōhaaki system. This led to premature depletion of the reservoir and draining of the Ōhaaki ngawha. See *Waikato Regional Energy Inventory* (Environment Waikato, 2024).
- 44 Te Waihangā New Zealand Infrastructure Commission *New Zealand Infrastructure Strategy 2022-2052* (2022) at 78.
- 45 James Whetu.
- 46 An analogy is that legislation (as introduced to Parliament) for wastewater standards proposed that consent could not be declined for wastewater/stormwater projects that complied with national standards, even if it would be inconsistent with the Vision and Strategy for the Waikato River secured by Treaty settlement legislation. This appears to have been rectified through recommendations made by select committee.
- 47 State of the environment monitoring will be crucial and requires improvement, irrespective of how a future system provides for permitted activities. This issue has been explored, among others, by the Parliamentary Commissioner for the Environment (see <https://pce.parliament.nz/publications/environmental-reporting-research-and-investment/>)
- 48 Environmental Defence Society and Forest and Bird *A review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (April 2019) at 2.
- 49 The RMA allows some cost recovery mechanisms for permitted activities (which has been used for the forestry sector). However, this needs to be specifically authorised by national direction.

- 50 Section 362.
- 51 Section 104(2).
- 52 At [375]. For example, if there are no constraints on when permitted activity status can be used (eg if a permitted activity could have more than minor adverse effects), this would set a mandatory baseline against which the level of effects from *consented* activities are measured.
- 53 This was an issue, for example, in allowing the creation of a track up Te Mata Peak. This was for a non-notified consent, but raises the same kind of issue given that permitted activities are by definition non-notified. See G Severinsen and R Peart *Reform of the Resource Management System: The Next Generation Synthesis Report* (Environmental Defence Society, Auckland, December 2018) at 188.
- 54 https://environment.govt.nz/assets/Publications/Files/urban-design-case-studies-bw_0.pdf
- 55 https://assets.publishing.service.gov.uk/media/5f159de5e90e075e90a720dc/Research_report_quality_PDR_homes.pdf
- 56 When a plan or project may significantly affect a Natura 2000 site (Special Areas of Conservation or Special Protection Areas), an Appropriate Assessment (AA) must be carried out.
- 57 See section 4(4) of the Planning and Development Act 2000 (as amended); Planning and Development Regulations 2001, particularly under Class 6 of Schedule 2, Part 3. Exempted developments include things like small extensions, garden sheds, solar panels, farm buildings, and silage pits.
- 58 For example, the Department screens out the need for EIA (and hence consent) in more than 90 percent of cases (see <https://birdwatchireland.ie/app/uploads/2022/06/Assessment-of-Environmental-Impact-Assessment-Agriculture-Regulations-on-Field-Boundary-Removal.pdf>).
- 59 The European Communities (Environmental Impact Assessment) (Agriculture) Regulations 2011.
- 60 Cases C-66/06 and C-279/11.
- 61 Which apply to commercial plantation forests and carbon forests.
- 62 These can require the submission of a harvesting or earthworks management plan, which regulators cannot challenge if completed in accordance with the regulations. See EDS & Forest and Bird *A review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (April 2019) at 2.
- 63 The Ministry for Primary Industries defined the term as a variation between plans that is not justified by environmental, economic, social or cultural benefits and imposes an unnecessary cost.
- 64 Ministry for Primary Industries *National Environmental Standard for Plantation Forestry – Regulatory Impact Statement* (June 2015) at 9. The regulations cover eight core forestry activities: afforestation, pruning and thinning to waste, earthworks, river crossings, forestry quarrying, harvesting, mechanical land preparation and replanting.
- 65 SC Ulrich and Mawardah Nur Hanifiyani “A stringent failure: Regulators do not use available tools to protect aquatic ecosystems from clearcut forestry impacts in New Zealand” (370) *Journal of Environmental Management* (November 2024).
- 66 Clear fell harvesting is a permitted activity in green, yellow and orange zones (low, moderate and high risk respectively). On red-zoned land, clear felling is also permitted, but subject to a 2-hectare cutover limit in any three-month period.
- 67 C Phillips and others ‘Exploring the post-harvest ‘window of vulnerability’ to landslides in New Zealand steepland plantation forests, *Ecological Engineering*, 206, September 2024.
- 68 SC Ulrich and Mawardah Nur Hanifiyani “A stringent failure: Regulators do not use available tools to protect aquatic ecosystems from clearcut forestry impacts in New Zealand” (370) *Journal of Environmental Management* (November 2024) at 4; Environmental Defence Society Incorporated *First Memorandum in Relation to Application for Declarations Under Part 12 of the Act ENV-2023-CHC*, January 2023, at 2. The ESC applies an erosion risk assessment scale of 1:50,000.
- 69 While these impacts are well-documented in Gisborne, similar issues have been observed in other regions, such as Marlborough. See C Bright *Impacts on Marine and Freshwater Environments from Plantation Forestry* Envirolink Report, March 2021.
- 70 L Easton *Proposed Approach to Forestry issues in relation to Freshwater*, November 2023, at 3. Communities in Gisborne have experienced significant social, economic and environmental damage during the window of vulnerability. The mobilisation of woody debris, including forestry slash, and sediment has had devastating impacts during significant weather events.
- 71 Following Cyclone Gabrielle, the government appointed an inquiry panel to investigate the causes and consequences of widespread damage to the Gisborne and Northern Hawke’s Bay regions. The Panel concluded that the National Environmental Standards are too permissive, and implementation has failed to prevent predictable off-site effects from forestry activities. See New Zealand Government *Outrage to Optimism: Report of the Ministerial Inquiry into Land Uses in Tairāwhiti and Wairoa*, May 2023, at 23.
- 72 Most councils have not updated their resource management plans since the Standards came into effect. Currently, Gisborne District Council is the only council consulting on changes to its resource management plan to implement greater stringency. See SC Ulrich and Mawardah Nur Hanifiyani “A stringent failure: Regulators do not use available tools to protect aquatic ecosystems from clearcut forestry impacts in New Zealand” (370) *Journal of Environmental Management* (November 2024) at 7.
- 73 Section 43A(3).
- 74 <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex:61996CJ0392>
- 75 <http://ec.europa.eu/environment/eia/home.htm>
- 76 Commercial harvesting of peat also evaded proper impact assessment for many years, with the first EIA required only about a decade ago in response to a legal challenge. This appeared to be more because of a lack of enforcement, with the EPA more recently increasing its enforcement activity over peat extraction requiring a license.
- 77 <https://www.farmersjournal.ie/more/forestry/commission-takes-issue-with-ireland-s-new-forestry-programme-746630/>;
- 78 And in these cases planting was not actually carried out: <https://www.thejournal.ie/spruced-up-pt1-5241271-Oct2020/>
- 79 A similar story applies to peat extraction in Ireland. When the country’s High Court determined that large scale operations required planning permission (and an associated EIA), the government attempted to legislate a bespoke authorising framework which allowed unauthorised operations to continue in the meantime. This proposed legislation was successfully judicially reviewed for non-compliance with EU Directives, and subsequently abandoned. See courts.ie/acc/alfresco/1cca7ae8-4d3b-4529-8126-20158df62867/2019_IEHC_646_1.pdf/pdf#view=fitH
- 80 See section 9(3): “All persons making recommendations or decisions on the national planning framework or on a plan must develop framework rules and plan rules that will reduce reliance on resource consenting processes...”
- 81 Ministers envisage national direction that more effectively guides how to resolve conflicts between competing priorities, based on the Scottish approach: see Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [22.2].
- 82 RMA, s 104D.
- 83 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [5.n].
- 84 Compare the regulatory impact statement on the Resource Legislation Amendment Bill at [74].
- 85 Although this has been also criticised for being too inflexible (eg when someone suddenly wants to build a high rise, there is no consenting pathway even if it could be done in an appropriate way).
- 86 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [350].
- 87 *Entry for Energy Globe Awards 2007* (Environment Waikato, August 2007).
- 88 www.brightaconsulting.co.nz/insights/is-discretion-a-problem-or-a-problem-solver
- 89 *NZPI Feedback on 'Making it Easier to Build Granny Flats' Consultation* (12 August 2024).
- 90 *NZPI Feedback on 'Making it Easier to Build Granny Flats' Consultation* (12 August 2024).
- 91 For example, see *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment), chs 10, 13.

9 Concluding comments



Port Waikato

This report has not covered all elements of a future resource management system. Nor has it engaged with all the recommendations of the EAG. Instead, it has explored 7 topics that represent some of the most significant conceptual shifts away from what we have now. These are: system scope; regulatory takings; legislative design; purposes and principles; environmental limits; spatial planning and standardisation.

It has looked at the potential risks of going down some paths, and the opportunities presented by others. Transitional issues have reared their head from time to time, because deep change presents a minefield of complexity that cannot happen overnight. The report has highlighted how we can learn from both the good and bad of international experiences, which have their own contextual peculiarities, but which are valuable nonetheless.

Every so often, discussion about the future of the RMA hints at the need for a much wider rethink that reaches into our system of local government funding, environmental data, and institutional design (especially the respective roles of councils and the EPA). All of these are crucial and have been extensively looked at in recent years, but they are being progressed in siloes (or not at all). For example, we are now hearing calls for regional councils to be disestablished. But how is this going to work if regional councils are the place in which environmental quality limits are to be set?¹

Devils will always be found in the details of design and drafting. But they should only be exorcised once higher-level design questions have been

answered properly. A lot of these remain murky. What *is* a property right, and when is it taken? What do we really mean by limits for the environment? When does an effect become so insignificant we can ignore it? Can we really split planning from environment and expect everything to work in harmony, and why would we do so in the first place?

In a way, two key themes cut across the EDS project. The first is the need to resolve the kinds of questions posed above and to embed the answers into the design of legislation. For example, the report has looked at half a dozen or so key features that a framework for limits needs to have. But the second theme is equally important: the need to change based on sound evidence, not just anecdote or ideology.

The RMA has problems, but cherry-picking complaints rather than looking critically at the facts on the ground risks throwing out things that are not really broken, while at the same time failing to address problems where benefits would potentially be greater.

For example, has the RMA's purpose and principles actually put the environment above development? As explored in Chapter 5, evidence suggests the opposite. Are processes truly being delayed by serial nitpickers and overzealous councils? Perhaps on occasion, but there are deeper causes relating to capacity, complex policy settings for housing and electricity, and a system that fails to guide the right thing to the right place. And almost all consents are granted. But, on the other hand, would council performance improve with a more suitable funding model, more reliable

data, and independent oversight by an EPA with wider mandate? Quite possibly. But it is not part of the scope of reform.

So, to conclude. It is vital that phase 3 reforms produce a workable framework for resource management. If they do not, there will be continued flip flopping across governments, to the detriment of society, economy and environment. In fact, the uncertainty being created by seemingly endless reforms is already having an adverse effect on the behaviour of participants in the system. For example, Greater Wellington Regional Council has recently, and reluctantly, voted to pause work on its freshwater controls (of which \$6 million of ratepayer money has been invested so far) as it waits for the RMA to be replaced and national direction to be reviewed. The Council's Chair noted:²

We've been through this with the last government now we're going through it again with the current government.

And they will go through it again and again – as will the rest of us – unless a consensus can be reached on the core elements of a new

system. At its heart needs to lie an acceptance of the need to protect our natural environment.

Ministers talk a lot about balancing protection with economic growth, but this fundamentally misunderstands the nature of both concepts. The former is a precondition of the latter, not an alternative to trade off. This was “clear from the outset” in Singapore, which “could not pursue “growth at all costs”.³ It is recognised in Bhutan, which seeks to maintain 60 percent of forest cover and measures ‘gross national happiness’ instead of GDP.⁴ In the UK, a recent study showed that damage to the natural environment is slowing the economy, and could cause a 12 percent decline in GDP in the near future (larger than the impact of COVID-19 or the global financial crisis).⁵

On the other side of the ledger, the EU has calculated that every euro invested in nature will provide a €4-38 return.⁶ That would be true economic growth, and a model for resource management in which the rights of all – not just property owners – are respected.



Port Waikato

Endnotes

- 1 Ministers have recognised that the reforms “would involve a reduction in the role of local government which if progressed, would have wider implications for the structure of local government in New Zealand”: Cabinet paper: Replacing the Resource Management Act 1991 – Approach to development of new legislation (24 March 2025) at [92].
- 2 The Post, 30 June 2025.
- 3 <https://www.sg101.gov.sg/infrastructure/urban-planning/sustainable/>

- 4 <https://assets.gov.ie/static/documents/land-use-evidence-review-synthesis-report.pdf> at 96.
- 5 <https://hive.greenfinanceinstitute.com/wp-content/uploads/2024/04/GFI-GREENING-FINANCE-FOR-NATURE-FINAL-FULL-REPORT-RDS4.pdf>
- 6 https://environment.ec.europa.eu/topics/nature-and-biodiversity/nature-restoration-regulation_en

Appendix 1: Ireland and the European Nitrates Directive – A framework for limits

As a member of the EU and subject to its Directives, Ireland provides an interesting example of how a framework for environmental limits can work in a way that is quite different to the RMA. As one Irish interviewee noted, “EU law is the main game in town when it comes to firm lines in the sand.” This system, which touches on a number of the features outlined in this report (notably environmental limits in Chapter 6), is not without its challenges. But it offers a potential pathway to better outcomes in the future.

Nitrogen is a nutrient that is important for helping plants grow, but in high concentrations it can be harmful in waterways. As well as being toxic for people and animals above certain concentrations, eutrophication (excess growth of weeds and algae) can cause significant issues for ecological health and balance. This can be caused or made worse by the application of synthetic and natural fertiliser.

Like parts of New Zealand, Europe suffers from significant nutrient pollution, with annual nitrogen losses amounting to between €70 and €320 billion (including damage to human health, ecosystems, and the economy).¹ Such issues are particularly notable in Ireland (especially in the south and south-east of the country), where grass-fed agriculture is a significant, and growing, export earner and employer (accounting for up to 14 percent of jobs in some regions).² This has contributed to nearly half of all rivers and a third of all lakes failing to meet environmental quality standards for nutrients.³ Chemical fertiliser use has also increased.⁴

However, Ireland is subject to European directives, including the 1991 Nitrates Directive (an integral part of the broader Water Framework Directive). It has three basic objectives:⁵ to prevent or reverse eutrophication,⁶ to protect drinking water and other surface sources from nitrate levels above 2.5 mg/l, and to protect groundwater from concentrations above 50 mg/l.⁷ To achieve this, it provides for two things. First, it requires members to implement voluntary codes of good practice for farming (which covers things like the application of fertiliser on steep ground and procedures for the rate and uniformity of fertiliser spreading).⁸ This applies to all areas.

Secondly, it requires members to identify (and periodically update)⁹ particular areas of land that drain into waterways which are already

polluted or vulnerable to nutrient pollution. These areas are designated based on purely objective scientific and risk-based factors (in Annex 1 of the Directive), and do not take into account potential impacts on socio-economic wellbeing.¹⁰ In other words, they are about the risk of biophysical limits being infringed, not ‘balance’ or ‘trade-offs’. Once designated, vulnerable areas require the creation of a nitrates action programme, which needs to be implemented within four years.

An action programme has three main consequences. First, it makes the codes of practice mentioned above mandatory. Secondly, there is a general duty – member states must take additional measures if it becomes apparent other mandatory steps are not going to be enough to achieve the Directive’s objectives.

Thirdly, the Directive imposes additional requirements listed in Annex III. Some of these are relatively general and are designed to be applied in ways suitable to different biophysical contexts (such as mandatory rules



Galway, Ireland

prohibiting periods when certain types of fertiliser can be applied).¹¹ Most notable, however, is a hard and specific limit on the amount of manure per hectare that can be applied per year (170 kg of N) in these areas. Effectively, it creates a stocking limit.¹² This is particularly important for Ireland, which has opted to apply the mandatory elements of the Nitrates Directive (including the 170 kg N threshold) to *all* its territory rather than map and designate specific vulnerable areas.

A spotlight on derogations

In practice, significantly more fertiliser than the 170 kg N threshold is applied to land in parts of Ireland. This occurs because the Directive allows for the controversial concept of ‘derogations’.¹³ These are not exemptions from the Directive per se. Rather, they are a recognition that the types of activities contributing to a problem (eg grass-fed agriculture like dairy and beef farming) are in some places capable of being managed in ways that still achieve the minimum outcomes sought by the Directive. For example, around 7000 dairy farms (40 percent) currently operate under derogation rules that allow them to apply up to 250 kg N/ha (although for some this has recently been reduced to 220)¹⁴ because of scientifically defensible factors like soil type, long growing seasons,¹⁵ or the presence of crops with relatively high nitrogen uptake.

To obtain derogations, a member state has to convince the European authorities that higher rates will not prejudice achievement of the Directive’s objectives.¹⁶ Individual farmers then have to apply for authorisation from the government if they wish to exceed the 170 kg N threshold.¹⁷ These more intensively stocked farms apply a range of additional measures beyond standard requirements to mitigate the risk to water quality.¹⁸ In Ireland, many farmers go down this route, although not all.

Ireland is one of only three countries that has a derogation (alongside the small, intensively farmed Netherlands and Denmark), and this was renewed in 2022.¹⁹ But in recent years, the continuation of Ireland’s derogation has been subject to interim reviews, leading to limits being reduced for a number of farms (see Figure A1.1 below).²⁰ It is becoming increasingly clear that water quality is not improving sufficiently to maintain current levels allowed under derogations, partly due to increases in stock numbers and chemical fertiliser use, and land use change driven by changing market dynamics (notably in the south east of the country).²¹ There is the strong prospect that derogations will not last forever or may be pared back.

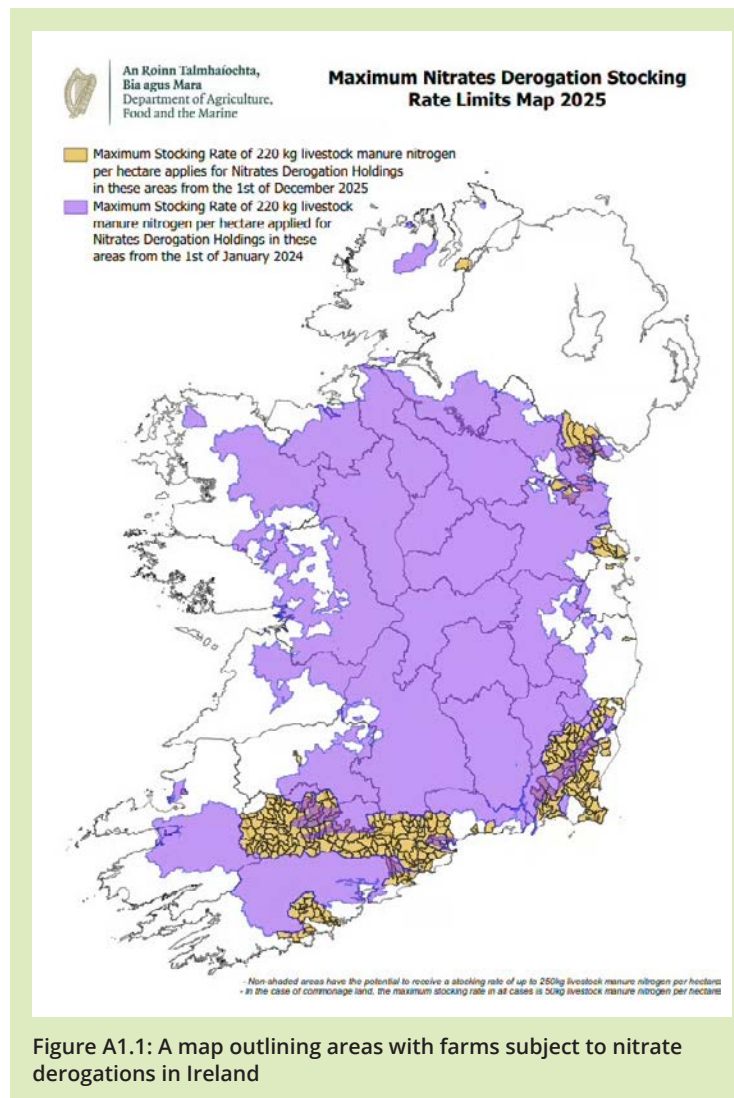


Figure A1.1: A map outlining areas with farms subject to nitrate derogations in Ireland

Derogations provide some wriggle room. However, in theory the Nitrates Directive establishes a strong conceptual framework for limits. Members must report to the EU Commission every four years, not just the results of monitoring but also an assessment of the impact of its nitrates action programme on water quality and agricultural practices. If a member state fails to meet its requirements under EU law, not only can any derogation be removed, it can also be taken to the European Court of Justice by the Commission. The Commission has the power to query member state performance and investigate citizen concerns and complaints, apparent failures with EU Directives, member state decisions not to implement EU law, or state actions that call compliance of such law into question. Ireland,

for example, has been referred to the Court for a failure to transpose the Water Framework Directive properly, which requires all water bodies to reach 'good status' by 2027.²²

Unlike the 'environmental review' process in the UK (which does not allow damages as a remedy), in the EU there are significant financial penalties that come as a result, creating large incentives for states to comply with limits or make progress even in the face of substantial opposition from affected sectors. The purpose of such actions is expressly to deter non-compliance.²³ For example, it has been estimated that Ireland could face a bill of between €8 billion and €26 billion if it fails to meet its climate targets.²⁴ Ireland has had a chequered history of EU infringements, and potentially faces more European level actions in the future. This is strongly driving improvement measures (eg current efforts to enforce unlawful peat extraction). As one interviewee put it, "it's useful to be able to say we should address the problem now rather than get taken to court".²⁵ In the EU, a country cannot simply relax its domestic law or 'flip flop' to escape legal and financial consequences.

Indeed, Ireland's derogation under the Nitrates Directive expires at the end of 2025 (when its fifth action programme winds up),²⁶ generating uncertainty for the regulatory environment in which farmers will operate.²⁷ If environmental indicators remain poor, the regulatory safety net may draw closer still, as it has done via the recent interim review.²⁸ The country is under pressure to find solutions and is therefore developing its next nitrates action programme (including a pitch for continued derogations) alongside other, deeper measures like a national land use review (controversial in a nation defined by its rural identity and economic difficulties in other sectors). The Taoiseach (Prime Minister) has even described the derogation as a 'national asset' with another Minister noting:²⁹

we must continue to do everything we can to improve water quality, so that we can make a credible case for the renewal of the derogation in 2026.

This may be difficult to achieve in a country where competitive advantage is based on grass-fed agriculture, and where changes to farming practice may therefore be strongly resisted. While the Irish EPA has recently pointed to some promising reductions in nitrogen pollution,³⁰ there have also been criticisms at the findings of the national land use review that proposes various scenarios, including the maintenance or even expansion of dairying in parts of the country.³¹

More extreme measures have been taken in more intensively farmed countries like the Netherlands, another jurisdiction under derogation that is struggling to meet environmental performance measures. Here, there has been an extensive government offer to buy back agricultural rights, and an intention to transition out of the derogation framework altogether in the near future.³²

Has the EU model been successful? Environmental performance remains mixed across member states, including Ireland, where there are many problems with freshwater, biodiversity and per capita greenhouse gas emissions.³³ The model is heavily reliant on either the EU Commission (which some interviewees told us has withdrawn from its compliance functions in recent years) or NGOs to take action. However, as one UK interviewee put it:

EU directives are a bit like imposing a curfew on a teenage child – if they arrive 20 minutes after curfew, is it still a success? Arguably it is.

Overall, the EU framework for nitrates highlights a number of lessons from which New Zealand can learn (see Chapter 6). This model is of interest beyond just the context of nitrates or freshwater.

Appendix 2: Some thoughts on process

Introduction

Process is a vast topic, encompassing detailed steps for environmental limits, national direction, spatial planning, regulatory planning, consenting, notices of requirement, water conservation orders, and other things.

The EAG has made a number of sensible suggestions about how to make planning and consenting faster and cheaper.³⁴ This includes some things we have touched on already, such as clearer limits, standardised zones where appropriate, and a more agile planning process based on that used by the Auckland Unitary Plan. Also recommended are the mandatory use of independent commissioners for consenting decisions (which is sensible in principle but may raise capacity issues). The EAG's recommendations on compliance monitoring and enforcement make sense too, and reflect many elements present in the NBEA.³⁵ However, a more nuanced institutional arrangement (regional hubs) may be more desirable than a new national level regulator.³⁶ In short, there are opportunities to make positive change.

Some of the EAG's suggestions are more questionable, such as limiting submission and appeal rights on notified planning consents to people within a district or region, creating a 'stickier' process for councils to impose more stringent controls than national standards where needed at place, an arbitrary page limit for evidence, and less use of prohibited activity status.³⁷

This is not the place to engage with detailed procedural proposals. Instead, we wish to make a more general point about process: reform needs to respond to evidence (where available). Processes can no doubt be improved, but the *whole* picture needs to be looked at if the downsides of reform are to be avoided.

Not everything is slow

There is a need for much better data collection on RMA processes and performance than is currently provided for in the National Monitoring System. Yet some useful information can be gleaned. This suggests that while procedural problems with the RMA certainly exist, they should not be overstated or generalised as a justification for fast-tracking processes or excluding participation.³⁸

Not *everything* takes an inordinate amount of time. Consider planning under the RMA. Most plan changes (where straightforward) take much less time than complex or controversial proposals like particularly lengthy plan changes in the Mackenzie Basin. On average, councils complete a plan change process in under one year, even though the vast majority are publicly notified.³⁹ Most involve very few submissions (many in single digits), even fewer further submissions, and still fewer appeals. For example, of the 279 planning processes commenced, completed or underway across the country in 2022-23, 41 were subject to appeal. Most of these had very few appellants.⁴⁰

Of the 85 planning processes where data was available in the National Monitoring System, 66 complied with the two-year statutory timeframe for decisions.⁴¹ This might sound like a failure of urgency (or at least resourcing) or a triumph of bureaucracy. However, the reasons provided for the 19 non-compliant processes are interesting. Some relate to requests by applicants to put private plan changes on hold so they could pursue other mechanisms.⁴² Others dragged out because of the introduction of new national direction or legislative requirements that put a spanner in the works (an increasingly common phenomenon), with some requiring council to notify a variation to a plan change that was part way through the process.⁴³ Some were put on hold for reasons outside of the RMA, like the uncertainty created by the Local Government Commission's proposal for council reorganisation on the West Coast. There are many other reasons why arbitrary timeframes might need genuine extension, including resourcing.⁴⁴ Delays are often pinned on councils, but the reality is much more complex.

Average planning timeframes and cost are also skewed upwards by complex proceedings of wide scope that have significant implications not only for the environment, but also for people's *property* rights and interests. For example, proceedings relating to the imposition of greater Christchurch's urban boundary (prior to the Canterbury earthquakes) saw extensive involvement from property owners wishing (understandably) to have their land included within the limit. There are some significant outliers where one would expect and *welcome* significant front-end engagement (it is much better to resolve such things early than through later consenting processes). For example, decisions on the various phases of Queenstown's wide-ranging district plan review

attracted over 2,000 appeals.⁴⁵ Variation 5 to the Waikato Regional Plan took around 8 years, but that was a complex framework for a completely novel nutrient trading regime around Lake Taupō.⁴⁶ Such processes, lying amid a sea of plan changes and variations that have generated only small amounts of litigation, can skew the picture of how litigious the planning system really is.⁴⁷

Furthermore, the vast majority of appeals and disputes are resolved before they reach a court decision. This is commonly done through negotiation, mediation and consent order. Court hearings are often not needed, or the scope of issues before the Court (and therefore time and cost) are considerably narrowed. For example, of the 41 planning processes subject to appeal in 2022-23, only 9 proceeded to resolution before the courts.⁴⁸ Within those 9, the number of appellants and issues were dramatically reduced; the Proposed Natural Resources Plan for the Wellington Region had 30 appeals and all were resolved in mediation. Of the 67 appeals on the second-generation Dunedin City District Plan, only 1 proceeded to judicial decision.⁴⁹ Plans are often made operative in stages as appeals are resolved, with only very small outstanding matters.

With respect to consenting, one can certainly identify protracted and expensive projects like wind farms and other large infrastructure.⁵⁰ As a whole, however, three quarters of consents are processed within statutory timeframes (which vary according to whether an application is notified or not).⁵¹ Spatial clarity could improve the situation further; as mentioned in Chapter 7, the consenting of large geothermal generation in Waikato has been cut to around 6 months, largely owing to clear spatially expressed policies (go and no go areas) in the region's RPS. Ironically, council interviewees told us that first instance decisions on similar projects have taken twice this long when pursued through call in or fast track processes.

Of course, this data may not capture the whole story. For example, it does not capture applications for activities that might otherwise have been made, but where people were put off by potential cost and time. It does not capture the time of litigation in the courts after council decisions have been made, which can vary. Anecdotally, many large developers, whose projects may have scalable benefits (eg renewable electricity or housing), regard the consenting process as too bureaucratic and costly.

Part of this is because of delays in processing. Yet the cause of delays is not always simple, especially where a matter escalates to the courts. While around half of consent applications are subject to further information requests (as of 2022-23),⁵² National Monitoring System data does not provide clear reasons for this. How many are the result of deficient

applications?⁵³ How many are because of over-zealous or risk-averse consenting officers requesting information they do not need? The Environment Court has shown that at least some are because of deficient applications, with several interviewees pointing out that applicants may expect appeals and therefore not submit robust applications until a matter goes to the courts. For example, one senior council officer noted that consent authorities:

have often made a rod for their own backs (often in the name of customer service) by accepting sub-par applications. Provisions to better ensure quality applications in the first place and better application by [councils] of relevant provisions (ie s 88(3) rejection) would both help. The usual council approach is to accept deficient applications, then issue s 92 request(s) for information.

The phenomenon is not unique to New Zealand. For example, in the UK:⁵⁴

many of the delays developers bemoan are actually caused by the companies themselves, commissioning surveys at the last minute, rather than designing them into the process. Nature is ever the afterthought. And afterthoughts are expensive.

Although initial requests for information are common in New Zealand, very few *additional* requests are made after that (for only 42 consents in 2022-23).⁵⁵ This suggests that many information gaps are identified up front, and points to the desirability of more robust pre-application engagement between councils and applicants. For example, in Ireland, applicants can by law request a 'scoping opinion' that outlines what an impact assessment needs to contain,⁵⁶ and pre-planning engagement was described to us as extremely valuable to get a steer as to whether a proposal aligned with relevant policies. In Singapore, developers can obtain outline planning approval for large projects (where there is in-principle approval).⁵⁷

Delays can be instigated by developers themselves, not just 'vexatious' litigants. Indeed, Bery Simons notes that "the most common cause of delay for private plan changes is a client wishing to pause to complete negotiations on one or more aspects of their intended development".⁵⁸ For example, the majority of extensions of time under section 37 of the RMA (of which there were 16,391 in 2022-23) are, according to National Monitoring System data, due to "applicant agreement" rather than because the council identifies special circumstances.⁵⁹ Of course, applicant agreement does not mean initiation *by* an applicant or applicant *enthusiasm*. But it suggests there are sound reasons that are accepted by all involved.

For example, one senior regional council officer explained some of the incentives and complexities underpinning consenting delays. Having done a deep dive into why 15 to 20 significant applications were on long-term hold, he found that:

in all cases... the delays were a result of applicant requests for their applications to be “held over” while they undertook consultation with affected communities. The majority of these were renewals of municipal sewage discharges. There were zero instances of delays being the result of Council inaction.

[The RMA’s provisions] motivate applicants to apply 6 months in advance of [consent] expiry, but “lack of consultation” is not a basis upon which an application can be rejected ... because there is no duty to consult. So applications are lodged..., the applicant asks for it to go on-hold, and the waiting game begins. This really amounts to “gaming” the system, albeit with [consent authority] acquiescence... [and it is] generally motivated by an unwillingness to create a legal crisis for the applicant, which would result from either rejecting or declining the application for a discharge which, in practical terms, must continue.

When it comes to cost, average consent fees span from around \$1000 (in places like Carterton) to around \$8,000 (in Auckland).⁶⁰ Those figures are high and variable. However, it is hard to make general conclusions over space and time. Figures hide huge differences in the complexity of different types of consent and their impacts (eg in complex, dense and constrained environments like Auckland and Queenstown, or where projects themselves are large and complex, like wind farms). One cannot take an average consent cost and assume that it is appropriate for all activities, especially for notified consents with potentially significant adverse effects (including on the commons) where public involvement and robust testing of evidence is entirely appropriate. Policy makers will need to drill down into whether consenting fees are proportionate to the kinds of issues being dealt with.

Speed needs to be balanced against robustness

Things can always be made faster. But even if processes are regarded as too slow, a push for excessive speed will come with considerable risks to the robustness of decisions. As James Whetu notes, “the risks of going faster and cheaper is that quality is likely to drop.”⁶¹ A careful balance therefore needs to be struck. A system that is truly based on effects (as desired by the government) requires accurate *assessment* of those effects, which takes time, expertise, independence and institutional capacity. While

expressing concern at consenting costs, the Infrastructure Commission also pointed out that 82 percent of its survey respondents said that the environment should be either a ‘very high’ or ‘high priority’ in decision-making on infrastructure.⁶² Without generating and testing environmental information, that is not possible.

The reality is that many of the environmental challenges we now face are highly technical and complex and involve a great deal of uncertainty relating to cumulative impacts, and raise many legitimate interests that need to be heard from and mediated.⁶³ Some effects can only be understood once there is a specific proposal before a decision-maker in a particular place. There is no getting around the need for some regulation, and this takes time. As Barton observes:⁶⁴

there is more environmental regulation than in days gone by. The reasons are that we are more aware of the environmental problem than our forebears were. We have clearer knowledge about the health and ecological damage that can be done by degradation of the environment. In addition, there is much more degradation because we are so much more numerous on the planet, and because our technology enables us to have a much greater effect.

Consenting processes also sometimes take time because heavy reliance is placed on the information provided by an applicant. In some cases this is found wanting and needs to be backfilled (through requests for further information or expert evaluations commissioned by decision-makers).⁶⁵ Pre-notification consultation with councils may help shore up applications on this front, but applicants are not always keen to engage in advance.

When matters come to the Environment Court, processes may add time and cost (and risk burning off participants) but they are important in providing a forum in which cross examination, robust advocacy and legal rigour has frequently improved the quality of technical evidence, Treaty of Waitangi considerations, and decision-making. This was illustrated recently in the *Pakiri* decision, where evidence brought by the applicant was changed over the course of the hearing, and new information brought to the court’s attention by interested parties.⁶⁶ The Environment Court noted that some evidence provided by the applicant was “patchy, inconclusive and ... incorrect”.⁶⁷

It is far from unusual for evidentiary shortcomings to be uncovered only on appeal. The ability to lodge *de novo* merits appeals is not merely a duplication of the first-instance hearing, but rather provides an important

independent check and balance on devolved, sometimes democratically driven, decision-making (notably for plans, but also for consents).⁶⁸

Speed needs to be balanced against participation

A need for speed and cost-reduction needs to be balanced against the value of public participation. This should not be dismissed as NIMBYism or “rules that invite every Tom, Dick, and Harry to vexatiously object to peaceful use and development of private property.”⁶⁹ One reason that participatory rights exist is that the resource management system has strong potential to affect property interests and people’s other rights,⁷⁰ which are not always limited to people living “next door”.⁷¹ Controls on even the peaceful use of private property may also be designed to protect the commons, in which a much wider group of people has a legitimate interest.⁷²

The input of interested parties can also make decisions more robust, overlapping with the point about robustness above. Local people, including but not limited to tangata whenua, have important local knowledge about biophysical matters and communities. Sometimes, this is vital in determining the nature of effects. For example:⁷³

The Environment Court expects that ascertaining public perception of a proposed landscape change necessarily involves public input. Further, not just any public input is acceptable. To gain a true representation of the public’s perception of a proposal on landscape values, one must ask the local community. The people surveyed on their perception of landscape values must be either sufficiently informed of localised landscape effects or qualified to assess them.

Environmental advocates and iwi have a long track record not just of holding decision-makers to account and incentivising good applications (being watchdogs), but also providing evidence that improves decisions (eg through the crafting of conditions).⁷⁴ Participants have done a great deal to clarify the meaning of the law through test cases, which benefits the system as a whole. In fact, civil society advocacy was part of the design of the RMA, which otherwise lacks robust checks and balances needed over council decision-making (in the absence, for example, of mandatory Ministry audit of council plans or independent oversight by the EPA). Moreover:⁷⁵

The founding principle of the RMA at the time of its enactment was that greater involvement by the public in resource management processes would result in more informed decision making and ultimately better environmental outcomes. As noted by the Supreme Court in *Westfield (New Zealand) Ltd v North Shore City*

Council, it is the general policy of the Act that better substantive decision making results from public participation. The RMA has, as a consequence, afforded the public a wide scope for involvement in both the preparation of planning documents and the consideration of resource consent applications.

The EAG’s proposal that notification of planning consents be limited to those in the relevant district (and only incorporated societies with a history of operation in the district) is therefore concerning, especially if a Planning Act is where the environmental impacts of land use are considered. Most civil society legal capacity lies within environmental groups at the national level, and the cumulative effects of ‘local’ developments can have significant implications for the natural environment as a whole. As the Minister for Resource Management Reform recently said in Parliament, with respect to the impact of local planning on the national economy (which is equally applicable to the environment):⁷⁶

At the end of the day, planning is always a balance between local and central, and, respectfully, people who say that planning should be this entirely localised thing don’t really understand the impact that local planning decisions have on the regional and national economy that we all have to live in.

Even in Ireland, where new planning legislation is curtailing access to justice for citizens,⁷⁷ NGOs have special status to take proceedings where there are impacts on the natural environment.⁷⁸

Excessive non-notification of resource consents also reduces transparency in the system and can result in poor decisions due to decision-makers being unaware of Māori and/or public concerns. It can even lead to delays where processes get bogged down in legal arguments about notification rather than ones of substance.⁷⁹

So while it is certainly true that “delaying development does not protect the environment” and “eventually, houses and wind farms and other infrastructure must be built”, a robust process by which decisions are made *does* improve outcomes for the environment – not by preventing it but by making sure it is in the right places and subject to the right conditions.⁸⁰

Some have seen the main purpose of notification and submissions as giving decision-makers “useful, focused input”.⁸¹ It helps bring relevant information to the attention of consent authorities. Yet this has been said to be “inconsistent with the basic concept of public participation that has

always been fundamental to RMA processes”.⁸² Involving the public in decision-making on plans (and on consents where effects are more than minor) is also a way to democratise the process. Participation has many benefits, including:

1. catharsis (providing an opportunity for people to tell their story and air their grievances);
2. durability (if people feel the process has been fair, or even co-designed, they are more likely to accept the outcome);⁸³
3. improved relationships of trust and confidence between the public and decision-makers, and in the legislative framework itself;
4. a forum for different views to be understood and conflict to be managed;
5. a way to even the playing field in contexts where there may be greater potential for developers to capture processes.

Unreasonably constraining timeframes for input may be just as bad as removing standing completely, a criticism that was made with respect to the Fast-track Approvals Act 2024 and will be applicable to any attempt to enshrine this in the new system.⁸⁴ Constraints on participation or transparency can have perverse results. For example, when New South Wales’ Land and Environment Court made more information about decisions available online, complaints reduced considerably.⁸⁵ In contrast, when in 2013 the UK reduced the deadline for filing judicial review from 3 months to 6 weeks, there was an increase in people immediately filing such actions so as not to miss out.⁸⁶

In Ireland, a fast-track process for large scale housing development was created which cut out local authority (and therefore community) input, prevented most further information requests,⁸⁷ and imposed strict timeframes for decision.⁸⁸ This actually turned out to be no faster, because more decisions ended up being judicially reviewed from a ‘ready-made pool of litigants’ (often successfully).⁸⁹ As of 2022, of the 35 completed judicial review proceedings, the State or the developer had been successful for just three of them.⁹⁰

This was, clearly, not because of vexatious parties trying to delay growth; it was a direct result of rushed and unlawful decisions having to be made within arbitrary timeframes.⁹¹ It has since been abandoned (it was enacted for a trial period of four years) in favour of a model with greater local input.⁹²

However, Ireland’s more general planning legislation is now set to impose arbitrary timeframes for decision-making on appeals,⁹³ including financial penalties paid to developers for failures to meet them. This has met significant opposition, and its impact has yet to be seen. It may well spur another round of judicial review.⁹⁴

Of course, there are also downsides of too much participation.⁹⁵ Processes can always be used improperly, and oversight is needed. But the more complex and potentially harmful the project, the more legitimacy public involvement has. It is appropriate given what is at stake and needs to be factored into the cost of business, especially if it is unclear whether effects will breach environmental limits or something is proposed in a fundamentally unsuitable place.

There is a balance to be struck, but does the RMA provide for excessive participation at the moment? Public notification (where anyone can make a submission) is only where there are more than minor effects or special circumstances.⁹⁶ Interestingly, the EAG has said that the RMA requires less than minor effects to be considered, including ‘for the purpose of deciding who to involve in consenting processes’, and that this has led to “people involved in processes when there are no real effects on them or their property”.⁹⁷ The statement is rather confusing, since the RMA specifically states that a person is considered affected only if adverse effects on him or her are “minor or more than minor (but are not less than minor).”⁹⁸

To the extent that councils are in practice making *incorrect* notification decisions (ie notifying where effects *are* less than minor), this is a case for better oversight (for example, appeal rights to the Environment Court or a new Planning Tribunal).⁹⁹ That would also be valuable where there is pressure *not* to notify a consent, in order to ensure appropriate input. It is also a case for trying to specify in planning rules what the notification status of a consent is (which was provided for in the NBEA).¹⁰⁰ Interviewees told us that making notification status in plans clearer would generate significant efficiencies, freeing up council staff for substantive consideration of an application. But it does not provide an obvious case for *increasing* the threshold of affected persons. Doing that would actually erode a system based on property rights, since many affected persons have this status by virtue of impacts on their property.

Consider also the outcomes on the ground. The RMA is hardly awash with public notification, despite claims of risk averse behaviour by councils.¹⁰¹ In 2022-23, around 98 percent of applications were non-notified. In Auckland, this was 99 percent.¹⁰² Whatever Tom, Dick and Harry are up to, it is obviously not constantly objecting to a wide range of RMA consents.

And where effects on the environment are more than minor – including impacts on the commons in which we all have a stake – everyone should have a right to have a say.¹⁰³

Concerns about participation are not unique to New Zealand. Compare, for example, the situation in New South Wales. In 2018, an empirical study responded to similar anecdotal concerns about the delays caused by civil society involvement in legal proceedings. This found that claims that public interest litigation “significantly hinder[s] economic growth by delaying and stopping development are largely baseless.... [and] were relatively uncommon, rarely stopped development, and rarely caused major project delays”.¹⁰⁴ Rather, they contributed significant value to the quality of decisions. Looking at evidence, rather than just anecdote, matters.

RMA mechanisms could be used better in a future system

There are procedural safeguards and mechanisms by which things *could* be sped up, without legislative overhaul. These include retaining and building on features already in the RMA:

1. maximum timeframes for processing consents (non-notified consents have at most 20 working days, with discounts in the event of failure to meet this), and notified consents have 130 days (unless there are grounds for extension);
2. call in and direct referral (where there is a single step decision by board of inquiry or Environment Court rather than a two-step process of council/commissioner decision then appeal). The EAG has recommended removing these options, which for large projects could instead require an inefficient two step process;¹⁰⁵
3. a separate, streamlined planning process and faster process for freshwater plan changes, the latter of which has essentially been recommended by the EAG as the standard planning track;
4. limited notification or non-notification (since 2017 limited notification has been available for some plan changes under the RMA);¹⁰⁶
5. the requirement that effects on affected parties be disregarded where they have agreed to them;

6. the ability to directly insert provisions into plans through national direction without further process;
7. restrictions on councils and others extending statutory timeframes without applicant consent;¹⁰⁷
8. a general duty to avoid unreasonable delay;
9. mechanisms for mediation and other alternative dispute resolution (ADR) that have been developed by the Environment Court¹⁰⁸ (refined further into a legal framework for ADR in the NBEA, which could be built upon);¹⁰⁹
10. deemed permitted activities for minor and temporary boundary infringements;
11. a vast array of permitted activities under plans which require no consent;
12. since 2020, various fast-track consenting processes for the kinds of large, significant projects where consenting costs and timeframes are high. While the current iteration (the Fast-track Approvals Act) has significant flaws and has seen the pendulum swing much too far,¹¹⁰ the basic idea behind all of them is that it is only *some* projects that really require a targeted process. This reflects strategic infrastructure legislation in Ireland, which is still subject to EU environmental limits and essentially applies only to projects that are signalled in the National Planning Framework (the country's national spatial plan).¹¹¹

Claims of “oodles of vexatious objections” also fail to recognise that decision-makers already have mechanisms for striking out truly vexatious or frivolous arguments (including where there is no reasonable case, it is an abuse of process, and where expert evidence is not independent).¹¹² The Courts have emphasised, quite rightly, that this power needs to be used sparingly, given that participation is a nationally and internationally recognised cornerstone of resource management.¹¹³ But they do not shy away from exercising it where needed.

A spotlight on Australia

The freshwater plan-making process provides a template for how planning could be made faster across the board, which was largely reflected in the NBEA and has been proposed as a default planning process by the EAG. There will also be a place for some form of special consenting track in a future system for large and complex projects that are in the national interest to progress. This is where delays and costs are noticeable under the RMA,¹¹⁴ and where there are other poor outcomes (eg environmental advocates being burnt off by having to relitigate the same points at first instance and on appeal, and where applicants may only provide robust evidence once a decision is appealed). But a solution needs to be focused on a more efficient *process*, not weakening the criteria by which decisions are made.

In some Australian states, for example, there is a more predictable framework triggering when various activities will essentially be 'called in' or 'directly referred' to state-level decision-makers.¹¹⁵ Such a model could make existing mechanisms under the RMA faster (reducing the prospect of de novo hearings on appeal), and less dependent on ministerial discretion to call in proposals of national significance (which is a relatively rare occurrence). However, in Australian states, there is a big structural difference – the EPA plays a crucial role as an independent, national level and robustly funded regulator. New Zealand's call-in model is quite different, being reliant on the constrained capacity of the Environment Court and ministerially appointed boards of inquiry. This gives rise to much broader

questions about the future role of the EPA in New Zealand, and institutional measures more generally.

In New South Wales, there is also a framework for alternative dispute resolution that is tailored to the nature of disputes. This is intended to make proceedings faster. The Land and Environment Court can send actions down the following paths:¹¹⁶

1. Adjudication: a formal hearing before a judge or commissioner who makes a binding decision.
2. Conciliation: where a commissioner facilitates negotiations between parties to help them reach agreement.
3. Mediation: a neutral third party assists the parties in exploring possible solutions.
4. Neutral Evaluation: an independent evaluator provides an assessment of the strengths and weaknesses of each party's case, which can guide settlement discussions.
5. Reference to Referee: the Court may refer specific issues or questions to an expert for investigation and report.

The number of mediations increased significantly between 2018 and 2019. Most disputes are now resolved without going to a hearing. Although the Environment Court in New Zealand follows similar case management practices, this could be formalised in a new system.

Endnotes

- 1 https://environment.ec.europa.eu/topics/water/nitrates_en; https://environment.ec.europa.eu/news/nutrients-commission-seeks-views-better-management-2022-06-03_en; <https://www.cambridge.org/core/books/abs/european-nitrogen-assessment/summary-for-policy-makers/8C71929358438A6F1BDBEADB38E44E67>
- 2 The agri-food sector is Ireland's largest indigenous exporting industry, contributing 6.7 percent (€14.4 billion) of Gross National Income and accounting for 9.5 percent of all merchandise exports in 2019. It accounted for 7.1 percent of total employment or some 164,400 jobs in 2019.
- 3 <https://www.epa.ie/publications/monitoring--assessment/freshwater--marine/water-quality-in-ireland-2016--2021-.php>. 66 percent of all lakes were recorded as non-eutrophic in 2016-2019. 24.4 percent of river stations had average concentrations greater than 10 mg/l NO₃. Nearly half (44 percent) of rivers had mean nitrate concentrations above 8 mg/l NO₃ in 2022. Concentrations above this are likely to have a water quality impact on the ecological health of these rivers.
- 4 <https://dairyexporter.co.nz/irish-farmers-face-n-limits/?srsltid=AfmBOooy9g85OfkmJkOegbn d7Jn9DyUKXZEa5adkjgy0MCF6L6hml6F>
- 5 91/676/EEC.
- 6 The eutrophic condition test combines data on the ecological health of a waterbody and nutrient conditions, and it is carried out on all surface water body types including rivers, lakes, estuaries and coastal waters.
- 7 Specified currently in separate EU directives as 2.5 mg/l.
- 8 <https://www.irishstatutebook.ie/eli/2022/si/113/made/en/pdf>
- 9 At least every 4 years.
- 10 For example, considerations include: "the physical and environmental characteristics of the waters and land" and "the current understanding of the behaviour of nitrogen compounds in the environment (water and soil)". They identify the areas where the objectives of the Directive are not being met (2.5 mg/l; 50 mg/l or eutrophic state), or where they 'could' (ie there is a risk) they will not be met.
- 11 They also include regulations on land application near watercourses; requirements for storage of livestock manure; procedures for land application of fertilisers (eg rate, uniformity); land use management practices (crop rotation, vegetation cover); and farm-specific fertiliser plans and record-keeping. Ireland's fifth Action Plan came into operation in 2022, and is given effect by the European Communities (Good Agricultural Practice for Protection of Waters) Regulations 2022.
- 12 <https://dairyexporter.co.nz/irish-farmers-face-n-limits/?srsltid=AfmBOooy9g85OfkmJkOegbn d7Jn9DyUKXZEa5adkjgy0MCF6L6hml6F>
- 13 Annex III(2)(b).
- 14 <https://dairyexporter.co.nz/irish-farmers-face-n-limits/?srsltid=AfmBOooy9g85OfkmJkOegbn d7Jn9DyUKXZEa5adkjgy0MCF6L6hml6F>
- 15 The Irish climate, characterised by an annual rainfall evenly distributed throughout the year and a relatively narrow annual temperature range, promotes a long grass-growing season ranging from 330 days per year in the south-west to around 250 days per year in the north-east.
- 16 See paragraph 2 of Annex III to Directive 91/676/EEC. Most recently, "the Commission considers that the amount of manure proposed by Ireland, corresponding to 250 kg nitrogen/ha per year, will not prejudice the achievement of the objectives set out in Directive 91/676/EEC, subject to certain strict conditions that should apply to farmers covered by authorisation."
- 17 Irish farmers in turn apply annually to the Department of Agriculture, Food and the Marine for a derogation licence for their farms.
- 18 Which comes with conditions, such as: fencing; an obligation to use low emission slurry spreading and demonstrating sufficient capacity for slurry storage; bovine livestock shall not be permitted to drink directly from waters; and grass reseeding on grassland farms must include a minimum clover content not exceeding 50 percent of the sward mixture. See <https://www.gov.ie/ga/an-roinn-talmha%3%adochta-bia-agus-mara/preaseisiuinti/commission-rules-out-re-visiting-irelands-nitrates-derogation-decision/>. This applies for farms on farms with at least 80 percent grassland.
- 19 <https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32022D0696>
- 20 For example, from 250 to 220. See Implementing decision - 2022/696 - EN - EUR-Lex. When Ireland was granted a derogation in April 2022, the European Commission put in a condition that an interim water quality review be carried out in 2023. In areas where water quality criteria have not been achieved then additional measures had to be put in place by January 2024.
- 21 Data from 2021 showed that compared with 2017 annual chemical fertiliser use had risen 30-40 tonnes. See <https://dairyexporter.co.nz/irish-farmers-face-n-limits/?srsltid=AfmBOooy9g85OfkmJkOegbn d7Jn9DyUKXZEa5adkjgy0MCF6L6hml6F>
- 22 https://ec.europa.eu/commission/presscorner/detail/it/ip_23_166
- 23 Calculation of the penalty payment is based on a method that takes account of the seriousness of the infringement, having regard to the importance of the rules breached, and the impact of the infringement on general and particular interests, its duration and the size of the Member State, with a view to ensuring that the penalty itself has a deterrent effect. See https://ec.europa.eu/commission/presscorner/detail/es/ip_18_355
- 24 <https://www.euronews.com/green/2025/03/04/missing-eu-climate-targets-could-leave-ireland-facing-a-26-billion-bill#:~:text=A%20new%20report%20warns%20Ireland%20needs%20to,it%20doesn%27t%20act%20now%20to%20reduce%20emissions>.
- 25 Article 6 of the Habitats Directive is one firm line in the sand when it comes to development. It has been used to put a stop to certain high profile developments in the past (such as the Galway bypass).
- 26 States are obliged to report on the implementation of the directive to the European Commission every four years.
- 27 The review is particularly focused on reducing phosphorus surpluses.
- 28 In water bodies where the assessment showed average water quality concentrations above a certain threshold (of 50 mg/l NO₃, or increasing trends, or eutrophic water bodies or water bodies that could become eutrophic), the derogation limit of 250kgN/ha was also reduced to 220kgN/ha from 1 January 2024.
- 29 <https://www.gov.ie/ga/an-roinn-talmha%3%adochta-bia-agus-mara/preaseisiuinti/commission-rules-out-re-visiting-irelands-nitrates-derogation-decision/>. See also <https://www.antaisce.org/blog/red-map-explainer>
- 30 <https://www.thejournal.ie/epa-report-nitrates-6653392-Mar2025/>; <https://www.epa.ie/publications/monitoring--assessment/freshwater--marine/early-insights-indicator-report-nitrogen-concentrations-in-selected-major-rivers-january-december-2024.php>
- 31 Several of the scenarios submitted to government departments responsible for implementing the recommendations propose a 10:1 ratio of dairy farming to beef farming. The current ratio is estimated to be 3:2 in favour of dairy: <https://www.thejournal.ie/land-use-review-ireland-6705873-Jun2025/>;
- 32 Nearly €1.5 billion was earmarked in 2023 to compensate farmers who voluntarily close farms located near nature reserves. Some 3,000 farms are expected to be eligible.
- 33 The Mirage of EC Environmental Federalism in a Reluctant Jurisdiction', 8 N.Y.U. ENVTL. L.J. 1 (1999); <https://www.irishenvironment.com/commentary/the-emerald-isle-irelands-environmental-compliance-record-in-cross-eu-terms/>; <https://greennews.ie/taoiseach-tells-eu-not-proud-ireland-climate-laggard-role/>; <https://www.epa.ie/our-services/monitoring--assessment/assessment/state-of-environment-report/>
- 34 For example, at [384]-[385].
- 35 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment), ch 13.
- 36 Noting that the EAG also envisages the transfer of functions where appropriate.
- 37 At [371], [385], [350].
- 38 For example, the regulatory impact statement for the Resource Legislation Amendment Bill noted that in the previous ten years the vast majority of plan changes (92 percent) had been determined within two years of notification.
- 39 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 40 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 41 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 42 For example, pursuing non-complying activity consents.
- 43 For example, consider Plan Change 78 in Auckland, which at the time of writing was being pulled in part due to not enough information on hazard constraints to inform densification of the Isthmus.
- 44 Other reasons cited by councils were the coverage and complexity of the change, and the need to provide fair opportunity for submitters (not all plan changes are as simple as others); the need for robust consultation with tangata whenua; the effects of COVID-19; constraints from Environment Court schedules; and where Council simply did not have the resourcing.

- 45 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 46 For an overview, see https://planning.org.nz/Attachment?Action=Download&Attachment_id=4310
- 47 The Queenstown Lakes District Plan review sticks out like a sore thumb in National Monitoring System data where most processes attract only 1 to 10 appeals.
- 48 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 49 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 50 See New Zealand Infrastructure Commission Te Waihangā Rauaki Hanganga o Aotearoa New Zealand *Infrastructure Strategy 2022-2052* (2022).
- 51 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>
- 52 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>. Councils increased the use of section 92 (further information requests), with 52 percent of consents having at least one s 92 request.
- 53 This is not to say it is the *fault* of applicants. It may equally be a failure of pre-application engagement with council, or plans that are not clear about the information that is required.
- 54 G Monbiot “Labour’s great nature sellout is the worst attack on England’s ecosystems I’ve seen in my lifetime” (The Guardian, 24 April 2025).
- 55 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>. It also appears that the power for councils to commission an independent report under s 92(2) of the Act is used extremely sparingly (although it is not clear the extent to which this is because applicants refuse to agree to such commissioning, in which case a consent proceeds to determination based on the information available).
- 56 See Planning and Development Act 2024 (Ireland), s 233. Compare *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [382].
- 57 <https://www.ura.gov.sg/Corporate/Guidelines/Development-Control/Planning-Permission/Outline-Application>
- 58 S Berry and H Andrews *The final straw for the RMA? Some shortcomings of the Resource Legislation Reform bill 2015* (July 2016).
- 59 Under the RMA, agreement is required for any extension beyond twice the statutory timeframes (s 37A(5)).
- 60 National Monitoring System data 2022-2023, accessed February 2025. <https://environment.govt.nz/what-government-is-doing/areas-of-work/rma/national-monitoring-system/>.
- 61 Personal communication.
- 62 In the Aotearoa 2050 survey undertaken by Te Waihangā. See <https://twaihang.govt.nz/news-events/new-report-reveals-new-zealanders-views-on-infrastructure-issues>
- 63 One example is Variation 6 to the Waikato Regional Plan (concerned with water allocation) where the Environment Court adjudicated across a broad array of vested interests over a period of many months.
- 64 B Barton “The legitimacy of regulation” (2003) 20(3) New Zealand Universities Law Review 364-401.
- 65 See, for example, *McCallum Bros Ltd v Auckland Council* [2024] NZEnvC 075.
- 66 See *McCallum Bros Ltd v Auckland Council* [2024] NZEnvC 075.
- 67 At [541]. Throughout its decision, the Court expresses serious concerns about the adequacy of information relating to bathymetric and ecological effects (at [388], [522], [535]-[356], and [541]-[547]).
- 68 For example, to add topics to plans (like marine protected areas) not proposed by council in notified versions of plans. See *Bay of Islands Maritime Park Incorporated and The Royal Forest and Bird Protection Society of New Zealand Inc. v Northland Regional Council* [2022] NZEnvC 228. <https://www.beehive.govt.nz/release/replacement-resource-management-act-takes-shape>
- 69 B Barton “The Legitimacy of Regulation”, Resource Management Law Association Annual Conference, 12–15 September 2002, Queenstown, at 27.
- 71 Including landowners’ reasonable expectation of amenity and privacy. See S Berry and H Andrews *The final straw for the RMA? Some shortcomings of the Resource Legislation Reform bill 2015* (July 2016).
- 72 Compare Elinor Ostrom, who emphasised the importance of public involvement and accountability for the commons: E Ostrom *Governing the Commons: The Evolution of Institutions for Collective Action* (Cambridge University Press, 1990).
- 73 <https://eds.org.nz/wp-content/uploads/2021/11/Caring-for-the-Landscapes-of-Aotearoa-New-Zealand.pdf> at 19, citing *Clearwater Mussels Limited v Marlborough District Council* [2018] NZEnvC 88 at [231].
- 74 See generally G Severinsen *Environmental Advocacy in the Future Resource Management System* (EDS, 2023).
- 75 D Nolan (ed) *Environmental and Resource Management Law* (5th ed) at [19.3].
- 76 https://www.parliament.nz/en/pb/hansard-debates/rhr/combined/HansDeb_20250812_20250812_48
- 77 <https://www.lexology.com/library/detail.aspx?g=68786af7-8926-484a-8488-df35f255cafe#:~:text=The%202024%20Act%20introduces%20some%20new%20eligibility,residents%27%20associations%20to%20satisfy%20specific%20governance%20criteria.>
- 78 Planning and Development Act 2024 (Ireland). This special status is subject to some requirements (for example, they must have existed for one year), but their involvement is not limited to where they have a history of activity in a particular place. See <https://www.gov.ie/en/department-of-housing-local-government-and-heritage/publications/key-policy-reforms-planning-and-development-act-2024/>
- 79 For example, see <https://www.tompkinswake.com/insights/knowledge/promise-to-engage-on-resource-consent-application-has-consequences/>
- 80 <https://www.beehive.govt.nz/speech/speech-replacing-resource-management-act>
- 81 See Regulatory impact statement for the Resource Legislation Amendment Bill (2015) at [253].
- 82 S Berry and H Andrews *The final straw for the RMA? Some shortcomings of the Resource Legislation Reform bill 2015* (July 2016). This was said to be “fundamentally contrary to the basic tenet upon which the RMA was based, i.e., that there would be no standing requirement for submitters”.
- 83 Compare E Ostrom *Governing the Commons: The Evolution of Institutions for Collective Action* (Cambridge University Press, 1990).
- 84 See <https://eds.org.nz/wp-content/uploads/2024/04/EDS-Submission-Fast-Track-Approvals-Bill-Final.pdf>
- 85 Interview with Australian legal academic. See generally <https://www.ajne.org/sites/default/files/event/2052/session-materials/operating-an-enviro-court-2008-25-eplj-385.pdf>
- 86 Interview with Australian legal academic. See generally <https://hansard.parliament.uk/commons/2025-01-23/debates/25012331000008/InfrastructurePlanningAndJudicialReviewReform>; <https://www.linklaters.com/en/knowledge/publications/alerts-newsletters-and-guides/2023/december/04/a-legal-and-political-paradox-how-a-government-determined-to-restrict-judicial-review-ended-up-expa>
- 87 The Planning Appeals Board (An Bord Pleanála) also had a policy of not seeking further information even where it could in principle do so.
- 88 Via the Planning and Development (Housing) and Residential Tenancies Act 2016.
- 89 Interview with Irish legal academic, March 2025.
- 90 <https://www.mhc.ie/latest/insights/large-scale-residential-developments>; <https://www.mhc.ie/latest/insights/resolving-the-housing-crisis-why-are-so-many-strategic-housing-development-permissions-being-quashed>
- 91 See generally Hyde “Judicial review of planning permissions for housing developments” (2021) 1 Irish Planning and Environmental Law Journal 1.
- 92 The model was replaced by the Large-scale Residential Development process in 2021, under which Ireland has reverted to the previous process of an application being made to the local authority followed by the possibility of an administrative appeal to An Bord Pleanála.
- 93 These range from 18 weeks for appeals of decisions of planning authorities on smaller-scale development proposals, to 48 weeks for larger-scale Strategic Infrastructure Developments.
- 94 Compare <https://www.linklaters.com/en/knowledge/publications/alerts-newsletters-and-guides/2023/december/04/a-legal-and-political-paradox-how-a-government-determined-to-restrict-judicial-review-ended-up-expa>
- 95 See <https://hansard.parliament.uk/commons/2025-01-23/debates/25012331000008/InfrastructurePlanningAndJudicialReviewReform>;
- 96 RMA, s 95A.
- 97 At [91].
- 98 RMA, s 95E.
- 99 As suggested by the EAG at [460]. This would be a positive step, and would be a more efficient pathway than expensive judicial review in the High Court.

- 100 NBEA, ss 177-178.
- 101 *Report from the Expert Advisory Group on Resource Management Reform. Blueprint for resource management reform: A better planning and resource management system 2025* (March 2025, Ministry for the Environment) at [362].
- 102 Marlborough was an outlier with 25 percent notified.
- 103 The EAG (at [371]) recommended that Planning Act consents not be notified to anyone outside the relevant district. The acceptability of this would depend on exactly what is contained in a Planning Act vis a vis a Natural Environment Act.
- 104 A Macintish and others “Delays, stoppages and appeals: An empirical evaluation of the adverse impacts of environmental citizen suits in the New South Wales Land and Environment Court” (2018) 69(94) Environmental Impact Assessment Review 10.
- 105 At [367]. On a successful direct referral, see <https://www.epa.govt.nz/assets/Uploads/Documents/Fast-track-consenting/Southland-Wind-Farm/Correspondence-to-panel/Meridian-Energy-Ltd-2025-NZEnvC-44.pdf>.
- 106 Schedule 1, cl 5A. Limited notification is possible only if all the persons directly affected by the proposed change or a variation of a proposed policy statement or plan can be identified. This recognises that full notification could be a disproportionate and inefficient mechanism in certain circumstances, such as a site-specific rezoning or where there is a clearly identifiable group of directly affected parties.
- 107 See RMA, s 37A(4).
- 108 This has been effective at narrowing the scope of disputes and reducing the need for judicial decisions. See S Berry and H Andrews *The final straw for the RMA? Some shortcomings of the Resource Legislation Reform bill 2015* (July 2016).
- 109 NBEA, ss 304-312.
- 110 For example, by making its purpose and decision criteria much more enabling, not just its process.
- 111 In Ireland, a ‘strategic infrastructure’ permitting system under the Planning and Development (Strategic Infrastructure) Act 2006 allows applications to be made directly to the planning appeals board (An Bord Pleanála), bypassing the local authority stage, in the same kind of way as direct referrals or call in. Interviewees described this to us as a relatively effective model.
- 112 RMA, s 41D. See generally Regulatory impact statement for the Resource Legislation Amendment Bill (2015).
- 113 *Hauraki Maori Trust Board v Waikato Regional Council* (HC Auckland CIV-2003-485-999, 4 March 2004).
- 114 See New Zealand Infrastructure Commission Te Waihanga *Rautaki Hanganga o Aotearoa New Zealand Infrastructure Strategy 2022-2052* (2022).
- 115 See Victoria Planning Provisions; S Rowley, *The Victorian Planning System: Practice, Problems and Prospects* (The Federation Press, May 2023).
- 116 lec.nsw.gov.au

The Resource Management Act 1991 (RMA) has been at the heart of New Zealand's planning and environmental management system for over three decades. But it has many problems, not least that it has failed to protect the natural environment from significant degradation.

The government intends to replace the RMA with two new statutes: a Planning Act and a Natural Environment Act. They will be radically different from the RMA in several ways. Among other things, the intention is for the enjoyment of property rights to be a driving force.

This report explores seven of the most important shifts envisaged for a future system. These are: a narrower scope; a new framework for regulatory takings; a splitting of the RMA into two acts; a new set of purposes and principles; a framework for environmental limits; statutory spatial plans; and a more standardised system. These shifts will have significant risks if done poorly, but they present valuable opportunities if done well.

The report also looks at international comparators, including Ireland, the United Kingdom, Singapore and Australia. Many countries are innovating, putting nature at the forefront of their systems and learning from their mistakes. Without careful reform, New Zealand risks being left behind. And if we get it wrong, there will be a perpetual, expensive and disruptive cycle of repeal and enactment as governments change.

This report charts a sensible way forward – a system that will serve both people and our natural world. It has relevance for the imminent reforms as well as any subsequent changes.

[A] truly excellent piece of work and unpacks the seven issues/themes in a very comprehensive, compelling and clear way. The depth and clarity of analysis along with illustrative real-world examples, makes this an incredibly important voice in the process and should be compulsory reading for MfE's Phase 3 advisors...

Senior council planner, July 2025



**Environmental
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ISBN 978-1-0670797-3-4

